30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.
- Commodity markets were mixed. WTI crude oil rose 2.2% to US$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Cliff Notes: on the minds of policy makers

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke, Ryan Wells & Illiana Jain

11:28 July 03 2026

Share

Key insights from the week that was.

This week's RBA minutes provided more colour around the Monetary Policy Board's (MPB) June deliberations. Overall, the MPB views the economy as "operating with excess demand and widespread inflationary pressures". On the domestic front, there were "somewhat differing views" among MPB members regarding the extent of current capacity pressures, but they are nonetheless seen as elevated and a risk to the normalisation of inflation towards target. On the Middle East conflict, the

MPB welcomed progress towards a resolution but still viewed the balance of risks as firmly skewed to the upside for inflation and the downside for growth. As such, "increasing the cash rate target" will be considered if required.

Last week's speech from Deputy Governor Hauser shed more light on the RBA's thinking on the relationship between inflation and unemployment. The main takeaway is that inflation tends to be more sensitive when the economy is already tight; but equally, that the policy trade-off in such a situation allows more scope to focus on bringing inflation down without a large cost to employment. These judgements underscore the RBA's successive rate hikes earlier in the year and their subsequent decision to pause and assess in June.

The RBA is also closely monitoring trends in the housing market and the implications for wealth and consumption. Cotality's latest home value index fell 0.4% in June, Sydney and Melbourne's correction deepening as price growth slowed from a higher base across the smaller capitals. Together with signs of slowing credit growth, evidence that the RBA's rate hikes and sentiment are weighing on the market is mounting. Westpac is forecasting further house price declines through the remainder of the year, though strong population growth and tight supply will limit their scale.

Before moving offshore, a final note on trade. The goods trade balance surprised materially to the downside in May, flipping from a surplus of $1.4bn to a deficit of $3.0bn, the largest in over a decade. Volatility in gold flows was one of the chief culprits, accentuated by a surprisingly large fall in iron ore exports and a solid lift in car imports (i.e. EVs). Imports of equipment related to the data centre build-out have moderated but are still well above historical norms. Expect continued volatility over the coming year(s).

Over in the US, nonfarm payrolls disappointed in June, with only 57k jobs created and April/May revised down by a combined 74k. The three-month average is now 111k versus 164k in May, though June's result still suggests labour demand is at least keeping pace with supply. Household survey employment is materially weaker, however, declining 507k in June and averaging a loss of 195k jobs per month over the past three. Further, continuing the trend of the past 18 months, the participation rate fell to 61.5% in June; had participation held steady since January 2025, the unemployment rate would now be above 5%, not the reported 4.2%. Taken together, these outcomes imply the labour market is most likely marking time. That said, the downside risks the household survey allude to are worth close attention.

Also consistent with the FOMC becoming less concerned with inflation in coming months was the latest ISM manufacturing report. Most notably, the prices component fell 9.1pts to 73, signalling a turn in upstream price pressures. Together with the decline in oil benchmarks in recent weeks and the available detail of both the CPI and PPI, which have offered little evidence of material secondary inflation effects from the Middle East conflict, this moderation should alleviate concerns amongst the FOMC that a sustained re-acceleration in consumer inflation is a probable risk.

The preliminary release for June Euro Area inflation was also supportive of an increasingly benign inflation outlook, prices falling 0.1% versus a 0.1% expected gain. The improvement was broad based too, annual headline inflation moderating to 2.8%yr from 3.2%yr and core inflation to 2.4%yr from

2.6%yr. Importantly, this was achieved while the labour market remains historically tight.

FOMC Chair Kevin Warsh picked up on this improvement in inflation prospects at the ECB's Sintra Forum on Central Banking, highlighting that inflation expectations and risks "have come down" in recent weeks. Admittedly he is focused on the US but, per the Euro Area data above, the narrative is broadly true for developed economies across the northern hemisphere. The keynote panel at the conference also discussed several other important topics including the need for greater flexibility and timeliness when conducting monetary policy, how AI advances are being factored into decision making and the importance of safeguarding financial stability.

Finally to Asia where the Q2 Tankan was received positively, participants focusing on the increase in large manufacturer sentiment from 17 to 22. Other outcomes were less positive, however. Smaller manufacturers are more cautious, as are service firms. R&D expectations were also revised down, and profitability and labour market indicators came under pressure. Overall, the survey suggests the BoJ needs to keep evolving risks in mind as they continue to normalise policy.

Related articles

#cliffnotes

Cliff Notes: patience is a virtue

June 26 2026 • 5 mins

By Elliot Clarke, Ryan Wells & Illiana Jain

#cliffnotes

Cliff Notes: policy matters

June 19 2026 • 5 mins

By Elliot Clarke, Ryan Wells, Illiana Jain & 1 more

#cliffnotes

Cliff Notes: stuck in the moment

June 12 2026 • 5 mins

By Elliot Clarke, Ryan Wells, Illiana Jain & 1 more

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities

#ustreasury #fx #rbnz #jpy #abs Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.
- Commodity markets were mixed. WTI crude oil rose 2.2% to US$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ►

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.
- Commodity markets were mixed. WTI crude oil rose 2.2% to US$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author’s knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac’s Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

RBA Minutes and other commentary: still on edge about inflation

#australia #luciellis #fx #interestrates #rba

By Matthew Hassan
Head of Australian Macro-Forecasting, Westpac

17:56 June 30 2026

Share

RBA Minutes released today and other commentary over the last week suggest the Monetary Policy Board is still on edge about inflation risks in Australia.

- RBA Minutes reprise the 'hawkish hold' message from June's decision statement.
- Some notable observations on housing and data centre build but central narrative unchanged.

- Deputy Governor Hauser's recent speech and accompanying RBA research underscore risks around tight capacity and possible shift in price-setting behaviour.
- Q2 CPI remains critical, with a lot riding on how this and the balance of risks to the outlook are judged..

The advent of post-meeting media conferences means the minutes to RBA meetings are of less importance than they once were. However, they still serve to remind us of the key considerations for policy. Read alongside last week's speech by the Deputy Governor and a series of RBA insight notes, the latest Minutes suggest the Bank is still on heightened inflation alert.

The central narrative through the meeting Minutes is, unsurprisingly, the same as that set out in the decision statement and in the Governor's post-meeting press conference. The economy is still seen as tight, i.e. "operating with excess demand and widespread inflationary pressures". However, the Board opted to use the 'space' provided by previous rate rises, pausing in June to get a better sense of how the situation was unfolding in the Middle East and how previous rate rises were impacting locally.

There were some interesting titbits in the detail though, including:

- Financial conditions are now seen as restrictive. While the conviction here is not high ("probably somewhat restrictive"; "remained uncertain") it is a little more forthright than the decision statement which simply stated that conditions were now tighter. That uncertainty may also be partly due to staff updates on the RBA's modelled estimates which pointed to a slightly higher real neutral rate compared to when the cash rate was last at 4.35% (at the start of last year).
- Housing market developments were largely absent in the decision statement but featured a few times in the Minutes, including in the 'Considerations for Monetary Policy section' ("Housing demand had eased, which also reflected the broader economic environment and recently proposed tax changes"; and "Members also noted the risks associated with a potentially material weakening in housing markets, including if this were to inhibit growth in consumption"). Likewise, the data centre investment surge rated a mention in the main assessment section as well ("[Members] discussed the potential for continued strength in such activity to exacerbate capacity pressures and skills shortages in other parts of the economy").

While neither topic is a central concern for the Board right now, they are on the radar.

Also of some note were the areas where views within the Board differed. In particular, there were "somewhat differing views about the extent of current capacity pressures". As we have discussed in the past, this likely centres on assessments of slack in the labour market. That would seem to be the case given that members still assessed that persistently weaker-than-expected productivity growth was a problem for bringing inflation back to target.

The other notable point of difference was on the extent to which the Fair Work Commission's moderately higher than expected 4.75% increase in all modern award wages might indirectly influence other wage negotiations. Again, views on the impact differed but Members agreed that it would "depend in part on the tightness of the labour market and expectations for inflation".

Coming back to the central narrative of tight capacity and persistent inflation, the RBA deliberations here have been given some additional framing by the Deputy Governor and a series of RBA 'insight' notes. Titled "The Straight Line Belongs to Man, the Curved Line Belongs to God", Deputy Governor Hauser's Sir Douglas Copland Memorial Lecture, delivered to the Economic Society of Australia last week, was a little more technical than the ‘fireside chats’ and speeches that have been used to shape mainstream and financial market expectations. However, it focussed on two areas that are extremely pertinent to the Board’s current deliberations, namely: 1) the sensitivity of inflation to shocks when capacity is tight; and 2) potential changes in price-setting behaviour. The ‘straight lines’ and ‘curves’ being discussed were those showing the relationship between unemployment and wage growth or price inflation, and between cost and price changes. And the question is to what degree do these relationships become ‘curvier’ as unemployment falls/capacity tightens.

The Deputy Governor spelled out the clear takeaway for monetary policy: that inflationary pressures are likely to be higher for a given change in activity if; 1) domestic capacity pressures and inflation are already elevated; and/or 2) cost shocks are large or persistent; and/or 3) inflation expectations are elevated. From here the Deputy Governor concluded that ”non-linearities in the Phillips curve suggest that policy should respond proactively to an inflationary shock when we are already on the steep part of the curve – and that is what the Monetary Policy Board has done in recent months.”

The insights notes expand on this a little, in an even more technical manner. Some notable points are that:

- the RBA’s models currently incorporate some non-linearity (i.e. curviness) in the relationship between unemployment and wage costs/inflation but not in price-setting behaviour which means the latter will be a key area of judgement for policy making (informed by liaison);
- there is clear evidence that price-setting behaviour did change during and after the pandemic, adjusting more frequently from 2022;
- this increased price flexibility is estimated to account for 0.4-1.3ppts of the gap between modelled estimates and the actual peak in inflation 2022-23; and
- that the way the policy trade-off between inflation and unemployment shifts when prices are more flexible means policy can focus more closely on the inflation part of the mandate (the idea here being that inflation declines will also be associated with more muted rises in unemployment).

All up, the RBA minutes and other communications again point to heightened concerns about persistently above-target inflation. We already knew the June quarter CPI release on July 29 would be the critical piece of domestic information heading into the RBA Monetary Policy Board’s August 10-11 meeting. However, the latest RBA communications make it clear that aside from this, the key judgements will be around the scale and persistence of shocks emanating from the Middle East, and whether price setting behaviour has shifted,

On balance, we continue to see high inflation and an unacceptably slow return to target as drawing additional interest rate rises from the RBA – but depending on how the inflation data, geopolitics and key judgements land, that balance could be a close-run thing.

Related articles

#australia

Australia and NZ Weekly 6 July 2026

July 06 2026 • 10 mins

By Luci Ellis, Matthew Hassan, Elliot Clarke & 10 more

#australia

Australia and NZ Weekly 6 July 2026

July 03 2026 • 10 mins

By Luci Ellis, Matthew Hassan, Elliot Clarke & 10 more

#australia

China’s greatest opportunity and biggest threat

July 03 2026 • 5 mins

By Elliot Clarke

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #abs Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

"professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

First impressions – May CPI

#inflation #australia #rba #economicbulletinsaustralia

By Neha Sharma & Sian Fenner

12:38 June 24 2026

Share

The May CPI fell –0.7%mth to be up 4.0%yr. Trimmed mean rose 0.4%mth/3.6%yr.

The May CPI fell –0.7%mth to be up 4.0%yr. This was below our estimate of 4.4%yr and market expectations of 4.3%yr. May is typically a seasonally softer month for the CPI. In seasonally adjusted terms, the CPI dipped –0.1%mth, compared with our estimate of +0.2%mth. The key drivers behind the softer May outcome were transport, clothing & footwear and recreation & culture. The latter two accounted for nearly all of the miss in our monthly result. Balancing this was a firmer result in the housing component, with a broad-based pick-up across electricity, rents and new dwelling costs.

Despite the weakness in the headline, underlying pressures are picking up and suggest second-round effects from the Middle East conflict are broadening. Trimmed mean inflation printed at 0.4%mth and 3.6%yr, this was in line with our expectations but higher than the market's 3.5%yr. The six-month annualised pace lifted from 3.2% to 3.5%.

In terms of the key surprises to our forecast:

Downside surprises

- Recreation & culture was the key miss, owing to bigger-than expected falls in domestic (–12.1%mth vs –5.5%mth) and international travel (–0.8%mth vs 3.8%mth).
- Clothing & footwear fell by more than expected (–2.9%mth vs –1.8%mth).
- Some of the other areas of weakness were in household textiles (usually weak in May), vegetables and medical appliances.

Upside surprises

- Housing rose 0.5%mth vs 0.3%mth expected. New dwelling costs was the main surprise here, lifting 0.9%mth/5.6%yr, this was the strongest monthly increase since December 2022. We had flagged upside risks here given evidence from price notifications data. Rents rose 0.4%mth against expectations of 0.3%mth.
- Automotive fuel fell by less than expected (–11.9%mth vs –14.5%mth).

The May data provide a stronger signal that second-order effects from the Middle East supply shock are becoming more visible across consumer prices. Oil prices have come off their highs and policy is still dampening parts of fuel inflation, for now, but higher fuel, transport and commodity costs are continuing to feed through to a broader range of categories. This is consistent with firms passing on at least part of the increase in input costs, including energy, freight, plastics and chemicals.

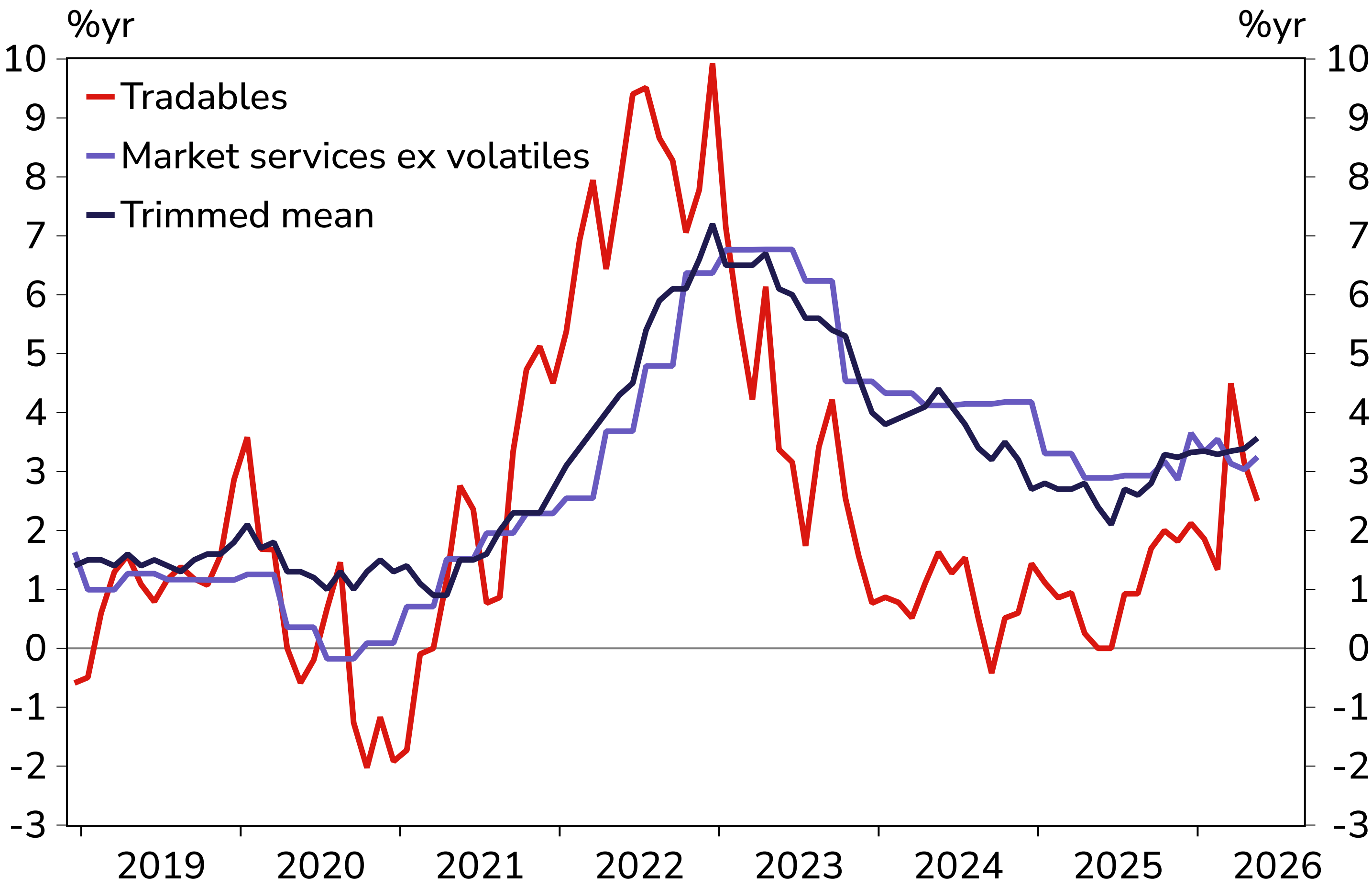
The key question is whether these price increases reverse as cost pressures ease, or whether they persist. Postal costs fell in May, as the fuel surcharge was reduced, showing some pass-through can unwind. But the risk is that pass-through in other areas is stickier, particularly across services. The increase in hairdressing prices, for example, could reflect firms adjusting prices not just for higher fuel and transport costs, but for a broader expectation of higher operating costs. That makes the May outcome less about whether pass-through is occurring, and more about how broad and persistent it becomes.

Today's trimmed mean outcome came in line with expectations and is on track to rise 1.0% in Q2, taking annual trimmed mean inflation to 3.8%yr. As such, we retain our view that further cash rate increases are coming, with the next hike likely at the August meeting.

The May data reinforce the RBA's concern that inflation remains too high and that a period of slower growth will be needed to return inflation to target. Even with oil prices off their highs, and other commodity prices easing to a lesser extent, we expect some further pass-through from still elevated fuel and commodity costs over coming months, particularly as policy supports unwind. Wage costs could add further pressure in the second half, especially across market services.

Housing inflation will also remain a key pressure point. It accounts for around 20% of the CPI basket and is typically a source of persistence in trimmed mean inflation. That keeps upside risks front of mind for the RBA and leaves further tightening firmly on the table.

Inflation: analytical measures



Source: ABS, Macrobond, Westpac Economics

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles

#inflation

May CPI – underlying pressures firm

June 24 2026 • 5 mins

By Neha Sharma

#inflation

May CPI: preview and analysis

June 19 2026 • 5 mins

By Neha Sharma

#inflation

First impressions: NZ selected prices (May 2026) and updated CPI forecast

June 16 2026 • 2 mins

By Satish Ranchhod

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #abs Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

IMPLICATIONS OF RATIONAL INATTENTION

CHRISTOPHER A. SIMS

Abstract. A constraint that actions can depend on observations only through a communication channel with finite Shannon capacity is shown to be able to play a role very similar to that of a signal extraction problem or an adjustment cost in standard control problems. The resulting theory looks enough like familiar dynamic rational expectations theories to suggest that it might be useful and practical, while the implications for policy are different enough to be interesting.

I. Introduction

Keynes's seminal idea was to trace out the equilibrium implications of the hypothesis that markets did not function the way a seamless model of continuously optimizing agents, interacting in continuously clearing markets would suggest. His formal device, price "stickiness", is still controversial, but those critics of it who fault it for being inconsistent with the assumption of continuously optimizing agents interacting in continuously clearing markets miss the point. This is its appeal, not its weakness.

The influential competitors to Keynes's idea are those that provide us with some other description of the nature of the deviations from the seamless model that might account for important aspects of macroeconomic fluctuations. Lucas's 1973 classic "International Evidence..." paper uses the idea that agents may face a signal-extraction problem in distinguishing movements in the aggregate level of prices and wages from movements in the specific prices they encounter in transactions. Much of subsequent rational expectations macroeconomic modeling has relied on the more tractable device of assuming an "information delay", so that some kinds of aggregate data are observable to some agents only with a delay, though without error after the delay. The modern sticky-price literature provides stories about individual behavior that explain price stickiness and provide a handle for thinking about what determines dynamic behavior of prices.

Date: July 4, 2002.

Most recently, theories that postulate deviations from the assumption of rational, computationally unconstrained agents have drawn attention. One branch of such thinking is in the behavioral economics literature (Laibson, 1997; Bénabou and Tirole, 2001; Gul and Pesendorfer, 2001, e.g.), another in the learning literature (Sargent, 1993; Evans and Honkapohja, 2001, e.g.), another in the robust control literature (Giannoni, 1999; Hansen and Sargent, 2001; Onatski and Stock, 1999, e.g.). This paper suggests yet another direction for deviation from the seamless model, based on the idea that individual people have limited capacity for processing information.

That people have limited information-processing capacity should not be controversial. It accords with ordinary experience, as do the basic ideas of the behavioral, learning, and robust control literatures. The limited information-processing capacity idea is particularly appealing, though, for two reasons. It accounts for a wide range of observations with a relatively simple single mechanism. And, by exploiting ideas from the engineering theory of coding, it arrives at predictions that do not depend on the details of how information is processed.[1]

In this paper we work out formally the implications of adding information-processing constraints to the kind of dynamic programming problem that is used to model behavior in many current macroeconomic models. It turns out that doing so alters the behavior implied by these models in ways that seem to accord, along several dimensions, with observed macroeconomic behavior. It also suggest changes in the way we model the effects of a change in policy "rule" and in the way we construct welfare criteria in assessing macroeconomic policy. These aspects of the results are discussed in detail in later sections of the paper, which can be read independently of the mathematical detail in earlier sections.

II. Information Theory

The basic idea of information theory is to measure the rate of information flow as the rate of uncertainty-reduction. It therefore starts with a measure of uncertainty, called entropy. For a random variable X with pdf $p(X)$ the entropy is $-E[\log(p(X))]$. This formula applies whether the pdf is a density with respect to Lebesgue measure on R^k, so X is "continuously distributed", or with respect to a discrete measure on a finite or countable set of points, so that X is a discrete random variable. We think of $p \log p$ as zero for X values where $p = 0$. It is conventional to take the log in the

[1]Of course for psychologists, this may make the theory less interesting. But for economists, whose comparative advantage has been in using the optimization assumption to sweep aside psychological detail in modeling behavior, the ability of this information-theoretic approach to similarly sidestep psychological detail may be attractive.

formula to the base 2, so that the entropy of a discrete distribution with equal weight on two points is 1, and this unit of information is called one "bit".[2]

Then information is thought of as moving through a "channel", in which one enters input data, and output data emerges, possibly error-ridden. If we enter input data that is a realization of a random variable X with pdf p, and the channel provides as output a random variable Z whose pdf, conditional on X, is $q(Z \mid X)$, we can form a conditional pdf for $X \mid Z$ by Bayes' rule as

$$r(X \mid Z) = \frac{p(X)q(Z \mid X)}{\int p(x)q(Z \mid x)\,dx}\,. \tag{1}$$

Then the information acquired is the change in entropy,

$$E[\log_2(r(X \mid Z)) \mid Z] - E[\log_2(p(X))]\,. \tag{2}$$

This quantity need not be positive for every possible realized value of Z — we can see a Z that makes us more uncertain about X than we were before we saw Z — but on average across all values of Z, it is necessarily positive.

Here are two examples of transfers of information at the same rate. In the first example, we have a device (e.g. a telegraph key transmitting "dot" or "dash") that sends one of two signals, and does so without error. We can think of the signals as zeros and ones. If we draw a 0 or 1 from a distribution with equal probability on the two values, and transfer it according to this mechanism, then with each transmission we eliminate all uncertainty in the value of the draw, and thus transmit one bit of information.

In the second example, we draw a value for a continuously distributed $N(0,1)$ random variable and transfer it by a mechanism that contaminates it with an independent $N(0,1/3)$ noise. That is, $X \sim N(0,1)$, $\{Z \mid X\} \sim N(X,1/3)$, and therefore $\{X \mid Z\} \sim N(.75Z,.25)$. It is easy to verify that the entropy of a $N(\mu,\sigma^2)$ random variable is $\log_2 \sigma + .5(\log_2(2\pi e))$ and therefore that the information transmitted in this example by each observation on Z is $\log_2 1 - \log_2 .5 = \log_2 2 = 1$ bit.

Note that if this second channel had transmitted X without error, the rate of information transmittal would have been infinite. This corresponds to the fact that a real number can be represented as an infinite sequence of digits. If we could transmit real numbers without error, we could transmit arbitrary infinite sequences of integers

[2]Entropy is related to the Kullback-Leibler information $\mathcal{I}(p;q)$ in statistics (Schervish, 1995, p.115). For a random variable X with pdf p entropy is $-\mathcal{I}(p;\mathbf{1})$, where $\mathbf{1}$ is the (possibly improper) "flat" pdf that is identically one. That is, under the usual interpretation of Kullback-Leibler information, entropy is minus a measure of how hard it is to tell from observations on X that its pdf is p, not a uniform density.

(or of zeros and ones) without error, and thus send infinitely many bits in a single transmission.

The channel in our first example has a "capacity" of one bit per transmission, or time unit, say one second. This is the maximum rate at which the channel can transmit information.[3] We could use the channel inefficiently, for example by drawing the input zeros and ones from a distribution with probability of 0 $p \neq .5$. But if we actually had to send a sequence of 0's and 1's generated by i.i.d. draws from a distribution in which $p = .99$, say, we could in fact, by proper "coding" of the sequence, send it at as close as we like to a 1 bps rate rather than the $-.99 \log .99 - .01 \log .01 = .08$ bps rate that we would achieve by naively sending each 0 and 1 as it appeared.

One easily understood way to do this is with "block codes". For example, we could consider all 32 possible sequences of 5 zeros and ones. With our assumed p of .99, the sequence of 5 successive zeros is much more likely than any other sequence, so we could map that into a unit-length sequence of a single zero. The 5 sequences containing 4 zeros and 1 one are the next most likely, so we could map them to the sequences 111, 110, 1011, 1010 and 1000. All the remaining sequences of 5 zeros and ones would have to be mapped into sequences that begin with 1001, and thus would be as long or longer than their original length of 5. But since these remaining sequences are much less common in our signal sequence than the sequences consisting mostly of zeros, the *average* length of sequence we transmit will be well under 5.[4] Coding theorems in information theory show that methods like this can allow transmission at a rate approaching capacity through any channel, regardless of the distribution of the input that one wishes to send.

Notice that the coding theorem result implies that if we would like to be sending a $N(0,1)$ signal with a $N(0,1/3)$ error, as in our second example, but we have available only a discrete transmission device like the telegraph key of our second example, we can, by proper coding, send our normally distributed message with normally distributed error at 1 transmission per second using the error-free telegraph key.

The reader may wonder what kind of coding could accomplish this. Suppose $X \sim N(0,1)$ and we code positive X to 0 and negative X to 1. This produces $\mathrm{Var}(X \mid Z) = .36$, approximately, slightly bigger than .25, which is our target optimal expected squared error. Of course the conditional distribution of $X \mid Z$ is a truncated

[3]Readers may recall, if they use modems with their computers, that modem speeds are rated in "bits per second", or bps. This is their channel capacity. Speed increases for modems plateaued at 56000 bps, because telephone connections are designed to have approximately that capacity, so no change in modem design can achieve greater speed.

[4]A detailed example like this is worked out in the appendix to my 1998 paper.

normal, and thus quite non-normal. More sophisticated codes, in general requiring that blocks of X values be coded jointly, could do better. There is no simple formula for optimal coding of continuously distributed sources into a discrete "alphabet", but there is a literature on methods to do it in particular physical settings (Gray and Neuhoff, 2000). The important point for our further discussion below, is that it can be done. Information transmission barriers that take the form of a restriction to sending discrete signals at a finite rate without error are not fundamentally different from restrictions to sending continuously distributed signals with contaminating noise.

With continuously distributed variables, some apparently natural specifications for channels can turn out to be unreasonable because they imply infinite capacity. For example, it can't be true that an actual channel is capable of transmitting an arbitrary real number X so that the output signal is $X+\varepsilon$, where ε is, say, $N(0,1)$, independent of X. If this were so, we could, by scaling up our input X to have arbitrarily large variance, achieve arbitrarily high transmission rates. The channel must be specified in such a way that there is no way, by adjusting input in the permissible range, to make the signal-to-noise ratio arbitrarily large. This point is central to our discussion below when we consider dynamically more complicated channels.

A potentially important point that we will ignore in what follows is that optimal coding generally introduces delay. We will consider dynamic optimization problems in which a decision must be made at each t on the basis of information at that date. We will assume that when the decision is made at t, data on X_s, $s \leq t$ has been observed via an optimally designed finite capacity channel whose output is available up through time t. If, say, the optimal channel requires Gaussian noise, but our available channel were actually a telegraph key, or a set of them, of the same capacity as the optimal channel, coding optimally will let us approximate the characteristics of the optimal channel arbitrarily well, but at the price of some delay. The excuses for ignoring the delay at this stage are (i) that the gap between the performance of finite-code-length systems and optimal systems declines exponentially in code length, so that coding delay is likely to be small in practice, and (ii) that when many sources of information are being coded simultaneously, it is possible to come close to transmission at the Shannon capacity rate without delay, even when the rate per source is low.[5]

[5] Conversion of a continuously distributed source to discrete form for transmission through a digital channel (like a telegraph key) is known as *quantization*. The theory is surveyed in Gray and Neuhoff (2000), with the results underlying the assertion (ii) discussed particularly in the section on vector quantization, II.B, p.291.

III. Optimization with information-flow constraints

Suppose we would like to minimize $E[(Y-X)^2]$, where Y is our action and X is a random variable that we must observe through a finite-capacity channel. What is the optimal choice for the conditional distribution of $Y \mid X$, subject to the requirement that the information flow about X required to generate Y is finite? Formally we would like, taking the pdf $p(\cdot)$ of X as given, to solve

$$\min_q \left\{ E[(Y-X)^2] = \int (y-x)^2 q(y \mid x) p(x)\, dy\, dx \right\} \tag{3}$$

s.t.

$$(\forall x) \int q(y \mid x)\, dx = 1 \tag{4}$$

$$-E\big[E[\log(q(Y \mid X)) \mid X]\big] + E\left[\log\left(\int q(x \mid Y) p(x) dx\right)\right] < C\,. \tag{5}$$

$$\tag{6}$$

This last expression is easy to interpret as the average reduction in entropy when we use observations on X to reduce uncertainty about Y, which seems to be the opposite of what we are interested in. However it turns out that the information flow is the same whether we are using observations on X to inform ourselves about Y or vice versa. The information flow between the two jointly distributed variables is called their mutual information.

When the X distribution is Gaussian, it is not too hard to show that the optimal form for q is also Gaussian and independent of X, so that Y and X end up jointly normally distributed.[6]

This example illustrates a more general point. The information-flow constraint results in an outcome that looks like a signal-extraction problem's outcome. The optimal behavior of Y is *as if* X were being observed with an i.i.d. error. The variance of Y is less than that of X, as is usual when actions have to be based on error-ridden data. But there are important deviations from signal-extraction results in the predictions of this approach for how response to X will change as the distribution of X is changed. For example, if the capacity constraint remains the same, doubling the

[6]When X has a given non-Gaussian marginal distribution, it is still optimal to make the distribution of $X \mid Y$ Gaussian and independent of Y, if possible. This can be accomplished by forming $\tilde{h} = \tilde{p}/\tilde{\varphi}$, where the $\tilde{}$ indicates Fourier transform (or characteristic function) and φ is the standard Normal pdf. Taking the inverse Fourier transform h of $\tilde{h}$ gives us a marginal pdf for y, which we can then multiply by a Gaussian conditional pdf for $X \mid Y$ to obtain a joint pdf. Finally we apply Bayes rule to the joint pdf to find $q(y \mid x)$. Of course for some p's (e.g. those with discontinuities, or discrete distributions), $\tilde{p}/\tilde{\varphi}$ is not square-integrable, so this method won't work.

variance of X will result in doubling the variance in the $Y \mid X$ distribution. Also, if $\mathrm{Var}(Y \mid X) \leq \mathrm{Var}(X)/3$, then if X starts being drawn from a distribution concentrated on two points, we expect the "error" in Y and the corresponding damping of response to completely disappear. The same 1 bps transmission rate is maintained with the error-free transmission of the two-point distribution as with the 3:1 Gaussian signal/noise ratio.

IV. Dynamic optimization with information-flow constraints: frequency domain

Suppose we observe a random vector Y and use it to inform ourselves about a random vector X that is jointly normally distributed with Y, i.e.

$$\begin{bmatrix} X \\ Y \end{bmatrix} \sim N\left(0, \begin{bmatrix} \Sigma_{xx} & \Sigma_{xy} \\ \Sigma'_{xy} & \Sigma_{yy} \end{bmatrix}\right) . \tag{7}$$

The entropy of a multivariate $N(\mu, \Omega)$ of dimension n is

$$-\frac{n}{2}(\log(2\pi) + 1) - \frac{1}{2}\log|\Omega| \ . \tag{8}$$

Therefore the reduction in entropy of X from observing Y (or vice versa) is

$$-\tfrac{1}{2}\log\left|I - \Sigma_{yy}^{-1}\Sigma'_{xy}\Sigma_{xx}^{-1}\Sigma_{xy}\right| \tag{9}$$

If Y and X are finite subsequences drawn from jointly stationary stochastic processes, then the Σ matrices appearing in (9) are Toeplitz forms and can be approximately diagonalized by Fourier transform matrices. If we do so, we can see that as the length of the two vectors gets longer, the information flow they represent converges to a rate per observation of

$$-\frac{1}{2\pi}\int_{-\pi}^{\pi} \log\left(1 - \frac{|S_{xy}(\omega)^2|}{S_x(\omega)S_y(\omega)}\right) d\omega \ , \tag{10}$$

where S_x and S_y are spectral densities for the Y and X processes and S_{xy} is their cross-spectral density.

This formula extends directly to continuous time, where it becomes (the only difference is the limits of integration)

$$-\frac{1}{2\pi}\int_{-\infty}^{\infty} \log\left(1 - \frac{|S_{xy}(\omega)|^2}{S_x(\omega)S_y(\omega)}\right) d\omega \ . \tag{11}$$

From (11) we can see one important point. In continuous time, the coherence of the X and Y processes must drop toward zero, at least on average, as $|\omega| \to \infty$. Otherwise the integral would not converge. This means that the power, or amount of variation, in the noise must grow large relative to that in the "signal" as we go to higher and higher frequency variation. Thus any action taken in response to the finite information-flow-rate observations on X must be insensitive to the highest-frequency oscillations in X, meaning Y cannot respond sharply and quickly to X. Also, Y must itself show noisy idiosyncratic high-frequency randomness.

To see the implications of these principles, consider the simplest possible quadratic control problem: choosing Y to track X with loss $E(Y-X)^2$. Rather than the conventional constraints that Y is subject to adjustment costs or that Y is based on observation of X contaminated with exogenously specified noise, we assume instead that Y is chosen on the basis of an optimally coded transmission of data about X through a finite-capacity information channel.

If Y could be chosen on the basis of observations of future as well as past X, it would be easy to use frequency-domain methods to solve the optimal tracking problem. For the more realistic situation where Y_t can depend only on $\{X_s, s \leq t\}$, I have not been able find analytic formulas, but it is not too difficult to obtain example solutions using numerical methods. Formally, we solve the problem

$$\min_{b,c} E\left[(Y_t - X_t)^2\right] \tag{12}$$

subject to

$$X_t = \sum_{s=0}^{n} a_s \varepsilon_{t-s}\,, \qquad Y_t = \sum_{s=0}^{n} b_s \varepsilon_{t-s} + \sum_{s=0}^{n} c_s \nu_{t-s}\,, \tag{13}$$

$$\begin{aligned} -\tfrac{1}{2}\int_{-\pi}^{\pi} \log\left(1 - \frac{|\tilde{a}\tilde{b}|^2}{|\tilde{a}|^2(|\tilde{b}|^2 + |\tilde{c}|^2)}\right) d\omega \\ = -\tfrac{1}{2}\int_{-\pi}^{\pi} \log\left(1 - \frac{1}{1 + |\tilde{c}|^2/|\tilde{b}|^2}\right) d\omega < C\,, \end{aligned} \tag{14}$$

where the ε and ν processes are both i.i.d. $N(0,1)$ stochastic processes. Note that the left-hand side of (14) is just new notation for (11).

The solution for the case where a is a simple linearly declining sequence of weights, with $n = 31$, is displayed in Figure 1. Note that, as expected, b is smoother than a, with the smoothing distorting the match between a and b especially strongly near 0. In effect, the smoothing creates a delay in the reaction of Y to X. Also note that c is sharply peaked near zero, implying that high frequency variation in Y is dominated by noise. As indicated in the caption to the figure, in notation we use in all figures, this configuration represents data transfer at the rate .641 “bpt”, which stands for “bits per time unit”. If we though of the time unit as monthly (not unreasonable with 31 lags), implementation of this level of tracking would require less than one bit per month of information flow, a very modest requirement. This is possible in

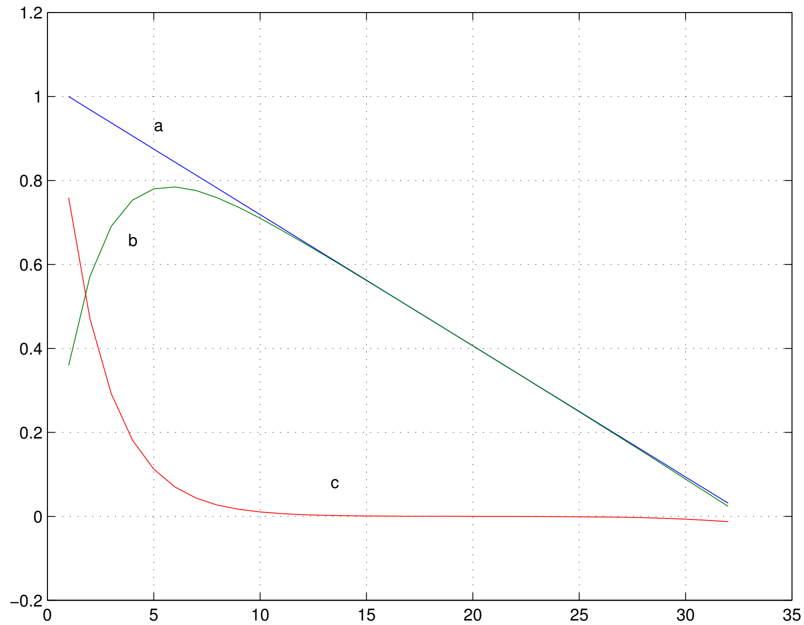


FIGURE 1. $C = .641$ bpt, $R^2 = .856$, linear a

this example because X, the variable being tracked, is modeled as highly serially correlated, so even a crude updating each month can track it fairly well.

If we allow an increased information flow, the tracking quickly becomes almost perfect, as in Figure 2.

If we instead tighten further the information constraint, as in Figure 3. we find the systematic part of Y smoother and more damped, and the noise in Y more serially correlated. Note that the absolute amount of high-frequency noise has gone down between Figures 1 and 3. This is because the capacity constraint relates only to the signal-noise ratio, $|\tilde{b}/\tilde{c}|$. When the information constraint becomes very tight, Y becomes nearly constant.

When the signal has less serial correlation, it has higher information content, so that a level of capacity that sufficed for quite good tracking in the examples we have examined above delivers much less accuracy. For example, if $a(s) = (.6^t - .5 \cdot .8^t) \cdot (1 - t/32)$, $s = 0, \ldots, 31$, then with a capacity of .71, close to that for Figure 1, we obtain Figure 4. Here the unconditional R^2 of Y and X is only .443, in contrast to the .856 achieved with a slightly lower information flow rate in the Figure 1 case. In fact the unconditional R^2 here is lower than that obtained in the Figure 3 case with a much lower information flow rate.

One final example for this section shows that the tendency of information constraints to induce delay is not confined to cases where a is discontinuous at 0. Here

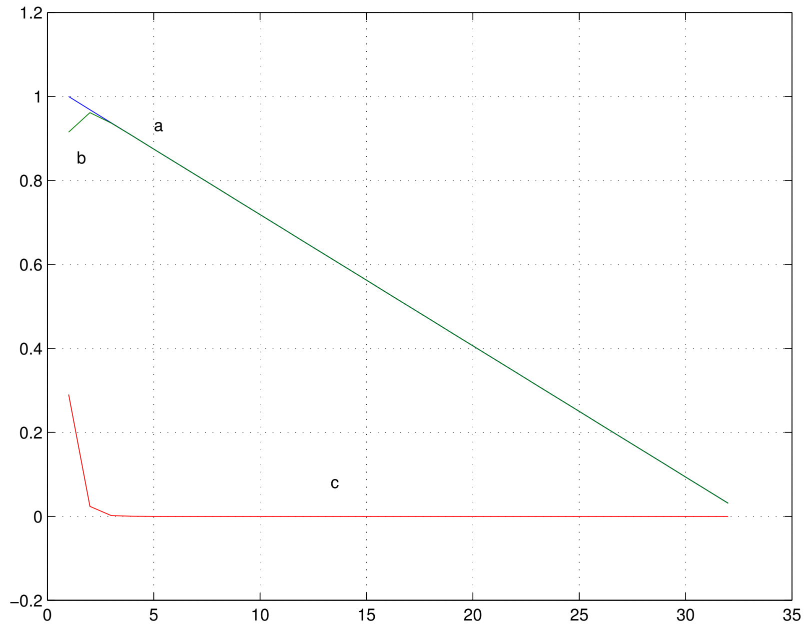


FIGURE 2. $C = 3.56$ bpt, $R^2 = .992$, linear a

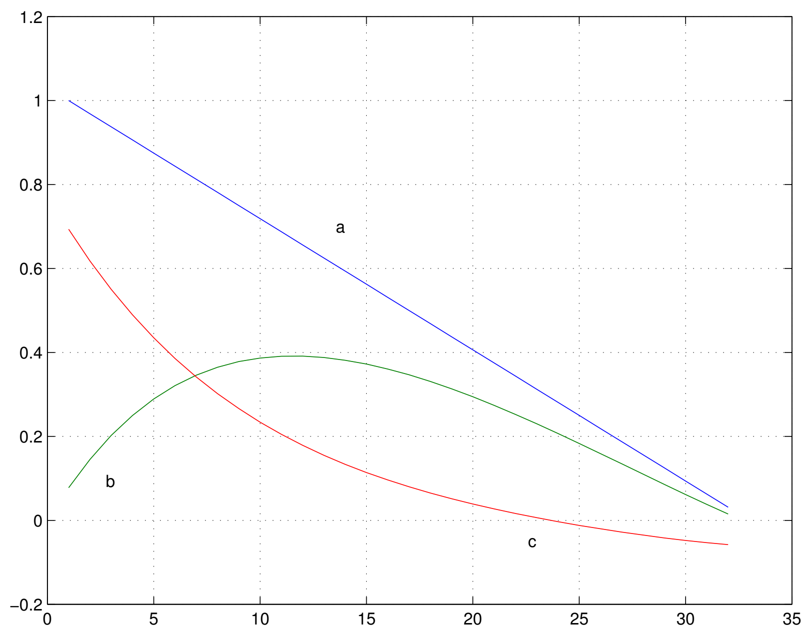


FIGURE 3. $C = .111$ bpt, $R^2 = .577$, linear a

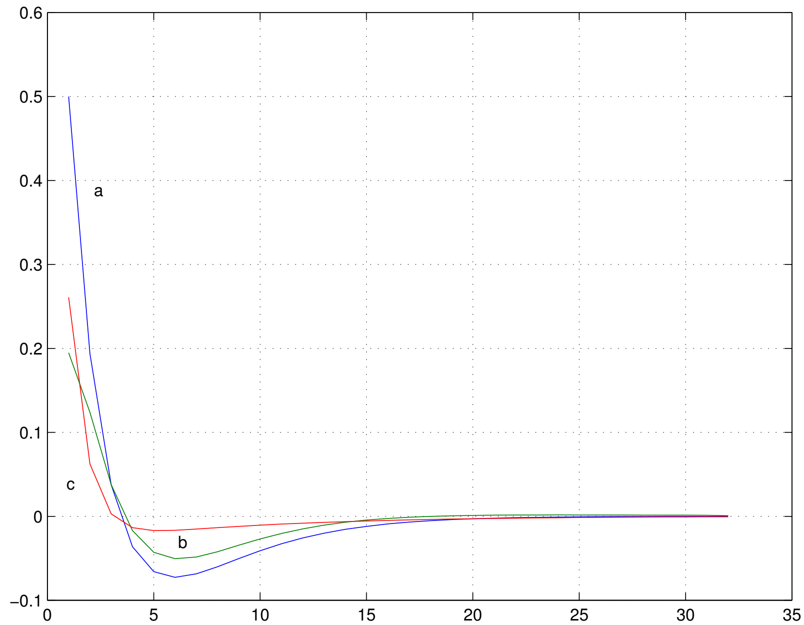


FIGURE 4. $C = .711$ bpt, $R^2 = .443$, rational whipsaw a

we set $a(s) = \sin(\pi(s+1)/32) \cdot (1 - s/32)$, $s = 0, \ldots, 31$ and capacity at .269. We emerge with an unconditional R^2 of .697, and, as can be seen from Figure 5, a distinct delay in the response of Y to X, as well as the expected damping.

From this set of examples we can confirm the idea that solutions to tracking problems with information-processing constraints mimic signal-extraction problems. But the information-processing approach makes the nature of the "noise" endogenous. We don't need to import the physicist's idea of i.i.d. experimental error or query ourselves about intuitively nebulous sources of exogenous noise in our view of economic data. Instead, the nature of the time series being tracked, together with the available information capacity, delivers a model for the noise.

If we take the tracking problems of this section as schematic representations of the way agents react to aggregate market signals, it may seem that the rates of information flow in the examples that show significant amounts of smoothing are implausibly low. A one bpt rate of information flow corresponds to making one yes-no decision per time period in reaction to the information flow. If the time unit is a month, it is clear that ordinary people's information-processing capacity is vastly higher than this. To justify information flow about major macroeconomic aggregate variables at this low rate, we must assume, as seems to be realistic, that most people devote nearly all of their information-processing capacity to types of information other than the time paths of macroeconomic variables. While it does seem realistic to suppose that people

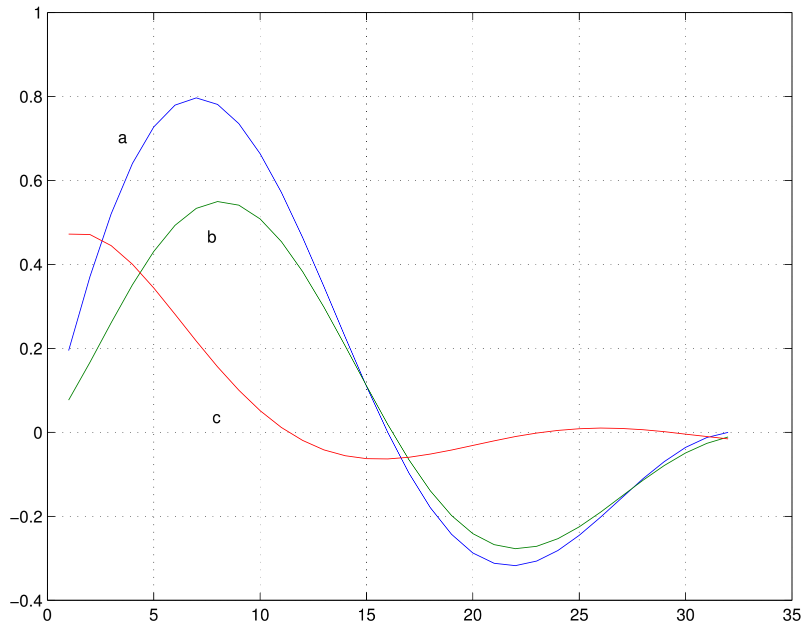


FIGURE 5. $C = .269$, $R^2 = .697$, oscillatory a

ordinarily pay only slight attention to aggregate economic time series, though, there is obviously plenty of room for them to shift more attention to these series' behavior when it becomes important to do so. A theory that treated capacity devoted to connecting aggregate data to economic behavior as exogenously fixed would be easier to produce, but it seems likely that treating this "economic capacity" as endogenous will be necessary to arrive at a realistic theory.

It would be interesting to consider a collection of tracking problems with a single capacity constraint. The amount of capacity allocated to each problem will then depend on its weight in the objective function and on the returns to capacity. Difficult tracking problems may get less capacity if they are difficult because of low marginal returns to additional capacity. With the same objective function and the same capacity limit, capacity allocations will change as the serial correlation and variance scales of the variables to be tracked change.

We can go some way toward these objectives by using the recursive formulation of the next section.

V. Linear-quadratic control with a capacity constraint and multivariate state

This section is technically dense. Readers may wish to read first (or only) the subsequent discussion of examples that apply this section's methods to economic models. The single-state version of the permanent income problem discussed at the beginning of the next section brings out some of the main ideas with much simpler mathematics.

We consider a standard linear-quadratic control problem with imperfectly observed state, with the requirement that the observations on the state involve information transfer at a rate less than some given rate C. It is thus part of the optimization problem to choose the character of the observation error.

The problem is

$$\max_{C,S} E\left[\sum_{t=0}^{\infty} \beta^t(-S_t'AS_t - C_t'BC_t)\right] \tag{15}$$

subject to

$$S_t = G_0 + G_1 S_{t-1} + G_2 C_{t-1} + \varepsilon_t \tag{16}$$

$$S_t \mid \mathcal{I}_t \sim \mathcal{D}_t \tag{17}$$

$$S_{t-1} \mid \mathcal{I}_{t-1} \sim \mathcal{D}_{t-1} \tag{18}$$

and to the requirement that the rate of information flow at t implicit in the specification of $\mathcal{D}_{t-1}$ and $\mathcal{D}_t$ be less than C. Here S_t is the state at t, C_t is the control at t, and $\mathcal{I}_t$ is the information available at t. We are maintaining a convention (and an implicit assumption) that variables dated t are "known" at t, so that C_t and S_t are measurable with respect to the $\mathcal{I}_t$ information set.

Once the current period information has been received, the problem becomes a standard LQ control problem with measurement error, and we can apply certainty-equivalence. That is, if the (linear) decision rule that solves the deterministic version of the problem (that with $\mathrm{Var}(\varepsilon) = 0$) is

$$C_t = H_0 + H_1 S_t\,, \tag{19}$$

then the optimal decision rule for the problem with measurement error is

$$C_t = H_0 + H_1 \hat{S}_t\,, \tag{20}$$

where $\hat{S}_t = E[S_t \mid \mathcal{I}_t]$.

Let us now assume that both $\mathcal{D}_t$ and $\mathcal{D}_{t-1}$ are normal. Later we will return to consider to what extent we can deduce these properties of the signal-processing error from the structure of the problem. With $\mathcal{D}_t = N(\hat{S}_t, \Sigma_t)$ for each t, we will examine the situation where Σ_t is constant, verifying along the way that such a limiting case exists. If we let $\Omega = \mathrm{Var}(\varepsilon_t)$, then we can see from (16) that

$$\mathrm{Var}(S_t \mid \mathcal{I}_{t-1}) = \Psi = G_1'\Sigma G_1 + \Omega\,. \tag{21}$$

The information flow constraint can then be expressed as

$$-\log|\Sigma| + \log|\Psi| < 2\kappa\,, \tag{22}$$

where κ is channel capacity. In the case of a one-dimensional state, this constraint completes the characterization of the problem. When the state is multidimensional, however, (22) leaves open the possibility that $\Psi - \Sigma$ might not be positive semi-definite. This in effect implies that information flow can be kept low by "forgetting" some existing information, trading this off for increased precision about other dimensions of the state vector. Since transmission of information cannot produce this result, we need to add as a separate constraint

$$\Psi \succeq \Sigma\,, \tag{23}$$

where "$\succeq$" is interpreted as implying that the difference of left and right-hand sides is positive semi-definite.

We use the notation

$$V(S_t) = -S_t'\theta_2 S_t + \theta_1 S_t + \theta_0 \tag{24}$$

to denote the value function for the problem without capacity constraints and define

$$\hat{V}(\hat{S}_t) = E\Big[\sum_{s=0}^{\infty} \beta^t(-S_t'AS_t - C_t'BC_t)\;\Big|\;\mathcal{I}_t\Big]\,, \tag{25}$$

where the expectation is formed under the assumption that current and future C's are all being chosen subject to the capacity constraint on information flow.

Of course, since the information capacity constraint can't help in the optimization, we know that $E_tV(S_t) > \hat{V}(\hat{S}_t)$. (Here and henceforth we will use $E_t[\cdot]$ as shorthand for $E[\cdot \mid \mathcal{I}_t]$.) It turns out to be handy to characterize the optimization problem as being that of choosing Σ to minimize $E_tV(S_t) - \hat{V}(\hat{S}_t)$, in other words as that of choosing the structure of our uncertainty about the state so as to bring expected utility from the current date onward as close as possible to the expected value of the unconstrained value function. We begin by writing

$$E_tV(S_t) - \hat{V}(\hat{S}_t) = \\ -\operatorname{tr}\big((A + H_1'BH_1)\Sigma\big) + \beta E_t\left[V(S^*_{t+1}) - V(S_{t+1}) + V(S_{t+1}) - \hat{V}(\hat{S}_{t+1})\right]\,, \tag{26}$$

where $S^*_{t+1} = G_0 + (G_1 + G_2H_1)S_t + \varepsilon_t$ is the value of S_{t+1} that would emerge if C_t were chosen optimally without uncertainty at t about the value of S_t. We use S_{t+1} to refer to the value of the state at $t+1$ when C_t is chosen subject to the capacity constraint, i.e. to satisfy (20). Then we write

$$\tilde{S}_{t+1} = S^*_{t+1} - S_{t+1} = G_2H_1(S_t - \hat{S}_t)\,. \tag{27}$$

Because of the LQ structure of the problem, the left-hand side of (26) will be a constant, determined entirely by variances, not the current estimate of the state. (Again, we'll verify this at the end.) Let this constant be M. Then we can write

$$(1-\beta)M = -\operatorname{tr}\big((A + H_1'BH_1)\Sigma\big) + \beta E_t\left[-\tfrac{1}{2}(\tilde{S}_{t+1}'\theta_2\tilde{S}_{t+1} + 2\tilde{S}_{t+1}'\theta_2 S_{t+1})\right]. \quad (28)$$

Using (27) and (16), we can then write the whole expression in terms of known matrices and Σ:

$$\begin{aligned}(1-\beta)M = \\ -\operatorname{tr}\Big(\big(A + H_1'BH_1 + \tfrac{1}{2}\beta(H_1'G_2'\theta_2G_2H_1 + H_1'G_2'\theta_2G_1 + G_1'\theta_2G_2H_1)\big)\Sigma\Big) \\ = -\operatorname{tr}(W\Sigma)\,. \quad (29)\end{aligned}$$

Our optimization problem then takes the form

$$\max_{\Sigma}\{\operatorname{tr}(W\Sigma)\} \quad (30)$$

subject to

$$-\log|\Sigma| + \log(G_1\Sigma G_1' + \Omega) \le 2\kappa \quad (31)$$

$$\Sigma \preceq G_1\Sigma G_1' + \Omega\,. \quad (32)$$

The information-theoretic constraints (31) and (32) have taken us out of the convenient linear-quadratic realm, but they are in some respects well-behaved. In particular, each defines a convex subset of Σ-space. To see that (31) defines a convex set of Σ's, observe that the second derivative of the left-hand side with respect to $\vec{\Sigma}$ is[7]

$$\Sigma^{-1}\otimes\Sigma^{-1} - (\Sigma + G_1^{-1\prime}\Omega G_1^{-1})^{-1}\otimes(\Sigma + G_1^{-1\prime}\Omega G_1^{-1})^{-1}\,, \quad (33)$$

where $\otimes$ is the Kronecker product. Obviously $\Sigma^{-1} \succeq (\Sigma + G_1^{-1\prime}\Omega G_1^{-1})^{-1}$, and the fact that for any square matrices X and Y, $X \succeq Y \Rightarrow X\otimes X \succeq Y\otimes Y$ then delivers the desired result. And that (32) defines a convex set of Σ's follows from its linearity in Σ and from the fact that $A \succeq 0$ and $B \succeq 0$ imply $A + B \succeq 0$.

Since our problem is therefore one with a linear objective function and convex constraint sets, it will have a uniquely defined maximized objective and we can characterize its solutions as maximizing the Lagrangian for certain values of the Lagrange multipliers on the constraints. One approach to solving this problem that I have found to work is to reparameterize in terms of the Choleski factor Φ of $\Lambda^* = \Psi - \Sigma$, where $\Phi'\Phi = \Lambda^*$ and Φ is upper triangular. This imposes the positive definiteness of $\Psi - \Sigma$, as required by (32), automatically. One can then maximize the Lagrangian

[7] We use the notation $\vec{\Sigma}$ to denote Σ stacked up, column by column, int a single vector. In deriving (33) and elsewhere we are using the identities $\overrightarrow{ABC} = (C'\otimes A)\vec{B}$ and $(d/d\Sigma)\log|\Sigma| = \Sigma^{-1}$.

with λ fixed. Note that the mapping from Λ^* to Σ, which must be evaluated in order to evaluate the objective function, is determined from the solution to

$$G_1 \Sigma G_1' + \Omega = \Sigma + \Lambda^* . \tag{34}$$

This is in the form of a standard discrete Lyapunov equation that can be solved,[8] e.g., with Matlab's `dlyap.m` program, or (if the equation is multiplied through by G_1^{-1}) by `lyap.m`.[9]

Once we have found the optimal Σ, we then find the corresponding $\mathrm{Var}(\xi_t) = \Lambda$ from the usual formula for the variance of a Gaussian distribution updated based on a linear observation:

$$\Sigma = \Psi - \Psi(\Psi + \Lambda)^{-1}\Psi . \tag{35}$$

Equation (35) can be solved for Λ^{-1}, yielding

$$\Lambda^{-1} = \Sigma^{-1} - \Psi^{-1} . \tag{36}$$

Note that Λ^{-1}, like Λ^*, is likely to be near singular. When this occurs, it means that it is efficient to observe only a certain linear combination (or combinations) of the state variables rather than the whole state vector. Measurement error on the other linear combinations is effectively infinite.

With the problem solved, we can form a dynamic system that characterizes the evolution of the vector $[S_t, \hat{S}_t, C_t]$ as it is driven by the underlying structural shocks

[8] If G_1 has a unit eigenvalue or pairs of eigenvalues that are reciprocals of each other, this equation can't be solved for Σ. This means for example that in the permanent income examples below, the algorithm fails if the exogenous income process has a unit root. This does not mean the problem is unsolvable, or even especially difficult in principle. But further cleverness will be required to produce a parameterization that works automatically in these cases. Also, some values for the Λ^* matrix may imply that there is no corresponding $\Sigma \succeq 0$. Numerical routines that search over Φ of course must take this into account, but this will not create important difficulties so long as $|\Sigma| > 0$ at the solution. Also, finding a feasible starting value for Λ^* may be a problem. If Ω is nonsingular, the solution to $\Lambda^* = G_1 \Sigma G_1' + \Omega - \Sigma$ is always p.s.d. if Σ is taken small enough.

[9] These routines are part of an extra-cost Matlab toolbox. A slower but slightly more general program called `lyapcs.m` is available on my web site. `lyap.m` quits without producing output under certain conditions in which there is a solution, but it is not unique. `lyapcs.m` attempts to provide a solution in these conditions. Because G_1 generally has both stable and unstable eigenvalues, doubling algorithms do not avoid the need for an eigenvalue decomposition of G_1 in this problem and thus lose their main advantage over the Schur-decomposition-based methods in the programs cited here.

ε_t and the information-processing-induced measurement error ξ_t. The equations are

$$S_t = G_0 + G_1 S_{t-1} + G_2 C_{t-1} + \varepsilon_t \tag{16}$$

$$\hat{S}_t = (I - \Sigma\Lambda^{-1})(G_1 + G_2 H_1)\hat{S}_{t-1} + \Sigma\Lambda^{-1}(S_t + \xi_t) \tag{37}$$

$$C_t = H_0 + H_1 \hat{S}_t\,. \tag{20}$$

This system can then of course be used to generate impulse responses in the usual way.

To justify the assumptions we have made along the way, it must turn out that the system formed by (16), (37) and (20) is consistent with stationarity of the $[S_t, \hat{S}_t, C_t]$ process. With stationary disturbance terms, we need, therefore, that the matrix

$$\begin{bmatrix} I & 0 & 0 \\ -\Sigma\Lambda^{-1} & I & 0 \\ 0 & -H_1 & I \end{bmatrix}^{-1} \begin{bmatrix} G_1 & 0 & G_2 \\ 0 & (I - \Sigma\Lambda^{-1})(G_1 + G_2 H_1) & 0 \\ 0 & 0 & 0 \end{bmatrix} \tag{38}$$

has all its roots less than one in absolute value.

It can be shown that the eigenvalues of this matrix are those of the two smaller matrices $G_3 = G_1 + G_2 H_1$ and $\Sigma\Psi^{-1}G_1$. The first of these, G_3, is the matrix characterizing the dynamics of the state in the model with no information capacity constraint. It will therefore have all its eigenvalues less than one in absolute value whenever the problem with no capacity constraint has a stable solution. The second of the two matrices seems likely also always to have all its values less than one in absolute value, whenever we can solve for Ψ and Σ, and I have yet to encounter an example where it has eigenvalues larger than one, but proving this seems to be challenging.

If κ is set too low, it is possible that the intersection of the sets of Σ's defined by (22) and (23), with Ψ defined by (21), is empty, in which case no stationary solution satisfying the capacity constraint is possible. This makes intuitive sense. In most rational expectations problems G_1 has at least some unstable roots, so that if C were never changed, S would blow up exponentially. Specification of too small a κ may in effect prevent C from moving enough, or accurately enough, to prevent this explosive behavior. But there is always a solution if κ is large enough.

VI. A Rational Inattention Version of Permanent Income Theory

We consider a standard linear-quadratic (LQ) permanent income example, in which an agent maximizes

$$E\left[\sum_{t=0}^{\infty} \beta^t (C_t - .5C_t^2)\right] \tag{39}$$

subject to

$$W_t = R \cdot (W_{t-1} - C_{t-1}) + Y_t \,, \tag{40}$$

where as usual we interpret W as wealth, C as consumption, Y as labor or endowment income, and R as the gross interest rate. We will suppose that the agent devotes limited capacity to observing Y and W, so that C_t is always being chosen as if Y and W up to the current date are known only up to some pattern of random error. We will use the idea of a finite Shannon capacity for the agent to derive the form of the pattern of random error and the effects of it on the way C and W respond to Y. This problem fits precisely into the framework of the general LQ control problem with capacity constraint that we considered in the previous section.

To begin with the simplest possible case, suppose Y_t is i.i.d. with mean $\bar{Y}$ and $\beta R = 1$. Then W_t by itself can serve as state variable. This model fits in to the general framework of the previous section, but it is much simpler to solve because of the one-dimensional state. Aspects of the problem that require numerical optimization in the multivariate case here can be solved analytically.

The optimal decision rule for the deterministic problem is simply

$$C_t = (1-\beta)W_t + \beta\bar{Y} \,. \tag{41}$$

Optimal policy with finite capacity will therefore have the form

$$C_t = (1-\beta)\hat{W}_t + \beta\bar{Y} \,. \tag{42}$$

To fit this problem to the notation of the previous section, we would make the notational correspondences $S_t \sim W_t$, $C_t \sim C_t - 1$[10], $G_0 \sim \bar{Y} + R$, $G1 \sim R$, and $G2 \sim -R$.

Rather than simply invoke the more general framework, we proceed here to work out this example analytically, as this may aid understanding. With a quadratic loss function, minimization of losses subject to an information-flow constraint implies that the conditional distribution of W_t given information at t will be $N(\hat{W}_t, \sigma_t^2)$.[11] Then the budget constraint (40) implies that

$$E_t[W_{t+1}] = \hat{W}_t \tag{43}$$

$$\mathrm{Var}_t[W_{t+1}] = R^2\sigma_t^2 + \omega^2 \,, \tag{44}$$

where ω^2 is the variance of Y_t. To keep things linear, we assume now that the distribution of Y_t is Gaussian. With a finite capacity κ per time unit, then, the

[10]The general model has no linear term in the objective function, so we have to recenter C at its satiation level of 1 in order to match the general setup's notation. This entails adjusting the constant term G_0 in the budget constraint also.

[11]This follows because the entropy of a pdf with a given variance σ_t^2 is maximized when the pdf is Gaussian.

optimizing agent will choose a signal that reduces the conditional standard deviation of W_{t+1} by

$$\kappa = \tfrac{1}{2}\left(\log(R^2\sigma_t^2 + \omega^2) - \log(\sigma_{t+1}^2)\right) . \tag{45}$$

This equation has a steady state at

$$\bar{\sigma}^2 = \frac{\omega^2}{e^{2\kappa} - R^2} . \tag{46}$$

In steady state the agent behaves as if observing a noisy measurement $W_{t+1}^* = W_{t+1} + \xi_{t+1}$, with ξ_{t+1} independent of all previous random disturbances to the system and with

$$\mathrm{Var}(\xi_{t+1}) = \frac{\bar{\sigma}^2(R^2\bar{\sigma}^2 + \omega^2)}{(R^2 - 1)\bar{\sigma}^2 + \omega^2} . \tag{47}$$

We compute (47) by setting the conditional variance of W_{t+1} given W_{t+1}^* and information at t to be $\bar{\sigma}^2$.

In some respects this model reproduces results of standard permanent income theory for this special case. Consumption and estimated wealth are random walks, in the sense that $E[C_{t+s} \mid \{C_v, v \le t\}] = C_t$ and $E[\hat{W}_{t+s} \mid \{\hat{W}_v, v \le t\}] = \hat{W}_t$. However consumption is not a martingale, meaning that it is not true that $E_t C_{t+s} = C_t$, where E_t is expectation conditional on *all* information available at t. That is, variables other than C's own past, and wealth and income variables in particular, may help predict future values of C.

To get a full solution for the system in terms of the exogenous process Y and the information-processing error ξ, we can assemble the budget constraint (40), the decision rule (42), and the regression formula describing how $\hat{W}$ is revised based on noisy observation:

$$\hat{W}_t = \hat{W}_{t-1} + \theta(W_t + \xi_t - \hat{W}_{t-1}) = (1-\theta)\hat{W}_{t-1} + \theta W_t + \theta\xi_t . \tag{48}$$

These form the system of difference equations

$$\begin{bmatrix} 1 & 0 & 0 \\ -\theta & 1 & 0 \\ 0 & -1+\beta & 1 \end{bmatrix} \begin{bmatrix} W_t \\ \hat{W}_t \\ C_t \end{bmatrix} = \begin{bmatrix} R & 0 & -R \\ 0 & 1-\theta & 0 \\ 0 & 0 & 0 \end{bmatrix} \begin{bmatrix} W_{t-1} \\ \hat{W}_{t-1} \\ C_{t-1} \end{bmatrix} + \begin{bmatrix} 1 & 0 \\ 0 & 1 \\ 0 & 0 \end{bmatrix} \begin{bmatrix} Y_t - \bar{Y} \\ \xi_t \end{bmatrix} . \tag{49}$$

The classic permanent income theory literature characterizes the distributed lag relationship between C and Y, emphasizing that C should respond only slightly to temporary changes in Y, which are the only kind that occur in this model with no serial correlation. In fact, in this model without information constraints

$$C_t = (1-\beta)\left(W_0 + \sum_{s=1}^{t}(Y_s - \bar{Y})\right) + \beta\bar{Y} . \tag{50}$$

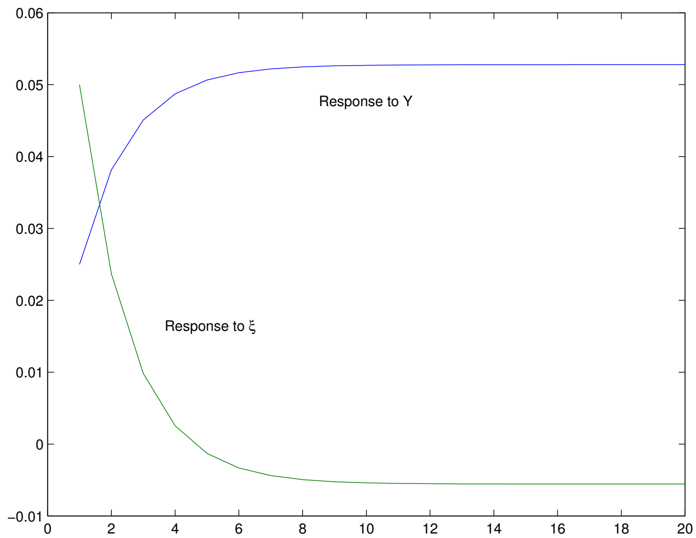


FIGURE 6. Responses of C in the Permanent Income Model with Serially Uncorrelated Y

This implies of course that the impulse response of C to Y shocks is flat, with an immediate upward jump that then persists indefinitely. When we solve the system (49), we get instead a response to Y that is "rounded off", with a steady rise to a flat asymptote that is above the response for the case without capacity constraint. The delay is of course because of the need to separate signal from noise, and the fact that the asymptote is above that for the standard case reflects the fact that an income shock, initially undetected, accumulates interest for a while before consumption responds fully. The information-processing error is much less serially correlated than the part of C that responds to Y. The two impulse responses — to $Y_t - \bar{Y}$ and to ξ_t — are shown in Figure 6. The figure assumes a discount factor of .95 and a regression coefficient θ of $\hat{W}_t$ on the observed $W_t + \xi_t$ of .5. This in turn implies that channel capacity is $-\frac{1}{2}\log_2(1-\theta^2) = .21$.

The noticeable smoothing and delay of response to income shock in this example seems to rest on assuming a very low bit rate of information transmission. While this rate is clearly well below the total information processing capacity of human beings, it may not be unreasonable as the rate assigned to processing economic data, particularly aggregate economic data, when there are many competing demands on capacity.

For example, we can consider what happens when the income process contains several components. We will suppose that it has two components with high innovation variance and modest serial correlation, and another that has much lower innovation variance and stronger serial correlation. We might think of the latter as an "aggregate" component of the income of an individual whose personal fortunes are dependent, month to month, much more on local and idiosyncratic uncertainties than on aggregate economic fluctuations.

The setup here will be exactly as in the previous example, except for the specification of the exogenous Y process. Here we assume

$$Y_t = \bar{Y} + X_t + Z_t + \varepsilon_{Yt} \tag{51}$$

$$X_t = .97X_{t-1} + \varepsilon_{Xt} \tag{52}$$

$$Z_t = .9Z_{t-1} + \varepsilon_{Zt}\ , \tag{53}$$

with

$$\operatorname{Var}\begin{bmatrix}\varepsilon_{Yt}\\ \varepsilon_{Xt}\\ \varepsilon_{Zt}\end{bmatrix} = \begin{bmatrix}.01 & 0 & 0\\ 0 & .0001 & 0\\ 0 & 0 & .003\end{bmatrix}. \tag{54}$$

So the X component of income is to be thought of as the stable, slow-moving "aggregate". This model again falls in to our general framework, but this time cannot be solved by hand. Figure 7 shows the responses to the three true component income shocks and the three error shocks, with channel capacity .72 bpt, four times that in Figure 6. Each of the responses to true components is accompanied by a horizontal line showing the level of the flat optimal response in the absence of capacity constraints. The response to Z, the large-variance serially correlated component, is similar in shape to the response to the single shock in the single-state example. The response to the serially uncorrelated component is essentially undamped, while the response to the low-shock-variance, near-unit-root component is extremely damped, with the response rising steadily throughout the 20 periods plotted.

If we triple channel capacity, to about 2.1 bpt, we get the responses shown in Figure 8. Here the response to the X component shock has almost the same form as the response to the single i.i.d. shock in the one-state example, but total channel capacity is ten times greater. In these multi-state examples the optimal use of channel capacity is to track closely the more unpredictable components of labor income, allocating proportionately much more observation error to the slower-moving "aggregate" component. Of course in reality people have many more than three economic time series to monitor and much more to keep track of than just the economic side of their lives. Thus it is not unreasonable to model them as reacting to macroeconomic data as if it reached them through a low-capacity channel.

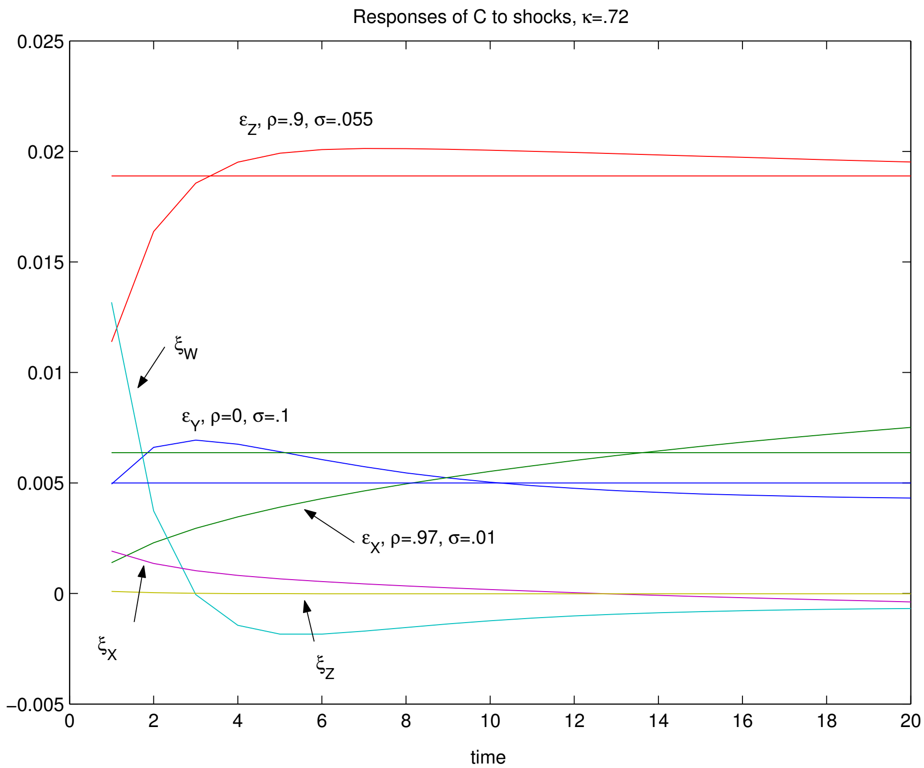


FIGURE 7

VII. IMPLICATIONS FOR MACROECONOMIC TIME SERIES BEHAVIOR

While the examples worked out above are far from constituting a general equilibrium theory based on these ideas, they suggest likely qualitative behavior of such a full equilibrium model. This way of thinking can provide a basis for critical thinking about the results of other approaches before it has been developed to the point of providing a fully worked out alternative.

As I noted in a previous paper (1998), it is apparent from nearly any VAR study and from the bivariate investigations of Keating (1997) that most cross-variable relationships among macroeconomic time series are smooth and delayed, as would be predicted by an information-constraint approach. It is possible (as is also shown in the 1998 paper) to reproduce this behavior with conventional DSGE models by introducing adjustment cost mechanisms pervasively, for both prices and quantities. The required adjustment costs are large, however, and the dynamics of the model starts to depend mainly on these mechanisms, which are hard to interpret in terms of microeconomic common sense.

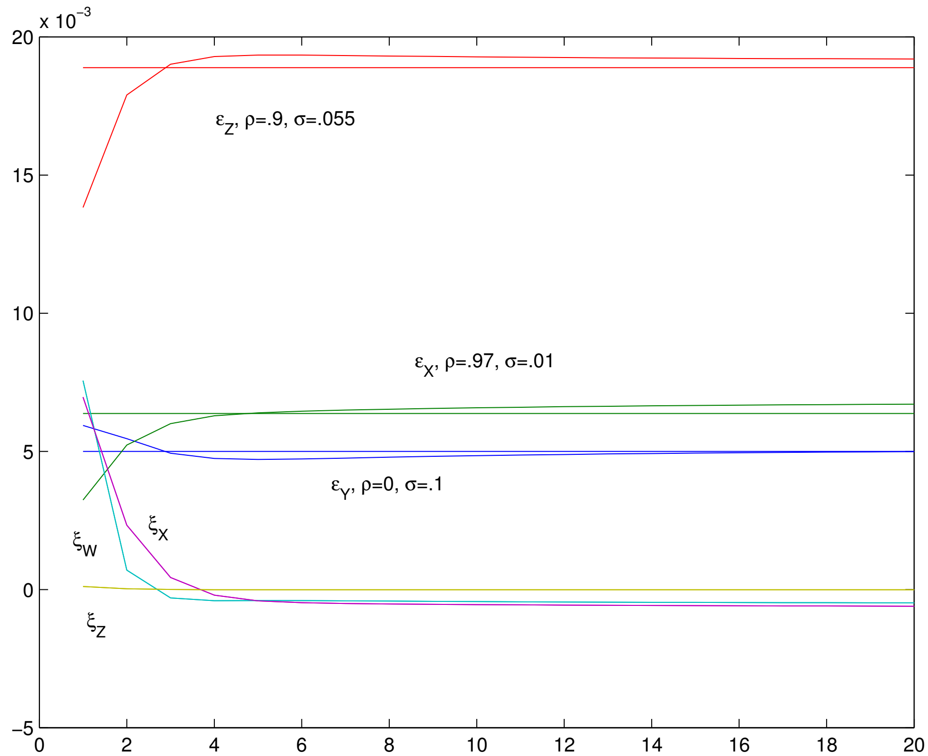


FIGURE 8

Furthermore, if one looks at the diagonal of the matrices of impulse response graphs that emerge from VAR studies, one finds impulse responses that are strongly discontinuous at zero.[12] The adjustment cost models of macroeconomic theory generally imply that variables subject to adjustment costs should respond smoothly to every source of disturbance. To explain the quick estimated responses to own shocks requires introducing disturbances to the adjustment mechanism itself. While it is possible to build a DSGE model containing such disturbances (as shown in the 1998 paper), the distance from microeconomic intuition in the resulting construction is uncomfortably great.

As we have seen in our examples above, information-capacity limits can account simultaneously for smooth response to other variables, real or nominal, and for an idiosyncratically random component of variation, arising from the same source as the smoothness in the response to other variables.

[12]Matrices of impulse response graphs of various sizes can be found, e.g., in Leeper, Sims, and Zha (1996).

The theory does suggest, though, that the randomness in an individual's response to market signals should be truly idiosyncratic, arising from his own internal information-processing constraint. It might be thought, then, that it should vanish, or at least shrink drastically, when aggregated across individuals, so that the responses to own-shocks in VAR's could not come from this source. Recall, though, how the idiosyncratic information-processing randomness arises. It arises from coding inaccuracy, the need to approximate fine-grained information with cruder approximations. People share a need to code macroeconomic data efficiently, and they pay for this service. To a considerable extent, people's needs for coding are similar, so they rely on common sources of coded information. The result is that a considerable part of the erratic response arising from information capacity constraints is common across individuals.

To make this point concrete, consider one of the most pervasive coding services, the daily newspaper, and how it presents macroeconomic data. Many newspapers report the Federal Funds Rate to 3 significant figures every day, at a predictable location in the back of the business section. The vast majority of newspaper readers do not look at this number every day, and of those that do look at the page containing the number, the vast majority make no adjustment in their behavior in reaction to the number. On the other hand, if the New York Times ran as a three-column, front page headline "FED UNEXPECTEDLY RAISES FEDERAL FUNDS RATE 1.5%", many readers of the newspaper would be likely to act on the news. The coding of the time series behavior of the Federal Funds rate into different type sizes at different locations in the newspaper according to its importance is part of the overall information-processing service that a newspaper performs for its readers and that readers (and advertisers) pay for. But, just as with the coding of a Gaussian random variable into a finite set of 0-1 switches introduces a coding error, the newspaper's information processing can influence the erratic component of behavioral response to data. If everyone were tracking and reacting to the Federal Funds rate hour by hour, it would not matter whether the newspaper put it on page one in one inch type, on the front page below the fold, on the first business page, or simply in the usual daily table with no mention in a text story. But in fact the treatment that newspapers (and TV) give this news affects the way people react to it, creating a common component to the idiosyncratic error generated by information-processing. Newspapers are far from the only example of such a phenomenon. Information spreads among people through conversation and imitation, for example, and these channels are themselves subject to coding error that is common across people.

Of course not all of the stochastic component of behavior induced by information-processing is common, and this does imply limitations on the theory as applied to aggregate data. The tight relation between the degree of smoothing in the systematic component of behavior and the nature and size of the stochastic component that comes out of the examples we have discussed in sections IV and VI will not translate reliably to aggregate data. In particular, we might expect, because of the effects of averaging across agents, that smoothing effects will be stronger relative to the size of idiosyncratic error components than a "representative agent" theory would suggest.

VIII. Comparison to rational expectations theories

Versions of rational expectations that postulate a common information set for all agents at all times imply quick, error-free reactions of all prices and all kinds of agent behavior to every kind of new information and therefore contrast strongly with the implications of rational inattention theory — and with the data. Versions that postulate differing information sets, e.g. between policy-makers and the public or between workers and firms, if they postulate that the difference is in the form of a pure delay in arrival of information, are equally in conflict with rational inattention theory. Delay alone, without smoothing and idiosyncratic error, has no effect on the rate of information flow.

Rational expectations theory based on signal-extraction, like that in Lucas (1973) is much closer to rational inattention theory. Since filtering a behavioral time series Y_t through a one-sided linear filter does not change its information content, in tracking problems like those in section IV the behavior of rationally inattentive agents will always be as if they faced exogenously given noise of the same form as the endogenous noise derived from information-processing constraints. Since rational inattention implies restrictions on the relation between noise and systematic component, we could in principle test for it vs. more general forms of signal-extraction effects, though the problems with aggregation and "indexation" mentioned above imply that this will be difficult.

More importantly, the three types of theory (information-delay RE, signal-extraction RE, and rational inattention) have different implications for how we extrapolate from observed history in projecting the effects of changes in policy that change the dynamic properties of the economy. Information-delay RE suggests that agents act on optimally formed forecasts of the future. It implies that functions relating behavior to optimally-formed forecasts of the future, as generated from the true aggregated model, should remain stable as the dynamic properties of the economy change. Neither signal-extraction RE nor rational inattention theory shares this prediction. Both of these theories postulate the existence of constraints on agents' behavior that makes them act on forecasts that are worse than those that could be constructed from exact knowledge of all the data in the aggregated model.

Signal-extraction rational expectations takes the nature of the noise as exogenously given. It leads, therefore, to the prediction that scaling up the variance of the signal leads to a higher correlation of the signal with agents' behavior, as Lucas (1973) pointed out. Rational inattention theory predicts that agents will behave as if facing noise whose nature changes systematically as the dynamic properties of the economy change. If a fixed amount of capacity is allocated to monitoring the aggregate price level, for example, the amount of noise will rise with the variability of the price level, so that the accuracy of agents' estimates of the inflation rate will not improve, in terms of R^2, as the variance of inflation increases. On the other hand if, as seems more likely, increased variation in inflation is associated with increased marginal returns to estimating it accurately, capacity may be reallocated from other forms of information-monitoring to allow increased accuracy of inflation-monitoring. In this case, the rational-inattention theory provides an explanation for why economic efficiency might deteriorate in the presence of highly variable inflation. It also provides a qualitative explanation for phenomena like the tendency of inflation-indexation clauses in labor contracts to become more prevalent when inflation is variable, but then to disappear again when inflation stabilizes.[13]

IX. Work ahead

To proceed to general equilibrium models incorporating capacity constraints will require attacking some interesting issues. Most important, how do market mechanisms operate in coordinating behavior of finite-capacity agents? There seems to be no technical barrier to working out models of such markets, but there are important questions about how to formulate them. It seems likely that purely competitive exchange markets relating such agents would make actual sales smoother than they would be without capacity constraints and at the same time might lead to more volatile prices than otherwise. But results may depend on whether we think of agent as setting prices in response to quantities or vice versa. With price-setting sellers, the smoothed response of buyers to price changes due to information-processing constraints creates a source of temporary market power. On the other hand, buyers might seek out sellers whose price time series are easier to monitor. Observations like these may eventually lead to more convincing general equilibrium stories about the origins and consequences of price and wage stickiness than we now have, but there is obviously a long way to go.

The models we have considered postulate a limit on information processing capacity, but no limit on agents' abilities to behave optimally given the constraints on capacity. We have split behavior into two levels, an outside-of-time optimization level,

[13]Find reference.

in which optimal rules are derived, conditional on the limitations of real-time data processing but assuming no limits on computational capacity in solving the optimization problem, and the real-time reaction level itself, in which we recognize limits on computational capacity. While this may be a reasonable approximation, it is obviously subject to criticism — there is not in fact any "phase" of our lives during which we optimize behavior without constraints of time or computational capacity. There is previous work in the game theory literature (Abreu and Rubinstein, 1988) that works with the notion of agents as "finite automata". This approach also splits the people it models into an unboundedly rational optimizing level and a computationally constrained level, but it postulates a very different dividing line between levels.

Of course this is only the tip of the iceberg of ways this theory is still incomplete.

X. Conclusion

It seems presumptuous to have a section titled "Conclusion" in a paper like this that consists mostly of thinly supported speculation. This paper has improved on the even vaguer speculations in Sims (1998) by showing that a capacity constraint can substitute for adjustment costs in a dynamic optimization problem. In several respects the resulting setup seems more realistic than adjustment cost frameworks, and there are interesting differences in its implications. It is probably worthwhile to work on this a little further.

Appendix A. Solution methods

References

Abreu, D., and A. Rubinstein (1988): "The Structure of Nash Equilibrium in Repeated Games with Finite Automata," *Econometrica*, 56(6), 1259–1281.

Bénabou, R., and J. Tirole (2001): "Self-Knowledge and Self-Regulation: An Economic Approach," Discussion paper, Princeton University.

Evans, G. W., and S. Honkapohja (2001): *Learning and Expectations in Macroeconomics*. Princeton University Press, Princeton, NJ.

Giannoni, M. P. (1999): "Does Model Uncertainty Justify Caution? Robust Optimal Monetary Policy in a Forward-Looking Model," discussion paper, Princeton University.

Gray, R. M., and D. L. Neuhoff (2000): "Quantization," in *Information Theory: 50 Years of Discovery*, ed. by S. Verd/'u, pp. 281–339. IEEE Press, Piscataway, NJ, All articles reprinted from *IEEE Transactions on Information Theory* 4, October 1998.

Gul, F., and W. Pesendorfer (2001): “An Economic Theory of Self Control,” *Econometrica*.

Hansen, L. P., and T. J. Sargent (2001): “Robust Control and Model Uncertainty,” *American Economic Review*, 91(2), 60–66.

Keating, J. W. (1997): “Is Sticky Price Adjustment Important for Output Fluctuations?,” Discussion paper, University of Kansas, University of Kansas.

Laibson, D. (1997): “Golden Eggs and Hyperbolic Discounting,” *Quarterly Journal of Economics*, 112, 443–478.

Leeper, E. M., C. A. Sims, and T. Zha (1996): “What Does Monetary Policy Do?,” *Brookings Papers on Economic Activity*, (2).

Lucas, Robert E., J. (1973): “Some International Evidence on Output-Inflation Tradeoffs,” *American Economic Review*, 63(3), 326–334.

Onatski, A., and J. H. Stock (1999): “Robust Monetary Policy Under Model Uncertainty in a Small Model of the U.S. Economy,” manuscript, Harvard University.

Sargent, T. J. (1993): *Bounded Rationality in Economics*. Oxford University Press, Oxford.

Schervish, M. J. (1995): *Theory of Statistics*, Springer Series in Statistics. Springer, New York.

Sims, C. A. (1998): “Stickiness,” *Carnegie-rochester Conference Series On Public Policy*, 49(1), 317–356.

Department of Economics, Princeton University
E-mail address: sims@princeton.edu

Week beginning 6 July 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: China's greatest opportunity and biggest threat.

The Week That Was: On the minds of policy makers.

Focus on New Zealand: Keep calm and focus on the data.

For the week ahead:

Australia: RBA Assistant Governor Hunter speaking.

New Zealand: RBNZ policy decision, Matariki public holiday.

Japan: Household spending, current account balance.

China: CPI, PPI, new lending data.

Euro Area: Retail sales, PPI, Sentix investor confidence.

United States: FOMC minutes, ISM services PMI, existing home sales, initial jobless claims.

Information contained in this report current as at 3 July 2026.

China’s greatest opportunity and biggest threat

Elliot Clarke
Head of International Economics,
Westpac Group

- **The first half of 2026 has highlighted China’s industrial strength. Ahead, China’s greatest opportunity is also its biggest threat – a recovery in the Chinese consumer.**
- **If authorities take the initiative and reset the consumer story, GDP growth at or above 4.5% can be sustained, even as the impetus from trade fades.**
- **Successfully holding Chinese GDP growth around 4.5% through 2028 should allow the Renminbi to sustainably appreciate back to 2022 and 2018’s, then short-lived, highs against the US dollar around USD6.30.**
- **The implications for Australia and our dollar are difficult to discern at this juncture. China continues to expand its sourcing network across Asia, Africa and Latin America. Australia is therefore unlikely to receive a material, sustained dividend from increased commodity volumes.**
- **However, if we lean into Asia’s development, our productivity and income prospects will grow, and our dollar strengthen.**

The first half of 2026 has highlighted China’s industrial strength, the trade surplus widening back to near record highs and investment in high-tech manufacturing and services continuing at pace while authorities’ strategic reserves and pro-active decision making offered robust protection against an extended loss of oil supply. Ahead, China’s greatest opportunity is also its biggest threat – a recovery in the Chinese consumer.

Before we delve into the detail of the consumer outlook, it is important to dig deeper into recent industrial developments and their implications. Having narrowed sharply in March to USD51bn, China’s monthly trade surplus snapped back to USD85bn in April and US105bn in May. The average for the year-to-date is now USD91bn, just inside 2025’s USD99bn and roughly triple 2019’s USD35bn. May’s 19% annual export growth is arguably outsized, but high single-digit gains are possible, if not probable, on a recurring basis. Note that it isn’t just export demand that is buoying the surplus. Chinese production is also increasingly outcompeting imports when it comes to domestic demand, motor vehicles being a prime example. This is also contributing to the widening trade surplus year-on-year.

Total fixed asset investment has disappointed of late, year-to-date growth contracting 4.1% in May. While a loss of momentum in utilities and transport and mixed results within manufacturing allowed the headline contraction to occur, it was education, health and property that drove the decline.

With respect to trade income generation, it is important to recognise that investment has only plateaued after years of rapid growth. Each year that new investment holds at this level, a wave of additional capacity and efficiency is unleashed. Strengthening relationships with neighbouring nations also hold considerable promise. Indonesia and Vietnam are prime examples, having youthful and driven populations of circa 300mn and 100mn and Governments open to large-scale foreign investment.

The compounding income returns China has received through trade post pandemic should have resulted in a strong and confident household sector with burgeoning wealth. Yet, highlighted by annual nominal retail sales growth of -0.6%yr and entrenched weakness in property, this is not the case. In part this is due to the hyper-competitive behaviour of Chinese firms which has suppressed profitability – an issue authorities are now seeking to redress through their anti-involution initiatives. But the primary cause of consumer hardship is instead the disconnect that has emerged between aggregate household income and the growth of Chinese industry. If consumers are to find their feet, the benefits of trade must pass through.

“the primary cause of consumer hardship is instead the disconnect that has emerged between aggregate household income and the growth of Chinese industry. "

We expect this to occur but as a multi-stage, likely multi-year, structural process beginning with pro-active stimulus later this year. Initial steps are likely to focus on additional support for the housing sector and renewed subsidies for discretionary consumption. These steps are critical not only to incentivise current demand but also to promote employment in related sectors. Hiring by high-tech manufacturing and service firms is, in contrast, unlikely to accelerate given these sectors’ long-standing preferences for capital over labour as well as the efficiency benefits of automation and AI. To receive direct benefits from China’s industrial development, the average household will arguably need to wait until the equity valuations of these titans of industry reflect their future promise. Households will also need to have the confidence to put their wealth ‘at risk’. Authorities could accelerate the development of this linkage via incentives to directly invest in financial securities and/or by building trust in wealth and retirement solutions, but we suspect this will not be an immediate priority.

If authorities take the initiative in coming months and reset the consumer story, GDP growth can be sustained at or above 4.5%, even as the impetus from trade fades. But, if the Government only guards against the downside, growth is likely to slow to 4.0% and become increasingly fragile.

With respect to currency markets, success with the consumer through 2028 should be enough for the Renminbi to sustainably appreciate back to 2022 and 2018's, then short-lived, highs against the US dollar around USD6.30. Breaking through that level is entirely possible, albeit more likely outside our current forecast window once the Renminbi's growing share of global trade and financial flows are more widely accepted. For China's competitiveness and the long-term trajectory of the currency, it is important to emphasise that the nation's economic and financial development are not occurring in a vacuum but rather in concert with the rest of Asia. On a trade-weighted basis, the anticipated currency gains will be limited and most likely offset by continued productivity wins.

The implications for Australia and our dollar are difficult to discern at this juncture. China continues to expand not only its production chain but also its sourcing network across Asia, Africa and Latin America. As such, while commodity prices should remain supportive, Australia is unlikely to receive a material, lasting dividend from increased commodity export volumes. Very clearly though, not only in China but across Asia, a broad range of new opportunities are opening up. If, as a nation, we lean into this economic and financial development, our productivity and income prospects will grow, benefitting the dollar. For now at least, the market is likely to take a wait-and-see approach with respect to our prospects, the Australian dollar lagging the performance of the Renminbi and potentially other nations across Asia who are poised to outperform.

Cliff Notes: on the minds of policy makers

Elliot Clarke, Head of International Economics
Ryan Wells, Economist
Illiana Jain, Economist

This week's RBA minutes provided more colour around the Monetary Policy Board's (MPB) June deliberations. Overall, the MPB views the economy as "operating with excess demand and widespread inflationary pressures". On the domestic front, there were "somewhat differing views" among MPB members regarding the extent of current capacity pressures, but they are nonetheless seen as elevated and a risk to the normalisation of inflation towards target. On the Middle East conflict, the MPB welcomed progress towards a resolution but still viewed the balance of risks as firmly skewed to the upside for inflation and the downside for growth. As such, "increasing the cash rate target" will be considered if required.

Last week's speech from Deputy Governor Hauser shed more light on the RBA's thinking on the relationship between inflation and unemployment. The main takeaway is that inflation tends to be more sensitive when the economy is already tight; but equally, that the policy trade-off in such a situation allows more scope to focus on bringing inflation down without a large cost to employment. These judgements underscore the RBA's successive rate hikes earlier in the year and their subsequent decision to pause and assess in June.

The RBA is also closely monitoring trends in the housing market and the implications for wealth and consumption. Cotality's latest home value index fell 0.4% in June, Sydney and Melbourne's correction deepening as price growth slowed from a higher base across the smaller capitals. Together with signs of slowing credit growth, evidence that the RBA's rate hikes and sentiment are weighing on the market is mounting. Westpac is forecasting further house price declines through the remainder of the year, though strong population growth and tight supply will limit their scale.

Before moving offshore, a final note on trade. The goods trade balance surprised materially to the downside in May, flipping from a surplus of $1.4bn to a deficit of $3.0bn, the largest in over a decade. Volatility in gold flows was one of the chief culprits, accentuated by a surprisingly large fall in iron ore exports and a solid lift in car imports (i.e. EVs). Imports of equipment related to the data centre build-out have moderated but are still well above historical norms. Expect continued volatility over the coming year(s).

Over in the US, nonfarm payrolls disappointed in June, with only 57k jobs created and April/May revised down by a combined 74k. The three-month average is now 111k versus 164k in May, though June's result still suggests labour demand is at least keeping pace with supply. Household survey employment is materially weaker, however, declining 507k in June and averaging a loss of 195k jobs per month over the past three. Further, continuing the trend of the past 18 months, the participation rate fell to 61.5% in June; had participation held steady since January 2025, the unemployment rate would now be above 5%, not the reported 4.2%. Taken together, these outcomes imply the labour market is most likely marking time. That said, the downside risks the household survey allude to are worth close attention.

Also consistent with the FOMC becoming less concerned with inflation in coming months was the latest ISM manufacturing report. Most notably, the prices component fell 9.1pts to 73, signalling a turn in upstream price pressures. Together with the decline in oil benchmarks in recent weeks and the available detail of both the CPI and PPI, which have offered little evidence of material secondary inflation effects from the Middle East conflict, this moderation should alleviate concerns amongst the FOMC that a sustained re-acceleration in consumer inflation is a probable risk.

The preliminary release for June Euro Area inflation was also supportive of an increasingly benign inflation outlook, prices falling 0.1% versus a 0.1% expected gain. The improvement was broad based too, annual headline inflation moderating to 2.8%yr from 3.2%yr and core inflation to 2.4%yr from 2.6%yr. Importantly, this was achieved while the labour market remains historically tight.

FOMC Chair Kevin Warsh picked up on this improvement in inflation prospects at the ECB's Sintra Forum on Central Banking, highlighting that inflation expectations and risks "have come down" in recent weeks. Admittedly he is focused on the US but, per the Euro Area data above, the narrative is broadly true for developed economies across the northern hemisphere. The keynote panel at the conference also discussed several other important topics including the need for greater flexibility and timeliness when conducting monetary policy, how AI advances are being factored into decision making and the importance of safeguarding financial stability.

Finally to Asia where the Q2 Tankan was received positively, participants focusing on the increase in large manufacturer sentiment from 17 to 22. Other outcomes were less positive, however. Smaller manufacturers are more cautious, as are service firms. R&D expectations were also revised down, and profitability and labour market indicators came under pressure. Overall, the survey suggests the BoJ needs to keep evolving risks in mind as they continue to normalise policy.

Keep calm and focus on the data

Westpac New Zealand
Economics team

We expect the Reserve Bank of New Zealand (RBNZ) will leave the Official Cash Rate (OCR) unchanged at 2.25% at its 8 July policy meeting, while maintaining a data-dependent tightening bias. The Monetary Policy Committee (MPC) is likely to emphasise that future policy adjustments will depend on evidence of second-round inflation pressures, sustained wage growth, and rising medium- to long-term inflation expectations. In addition, signs that the economic recovery is gaining traction and that the output gap is narrowing will also be important considerations in determining when policy tightening becomes appropriate.

The RBNZ's communications are expected to retain language indicating that OCR increases are likely at upcoming meetings. However, this guidance will increasingly be framed as conditional, rather than indicative of a predetermined path. This shift is important, as it reflects the MPC's intention to re-anchor expectations around the flow of data, particularly after markets became overly focused on the prospect of a July rate hike following the May Monetary Policy Statement (MPS).

While it is notable that three MPC members voted in favour of a rate hike in May, developments over the past six weeks have significantly altered the economic backdrop. In particular, the easing of tensions in the Middle East and the associated sharp decline in oil prices have materially reduced inflation risks. As a result, it is entirely plausible that a formal vote on raising the OCR may not be required at the July meeting.

If a vote does take place, we expect only a small minority to support an immediate increase. It is unlikely that members who favoured holding rates in May will shift towards tightening at this stage. In addition, those who previously supported a hike may instead prefer to wait for the upcoming flow of key economic data before revisiting the case for higher interest rates at the September meeting.

A key objective for the RBNZ's communications at this meeting will be to redirect market attention towards upcoming data releases as the key determinants of future OCR decisions. The MPC is likely to use this opportunity to correct the perception that a July hike was effectively "pre-committed." Instead, the Bank will reaffirm that its forward guidance is conditional and responsive to evolving economic conditions.

Looking further ahead, we expect the RBNZ to continue signalling a path towards eventual policy normalisation, but with a recalibrated timeline. Prior to the war in the Middle East, the MPC's baseline view, as articulated in their February Statement, was for a single OCR increase no earlier than the end of 2026. Given that inflation remains above previous forecasts, the Bank may now indicate that the first increase could occur as early as September. However, this will likely be presented as a possibility rather than a certainty, with a clear emphasis on the need for supporting evidence.

The trajectory of tightening beyond the initial move is also expected to be gradual, particularly if second-round inflation pressures remain contained. And on that front, this week's business confidence survey showed that the number of businesses who are planning on raising prices has been dropping back again as oil prices have eased. This week's consumer confidence survey similarly showed that inflation expectations have dropped back to pre-Iran war levels. Evidence on persistent second round pricing pressures from oil prices now looks very thin indeed.

While consecutive rate increases from September cannot be ruled out, this scenario is unlikely to be presented as the central case. A slower pace of tightening would be more consistent with the gradual recovery in activity and less-worrying inflation outlook. Indeed, if incoming data point to weaker growth or if the detail of the June quarter inflation report (out on 21 July) is softer than expected, the start of the tightening cycle could be pushed back to December.

In terms of financial markets pricing, we anticipate some moderation in expectations for policy tightening over the remainder of 2026. Pricing is likely to converge towards one to two 25 basis point increases by year-end, with further adjustments contingent on the evolving data flow.

Arguments in favour of a July hike

Arguments in favour of an immediate rate hike have centred largely on interpretations of the May MPS as signalling a July move. However, we think that is a misinterpretation of what the RBNZ's projections intended to signal. While the RBNZ's May Statement did indicate that the OCR was expected to rise over the coming months, that was not a precommitment. The projected path for the OCR is always dependent on the evolution of economic conditions. Indeed, the Governor's remarks at the time deliberately emphasised uncertainty, noting that rate increases would depend on factors such as oil prices, the strength of growth, and evidence of persistent inflation pressures. Similarly, comments from Assistant Governor Silk have reinforced the message that all policy options remain on the table heading into the July review.

Other arguments for tightening include the recent depreciation of the New Zealand dollar, driven in part by widening interest rate differentials with other economies. While a weaker currency does add to inflation pressures, its persistence remains uncertain. Moreover, currency depreciation also supports the tradable sector and contributes to a rebalancing of the economy. As such, exchange rate movements alone are unlikely to justify an immediate policy response.

On the growth side, the easing of tensions in the Middle East is expected to provide some support to activity in the second half of 2026. Lower energy prices have improved the terms of trade and have already underpinned modest gains in business and consumer confidence. However, these improvements are unlikely to fully restore the more optimistic growth outlook presented in the February MPS. Survey evidence continues to point to weak momentum, with backward-looking indicators suggesting that the recovery remains in its early stages.

Arguments in favour of no change

In contrast, the case for holding the OCR steady is supported by several factors. Most notably, the sharp decline in oil prices (down around $40 /barrel since May) has significantly altered the inflation outlook. Oil prices are now well below the levels assumed in the RBNZ's May projections, and forecasts for inflation have been revised lower. We now expect CPI inflation will peak at 4% in the June quarter before slowing to 3.5% by the end of this year. That would be well below the 4.1% rate the RBNZ assumed for year-end inflation in its May MPS projections.

Furthermore, with lower oil prices and near-term inflation, the risk of higher fuel costs passing through to a broader uplift in inflation pressures is also lower. That risk was a key concern highlighted by MPC members who voted for a hike in May. Measures of shorter-term inflation expectations have eased as energy prices have declined. Similarly, the labour market remains relatively soft, limiting the risk of wage-driven inflation.

Crucially, a substantial amount of new data will become available between the July and September meetings. This includes the June quarter CPI, business surveys, labour market indicators, and key measures of inflation expectations. With the sharp decline in energy prices significantly reducing the merit of pre-emptive action, we suspect even more hawkish MPC members will now be content to see what this data reveals.

Economic activity also appears to have been subdued in the June quarter, with most indicators pointing to little or no growth. This suggests that the output gap may have widened, reinforcing the case for patience.

Globally, expectations for further interest rate increases have also moderated, with many central banks adopting a more cautious stance. This international backdrop supports a more measured approach by the RBNZ.

Scenarios

The most likely outcome remains a balanced approach that retains a tightening bias while underscoring data dependence. However, more hawkish and dovish possibilities exist including:

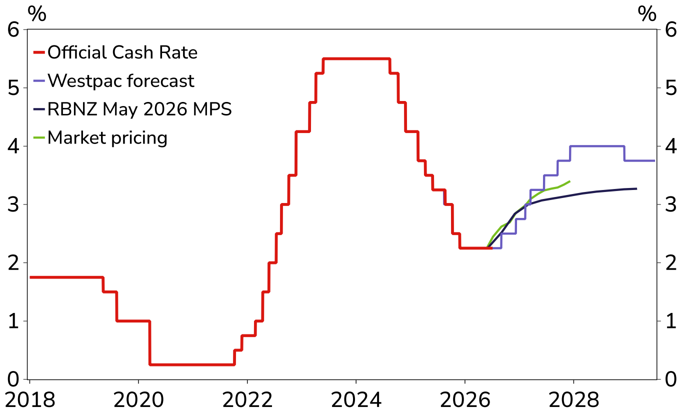
- A hawkish scenario where the OCR is increased and language suggesting the RBNZs views haven't shifted much. In such circumstances, markets would assume at least 3, possibly 4 hikes in aggregate for 2026. We see this as implausible and assign a 10% probability to it.
- A dovish scenario that seriously questions a hike before December. The forward guidance could be omitted noting that inflation risks seem much less prominent relative to the still large level of excess capacity. The press statement could note that evidence of strong core inflation and broadening second-round inflation pressures would need to be seen to justify a lift in the OCR, and that such evidence is lacking at this stage. This is more plausible and we attach a 30% probability to this scenario.

NZ: RBNZ Monetary Policy Review

July 8, Last: 2.25%, Westpac: 2.25%, Market: 2.50%

We expect the RBNZ to leave the OCR at 2.25% at its 8 July Review. Much has changed over the past six weeks, most notably oil prices have fallen much more rapidly than expected. The related moderation in inflation pressure gives the RBNZ more time to wait-and-watch how the economy is tracking, especially with a large amount of important economic data to be released after the July review. Forward guidance should remain consistent with a lift in the OCR this year. However, the message is expected to be more data dependent than came across at the May Statement. While three MPC members had voted for a rate hike in May, we think the "on hold" decision may well be reached by consensus.

RBNZ Official Cash Rate



Source: RBNZ, Macrobond, Westpac Economics

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 06							
Aus	Jun	MI Inflation Gauge	%ann	4.4	–	–	Provides a general gauge of inflation pressures.
	Jun	ANZ–Indeed Job Ads	%mth	1.8	–	–	Indicative of broadly stable labour demand.
NZ	Jun	ANZ Commodity Prices	%mth	0.7	–	–	Favourable supply and demand conditions supporting prices.
Eur	Jul	Sentix Investor Confidence	index	–13.4	–	–	Better news on US-Iran should support a recovery.
	May	PPI	%ann	4.9	–	–	Upstream price pressures mounting across Europe ...
	May	Retail Sales	%mth	–0.4	0.3	–	... and consumers are starting to feel the pinch.
US	Jun	S&P Global Services PMI	index	51.3	51.3	–	Final estimate.
	Jun	ISM Services PMI	index	54.5	54.1	–	Activity burgeoning, employment rising, prices surging.
Tue 07							
Jpn	May	Household Spending	%ann	–0.5	–2.3	–	Still in decline despite solid real wage gains.
US	May	Trade Balance	US$bn	–55.9	–78.7	–	US upped oil exports materially in recent months.
Wed 08							
Aus		RBA Assist' Governor (Economic)	–	–	–	–	Hunter speaking at 11:00am AEST.
NZ		RBNZ Policy Decision	%	2.25	2.50	2.25	RBNZ to hold the OCR but signal data-dependent rate rises.
Jpn	May	Current Account Balance	¥bn	3908	4120	–	Surplus strengthening underneath usual seasonal noise.
US	May	Wholesale Inventories	%mth	0.3	0.3	–	Final estimate.
	Jun	FOMC Minutes	–	–	–	–	Will provide more colour on the Committee's deliberations.
	May	Consumer Credit	$bn	20.7	17.5	–	Credit flowing against a backdrop of income pressures.
Thu 09							
NZ	Jun	Manufacturing PMI	index	49.9	–	–	Business conditions starting to firm as oil prices have dropped.
Chn	Jun	CPI	%ann	1.2	1.1	–	Consumer inflation benign despite pressure from Middle East ...
	Jun	PPI	%ann	3.9	4.1	–	... aiding much-needed discretionary spending capacity.
	Jun	New YTD Loans	CNYbn	9110	11110	–	Credit growth softer than last year as domestic demand ...
	Jun	M2 Money Supply	%ann	8.6	8.4	–	... struggles to gain momentum note data due 9–15 July.
US		Initial Jobless Claims	000s	215	218	–	Still at low levels versus history.
	Jun	Existing Home Sales	%mth	3.2	0.9	–	Elevated mortgage rates keep sales volumes range-bound.
Fri 10							
NZ		Matariki Public Holiday	–	–	–	–	Public holiday, markets closed.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (3 July)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85
90 Day BBSW	4.46	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30	4.05	3.95
3 Year Swap	4.39	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
3 Year Bond	4.41	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
10 Year Bond	4.80	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.90	4.95
10 Year Spread to US (bps)	32	40	40	35	30	25	20	15	10	10	10
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.48	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.25	2.50	2.75	3.25	3.50	3.75	4.00	4.00	4.00	4.00	3.75
90 Day Bill	2.73	2.75	3.15	3.50	3.75	4.00	4.20	4.20	4.20	4.15	3.95
2 Year Swap	3.39	3.55	3.85	4.05	4.20	4.25	4.20	4.20	4.15	4.15	4.10
10 Year Bond	4.45	4.40	4.55	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	–4	–10	5	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (3 July)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6940	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73	0.73	0.73
NZD/USD	0.5697	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	161.19	158	156	154	152	150	148	146	144	142	140
EUR/USD	1.1444	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.21	1.21
GBP/USD	1.3365	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40	1.40
USD/CNY	6.7813	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2147	1.22	1.22	1.19	1.16	1.14	1.12	1.11	1.11	1.11	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	–	–	–	–
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	1.0	1.5	0.7	0.7	0.7	0.8	0.5	–	–	–	–
%yr end	4.1	4.4	4.6	4.7	4.0	3.7	3.0	2.8	3.6	4.7	2.8	2.2
Trimmed Mean CPI %qtr	0.8	1.0	1.1	0.9	0.8	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.8	3.8	3.8	3.7	3.5	3.2	3.0	3.4	3.8	3.0	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.8	–0.1	0.6	0.7	1.0	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.1	5.0	4.9	5.4	5.3	4.9	4.4
CPI %qtr	0.9	1.4	0.7	0.4	0.6	0.2	0.7	0.4	–	–	–	–
Annual change	3.1	4.0	3.7	3.5	3.1	1.9	1.9	2.0	3.1	3.5	2.0	2.0

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author’s knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac’s Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Australia’s Trade in Goods Account, May

#trade #australia

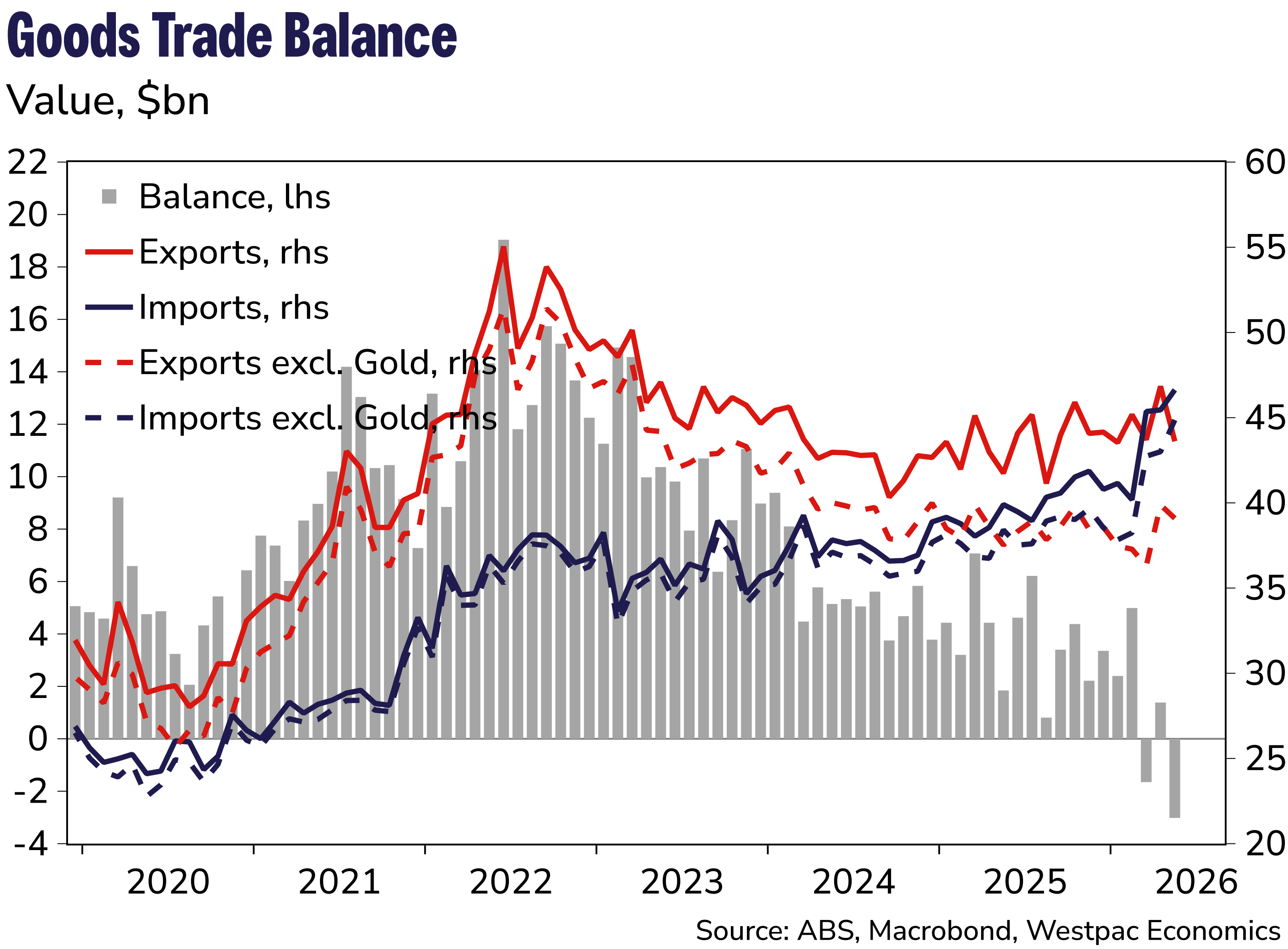
By Mantas Vanagas
Senior Economist, Westpac

15:30 July 02 2026

Share

Trade data remained volatile amid sizeable swings in non-monetary gold flows, volatility in iron ore exports, elevated fuel imports amid global energy supply constraints, and a rapid increase in imports of components for data-centre fit outs. Trade balance: -$3.0bn. Export values: -6.9%mth. Import values: 2.6%mth.

The latest trade data surprised to the downside, with the headline goods trade balance falling back below zero in May, just one month after moving back into surplus. The $3.0bn deficit was the largest since the end of 2015. The detail suggests that several factors on both the export and import sides are pulling the balance in different directions. These include sizeable swings in non-monetary gold flows, volatility in iron ore exports, elevated fuel imports amid global energy supply constraints, and a rapid increase in imports of components for data-centre fit outs. Most of these influences are likely to persist for some time – in some cases into the medium term – suggesting that trade data are likely to remain volatile.



Exports

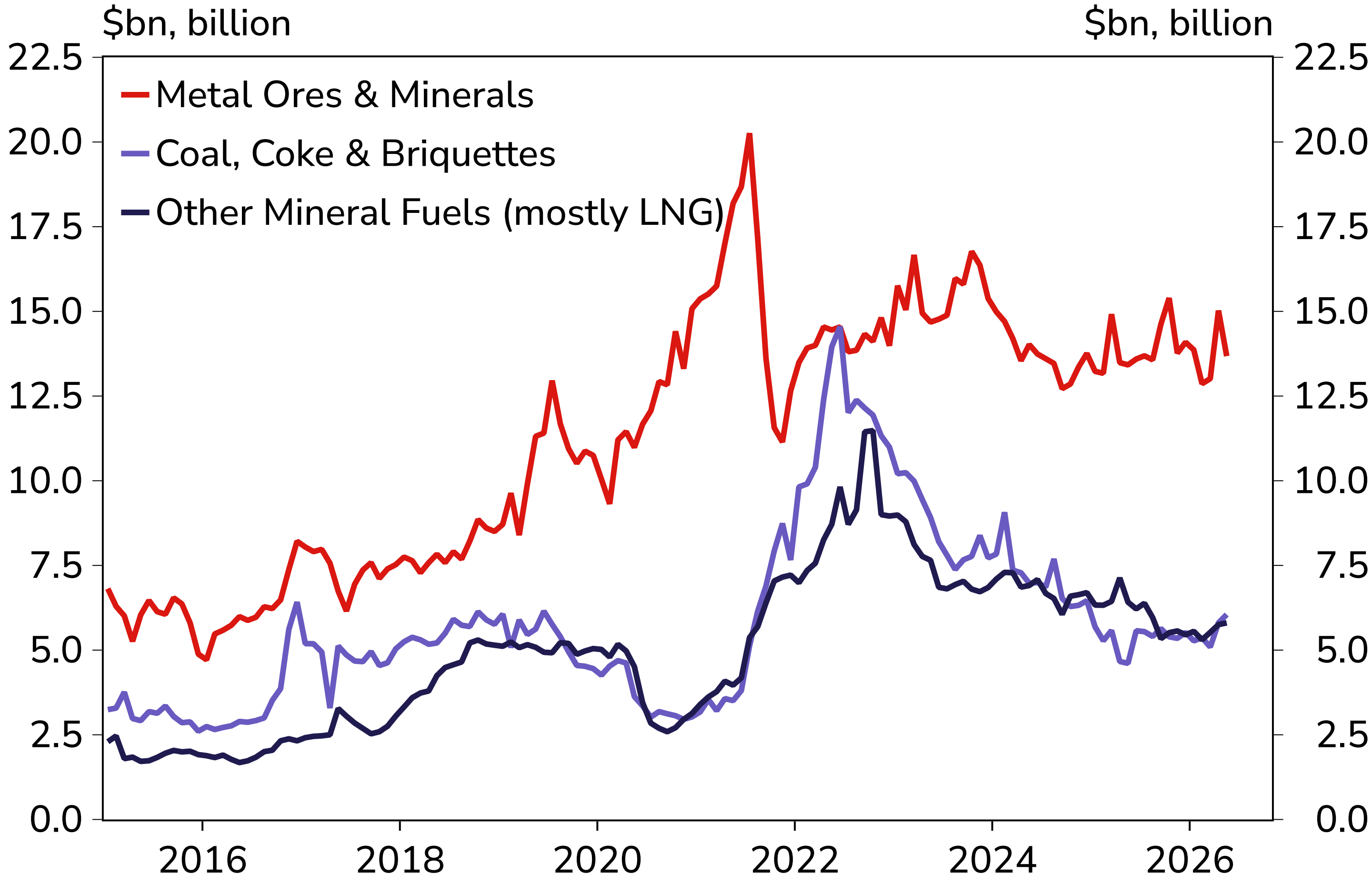
Export earnings fell 6.9%mth in May, one of the weakest results in recent months. This followed a 7.2%mth increase in April and taken together over these two months exports remained 2.5% above their March quarter levels.

- The monthly decline was largely driven by non-monetary gold, which fell 35%mth and accounted for around three-quarters the total weakening in exports. Gold prices have been declining from their peak in early March, and the trend tiled further down in June, signalling a further downward adjustment in exports values going forward.
- Iron ore exports declined 9.0%mth. However, this largely unwound a 15% increase in April, leaving export levels close to their average over the previous twelve months. ABS detail indicates that both

volumes and prices contributed to the decline. With market prices having eased further recently, this drag is likely to persist into June.

- Among other major categories, coal and LNG exports rose by 4.2%mth and 0.9%, respectively. Given strong increases in preceding months, this points to a solid quarterly lift in the June quarter. Rural exports also increased, supported by higher meat exports.

Key Commodity Exports



Source: ABS, Macrobond, Westpac Economics

Imports

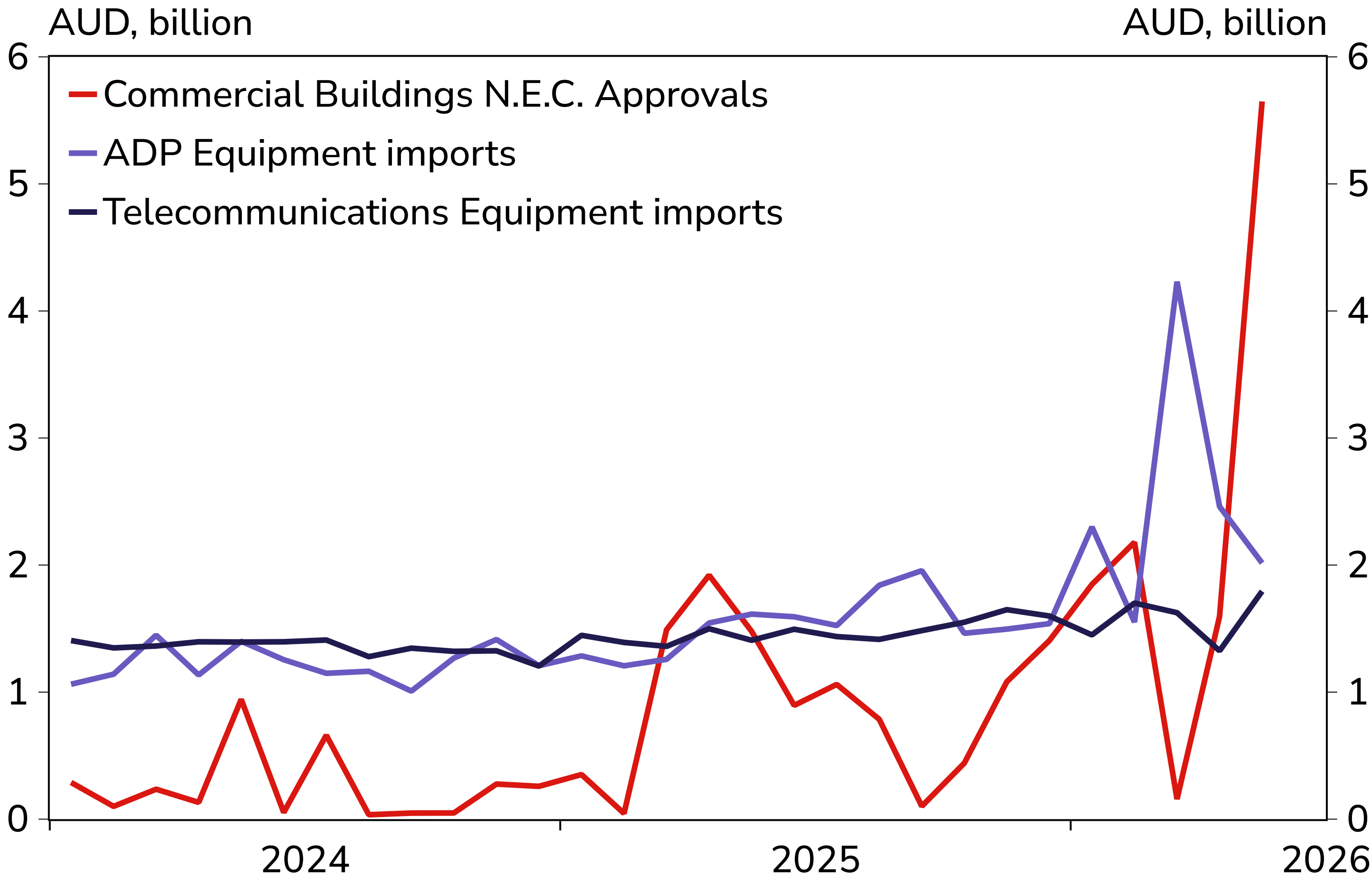
Import values rose 2.6%mth. Following an almost 13% increase in March and little change in April, this suggests that import growth in the June quarter has been strong to date.

- As on the export side, non-monetary gold imports fell sharply, down almost 28%mth. Excluding gold, imports growth was a particularly strong 4.3%mth.
- Fuel imports, which had doubled over the previous two months, were broadly unchanged. ABS estimates suggest that prices declined in May, with this effect likely to intensify, implying that fuel import values may begin to ease.
- The March quarter national accounts highlighted a strong increase in data centre investment. As many fit-out components are imported, the trade data provide a partial guide to this activity. Automated Data Processing (ADP) imports fell almost 20%mth in May, marking a second consecutive steep decline. However, following the surge in March – when values nearly tripled –

levels remain above historical norms. Telecommunications equipment, which is also most likely used in data centres, rose 35% after softer outcomes in the prior two months.

- Civil aircraft imports – a volatile component – rose by more than 150%, contributing to an 8.2%mth increase in capital goods imports.
- Consumption goods imports rose at a very similar pace, with transport equipment imports the standout category, increasing by almost 25%mnth. This category appears to be gathering momentum and is likely to reflect higher imports of EVs, as consumers respond to elevated fuel prices and a broader range of EVs becomes available in the domestic market.

Data centre equipment imports and building approvals



Source: ABS, Macrobond, Westpac Economics

Looking ahead

Outcomes for both exports and imports in coming months are likely to be influenced by the dynamics in key commodity markets. With several key prices having declined recently, softer results in major trade categories – including commodity exports and fuel imports – appear likely in June.

The headline trade balance will also be influenced by the evolution of data centre investment. Our previous analysis has highlighted the significant expansion potential in this sector and its broader economic implications. However, the latest trade data illustrate that this expansion is likely to proceed unevenly, with imports associated with the build-out remaining lumpy. Importantly, capital goods imports associated with data centre fit-outs provide only a partial view of the underlying activity. Construction activity, which relies more heavily on domestic inputs and labour, represents another major component of the build-out. The strength of this activity was reflected in the non-residential building approvals data released yesterday, which showed a substantial increase over recent months.

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles

#trade

Talking about trade: energy and data-centre investment

June 05 2026 • 5 mins

By Mantas Vanagas & Elliot Clarke

#trade

Australia’s Trade in Goods Account, April

June 04 2026 • 5 mins

By Mantas Vanagas

#trade

Australia’s Trade in Goods Account, March

May 07 2026 • 5 mins

By Ryan Wells

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #abs Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.
- Commodity markets were mixed. WTI crude oil rose 2.2% to US$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

DISCLAIMER

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.
- Commodity markets were mixed. WTI crude oil rose 2.2% to US$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▸

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.
- Commodity markets were mixed. WTI crude oil rose 2.2% to US$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author’s knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac’s Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.
- Commodity markets were mixed. WTI crude oil rose 2.2% to US$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Cliff Notes: policy matters

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke, Ryan Wells, Illiana Jain & Mantas Vanagas

10:45 June 19 2026 Share

Key insights from the week that was.

The RBA Monetary Policy Board (MPB) unanimously decided to leave the cash rate unchanged at 4.35% this week, as widely expected. However, in the subsequent communications, the MPB clearly leaned against the idea that the hiking cycle is definitively over. After emphasising that both headline and underlying inflation is “too high” and warning that “[t]here are signs that some firms experiencing cost pressures are increasing the prices of their goods and services and others are looking to do so”, the MPB explicitly signalled that it will not rule out “increasing the cash rate target further if required” in order to achieve its objectives.

As discussed by Chief Economist Luci Ellis in a video update midweek, markets have recently taken a larger cue from a softer run of data around consumer spending, housing and the labour market. Some of the weakness in the labour market reflected ‘abnormal seasonality’ which we expect will revert in May. But the important point is that Governor Bullock framed a weaker economy as an intended consequence of tighter monetary policy – slowing demand growth enough to squeeze inflation out of the system and prevent it from becoming embedded in expectations. With upcoming inflation data likely to show further persistence, we think the MPB will feel compelled to respond with further rate hikes in August and September.

Before moving offshore, a final note on local manufacturing. The latest Westpac-ACCI Survey of Industrial Trends revealed that momentum stalled heading into mid-year, the Actual Composite falling from a robust 57.6 in Q1 to a neutral reading of 50.5 in Q2. Underpinning the result was a flattening in new orders, a deceleration in output growth and a decline in employment. This comes as the Middle East conflict compounds the cost-of-living pressures households face, weighing on demand. It has also reignited cost pressures within manufacturing, a net 51% of firms reporting a rise in average unit costs. Firms expect further material increases in selling prices as a result, suggesting the pass-through of higher costs will persist into the second half. What was once budding optimism on the general business outlook has now collapsed to deep pessimism, leading many firms to delay or cancel plans to increase investment and hiring over the coming year.

Before moving further afield, New Zealand received an update on economic activity this week, the 0.8% rise in Q1 GDP a little less than we expected, though revisions meant the annual growth pace came out ahead of our forecasts. The pick-up in momentum evident over recent quarters likely came to a halt in Q2 due to the Middle East conflict, but this week’s apparent resolution (see below) could see the economy pick up again sooner than we had assumed.

In the US, the first FOMC meeting with Kevin Warsh as Chair was largely as anticipated. Notably, Chair Warsh focused on the practices of the Committee and the Federal Reserve as much as the economic outlook, announcing the formation of five separate task forces. On the current state of the economy, the labour market was characterised as largely in balance. The message on inflation was blunt, Chair Warsh making clear the Committee “will deliver price stability”.

Regarding the near-term policy outlook, the market showed concern over 9 of 18 respondents expecting at least one rate hike by year end. However, in the press conference, Chair Warsh made clear the degree of uncertainty participants wrestled with in coming to these views. Also, at least with respect to energy prices, in recent days risks have begun to recede. If the US/Iran deal holds over coming months, we expect the FOMC to remain on hold.

The Bank of England also marked time in June, with seven of the nine Monetary Policy Committee members voting to keep Bank Rate unchanged at 3.75%. The minutes showed that Chief Economist Huw Pill and external member Megan Greene preferred a 25bp hike as a risk-management response given the possibility of material second-round effects from energy inflation. Other members took comfort from the recent fall in energy prices. The latest labour market and inflation prints were meanwhile interpreted as evidence that disinflation was well underway before the Middle East conflict. Nonetheless, the statement carried a hawkish tone, signalling the Committee still sees price risks as the dominant concern.

In Asia, the Bank of Japan raised its policy rate by 25bps to 1.0%. This follows strong wage outcomes earlier this year and growing evidence of pass-through to domestic inflation, particularly for services. In Governor Ueda's absence, Deputy Governor Uchida signalled further rate hikes ahead. We expect that productivity gains and sustained domestic inflation pressures will support the BoJ reaching a terminal rate of around 1.5% in mid-2027.

The Policy Board also confirmed that it will continue tapering JGB purchases, albeit at a slower pace. Importantly, the Bank retains the flexibility to scale up purchases in the event of disorderly moves in yields and will continue to pre-commit to purchase amounts on a quarterly basis.

On the data front, Chinese activity disappointed again in May. Retail sales contracted over the year, -0.6%yr, as soft income growth, declining wealth and an absence of confidence weighed. Fixed asset investment fell 4.1%ytd, driven by declines in sectors including property, health and education, but also owing to a lull in previously strong areas of the economy, namely manufacturing and utilities. Industrial production growth of 5.4%ytd shows the effective use of current capacity to meet strong growth in external demand, however. Aggregate growth in the economy is largely dependent on net exports' contribution at present. This is unsustainable given the record-high level of the trade surplus, hence the need for material and urgent stimulus for the domestic economy.

Finally, to the Middle East conflict. A resolution now looks to be in effect, at least for the next 60 days after a 14-point Memorandum of Understanding was signed by both the US and Iran. On day 1 of the Strait's re-opening, several VLCCs, which each carry 2 million barrels of oil, were seen transiting the Strait as others readied at port. Further, not only will shipments from other Middle East countries now come to the global market, but also from Iran – waivers allowing the nation to freely sell into the global market without delay and, as conditions are met, the removal of sanctions should confirm long-term access. Negotiations over Iran's nuclear program are still necessary, and until agreed there is risk of further conflict. Also, it will take time for damaged infrastructure and global inventories to be rebuilt. Still, the initial market reaction has be positive, the price of Brent oil falling from a recent peak near USD110 per barrel to USD79, compared to an average of USD63 in Q4 2025.

Related articles

#cliffnotes

Cliff Notes: on the minds of policy makers

July 03 2026 • 5 mins

By Elliot Clarke, Ryan Wells & Illiana Jain

#cliffnotes

Cliff Notes: patience is a virtue

June 26 2026 • 5 mins

By Elliot Clarke, Ryan Wells & Illiana Jain

#cliffnotes

Cliff Notes: stuck in the moment

June 12 2026 • 5 mins

By Elliot Clarke, Ryan Wells, Illiana Jain & 1 more

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #abs Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.
- Commodity markets were mixed. WTI crude oil rose 2.2% to US$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▸

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

China's greatest opportunity and biggest threat

#australia #rba #inflation #labour #technology

By Elliot Clarke
Head of International Economics, Westpac

08:05 July 03 2026

Share

To achieve its development ambitions, China's industrial might must pay off for households.

The first half of 2026 has highlighted China's industrial strength, the trade surplus widening back to near record highs and investment in high-tech manufacturing and services continuing at pace while authorities' strategic reserves and pro-active decision making offered robust protection against an extended loss of oil supply. Ahead, China's greatest opportunity is also its biggest threat – a recovery in the Chinese consumer.

Before we delve into the detail of the consumer outlook, it is important to dig deeper into recent industrial developments and their implications. Having narrowed sharply in March to USD51bn, China's monthly trade surplus snapped back to USD85bn in April and US105bn in May. The average for the year-to-date is now USD91bn, just inside 2025's USD99bn and roughly triple 2019's USD35bn. May's 19% annual export growth is arguably outsized, but high single-digit gains are possible, if not probable, on a recurring basis. Note that it isn't just export demand that is buoying the surplus. Chinese production is also increasingly outcompeting imports when it comes to domestic demand, motor vehicles being a prime example. This is also contributing to the widening trade surplus year-on-year.

Total fixed asset investment has disappointed of late, year-to-date growth contracting 4.1% in May. While a loss of momentum in utilities and transport and mixed results within manufacturing allowed the headline contraction to occur, it was education, health and property that drove the decline. With respect to trade income generation, it is important to recognise that investment has only plateaued after years of rapid growth. Each year that new investment holds at this level, a wave of additional capacity and efficiency is unleashed. Strengthening relationships with neighbouring nations also hold considerable promise. Indonesia and Vietnam are prime examples, having youthful and driven populations of circa 300mn and 100mn and Governments open to large-scale foreign investment.

The compounding income returns China has received through trade post pandemic should have resulted in a strong and confident household sector with burgeoning wealth. Yet, highlighted by annual nominal retail sales growth of -0.6%yr and entrenched weakness in property, this is not the case. In part this is due to the hyper-competitive behaviour of Chinese firms which has suppressed profitability – an issue authorities are now seeking to redress through their anti-involution initiatives. But the primary cause of consumer hardship is instead the disconnect that has emerged between aggregate household income and the growth of Chinese industry. If consumers are to find their feet, the benefits of trade must pass through.

We expect this to occur but as a multi-stage, likely multi-year, structural process beginning with pro-active stimulus later this year. Initial steps are likely to focus on additional support for the housing sector and renewed subsidies for discretionary consumption. These steps are critical not only to incentivise current demand but also to promote employment in related sectors. Hiring by high-tech manufacturing and service firms is, in contrast, unlikely to accelerate given these sectors' long-standing preferences for capital over labour as well as the efficiency benefits of automation and AI. To receive direct benefits from China's industrial development, the average household will arguably need to wait until the equity valuations of these titans of industry reflect their future promise. Households will also need to have the confidence to put their wealth 'at risk'. Authorities could accelerate the development of this linkage via incentives to directly invest in financial securities and/or by building trust in wealth and retirement solutions, but we suspect this will not be an immediate priority.

If authorities take the initiative in coming months and reset the consumer story, GDP growth can be sustained at or above 4.5%, even as the impetus from trade fades. But, if the Government only guards against the downside, growth is likely to slow to 4.0% and become increasingly fragile.

With respect to currency markets, success with the consumer through 2028 should be enough for the Renminbi to sustainably appreciate back to 2022 and 2018's, then short-lived, highs against the US dollar around USD6.30. Breaking through that level is entirely possible, albeit more likely outside our current forecast window once the Renminbi's growing share of global trade and financial flows are more widely accepted. For China's competitiveness and the long-term trajectory of the currency, it is important to emphasise that the nation's economic and financial development are not occurring in a vacuum but rather in concert with the rest of Asia. On a trade-weighted basis, the anticipated currency gains will be limited and most likely offset by continued productivity wins.

The implications for Australia and our dollar are difficult to discern at this juncture. China continues to expand not only its production chain but also its sourcing network across Asia, Africa and Latin America. As such, while commodity prices should remain supportive, Australia is unlikely to receive a material, lasting dividend from increased commodity export volumes. Very clearly though, not only in China but across Asia, a broad range of new opportunities are opening up. If, as a nation, we lean into this economic and financial development, our productivity and income prospects will grow, benefitting the dollar. For now at least, the market is likely to take a wait-and-see approach with respect to our prospects, the Australian dollar lagging the performance of the Renminbi and potentially other nations across Asia who are poised to outperform.

Related articles

#australia

Australia and NZ Weekly 6 July 2026

July 06 2026 • 10 mins

By Luci Ellis, Matthew Hassan, Elliot Clarke & 10 more

#australia

Australia and NZ Weekly 6 July 2026

July 03 2026 • 10 mins

By Luci Ellis, Matthew Hassan, Elliot Clarke & 10 more

#australia

RBA Minutes and other commentary: still on edge about inflation

June 30 2026 • 5 mins

By Matthew Hassan

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #abs Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.
- Commodity markets were mixed. WTI crude oil rose 2.2% to US$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

DISCLAIMER

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.
- Commodity markets were mixed. WTI crude oil rose 2.2% to US$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ►

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Cliff Notes: patience is a virtue

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke, Ryan Wells & Illiana Jain

10:16 June 26 2026

Share

Key insights from the week that was.

Australian consumer prices fell 0.7% in May, bringing the annual rate of headline inflation down from 4.2%yr to 4.0%yr. The main cause of the decline was an 11.9% fall in auto fuel prices; but, relative to our own forecast, it was holiday travel and accommodation that was the primary contributor.

Stripping out these factors, trimmed mean inflation lifted from 3.4%yr to 3.6%yr. Housing inflation was, once again, key with rents surprising to the upside and new dwelling costs recording their strongest monthly increase since late-2022. The latter contrasts with growing evidence of cooling demand in the housing market, pointing to margin pressure for homebuilders. Cost pass-through was also evident in the detail, though weak household spending may stop businesses from recouping costs through mid-year and beyond. The abrupt reversal in energy supply and prices through June (see below) may also see businesses write off margin compression as a transient concern.

Employment subsequently bounced back from holiday-related weakness in April as expected, jobs up +40.3k and the unemployment rate ticking down to 4.4%. That said, revisions to April offset May's gain, stalling growth in Q2-to-date after a robust Q1. Looking past the month-to-month volatility, the unemployment rate trend is starting to edge up, in line with our expectation for a sustained softening.

Offshore, the past week saw the Memorandum of Understanding between the US and Iran take effect and a consequent rapid opening up of the Strait of Hormuz, freeing circa 20 million barrels of oil from the Strait in recent days. For the most part, the price of oil has trended down, reaching USD72 mid-week, a level last seen before the conflict began in February. It has not been all smooth sailing, however, an attack on a commercial ship off the coast of Oman overnight sparking concern and an increase in the oil price back above USD75. Several points still require detailed negotiation, including Iran's nuclear program and the management of the Strait beyond the first 60 days. Discussion on a framework to resolve differences on these matters began at the weekend in Switzerland, and are likely to continue for weeks, if not months. Risks for energy supply and price will therefore linger for the foreseeable future.

On the data front, US personal income surprised to the upside in May, rising 0.7% after being unchanged in April. Compensation growth was more modest at 0.4%, consistent with the average since the beginning of the year. Personal spending growth also accelerated to 0.7%, although much of the gain was driven by inflation, with real spending up just 0.3% after a flat April print. PCE inflation was a touch softer than expected in May at 0.4%, while core inflation was in line at 0.3%. Q2 is therefore looking like another soft period for the US consumer. Notable too is that revisions have been against the consumer, the third estimate of Q1 GDP this week seeing quarterly consumption growth revised down to just 0.5% annualised. An upgrade to business investment and a material reduction in import growth in the quarter more than offset for GDP; but being more than 70% of the economy, the weakness in consumption will have a significant bearing on the aggregate pulse hence.

In our view, this data and events in energy markets warrant the FOMC remaining on hold for the remainder of the year as inflation risks slowly abate. However, the market is likely to continue to price the risk of further tightening, particularly while the White House remains out of the monetary policy debate and AI optimisim persists.

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles

#cliffnotes

Cliff Notes: on the minds of policy makers

July 03 2026 • 5 mins

By Elliot Clarke, Ryan Wells & Illiana Jain

#cliffnotes

Cliff Notes: policy matters

June 19 2026 • 5 mins

By Elliot Clarke, Ryan Wells, Illiana Jain & 1 more

#cliffnotes

Cliff Notes: stuck in the moment

June 12 2026 • 5 mins

By Elliot Clarke, Ryan Wells, Illiana Jain & 1 more

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #abs Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author’s knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac’s Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac’s London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the “Order”)); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as “relevant persons”). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for “eligible counterparties” and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

May CPI – underlying pressures firm

#inflation #australia #rba #economicbulletinsaustralia #inflation

By Neha Sharma
Economist, Westpac

18:00 June 24 2026

Share

Monthly May CPI –0.7%mth/4.0%yr, Trimmed Mean 0.4%mth/3.6%yr.

- May CPI fell –0.7%mth/4.0%yr, below both our forecast and market expectations, with the downside surprise concentrated in holiday travel and clothing & footwear.
- Underlying inflation firmed, with trimmed mean inflation in line with our expectations at 0.4%mth/3.6%yr. The three-month annualised pace lifted to 3.8%.

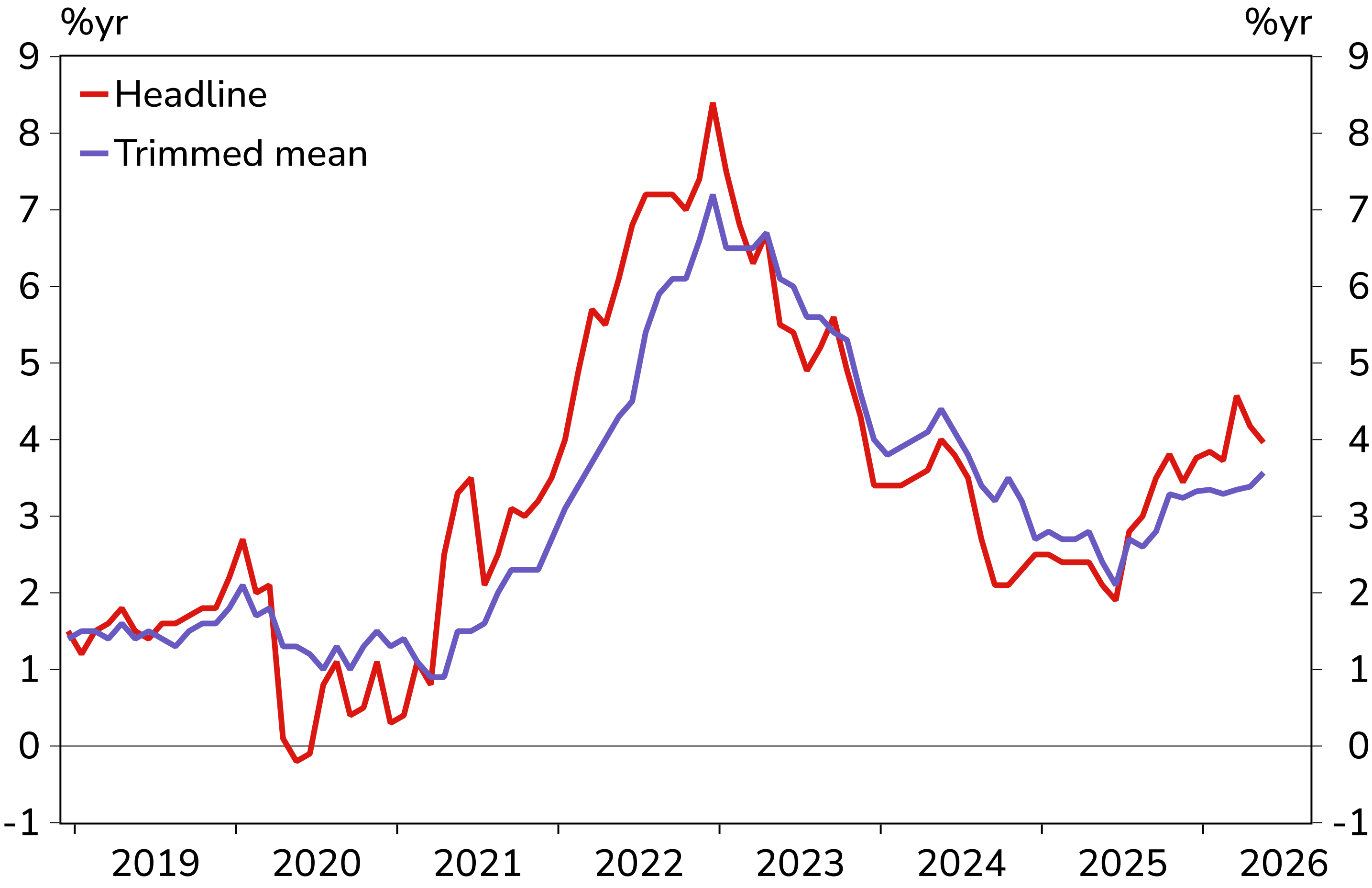
- Housing remains the key inflation pressure point, with new dwelling costs posting their strongest monthly increase since late-2022 and rents also surprising on the upside. There is also stronger evidence that pressures are broadening particularly within services.
- While oil and commodity prices have eased from recent highs, we expect further pass-through into consumer prices over coming months as earlier cost increases continue to filter through the economy. This is likely to keep inflation uncomfortably high for the RBA who will be concerned about high inflation becoming embedded in domestic wage and price setting behaviour.

The May CPI fell –0.7%mth to be up 4.0%yr. This was below our estimate of –0.3%mth/4.4%yr and market expectations of –0.4%mth/4.3%yr. May is typically a seasonally softer month for the CPI. In seasonally adjusted terms, the CPI dipped –0.1%mth, compared with our estimate of +0.2%mth.

The key drags on headline inflation were transport (–0.4ppts), with fuel prices falling 11.9% in the month, clothing & footwear (–0.1ppt) and recreation & culture (–0.4ppts). The latter two accounted for nearly all of the miss in our monthly result, with domestic travel also softer than anticipated. Balancing this was strong outcome in the housing component, which added+0.1ppt, with a broad-based pick-up across electricity, rents and new dwelling costs.

While headline inflation was softer than projected, trimmed mean inflation came in-line with our forecast, rising 0.4%mth/3.6%yr (slightly softer at the second decimal place). The three-month annualised rate has picked up to 3.8% from 3.1% in February, before the breakout of the Middle East conflict.

Headline and trimmed mean inflation



Source: ABS, Macrobond, Westpac Economics

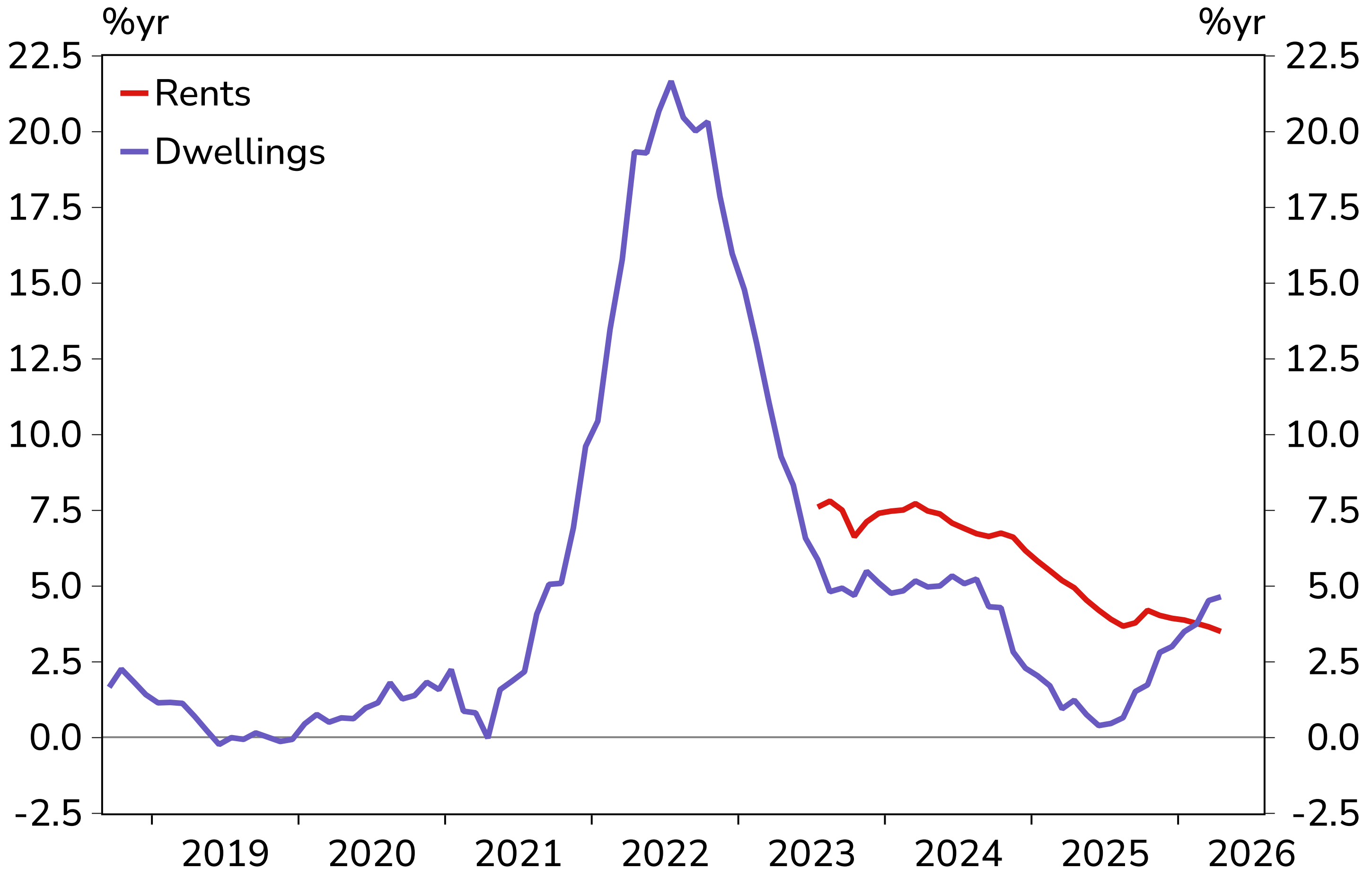
New dwelling costs rose by a stronger than expected0.9%mth/5.6%yr, the strongest monthly increase since December 2022. The ABS again pointed to project home builders raising base prices to pass through fuel surcharges and higher material costs.

We had flagged upside risks to this. Builder material price notifications data, showed a 17% in average prices in May in seasonally adjusted terms, with data pointing to an easing to 11% in June and 9% in August, but still well above average levels. That points to ongoing pipeline pressure on build costs ahead.

Rents were also firmer than we had expected at 0.4%mth. We also think there is further upside here given trends in advertised rents which take some time to flow through to CPI rents.

At this stage, housing inflation remains the key pressure point. It accounts for around 20% of the CPI basket and is typically a source of persistence for trimmed mean inflation, this keeps upside risk in focus and is likely to keep the RBA uneasy.

Housing inflation – rents and dwellings



Source: ABS, Macrobond, Westpac Economics

Overall, food inflation came in largely as expected (0.6%mth vs 0.7%mth expected), however there were some swings at the expenditure class level. Dairy products were a key upside surprise rising 2.3%mth. This likely reflected some temporary fuel surcharges announced by grocers across dairy products. At the other end fruit & vegetables rose by less than we expected (1.1%mth vs 2.9%mth expected). Food prices is an area we'll be paying close attention to in H2. We are yet to see the impact of higher fertiliser costs, which is having an impact on farmers planting decisions, and when combined with an El Nino event could see larger food prices increases in late-Q3 onwards.

Market services excluding volatiles fell –0.3%mth, with the year-ended rate lifting to 3.2%yr. Excluding volatiles and holiday travel, prices rose 0.2%mth/4.2%yr, in-line with expectations. Areas that showed more pronounced increases include: audio, visual and computing & media services (1.2%mth/10.5%yr); restaurant meals (0.4%mth/3.9%yr, takeaway foods was also strong 0.5%mth/4.1%yr); dwelling and motor vehicle repair costs (0.7%mth/3.7%yr and 0.9%mth/6.3%yr respectively). All of these are running at their highest annual pace in the full monthly series and there is risk of further upside given our expectations for stronger wage outcomes in H2 2026.

Overall, underlying pressures are broadening after showing more contained signs in March and April. The share of the CPI basket that is running above 3% at a three-month annualised pace is just under 50%, after recording low-40s reads the past two months. This is also the highest share since around October 2025.

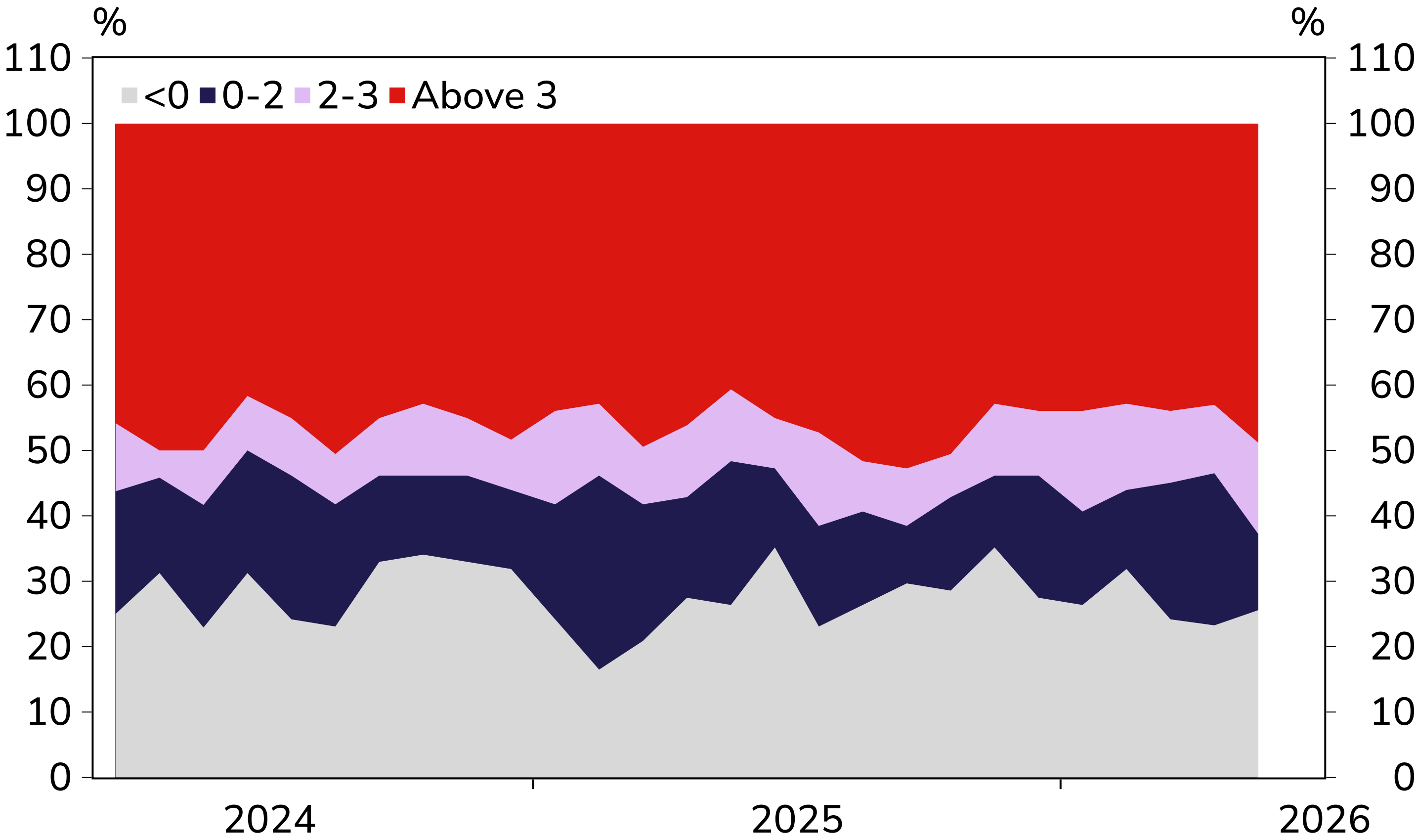
The May data provide a stronger signal that second-order effects from the Middle East supply shock are becoming more visible across consumer prices. Oil prices are off their highs and policy is still dampening parts of fuel inflation, for now, but higher fuel, transport and commodity costs are continuing to feed through to a broader range of categories. This is consistent with firms passing on at least part of the increase in input costs, including energy, freight, plastics and chemicals.

The key question is whether these price increases reverse as cost pressures ease, or whether they persist. Postal costs fell in May, as the fuel surcharge was reduced, showing some pass-through can unwind. But the risk is that pass-through in other areas is stickier, particularly across services. The increase in hairdressing prices, for example, could reflect firms adjusting prices not just for higher fuel and transport costs, but for a broader expectation of higher operating costs. That makes the May outcome less about whether pass-through is occurring, and more about how broad and persistent it becomes.

The May data reinforce the RBA's concern that inflation remains too high and that a period of slower growth will be needed to return inflation to target. The post-meeting statement had already given a stronger steer than recent communication, with the Board adding that it was prepared to increase the cash rate further "if required". Governor Bullock repeated this point in the media conference. That looked deliberate, and suggests the Board wanted to push back against speculation that it is done hiking.

Inflation Sub-Categories

Three-Month Annualised Growth, Share of Basket



Source: ABS, Macrobond, Westpac Economics

CPI Item	Qtr CPI Jun-26 % yr	Monthly CPI Mar-26 % yr	Apr-26 % yr	May-26 % yr	WBC fcs May-26 % yr fcs
Food	3.4	3.1	2.8	3.3	3.4
of which, bread & cereals	1.4	0.6	0.7	1.5	1.4
of which, meat & seafood	5.5	4.8	5.0	5.4	5.4
of which, dairy & related products	2.8	2.5	2.3	5.2	2.8
of which, fruit & vegetables	3.3	1.8	0.1	2.0	3.8
of which, food products nec	2.4	2.9	2.2	1.6	2.4
of which, non-alcohol beverages	1.9	2.2	2.0	1.5	1.8
Alcohol & tobacco	4.7	4.4	4.3	4.7	4.0
of which, Alcohol	2.1	1.7	1.6	2.2	1.4
of which, Tobacco	11.1	11.2	10.7	10.9	10.5
Clothing & footwear	4.6	7.1	5.9	5.0	6.1
of which, garments	2.3	4.3	3.1	2.1	3.7
Housing	6.6	6.5	6.3	6.5	6.3
of which, Rents	3.6	3.7	3.5	3.6	3.4
of which, House purchases	5.1	4.5	4.7	5.6	5.1
of which, Electricity	21.0	25.4	22.5	21.1	20.0
of which, Gas & other fuels	7.3	5.7	5.7	4.9	8.2
H/hold contents & services	1.5	1.4	1.2	1.7	2.0
Health	4.2	3.0	4.0	3.8	4.0
Transportation	3.1	8.9	6.6	3.3	3.1
of which, auto fuel	6.0	24.2	18.6	7.7	4.5
Communication	1.9	1.4	1.5	2.1	1.4
Recreation	5.3	2.8	2.5	2.4	5.6
of which, holiday travel	7.6	2.2	1.7	1.9	8.5
Education	3.8	4.8	4.8	4.8	4.8
Financial & insurance services	3.4	2.8	3.0	3.2	3.3
CPI: All groups % year	**4.4**	**4.6**	**4.2**	**4.0**	**4.4**

Related articles

#inflation

First impressions – May CPI

June 24 2026 • 5 mins

By Neha Sharma & Sian Fenner

#inflation

May CPI: preview and analysis

June 19 2026 • 5 mins

By Neha Sharma

#inflation

First impressions: NZ selected prices (May 2026) and updated CPI forecast

June 16 2026 • 2 mins

By Satish Ranchhod

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #abs Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.
- Commodity markets were mixed. WTI crude oil rose 2.2% to US$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author’s knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac’s Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

30 June 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

There was a risk-on tone overnight as peace talks over the Strait of Hormuz are set to continue, with both the US and Iran agreeing to halt the attacks seen over the weekend.

US equities rallied, reversing some of last week's sharp sell-off. Tech stocks led the market higher, with the Mag Seven index climbing more than 2.5%. European equities were mixed, while Asian markets were generally higher.

Bond markets were little changed, while the US dollar index slipped. The yen touched its weakest level against the dollar since 1986. The Aussie was slightly lower, trading at 0.6886 against the greenback, while the TWI was broadly unchanged.

Commodity markets were mixed, with oil jumping higher despite the prospect of peace talks. Iron ore also edged higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.8	0.0%
AUD/USD	0.6886	-0.1%
AUD/JPY	111.49	0.0%
AUD/GBP	0.5195	-0.6%
AUD/NZD	1.2178	-0.3%
AUD/EUR	0.6027	-0.4%
AUD/CNH	4.6819	-0.2%
AUD/SGD	0.8901	-0.2%
AUD/HKD	5.3995	-0.1%
AUD/CAD	0.9785	0.0%
EUR/USD	1.1426	0.3%
USD/JPY	161.92	0.1%
USD Index	101.12	-0.2%

AUS Interest Rate Swaps	p	Change
30 day BBSY	4.34	-0.01
90 day BBSY	4.51	0.00
180 day BBSY	4.86	0.00
1 year swap	4.50	0.00
2 year swap	4.42	0.00
3 year swap	4.36	0.00
4 year swap	4.35	0.00
5 year swap	4.38	-0.01
6 year swap	4.42	-0.01
7 year swap	4.47	-0.01
8 year swap	4.52	-0.01
9 year swap	4.57	-0.02
10 year swap	4.61	-0.01

Equities	Close	Change
S&P/ASX 200	8,823	0.7%
S&P 500	7,440	1.2%
Japan Nikkei	69,468	0.2%
Hang Seng	23,027	1.6%
Euro Stoxx 50	6,232	0.2%
UK FTSE100	10,484	-0.2%
VIX Index	17.65	-4.1%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.39	0.03
10 year bond	4.75	0.03
United States		
3-month T Bill	3.68	0.01
2 year bond	4.10	0.01
10 year bond	4.37	0.01
Other (10 year yields)		
Germany	2.86	0.01
Japan	2.64	0.02
UK	4.72	-0.01

Commodities	Current	Change
CRB Index	351.31	-0.3%
Gold	4015.33	-1.8%
Copper	13278	-0.6%
Oil (WTI futures)	70.75	2.2%
Coal (coking)	243.17	0.0%
Coal (thermal)	127.45	1.8%
Iron Ore	98.80	0.1%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	4.77	-0.01
3 yr bond	4.37	0.00
3 mth bill rate	4.51	0.00
SPI 200	8,825	0.0%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- There was a slight risk-on tone overnight after President Trump said peace talks with Iran are set to resume. Control of the Strait of Hormuz is expected to be a key focus of upcoming negotiations, with Iran stating that it wants to maintain oversight of traffic through the Strait, while US Secretary of State Marco Rubio said that any attempt to impose tolls on ships passing through the waterway would be unacceptable. The prospect of renewed diplomacy helped ease some geopolitical concerns and supported sentiment across financial markets.
- With negotiations back on, major US equity indices rallied, recovering some of last week's sharp losses. The market was led higher by technology stocks, with the Magnificent Seven megacaps rising 2.6%. Sentiment in the tech sector was further supported after Samsung Electronics and SK Hynix announced plans to invest more than US$500bn in a new semiconductor manufacturing hub in South Korea.
- The S&P 500 climbed 1.2%, while the Dow Jones Industrial Average added 306 points, or 0.6%. The Nasdaq Composite outperformed, rising 2.1% as investors rotated back into growth stocks. Volatility also eased, with the VIX falling 4.1% to 17.65 points.
- European markets were mixed. The Euro Stoxx 50 rose 0.2%, while the FTSE 100 slipped 0.2%. Elsewhere, Asian equities performed well, led by a 1.6% rise in the Hang Seng, while the Nikkei gained 0.2%. Locally, the S&P/ASX 200 rose 0.7% to 8,823, supported by gains across resources and financials. SPI futures were little changed, suggesting a steady start for the local market.
- Moves in bond markets were generally modest. US Treasury yields edged slightly higher across the curve, with the 2-year Treasury yield up 1bp to 4.10% and the 10-year Treasury yield up 1bp to 4.37%. Interest rate futures now price one hike in late 2026 and no change through 2027.
- European bond markets were mixed. German 10-year Bund yields rose 1bp to 2.86%, while UK 10-year gilt yields eased 1bp to 4.72%. In Japan, the 10-year government bond yield rose 2bps to 2.64%.
- Australian government bond yields were little changed on futures. The 3-year government bond yield was unchanged at 4.37% on futures, while the 10-year yield declined 1bp to 4.77%. OIS pricing suggests a terminal cash rate of around 4.47% this year, with the market still not convinced of another hike.
- In foreign exchange markets, the US dollar softened modestly. The DXY fell 0.2% to 101.12, extending its recent pullback. The yen touched its weakest level against the dollar since 1986. The Australian dollar was weaker against most major currencies, falling 0.1% against the US dollar to 0.6886, 0.6% against sterling, 0.4% against the euro and 0.3% against the New Zealand dollar. Against Asian currencies, moves were generally modest, leaving the TWI unchanged at 64.8.
- Commodity markets were mixed. WTI crude oil rose 2.2% to US$70.75/bbl as traders assessed the prospects of upcoming peace talks between the US and Iran. Industrial commodities were also mixed, with iron ore edging 0.1% higher to US$98.80/t, while copper declined 0.6%. Coal prices were also stronger, with thermal coal rising 1.8%. In contrast, precious metals weakened, with gold falling 1.8%.

Today's key data and events

Time	Event	Exp	Prev
9:30	JP Job-to-Applicant May	120.0%	120.0%
9:50	JP Industrial Production May Prel.	0.7%	0.5%
11:00	NZ ANZ Business Confidence Jun	-	10pts
11:30	AU RBA Minutes	-	-
11:30	AU Private Sector Credit May	0.6%	0.7%
11:30	CN Manufacturing PMI Jun	50.1pts	50pts
11:30	CN Non-Manufacturing PMI Jun	49.9pts	50.1pts
16:00	GB GDP Q1 Final	0.6%	0.6%
23:00	US FHFA House Prices Apr	0.2%	0.1%
23:00	US S&P/Cs Home Price Index Apr	-0.1%	-0.2%
23:45	US Chicago PMI Jun	55.4pts	62.7pts
0:00	US Consumer Confidence Jun	94.6pts	93.1pts
0:00	US Jolts Job Openings May	7287.5k	7618k

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

The EC Economic Confidence Survey showed that confidence in the euro area improved this month, with the headline index rising 1.3pts to 95.0, though it remains well below the levels seen at the beginning of the year. Construction firms reported the lowest confidence levels in almost two years, while businesses in industry and services turned slightly more upbeat in the latest month. The retail sector saw a more substantial improvement, with the relevant index rising by more than 1pt

The Dallas Fed Activity Survey of Texas business executives indicated that business conditions were unchanged in June, with the headline index coming in at zero, very similar to the May's print. The survey highlighted weaker production growth and softer new orders, with both indicators falling to their lowest levels this year. On the inflation front, input cost growth remained very high, while the indicator for product prices also rose significantly, suggesting substantial pass-through.

Local Data

There was no top tier data released yesterday.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

19 June 2026

MAY CPI PREVIEW

Underlying pressures persist

Key points

- We expect May CPI to fall –0.3%mth, which will still see the annual pace lift to 4.4%yr. On a seasonally adjusted basis, we pencil in a modest 0.2%mth rise.
- Transport is expected to again be the main drag due to lower fuel prices, with clothing & footwear also subtracting. This will be partly offset by modest gains in food and housing.
- The monthly trimmed mean is forecast at 0.4%mth, lifting the annual pace to 3.6%yr. Market services excluding volatiles is expected to be flat in the month; excluding both volatiles & holiday travel is expected to rise 0.2%mth.
- Downside risks are centred on timing, with uncertainty over the pace and extent of price adjustments. Some measures suggest pressures moderated in May but remain elevated. The key upside risk is a faster pass-through of higher construction costs.

Breakdown: Jun Quarter CPI & May Monthly CPI

	Jun	Mar	Apr	May
	Qtr fcs	Mth	Mth	Mth fcs
Item	% qtr	% mth	% mth	% mth
Food	**1.2**	**0.7**	**0.1**	**0.7**
of which, bread & cereals	–0.2	0.3	–0.3	0.1
of which, meat & seafood	1.0	0.5	–0.3	1.2
of which, dairy & related prod.	0.4	0.8	–0.2	0.0
of which, fruit & vegetables	5.9	2.6	0.7	2.9
of which, food products nec	–0.1	0.1	0.2	–0.1
of which, non–alcohol bev.	1.6	1.1	–0.7	1.8
Alcohol & tobacco	**0.7**	**0.8**	**–0.5**	**0.2**
of which, alcohol	0.4	0.7	–1.0	0.5
of which, tobacco	1.7	1.1	0.7	–0.4
Clothing & footwear	**1.8**	**–1.9**	**3.9**	**–1.8**
of which, garments	2.1	–2.5	4.8	–1.7
Housing	**0.7**	**0.2**	**0.2**	**0.3**
of which, rents	0.8	0.2	0.2	0.3
of which, house purchases	1.5	0.5	0.7	0.5
of which, electricity	–0.6	0.0	–0.9	0.0
of which, gas & other fuels	–0.5	0.0	–0.6	0.0
H/hold contents & services	**0.8**	**0.3**	**–0.3**	**0.4**
Health	**2.4**	**–0.2**	**2.6**	**–0.3**
Transportation	**–0.8**	**9.2**	**–2.7**	**–4.1**
of which, auto fuel	–2.4	32.8	–7.0	–14.5
Communication	**0.4**	**0.5**	**0.4**	**–0.5**
Recreation	**2.1**	**–0.7**	**2.6**	**0.0**
of which, holiday travel	3.9	–1.4	5.5	–0.9
Education	**0.5**	**0.0**	**0.0**	**0.0**
Financial & insurance services	**1.0**	**0.8**	**0.1**	**0.2**
CPI: All groups	**1.0**	**1.1**	**0.4**	**–0.3**

Sources: ABS, Westpac Banking Corporation

Abstracting from the noise

Neha Sharma
Economist

Underlying inflation firmed in April …

In April, the monthly CPI undershot expectations, with headline inflation easing to 4.2%yr. However, underlying inflation remained firm, with trimmed mean rising to 3.4%yr from 3.3%yr in March.

The release provided a read on pass-through from the Middle East energy shock beyond automotive fuel, and while there were emerging signs of cost pressures feeding into housing and some services, the extent of pass-through across the broader CPI basket was more limited than we had anticipated. This largely reflected policy measures, which have helped dampen the initial impact.

In May, most of the focus will again be on evidence of second-round effects from higher oil prices and energy-intensive goods. While details since the April CPI release show some moderation in cost pressures, levels remain elevated. Purchase cost growth is still 1.4ppts above its long-run average, with selling price growth also sitting above its respective level (see here). The RBA also noted in its post-meeting statement on Tuesday that some firms are already passing through higher costs, with others signalling an intention to do so (presumably based on insights from its liaison program).

… and should continue to strengthen in May

We expect the May monthly CPI to decline –0.3%mth. With a –0.5%mth fall dropping out of the annual comparison, year-ended inflation lifts to 4.4%yr. May is typically a seasonally soft month; on a seasonally adjusted basis, we expect CPI to rise by 0.2%mth.

The main detractor in the month is transport (–0.4ppts), largely reflecting lower automotive fuel prices. Clothing & footwear is also expected to subtract around –0.1ppt. These are partly offset by modest contributions from food and housing, each adding around 0.1ppt to the monthly outcome.

We estimate trimmed mean inflation to rise 0.4%mth, taking the annual pace to 3.6%yr from 3.4%yr in April.

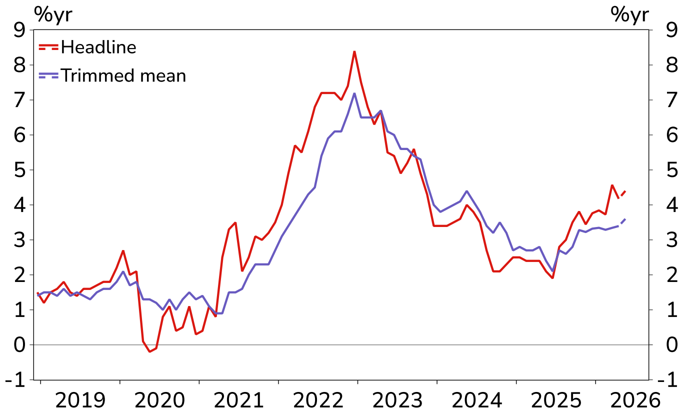
On other underlying measures, market services excluding volatiles is expected to be flat in the month; excluding both volatiles & holiday travel is expected to rise 0.2%mth.

Breakdown Monthly CPI Indicator

	Feb	Mar	Apr	May
	Mth	Mth	Mth	Mth fcs
Item	%yr	%yr	%yr	%yr
Food	**3.1**	**3.1**	**2.8**	**3.4**
of which, bread & cereals	1.0	0.6	0.7	1.4
of which, meat & seafood	4.5	4.8	5.0	5.4
of which, dairy prod.	2.7	2.5	2.3	2.8
of which, fruit & vegetables	1.9	1.8	0.1	3.8
of which, food products	3.1	2.9	2.2	2.4
of which, non–alcohol bev.	2.0	2.2	2.0	1.8
Alcohol & tobacco	**4.3**	**4.4**	**4.3**	**4.0**
of which, alcohol	1.4	1.7	1.6	1.4
of which, tobacco	11.5	11.2	10.7	10.5
Clothing & footwear	**5.0**	**7.1**	**5.9**	**6.1**
of which, garments	3.2	4.3	3.1	3.7
Housing	**7.2**	**6.5**	**6.3**	**6.3**
of which, rents	3.8	3.7	3.5	3.4
of which, house purchases	3.7	4.5	4.7	5.1
of which, electricity	37.0	25.4	22.5	20.0
of which, gas & other fuels	5.5	5.7	5.7	8.2
H/hold contents & services	**1.3**	**1.4**	**1.2**	**2.0**
Health	**3.2**	**3.0**	**4.0**	**4.0**
Transportation	**–0.2**	**8.9**	**6.6**	**3.1**
of which, auto fuel	–7.2	24.2	18.6	4.5
Communication	**0.8**	**1.4**	**1.5**	**1.4**
Recreation	**4.1**	**2.8**	**2.5**	**5.6**
of which, holiday travel	5.3	2.2	1.7	8.5
Education	**4.8**	**4.8**	**4.8**	**4.8**
Financial & insurance	**2.4**	**2.8**	**3.0**	**3.3**
CPI: All groups	**3.7**	**4.6**	**4.2**	**4.4**

Sources: ABS, Westpac Banking Corporation

Inflation with forecasts



Source: ABS, Macrobond, Westpac Economics

Key details

Food prices are expected to lift 0.7%mth, driven primarily by a 2.9%mth rebound in fruit and vegetables following unexpected softness last month. The Bureau of Meteorology has now confirmed an El Niño event. El Niño's effect on food prices has historically been mixed but combined with higher fertiliser costs we think there could be larger disruptions to agricultural output and hence greater upside pressure to food prices later this year and into next year.

Transport prices are expected to fall –4.1%mth in May, reflecting a –14.5%mth decline in automotive fuel. Retail petrol and diesel prices continued to ease in the month, averaging $1.84/l and $2.35/l, respectively. The fuel excise cut remains in place until end-June, and we expect its expiry to be fully reflected in prices by around the third week of July.

There are ongoing discussions around a potential three-month extension of the fuel excise cut. If implemented – and matched by state government contributions – this would present downside risk to our Q3 inflation forecasts. We estimate this extension would subtract around 0.5ppts from headline inflation in Q3. The direct impact on trimmed mean would be negligible, but it could dampen second-round effects, leading to trimmed mean coming in lower than projected. Even so, it would remain elevated and well above the RBA's target band.

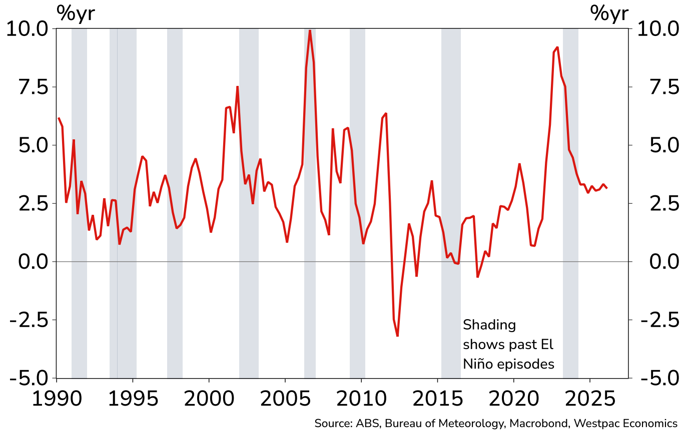
Housing is expected to rise 0.3%mth.

- Rents are expected to increase 0.3%mth. This is a pick-up from the 0.2%mth pace seen over the prior two months, which were dampened by an increase in the Commonwealth Rent Assistance. This will lift annual rent inflation to 3.4%yr.
- New dwelling purchase costs are expected to rise 0.5%mth, after recording a more than two-year high result of 0.7%mth in April. This would take year-ended inflation to 5.1%yr – the highest since August 2024.
- Construction cost measures such as the Tradelink price change notification data show a reasonable explanatory relationship with new dwelling costs once short-term volatility and broader housing market conditions are allowed for. This suggests recent increases in price notifications will continue to put upward pressure on new dwelling inflation in the months ahead. The build-out of data centres is also increasing competition for labour and materials, which could add to cost pressures over the coming year.

Holiday travel is expected to decline –0.9%mth. May is a seasonally weak month, particularly for domestic travel.

Insurance & financial services are expected to rise by 0.2%mth in May. This is led by a 0.6%mth rise in insurance. We expect insurance premiums to gradually lift into year-end as repair and replacement costs for dwellings and motor vehicles rise.

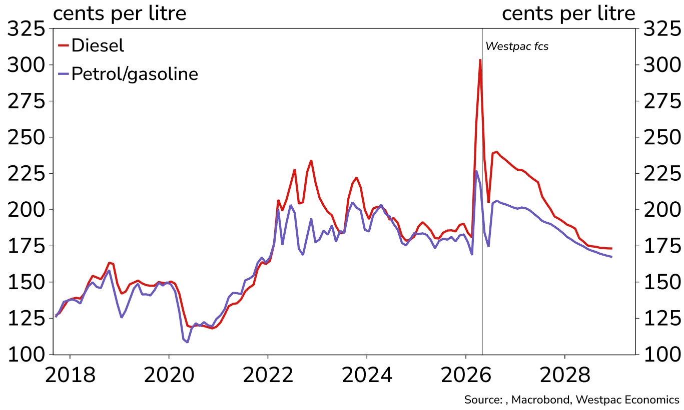
Food inflation



Source: ABS, Bureau of Meteorology, Macrobond, Westpac Economics

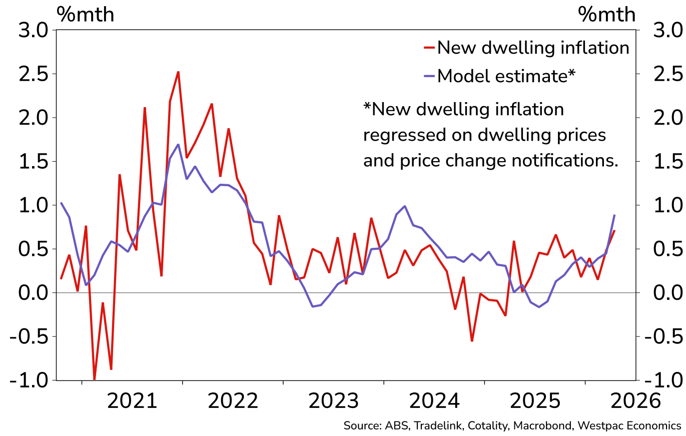
Australian pump prices for auto fuel

Monthly averages



Source: , Macrobond, Westpac Economics

New dwelling inflation



Source: ABS, Tradelink, Cotality, Macrobond, Westpac Economics

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Risks to May baseline

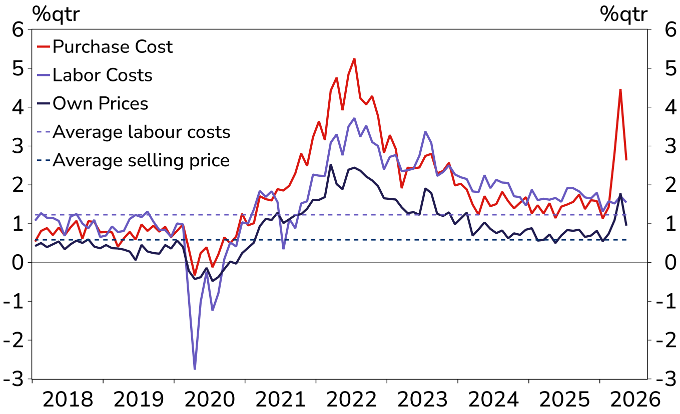
The key risk to the May profile is delayed pass-through, with second-round effects slower-than-expected due to both policy dampening and lags in how price changes feed into the CPI (e.g. lags for holiday travel are around one month for domestic travel and two months for international). Firms may also absorb a larger share of increases, given the softening we have seen in non-fuel consumer spending (see here) and sentiment stuck in deep pessimism territory (see here).

On the upside, new dwelling purchase inflation could turn out stronger than our forecast. Average value of price changes among trade suppliers picked-up in May (17% vs 16% in April) and this could flow through more quickly and strongly than we have accounted for.

Quarterly profile

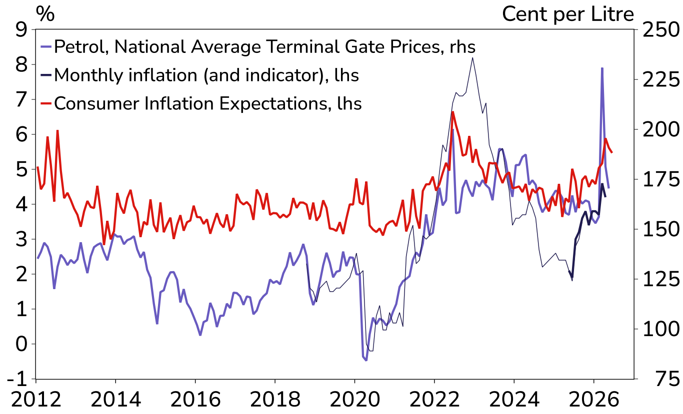
We released our updated forecasts following revisions to our baseline oil price scenario in last week's June *Market Outlook* (see here). Minor rounding impacts have since lifted our Q2 year-ended trimmed mean forecast to 3.8%yr (3.74%yr to 3.78%yr), with the quarterly estimate unchanged at 1.0%qtr. The remainder of the profile is unchanged, with trimmed-mean inflation still expected to peak in Q3 this year. For further details discussing the revisions see here.

Costs and prices, NAB Business Survey



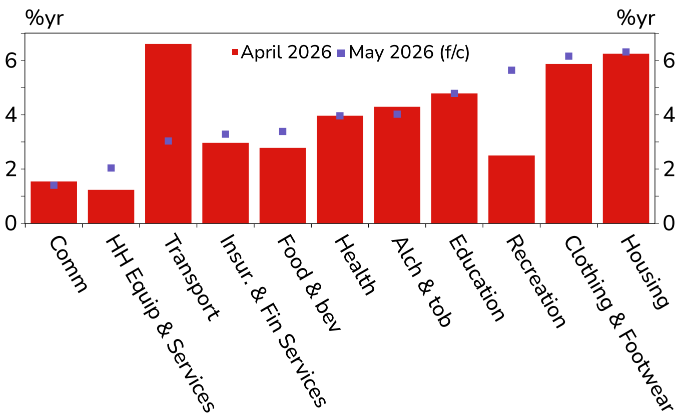
Source: NAB, ABS, Macrobond, Westpac Economics

Consumer inflation expectations



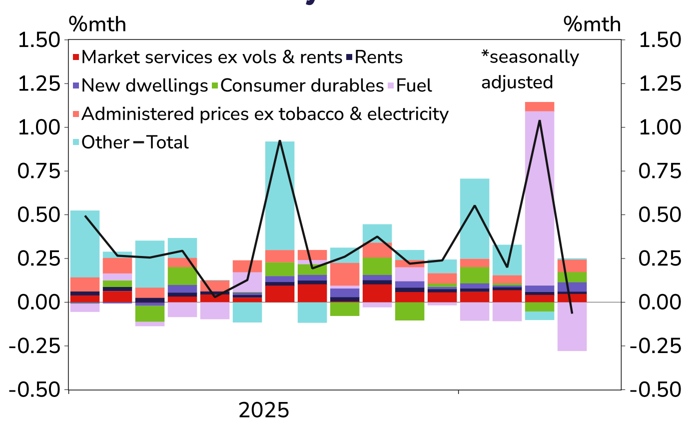
Source: Melbourne Institute of Applied Economic & Social Research, AIP, ABS, Macrobond, Westpac Economics

Monthly CPI by category



Source: ABS, Macrobond, Westpac Economics

Contribution to monthly CPI inflation



Source: ABS, Macrobond, Westpac Economics

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

From forward guidance to framework guidance

#ecb #boj #boc #fomc

By Illiana Jain
Economist, Westpac

07:47 July 03 2026

Share

Key themes from the ECB’s 2026 Sintra Forum on Central Banking.

The three key themes emerging from this year's ECB Forum in Sintra were:

- Greater flexibility in monetary policymaking, with central banks placing less emphasis on forward guidance and more emphasis on communicating the framework underpinning policy decisions.
- The uncertain implications of AI, which has the potential to reshape productivity and labour market outcomes but is not yet evident in the data.

- A growing focus on non-bank financial risks, as policymakers monitor the rapid growth of leveraged market participants, private credit and other sources of potential financial instability.

The European Central Bank's annual forum brought together leaders from major central banks including the ECB, Bank of England, US Federal Reserve and Bank of Canada. Three key themes were highlighted by the keynote panel: the need for greater flexibility in conducting monetary policy, how AI advances are factoring into decision making and the importance of safeguarding financial stability.

The panel began with the head of the central banks noted above outlining the method behind their recent decisions. Evident in each response is that heightened uncertainty over first round and secondary price pressures combined with mixed messages from incoming activity data necessitate flexibility in setting the policy stance and communicating risks. Constructively, panellists expressed little concern that their economies were facing a return to the stagflationary environment of the 1970s. Strong labour markets and well-anchored inflation expectations were cited as safeguards against such a turn.

ECB President Lagarde went on to discuss the ECB's move away from traditional forward guidance in favour of 'framework guidance', that is communicating the thinking that underpins its decisions versus an expectation of where to next. Governor Bailey and Chair Warsh agreed with the approach, arguing that forward guidance can ultimately make it harder to effectively manage policy if conditions evolve in an adverse manner, to the detriment of the economy. As such, inter-meeting and looking to the medium-term, market participants will be left to discern the future policy path based on policy makers' framework, their latest risk assessments and the data that follows.

A preference for optionality and careful communication was also evident in discussions around the balance sheet. While Chair Warsh again noted a preference for a smaller central bank balance sheet, he recognised that any changes must be clearly signalled to markets before implementation. Although domestic conditions remain the primary driver of policy, the panellists were cognisant that actions in one jurisdiction can have important implications elsewhere and that this should be kept in mind.

AI's impact on the economy and markets received considerable attention throughout the panel. While panellists broadly agreed that AI has the potential to lift productivity and expand the supply side of the economy, there was little consensus on the timing or magnitude of these effects. Chair Warsh did, however, suggest labour market changes could emerge rapidly once adoption becomes widespread. The net impact on inflation of AI adoption is difficult to discern ahead of time, so too the implications for monetary policy.

A discourse on AI and financial stability focused on the benefits of sharing research and coordinating approaches across jurisdictions. More broadly on financial markets, panellists noted the growing power of hedge funds in government bond markets. Though the risks associated with individual funds may be manageable, concerns arise when multiple investors employ similar strategies and rely on the same funding markets. A period of heightened volatility could trigger a rapid unwinding of positions, potentially spilling over into other markets.

Leveraged ETFs and the rapid growth of private credit markets were cited as other potential material risks, particularly given elevated valuations in some markets. Stronger productivity growth and technological innovation could, in time, justify these valuations but, warranted or not, a sharp correction would have lasting implications for market stability and the real economy. Governor Bailey noted that the Bank of England is actively assessing the potential implications of this myriad of risks.

Overall, policymakers are operating in an environment where the outlook can change quickly for many reasons including, but not limited to, shifts in trade policy, technological change and/or developments in financial markets. In this environment, the flexible application of a clearly defined policy framework is the preferred approach to manage the cyclical momentum of the economy, known risks and financial stability.

Related articles

#ecb

Talks in Sintra highlight the Central Bank Playbook has had a

makeover

July 03 2025 • 5 mins

By Illiana Jain

#ecb

Market Reactions to April 2024 ECB Policy Announcement

April 12 2024 • 2 mins

By Tim Riddell

#ecb

Market Reaction to ECB's March Policy Announcement

March 08 2024 • 2 mins

By Tim Riddell

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #abs Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269.   Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

WESTPAC WAVE

Fiji FY2026-27 National Budget Review

01 July 2026

Shamal Chand, Senior Economist Pacific
Email: shamal.chand@westpac.com.au
Phone: +679 998 3024

- The 2026–27 National Budget for Fiji projects a fiscal deficit of $1.0bn (7.0% of GDP), up from $0.8bn (5.5% of GDP) in 2025–26.

- Over the medium-term, the fiscal deficit is expected to remain close to $1.0bn annually, above 6.0% of GDP. The Government does not expect to achieve an operating surplus until 2028–29. Public debt is projected to reach 88.3% of GDP by 2028-29 with annual interest payments nearing $600mn.

- The primary balance, defined as revenue less non-interest expenditure, is projected to remain in deficit at $449.4mn (3.0% of GDP) in 2026–27, with no meaningful improvement expected over the medium-term. By 2028–29, the primary deficit is still forecast to exceed $400mn. This raises an important question: how will lenders and credit rating agencies assess Fiji's fiscal trajectory?

- The tax regime has largely been kept stable, apart from the introduction of a 5% Tourism Services Tax to support the aviation industry and the alignment of some duty rates. Revenue is projected to average around 25% of GDP over the medium-term.

- This is a $4.9bn spending budget (32.8% of GDP), approximately $200mn higher than the revised 2025–26 expenditure estimate. Most of this increase is directed towards accommodating the General Election, Population Census and key capital projects, while broad-based operating expenditure cuts of around 10% have been implemented across ministries and departments.

BIG Numbers

Revenue (25.8% of GDP)

$3.8bn ↓ -69.8mn over last FY

Expenditure (32.8% of GDP)

$4.9bn ↑ +199.5mn over last FY

Fiscal Deficit (-7.0% of GDP)

$1.0bn ↑ +269.3mn over last FY

Gross Debt (84.8% of GDP)

$12.6bn ↑ +1.0bn over last FY

Primary Deficit (3.0% of GDP)

$449.4mn ↑ +211.2mn over last FY

*Compared to FY2025-26 revised estimate

Promising budget requires greater caution

Shamal Chand
Senior Economist, Westpac Pacific Economics

The theme of Fiji's 2026–27 National Budget is "A Responsible Budget for Sustainable Future." Prior to the announcement, very little information on key policy measures had been made public. There was a broad expectation that the Government would keep major revenue policies unchanged while tightening expenditure and maintaining support for households and businesses. In many ways, that is exactly what was delivered.

The Government's central message in the budget is that it recognises public spending has become bloated and that expenditure discipline needs to improve. The budget attempts to demonstrate this by largely keeping overall expenditure unchanged from the previous year. In doing so, it continues to support the critical education, health, security and social sectors of the Fijian economy.

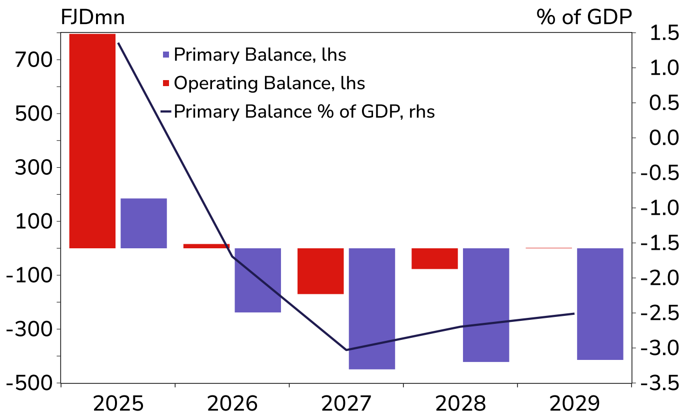
While the Government's commitment to expenditure control is commendable, the worsening primary balance requires greater scrutiny. The primary balance measures the difference between Government revenue and non-interest expenditure. A negative primary balance indicates that the Government is borrowing to meet its interest obligations, creating a potentially self-reinforcing cycle in which rising interest payments require additional borrowing.

Fiji's primary deficit is projected to widen from $238.1mn (1.7% of GDP) in 2025–26 to $449.4mn (3.0% of GDP) in 2026–27 and even hovering above $400mn throughout the medium-term forecast period to 2028–29, which is a cause for concern.

Fiji's multilateral development partners, lenders and credit rating agencies closely monitor the primary balance as a key indicator of fiscal discipline and debt sustainability. A persistent primary deficit, including over the medium-term, suggests that the Government is unable to fully finance its expenditure through its own revenues before interest costs are considered. This presents a significant fiscal and sovereign risk if left unchecked, potentially leading to credit rating downgrades and higher borrowing costs in the future.

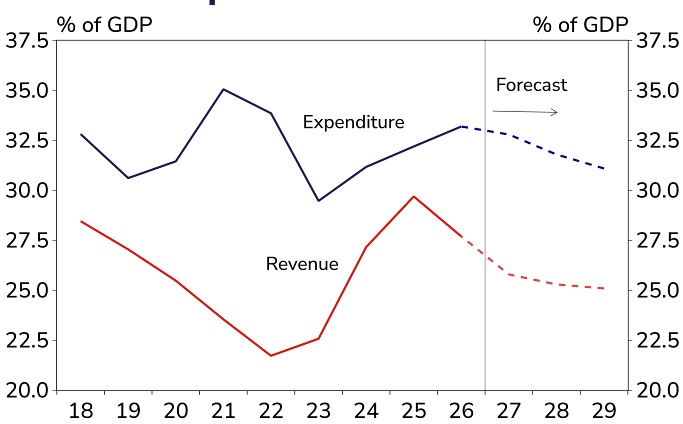
In summary, the budget documents show that revenue is projected to decline from $4.1bn (29.7% of GDP) in 2024–25 to $3.8bn (25.8% of GDP) in 2026–27 before gradually recovering to $4.2bn by 2028–29. Meanwhile, expenditure is expected to continue rising, reaching $5.1bn (31.1% of GDP) by 2028–29, driven largely by operating costs and growing debt-servicing obligations. The fiscal deficit is projected to widen sharply from $337.5mn (2.5% of GDP) in 2024–25 to $1.0bn (7.0% of GDP) in 2026–27 and remain elevated thereafter. Public debt is projected to increase from 79.0% of GDP to 88.3% of GDP by 2028–29.

Deteriorating primary balance



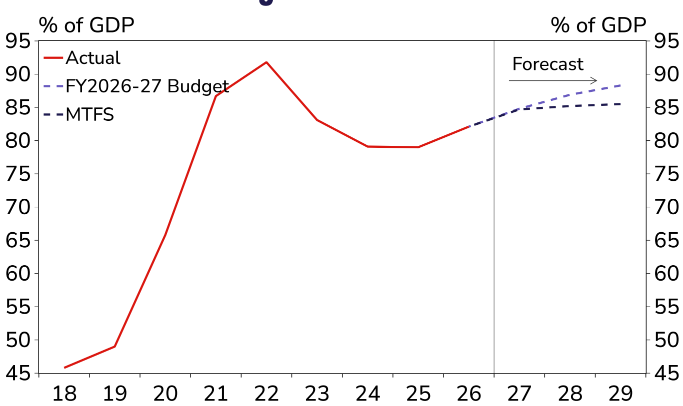
Source: MOF, Macrobond, Westpac Economics

Revenue and Expenditure



Source: MOF, Macrobond, Westpac Economics

Debt to GDP ticks higher



Source: MOF, Macrobond, Westpac Economics

Tax stability and expenditure control

Government expects revenue to remain relatively subdued initially at $3.8bn, with no major changes to the existing tax structure, even as nominal GDP is projected to grow by 5.5%. One of the strongest features of the budget is the preservation of tax stability. VAT, personal income tax and corporate tax rates remain unchanged. The only notable tax measure is the introduction of a 5% Tourism Services Tax from September 2026 on hotels and tour operators with annual turnover exceeding $2mn, alongside the alignment of several duty rates and other cosmetic changes.

The Government appears to be relying once again on conservative revenue assumptions. Given that the 2025–26 fiscal year is expected to finish close to the original budget estimates, it is difficult to argue that expenditures have been materially overstated this time around. Instead, the budget reflects a Government that is increasingly comfortable operating with large deficits. The lack of fiscal consolidation is no longer being disguised in the MTFS. The deficit continues to widen, and medium-term projections revised upwards.

The budget keeps overall expenditure broadly unchanged from the previous year, despite accommodating around $200mn in new spending for the General Election, Population Census and key infrastructure projects. To create room for these priorities, Government announced a broad-based 10% reduction in operating expenditure across ministries, departments and other agencies, including no civil service pay increase.

Given rising inflation, can ministries/departments realistically absorb a 10% reduction in operating grants without cutting or reorganising their overheads?

Most support measures had already been announced before budget day, including fuel duty concessions for Energy Fiji Limited, bus operators, hotels, resorts, mining companies and manufacturers that rely on diesel generation - proactively extended until October.

The budget includes targeted incentives aimed at supporting peer-to-peer lending platforms, equity crowd-funding, EV charging infrastructure, sporting development and greater iTaukei participation in commercial investments.

A review of 2025–26 likely outcomes highlights a familiar concern: capital expenditure implementation. Operating expenditure was largely delivered, with revised estimates reaching approximately $3.9bn, or 99.3% of budget. Capital expenditure, however, significantly underperformed. Revised estimates indicate capital spending of $792.3mn, meaning around $134.3mn of planned capital works and investments might not be delivered. This could also be due to the restructuring and merging of ministries mid-fiscal year.

This pattern continues to raise concerns about the Government's ability to fully translate budget allocations into productive infrastructure outcomes. It also contributes to the worsening composition of expenditure. Over the past several years, the balance between operating and capital spending has deteriorated to an 82:18 ratio.

Medium-Term Budget Plan

$ million	2024-25	2025-26	2026-27	2027-28	2028-29
Revenue	**4,053.2**	**3,894.0**	**3,824.2**	**3,959.9**	**4,151.2**
% of GDP	*29.7*	*27.7*	*25.8*	*25.3*	*25.1*
Tax	3,484.6	3,391.3	3,306.1	3,508.2	3,685.9
Non-Tax	568.6	502.7	518.1	451.7	465.3
Expenditure	**4,390.7**	**4,670.4**	**4,869.9**	**4,970.7**	**5,134.7**
% of GDP	32.2	33.2	32.8	31.8	31.1
Operating	3,257.2	3,878.1	3,994.2	4,036.9	4,149.5
o/w finance charges	*522.5*	*538.3*	*596.3*	*588.8*	*569.1*
Capital	1,056.9	792.3	875.7	933.8	985.2
Fiscal Deficit	**-337.5**	**-776.4**	**-1,045.5**	**-1,010.8**	**-983.5**
% of GDP	*-2.5*	*-5.5*	*-7.0*	*-6.5*	*-6.0*
Debt	**10,761.8**	**11,538.2**	**12,583.9**	**13,594.7**	**14,578.2**
% of GDP	*79.0*	*82.1*	*84.8*	*86.9*	*88.3*
Nominal GDP	**13,625.6**	**14,055.5**	**14,833.5**	**15,649.3**	**16,510.1**
Primary Balance	**185.0**	**-238.1**	**-449.4**	**-422.0**	**-414.4**
% of GDP	*1.4*	*-1.7*	*-3.0*	*-2.7*	*-2.5*
Operating Balance	**796.0**	**15.9**	**-170.0**	**-77.0**	**1.7**
% of GDP	*5.8*	*0.1*	*-1.1*	*-0.5*	*0.0*

Source: Westpac Fiji Analysis; Ministry of Finance budget reports

Proposed financing plan

The 2026–27 Budget will be financed through a combination of domestic and external borrowing to meet a gross financing requirement of $1.48bn. This comprises a projected fiscal deficit of $1.04bn and debt repayments of $436.3mn. While domestic financing remains the largest funding source, Government is budgeting for a significantly larger contribution from external partners than in recent years.

Total overseas financing is projected at $628.0mn, accounting for 42.4% of total financing requirements, up from 37.6% in the revised 2025–26 Budget and 27.8% in 2024–25. Domestic financing is expected to contribute $853.9mn (57.6%).

The external financing programme is dominated by multilateral lenders, particularly the ADB, which is expected to provide $511.8mn, representing more than 80% of total overseas financing. The World Bank and IDA are expected to contribute $55.9mn, while smaller amounts are anticipated from the AIFFP ($7.5mn), OPEC Fund ($6.9mn) and IFAD ($1.5mn). Of the total external programme, approximately $496.0mn is expected to be sourced through policy-based lending operations, with the balance funding project-related expenditure.

However, the financing assumptions remain exposed to significant execution risks. During 2025–26, Government experienced substantial challenges in accessing external financing, a risk we highlighted in last year's budget review. As at April 2026, only $44.7mn in foreign financing had been secured, equivalent to just 8% of the revised external financing target of $559.3mn, due to delays in policy reforms. This forced Government to draw on its cash reserves to meet expenditure needs, with Government deposits in commercial banks falling to $0.6bn in May from levels previously close to $1.0bn.

In contrast, domestic financing performance remained strong, with $789.9mn raised, representing around 85% of the annual domestic financing target, with an increased risk of domestic liquidity constraints in future.

The 2025–26 experience highlights the uncertainty surrounding external financing flows. Policy-based loans are generally subject to policy reform commitments, approval processes and disbursement conditions, which can delay funding beyond budget assumptions. Given the heavy reliance on ADB financing in 2026–27, any delays in approval or disbursement could create financing pressures and require Government to rely more heavily on domestic markets.

In response, Government appears to be extending the maturity profile of domestic debt. Recent auction data point to a gradual shift towards 25-year bonds, while demand for shorter tenors has generally weakened. Several 25-year bond auctions in 2026 attracted relatively strong investor interest, including a March issuance that received $99mn in bids against $40mn offered. Extending maturities reduces refinancing and rollover risks while better aligning Government borrowing with the long-term nature of infrastructure investment. This also meets the needs of institutions such as FNPF.

Proposed Financing Sources

Financing ($ million)	2024-25	2025-26	2026-27
Overseas			
Asian Development Bank	10.4	35.9	511.8
World Bank & IDA	29.1	42.4	55.9
Japan International Cooperation Agency	0	0	0
Asian Infrastructure Investment Bank	0	0	0
Australian Infrastructure Financing Facility for Pacific	0	0	7.5
European Investment Bank	7.7	1.8	0
OPEC Fund	0	0	6.9
IFAD	0	0	1.5
Other unspecified policy-based / multilateral financing	159.2	479.2	44.4
Total	**206.4**	**559.3**	**628.0**
Domestic Bonds and Loans	**534.8**	**928.7**	**853.9**
Total Financing	**741.2**	**1,488.0**	**1,481.9**
Share			
Overseas	27.8%	37.6%	42.4%
Domestic	72.2%	62.4%	57.6%

Source: Westpac Fiji Analysis; Ministry of Finance budget reports

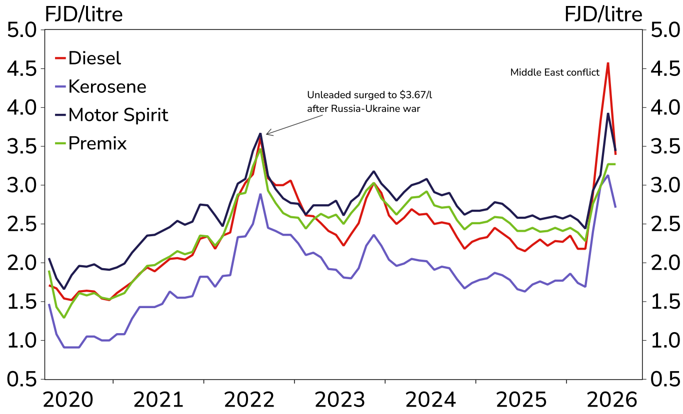
Budget developed in crisis...

Budget announcements in Fiji are usually accompanied by optimism and high expectations. This year was different. The 2026–27 National Budget was developed during one of the most uncertain periods in recent years. Having said that, describing the environment as “uncertain” has become almost a budget cliché; nearly every budget over the past few years has been prepared under similar circumstances.

Global fuel markets were disrupted by conflict in the Middle East, inflation pressures were rebuilding, growth forecasts were being revised downwards, and Fiji is edging closer to a General Election. Throughout May and June, policymakers were forced to prepare for a scenario involving prolonged fuel market disruptions, elevated oil prices, and rising prices.

Yet by the time the new financial year begins, the global environment had shifted dramatically, although uncertainty remains elevated. A ceasefire between the US and Iran had largely held, shipping traffic through the Strait of Hormuz had resumed and millions of barrels of previously stranded oil were reaching international markets. Domestic fuel prices followed suit, with petrol falling by 49c and diesel by a substantial $1.19/litre in July. As such, with these positive developments and accounting for recent budget announcements, we keep Fiji’s 2026 growth profile unchanged at 2.0%.

Fiji domestic fuel price

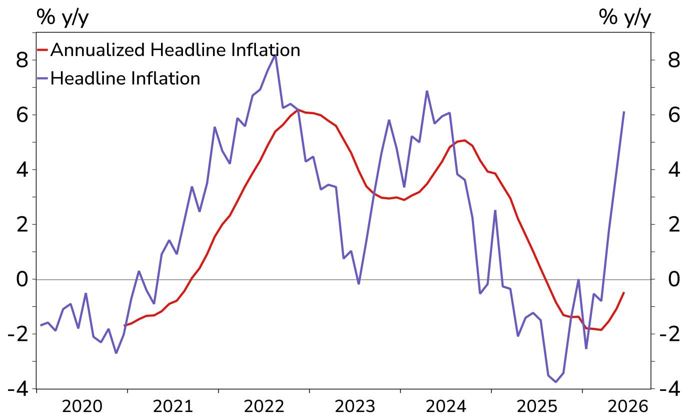


Source: IMF, Macrobond, Westpac Economics

Inflationary pressures expected to persist

Government expects year-end inflation to exceed 6.0% with June reading already at 6.1%. While falling fuel prices should help ease some pressure during the second half of the year, households and businesses will continue to feel the cumulative effects of higher living and operating costs. Based on past experience of many, even if benchmark fuel prices decline, retail goods prices do not always adjust downwards accordingly unless they are subject to regulatory pricing mechanisms. Domestic consumption continues to be supported, including through remittances, which have surged to $561.7mn as of April (up by 25.2%).

Headline inflation surges to 6.1% in June

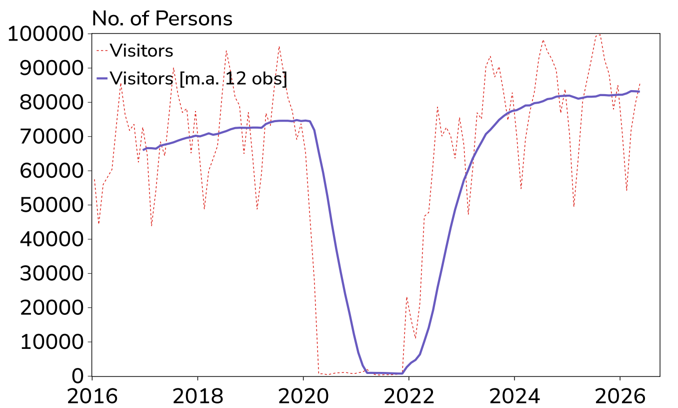


Aviation sector supported

The budget provides much-needed support to the aviation sector, particularly Fiji Airways, which is facing high operating costs. The budget supports Fiji Airways through a planned $200mn Government guarantee, $10mn in fees relief, and an extension of tax loss carry-forward provisions to 15 years. A temporary 5% Tourism Services Tax is expected to generate approximately $70mn to support Fiji Airways.

In addition, visitor arrivals in May 2026 totalled 85,405, down 1.4% y/y from 86,587 in the same month last year. Year-to-date arrivals reached 362,106, up 3.1% compared with 351,069 over the same period in 2025. Fiji is now in its peak tourism season, and softer arrivals over the past 2 months may signal a weaker growth trajectory this year.

Visitor arrivals up 3.1% as of May



Source: FBoS, Macrobond, Westpac Economics

...has become quite a cliché

Government asks private sector to drive growth

To spark this transition, the Government is rolling out aggressive tax holidays across key sectors. New cement manufacturing facilities and major iTaukei joint ventures in eco-tourism can qualify for tax holidays of up to 13 years, while mahogany processors and healthcare facilities receive targeted tax incentives.

Simultaneously, the Government is attempting to cut through bureaucratic red tape. Investor permit processing times are expected to be reduced from 21 days to just five, supported by a fast-track taskforce involving Investment Fiji and the Ministry of Immigration to clear project bottlenecks, alongside a $4mn digital building permit system. The budget also seeks to reduce business costs through duty reductions on selected imported inputs, including aluminium and PVC products, with the aim of lowering construction and manufacturing costs.

Superannuation changes

One of the most notable initiatives is the temporary reduction in employer FNPF contributions from 10% to 8% for a 12-month period. For businesses, particularly in labour-intensive sectors such as tourism, retail and manufacturing, this provides immediate payroll cost relief and additional cash flow during a period of weaker growth.

For workers, lower contributions would normally raise concerns about slower accumulation of retirement savings. With no major support measures for employees announced in the budget, businesses now have the opportunity to maintain the previous 10% employer contribution rate as an additional employment incentive.

One piece of good news, which was incorporated into the announcement, was FNPF's declaration of a 9.5% interest crediting rate to member accounts, totaling $866mn for the financial year ending 30 June.

Support to households and most vulnerable

The Ministry of Housing has been allocated $25.6mn to address urbanisation challenges. The revamped First Home Ownership Initiative now targets households earning below $60,000, offering grants of up to $40,000 for home construction. A further $10mn has been allocated to upgrade nine informal settlements, while $1.3mn will support the relocation of 1,200 vulnerable households.

To ease cost-of-living pressures, social protection programmes receive $211.4mn, supporting around 130,000 beneficiaries. Zero-rated VAT on 22 items has been maintained, while $40mn has been allocated for Back-to-School Assistance in 2027. Households earning below $30,000 continue to receive free water and subsidised electricity.

The State of state-owned entities

Another area requiring reform is the state-owned enterprise (SOE) sector. Many SOEs continue to generate returns on assets and equity well below levels generally expected in the private sector. SOEs recorded an average return on assets of 1.7% and a return on equity of 4.1% in 2025. Total dividends paid were $18mn, despite SOEs holding assets worth more than $10bn. The Government needs a clearer medium-term strategy for restructuring, commercialisation and, where appropriate, privatisation.

Challenges ahead

Foreign Reserves: Government projects foreign reserves to decline cumulatively by around $522.8mn by 2029 as a result of a widening current account deficit. While foreign reserves currently stand at $3.4bn, sufficient to cover 4.7 months of imports, the Government's projections clearly point to emerging external sector risks and the potential for tighter banking system liquidity and slower private sector credit growth over the medium-term. RBF profits transferred to the Government stood at $115mn in 2026–27, accounting for a significant share of non-tax revenue. These profits are projected to decline to $60mn by 2028–29, reflecting an expected reduction in foreign reserve holdings.

Productivity stagnation: Beyond the immediate challenges of fuel prices and fiscal pressures, the budget explicitly identifies productivity as one of Fiji's biggest long-term constraints. Economic growth is increasingly being undermined by labour shortages, outward migration, skills mismatches and rising operating costs that are not being matched by improvements in output. Ageing infrastructure, traffic congestion, high water losses, and emerging social challenges such as NCDs, HIV and drug use are all cited as factors weighing on productivity and competitiveness.

Government attempts to address this by restructuring the National Training Productivity Centre Levy, directing more resources towards workforce training, providing tax incentives for employee upskilling, and accelerating digitalisation initiatives. However, will this be adequate?

Motivation: One of the major challenges will be the full implementation of capital projects and securing external policy-based financing. These investments and reforms rely heavily on strong execution capacity. As of April, the Government had secured only 8% of its budgeted policy-based loans due to its inability to meet certain policy reform commitments and obligations. It is also expected to underspend its capital budget by more than $100mn this financial year. With the civil service now on permanent contracts and no salary increases announced in this budget, it may prove challenging for the Government to deliver on these critical aspects of the budget.

The bitter decline of Fiji's sugar industry

Globally, sugar is considered the second most politically traded commodity after oil because of its strong links to Government policy and trade agreements. In Fiji, sugar has become more than an industry; it has deep historical and social significance.

Fiji's sugar production peaked in the mid-1990s and has been declining ever since. The number of growers has halved, cane quality has dropped, and farms have become smaller. Today, most growers are small-scale, and many continue farming mainly to keep their leases for residential purposes on the land. When agricultural leases started expiring decades ago, the industry decline accelerated. Large family farms disappeared as older generations passed away, and younger ones moved to urban areas for better jobs. Extended families once provided free labour, but with the shift to nuclear families, that support has vanished. Sugar yields have also declined because farmers are hesitant to replant, as sugarcane is a ratooning crop that can regrow for up to a maximum of five to six years.

Just to put some numbers in perspective: As of 2025, Fiji has around 9,127 active growers harvesting 1.5mn tonnes of sugarcane from 27,000 hectares. In 1996, there were 20,600 growers harvesting 4.4mn tonnes of sugarcane from 74,000 hectares. Back then, sugar exports earned over $300mn, or 10% of GDP. In 2025, exports fell to $76mn, which is 0.6% of GDP. This is according to Fiji Bureau of Statistics' sugar industry production and prices data. Ultimately, most produced sugar is exported, and only about 30,000 tonnes are consumed locally. Because sugar is duty-protected, Fijian consumers pay more.

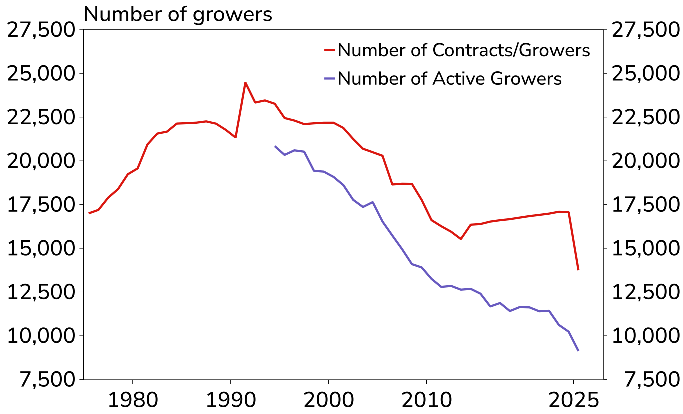
Most farmers are elderly. A 2023 estimate says over 75% are above 50 years old. Only a handful of young farmers remain engaged in the industry, typically operating larger farms or maintaining leases to reside on 30-year leased agricultural land. Existing farmers have discouraged their children from entering the industry, many of whom now work in the commercial and service sectors in urban centres, where the quality of life and pay are better.

Despite earning foreign exchange, the industry operates at a financial loss year after year. Fiji Sugar Corporation has averaged over $30mn in annual losses for the past decade. It would cost roughly the same if Fiji imported sugar solely for domestic consumption annually. Essentially, sugar exports are heavily subsidised.

The sugar industry is kept afloat with significant financial support such as debt write-offs, grants & subsidies, and payment top-ups to mitigate global price shocks. For example, in 2024, the Fiji Government wrote off $200.2mn in FSC debt. In 2020, $173.8mn in loans were converted to equity. Every year, over $60mn goes into farm development, fertiliser subsidies, road access, and more.

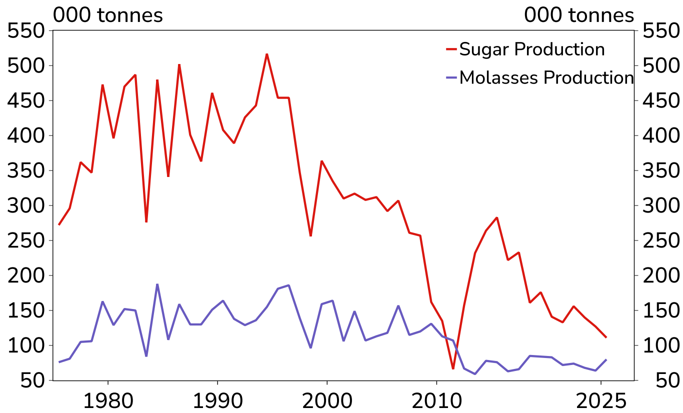
In the 2026-27 National Budget, the sector receives an interim

Sugarcane growers declining rapidly



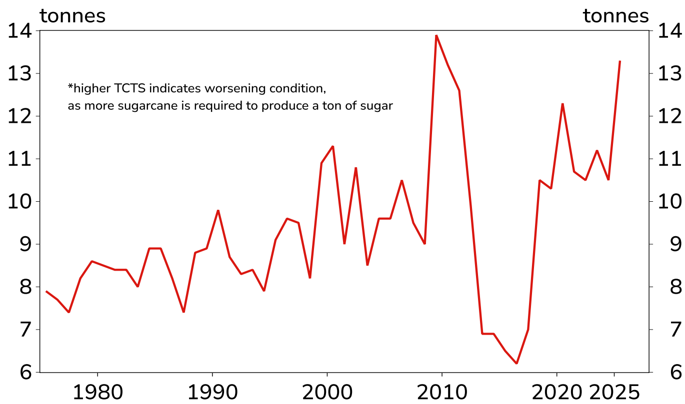
Source: Fiji Bureau of Statistics, Macrobond, Westpac Economics

Sugar and molasses production



Source: Fiji Bureau of Statistics, Macrobond, Westpac Economics

Input of cane per tonne of sugar



Source: Fiji Bureau of Statistics, Macrobond, Westpac Economics

The bitter decline of Fiji's sugar industry

support of $96.3mn, with Government maintaining guaranteed price of $85/ton and a fuel subsidy of $5mn.

In terms of broader market projections, sugar prices are expected to fall because of global oversupply. It is currently trading just below US$0.14/lb., one of the historic lows for the commodity. Sugar prices are expected to remain range bound through 2027, with excess supply limiting any durable recovery until 2028.

Fiji no longer benefits from the preferential prices once offered by the European Union, which at one stage paid nearly three times the prevailing world market price for sugar. The loss of that arrangement has significantly reduced the industry's export earnings and exposed local producers to the realities of competing in a highly competitive global market. Today, Fiji must compete against large-scale producers such as India and Brazil, which benefit from lower labour costs, greater economies of scale, larger state subsidies and more advanced technology, as well as Australia, where a highly capital-intensive and private sector-driven industry delivers much higher productivity. Competing under these conditions has become increasingly challenging for Fiji's sugar sector.

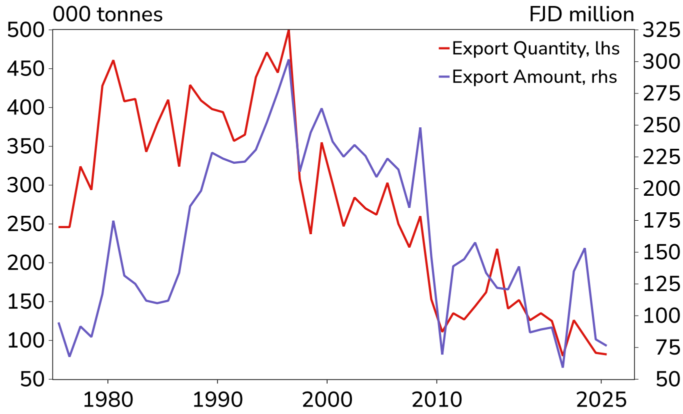
Fiji has restructured the sugar industry before independence for economic reasons. Mills have opened and closed since colonial times. For perspective, the Colonial Sugar Refinery Company established ten mills in the Rewa Valley in the 1880s, with the last one closing by 1959 as it became uneconomical to operate those mills given lower sugar content. The Penang Mill shut permanently in 2017 after cyclone damage.

The big question is whether Fiji should keep directing money into sugar or help farmers shift to other livelihoods. Mechanisation has not solved labour shortages, especially in hilly areas, and it has reduced cane quality because old mills cannot process machine-harvested cane that well. Mechanically harvested cane introduces "extraneous matter," which deteriorates yields as old mills were built to accept manually harvested sugarcane. The small farm size, distance from mills and ports together with still high dependence on labour makes the industry significantly uneconomical.

Despite the harsh realities, Fiji cannot shut the industry overnight because 10,000 growers depend on it, that is about 1% of the population, or 4% if you count family members. But reforms are needed to assist existing farmers and industry participants to gradually transition to alternative income sources. Mechanisation is essential for the industry to move toward profitability but achieving this will require substantial capital investment; something Fiji currently lacks the capacity to provide. Nonetheless, such transition will require a gradual long-term roadmap.

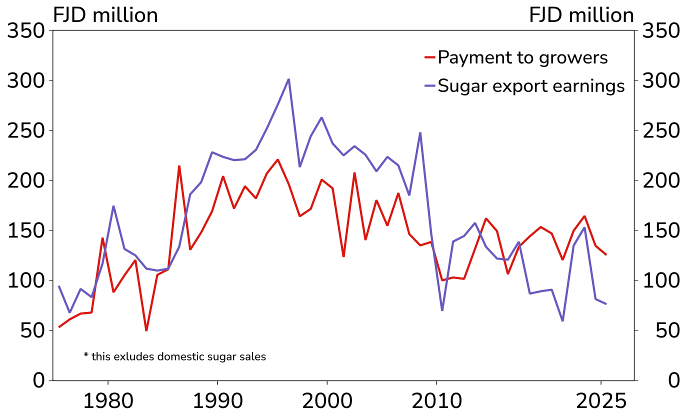
Sugar was once the backbone of Fiji's economy.

Sugar exports



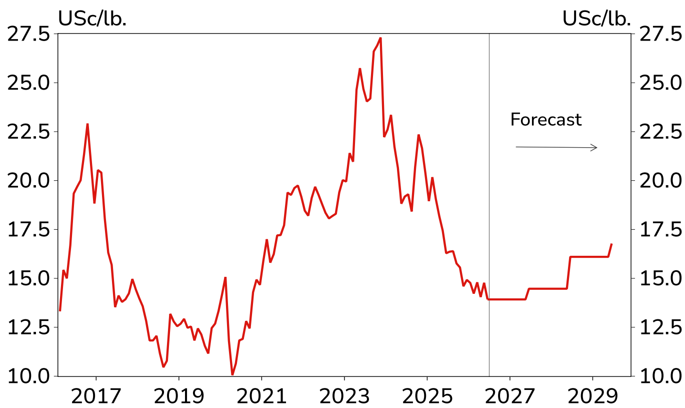
Source: Fiji Bureau of Statistics, Macrobond, Westpac Economics

Industry relies heavily on subsidy



Source: Fiji Bureau of Statistics, Macrobond, Westpac Economics

Global sugar price



Source: , Macrobond, Westpac Economics

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Exchange rate forecast

Majors	Latest	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28
FJD/USD	0.4420	0.45	0.46	0.46	0.46	0.47	0.47	0.47	0.47	0.47
FJD/AUD	0.6385	0.63	0.62	0.63	0.63	0.63	0.63	0.64	0.64	0.64
FJD/EUR	0.3869	0.39	0.39	0.39	0.39	0.39	0.38	0.38	0.38	0.39
FJD/JPY	71.86	71	71	71	71	70	69	68	67	66
FJD/NZD	0.7782	0.76	0.76	0.74	0.72	0.72	0.71	0.71	0.71	0.71
AUD/USD	0.6912	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73	0.73
EUR/USD	1.1413	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.21
USD/JPY	162.63	158	156	154	152	150	148	146	144	142
NZD/USD	0.5674	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66

Source: Bloomberg, Westpac Economics Market Outlook, Westpac Pacific Economics

Fiji's medium-term growth forecast

Sectors	2020	2021	2022	2023	2024	2025	2026	2027	2028
Primary	-3.8%	9.1%	3.0%	3.8%	4.4%	4.0%	2.4%	4.6%	3.8%
Industry	-15.3%	-8.8%	10.2%	0.3%	2.4%	1.1%	0.2%	1.6%	1.0%
Service	-20.9%	-6.9%	25.1%	13.5%	3.6%	3.3%	2.3%	3.2%	3.0%
Net taxes	-17.2%	-4.3%	17.7%	9.4%	3.5%	3.1%	2.0%	3.2%	2.9%
Real GDP	**-17.2%**	**-4.3%**	**17.7%**	**9.4%**	**3.5%**	**3.1%**	**2.0%**	**3.2%**	**2.9%**

Source: Westpac Pacific Economics

Economic growth forecasts (year average)

Country	2021	2022	2023	2024	2025	2026	2027	2028
World	6.6	3.8	3.5	3.3	3.4	3.1	3.3	3.3
United States	6.2	2.5	2.9	2.8	2.1	2.1	1.8	1.9
China	8.4	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Japan	3.6	1.3	0.7	-0.2	1.1	0.6	0.8	0.9
India	9.7	7.6	7.2	7.1	7.6	6.5	6.7	6.6
Europe	6.4	3.7	0.5	0.9	1.5	0.2	1.1	1.5
Australia	5.4	4.2	2.1	1.0	2.0	1.7	1.3	2.3
New Zealand	5.5	2.6	2.2	-0.3	0.2	1.5	2.7	3.4

Source: Westpac Economics Market Outlook

Fiji Government yields

Month	3 mths	6 mths	12 mths	10 yrs	15 yrs	20 yrs	25 yrs
May-26	0.20	0.45	1.17	3.90	4.15	5.75	7.25
Apr-26	0.20	0.45	1.13	3.90	4.15	5.75	7.01
Mar-26	0.20	0.45	1.12	3.90	4.15	5.75	7.20
Feb-26	0.20	0.45	1.12	3.90	4.15	5.75	7.00
Jan-26	0.20	0.45	1.12	3.90	4.15	5.75	7.16
Dec-25	0.20	0.45	1.12	3.90	4.15	5.75	7.16
Nov-25	0.20	0.45	1.12	3.90	4.15	5.75	7.16
Oct-25	0.20	0.45	1.13	3.90	4.15	5.46	6.75

Source: Westpac Pacific

Interest rate forecast

Economies	Latest	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28
Australia										
Cash	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35	4.10
10 Year Bond	4.72	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.90
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
10 Year Bond	4.38	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80
New Zealand										
Cash	2.25	2.50	2.75	3.25	3.50	3.75	4.00	4.00	4.00	4.00
10 Year Bond	4.36	4.40	4.55	4.80	5.00	5.05	5.05	5.05	5.05	5.05

Source: Westpac Economics Market Outlook

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Disclaimer continues overleaf ▶

financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

25 June 2026

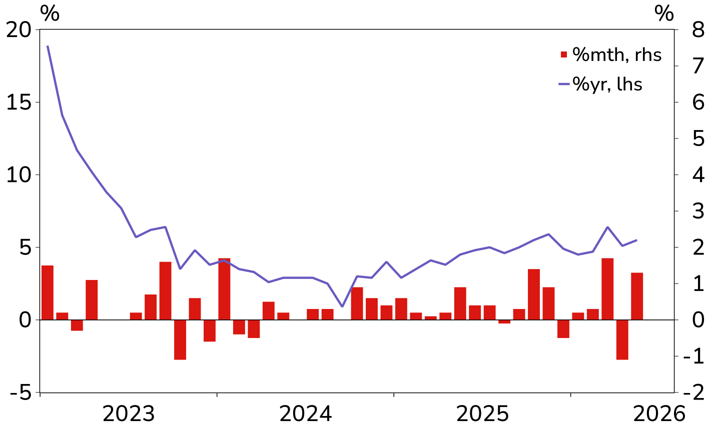
HOUSEHOLD SPENDING INDICATOR BULLETIN

Spending sees broad-based support

Key points

- Household spending rose 1.3%mth in May, fully unwinding April's –1.1%mth fall, with annual growth strengthening to 5.5%yr.
- Services led the rebound after a sharp fall in April, while goods spending rose modestly. Discretionary spending outperformed, while non-discretionary spending edged lower.
- The increase was broad based, with all nine spending categories recording gains. Clothing & footwear, miscellaneous goods & services, and hotels, cafes & restaurants led the gains, while transport spending rebounded as travel-related refunds normalised following April's disruption.
- All states except Tasmania posted gains, with WA outperforming and recording its strongest monthly increase since 2022.
- The outlook for consumer spending remains soft, with consumer sentiment continuing to decline and card activity pointing to a clear moderation in momentum.

Monthly Household Spending Indicator Growth



Source: ABS, Macrobond, Westpac Economics

May household spending indicator: 1.3%mth, 5.5%yr

All spending categories see a rise

Luka Belobrajdic
Economist

The monthly household spending indicator rose 1.3%mth in May, fully unwinding April's –1.1%mth fall. Today's result came in stronger than both our expectation for a 0.7%mth rise and the market's expectation of 0.5%mth. With March data revised slightly higher to a 1.7%mth increase, annual growth strengthened to 5.5%yr. The three-month growth pace also firmed, rising to 1.7%qtr from 1.1%qtr previously.

By broad category, services led the rise, posting a 2.6%mth gain (5.1%yr) following a –1.8%mth result in April. Meanwhile, goods spending rose a modest 0.1%mth (5.9%yr), nevertheless marking a reversal in last month's weakness. Discretionary spending increased 2.1%mth (5.6%yr), while non-discretionary spending declined –0.2%mth (5.2%yr).

Across the detail, all nine spending categories recorded gains, highlighting the broad-based nature of the increase. Clothing & footwear led the gains, rising 2.7%mth, with the ABS attributing the increase to base effects associated with sales events in April. Miscellaneous goods & services also posted a solid rise, increasing 2.2%mth in May. Hotels, cafes & restaurants rose 1.9%mth, driven primarily by restaurant meals, takeaway and dining out, supported by sporting and cultural events across Australia as well as higher hospitality prices.

Transport spending rose 1.4%mth, following April's sizeable decline associated with the halving of the fuel excise. The ABS noted that the increase largely reflected travel-related refunds returning to more typical levels after being significantly elevated in April due to flight cancellations associated with the Middle East conflict. Excluding air transport spending, total household spending would have risen 0.6%mth. Elsewhere, all remaining categories recorded gains, with food spending rising 1.1%mth, alcoholic beverages & tobacco 1.0%mth, furnishings & household equipment 0.8%mth, recreation & culture 0.8%mth, and health 0.2%mth.

State outcomes were broadly positive, with all jurisdictions except Tasmania recording gains. Tasmania declined –0.5%mth, while WA outperformed, rising 2.6%mth, its strongest result since 2022, consistent with the state's strength in non-fuel spending observed in our latest Westpac–DataX Card Tracker data (see here). Victoria (+1.7%mth), SA (+1.6%mth), Queensland (+1.1%mth) and NSW (+0.7%mth) also posted gains in the month.

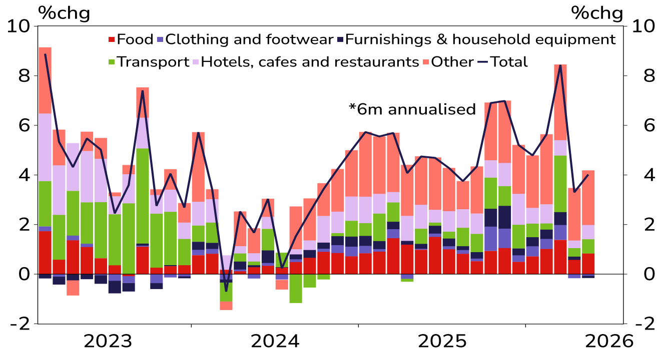
Looking ahead, the outlook for consumer spending remains soft. Our Westpac–DataX Card Tracker points to a clear moderation in activity excluding fuel through to end-May, while consumer sentiment declined further in June from already historically low levels, with cost-of-living pressures remaining front of mind (see here).

Household spending indicator – May 2026

	$bn	% chg mth		% chg yr	
	May-26	Apr-26	May-26	Apr-26	May-26
sa	80.64	–1.1	1.3	5.1	5.5
trend	80.20	0.4	0.3	5.1	5.1

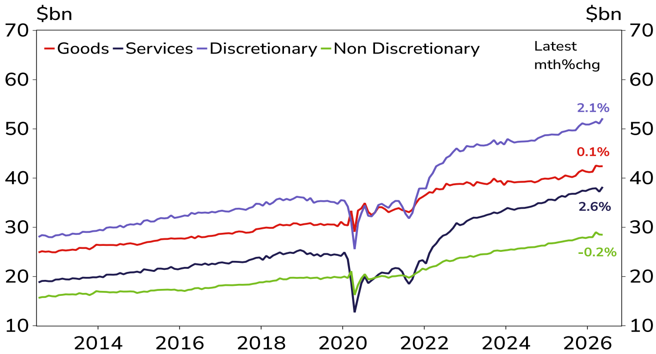
Source: ABS, Macrobond, Westpac Economics.

Contribution to growth by category



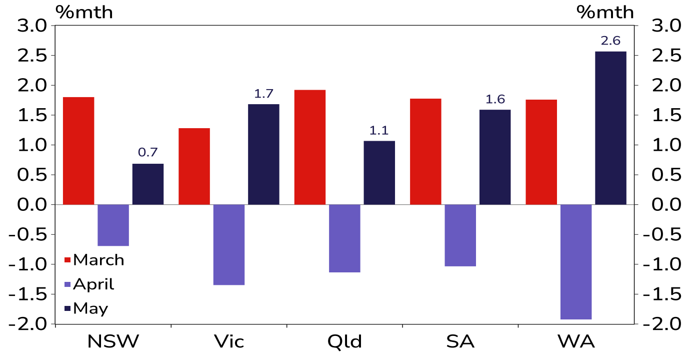
Source: ABS, Macrobond, Westpac Economics

Goods, services, discretionary & non-discret.



Source: ABS, Macrobond, Westpac Economics

Monthly household spending by state



Source: ABS, Macrobond, Westpac Economics

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information

Disclaimer continues overleaf ▶

does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

1 July 2026

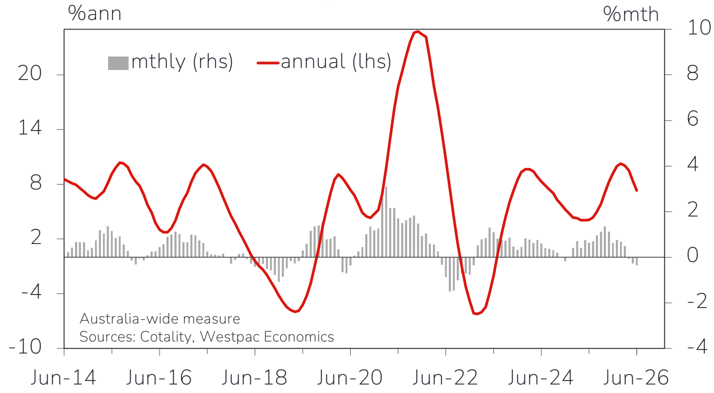
AUSTRALIAN DWELLING PRICES BULLETIN

Sydney-Melbourne correction deepens

Key points

- The Cotality home value index – covering all of Australia – fell 0.4% in June, following a 0.3% decline in May and a 0.1% dip in April. Annual growth slowed to 7.3%yr. The quarterly decline is the most significant since the 2022-23 price correction.
- Corrections in Sydney and Melbourne are becoming more pronounced, led by material declines in 'top tier' segments with turnover also down sharply. Momentum is slowing elsewhere but price and turnover growth are still mostly positive.
- Uncertainty about the outlook for interest rates and impact of tax policy changes means markets – particularly those already in a correction – are somewhat prone to 'air pockets' emerging near term.

Australian dwelling prices



June Cotality home value index: –0.4%mth; +7.3%yr

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Markets heading south or slowing

Matthew Hassan
Head of Australian Macro–Forecasting

The Cotality home value index, covering all of Australia, fell 0.4% in June following a 0.3% decline in May and a 0.1% dip in April. The cumulative 0.7% fall over the quarter is the biggest quarterly decline since the 2022-23 correction. Annual growth has slowed to 7.3%yr.

The detail continues to show deepening price corrections in Sydney and Melbourne, a moderation in previously strong gains in Brisbane, Adelaide and Perth and slowing momentum in other cities and regional areas. Across the fifty detailed sub-markets covered, 28% recorded price declines in Q2 compared to 16% in Q1.

Note that, unless specified, figures in titles, tables and the commentary below are in non-seasonally adjusted terms, consistent with the 'headline' figures reported by Cotality. Figures shown in charts are in seasonally adjusted terms.

The slowdown to date mainly reflects the rate hikes in February, March and May and uncertainty around the Middle East conflict with some likely added drag more recently from tax policy changes announced in the Federal budget in mid May.

Turnover is starting to weaken more materially in the Sydney and Melbourne markets where price corrections have been more pronounced. Preliminary estimates points to a 4.6%qtr decline in turnover nationally in Q2, following a 5%qtr decline in Q1. The same estimates point to falls of around 15%qtr for Sydney and Melbourne, compared to 7% declines in Q1. The gap between sales and new listings, which have been relatively steady, is narrowing quickly, particularly in these softer markets. The shift is reflected in auction markets, with clearance rates moving further below average in Sydney and Melbourne and a notable rise in pre-auction withdrawals.

By dwelling type, the price cycle continues to be slightly more pronounced houses than units. Price growth is also weaker for 'top-tier' properties across each market (defined as the top 25% of properties by value). Indeed, weighted across cities, prices in this segment declined 1% in June to be down 2.6%qtr. The same measures for mid and low price tiers show 1.4%qtr and 0.1%qtr declines respectively.

The June price results by capital city were as follows:

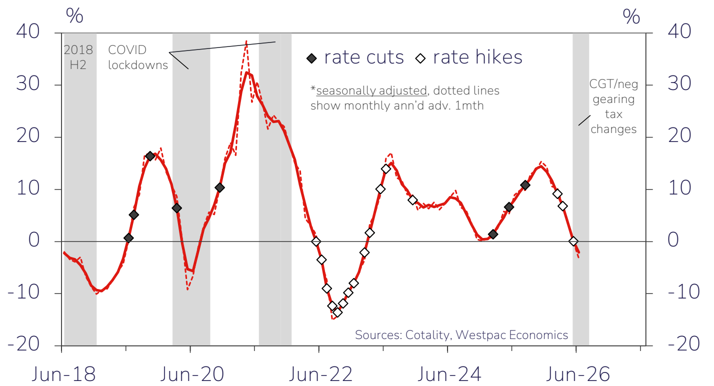
- **Sydney:** with a sharp 1.2% fall in June coming on top of a 1.1% decline in May, Sydney is now leading the correction nationally with prices down 3.2%qtr and annual price growth dropping back to just 0.3%yr. 'Top tier' houses are down more meaningfully, –4.6%qtr and –4.7%yr. 'Bottom tier' houses are still sitting on a 9%yr annual gain.

Cotality home value index: June 2026

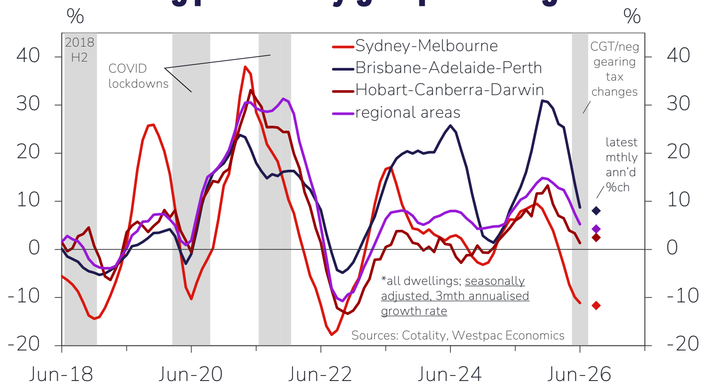
	%mth				%ann			
	Mar	Apr	May	Jun	Mar	Apr	May	Jun
Australia*	**0.5**	**–0.1**	**–0.3**	**–0.4**	**10.0**	**9.5**	**8.4**	**7.3**
seas. adjusted	0.3	0.0	–0.3	–0.2	10.0	9.6	8.5	7.4
– houses	0.5	–0.1	–0.3	–0.4	10.9	10.3	9.0	7.8
– units	0.4	–0.1	–0.1	–0.2	7.0	6.8	6.1	5.6
Major capital cities								
Sydney	–0.4	–0.9	–1.1	–1.2	5.2	4.1	2.1	0.3
Melbourne	–0.7	–0.8	–0.8	–1.0	3.3	2.1	0.6	–0.9
Brisbane	1.5	0.7	0.3	0.3	18.9	18.9	18.3	17.4
Adelaide	1.2	0.9	0.3	0.0	11.3	12.0	12.0	11.6
Perth	2.0	0.7	0.6	0.7	24.5	24.5	24.2	23.9
Turnover^	**–5.0**	**–3.4**	**–3.2**	**–4.6**	**2.0**	**0.3**	**–1.8**	**–7.0**

* Australia–wide measure, covering both capital cities and regional areas.
Sources: Cotality, Westpac Economics.
^ rolling 3mth total, %3mth and %ann ch, seasonally adjusted by Westpac.

Australian dwelling prices: 3mth ann'd



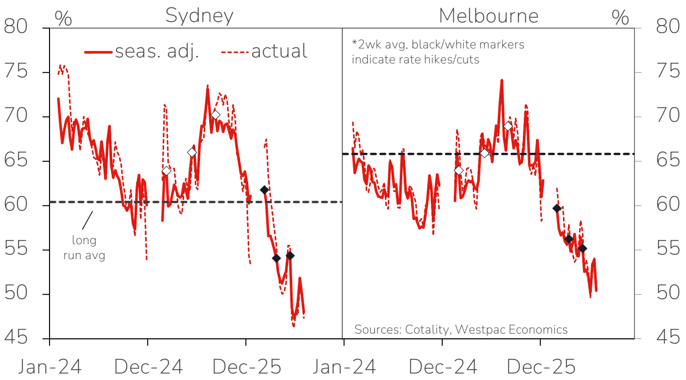
Dwelling prices: city groups and regional areas



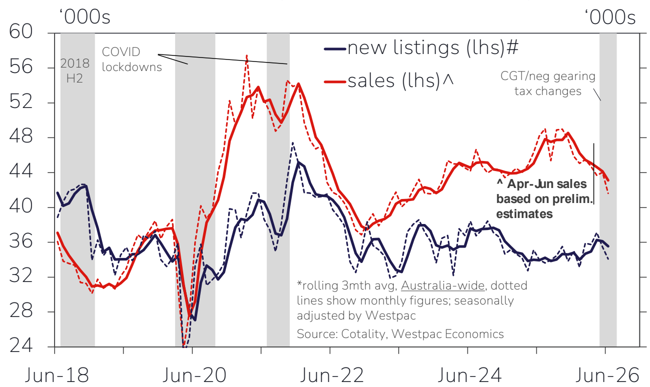
- **Melbourne:** a –1%mth decline, a slight acceleration on the –0.8%mth falls in May and April, leaving prices off 2.6%qtr and tipping annual growth into outright negative (–0.9%yr). 'Top tier' house prices are down 4.5%yr, comparable to the weakness in this segment in Sydney. However, that follows a much poorer price performance in Melbourne in recent years – 'top tier' house prices have declined 4.4% since mid-2021 in Melbourne but are up 4.6% for this segment in Sydney and by just over a third for capital city dwelling prices more generally.
- **Brisbane:** prices rose 0.3% in June, in line with May's rise and consistent with a continued tapering in growth back from the very strong gains seen over the ten months to March. At 17.4%yr, annual growth remains strong but gains have been tracking a 6% annualised pace more recently. The detail continues to show the familiar pattern of outperformance across lower-priced tiers although the wedge is narrowing. Notably, all tiers are still seeing positive, albeit slower, price growth.
- **Adelaide:** stalled flat in June, annual price growth slowing back 11.6%yr with a clearer step-down in recent months. Interestingly, the detail here shows the latest slowing has been a little more pronounced for 'low and middle tier' segments. South Australia has seen a more meaningful rise in new dwelling construction than other states and this price pattern could be a sign that new supply is starting to ease pressures in some segments.
- **Perth:** continues to lead the major capitals price-wise posting another 0.7%mth gain in June, broadly in line with May and April but a significant step-down on the string of 2%+ monthly rises between August and March. Annual price growth is still very strong at 24%yr but gains in recent months have been at around a 10% annual pace.
- Outcomes across the smaller capitals were again more mixed, price growth holding up in Darwin (1.4%mth, 19.8%yr), more subdued in Hobart (0.6%mth, 9.3%yr), and dipping in Canberra (–0.6%mth, 2.9%yr).
- **Regional markets** showed flat prices in NSW and Victoria but and modest gains in Queensland (which includes the Gold and Sunshine Coasts).

Overall, the June update showed a similar picture to May with deepening corrections underway in Sydney and Melbourne and momentum slowing everywhere else. As we highlighted in our recent **Housing Pulse**, tight supply, the likely absence of 'urgent' selling and relatively well anchored consumer price expectations should limit downside risks to prices going forwards. Notably, new listings are starting to show some pull back as well. However, current uncertainty about the outlook for interest rates and impact of tax policy changes means markets – particularly those already in a correction – are somewhat prone to 'air pockets' emerging near term. If these were to emerge, thin trading conditions could result in sharper price moves.

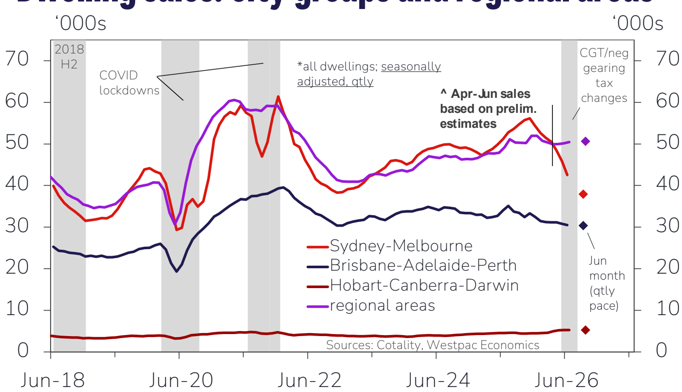
Auction clearance rates



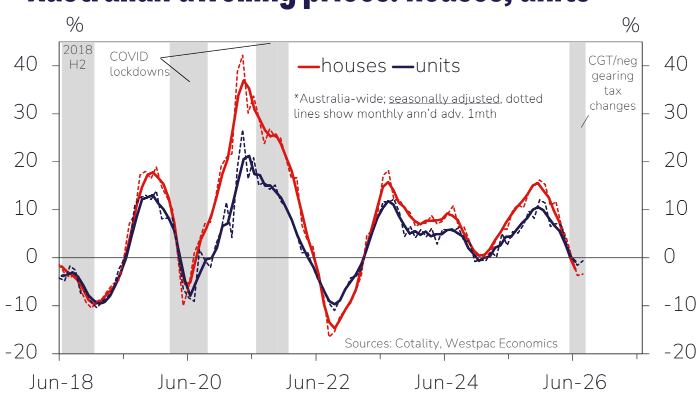
Australian dwellings: sales and listings



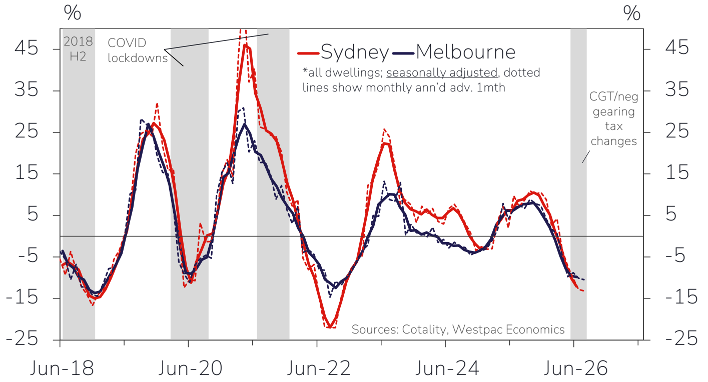
Dwelling sales: city groups and regional areas



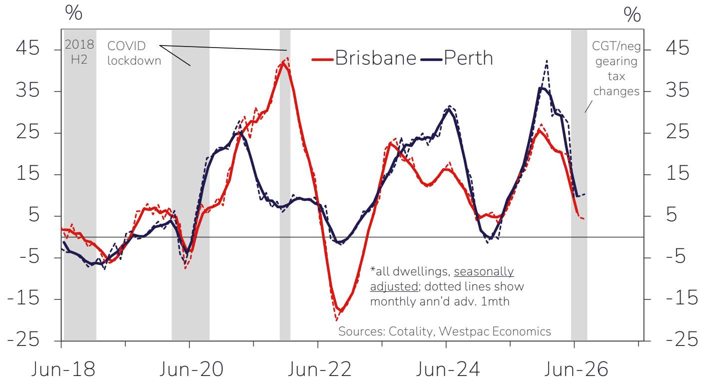
Australian dwelling prices: houses, units



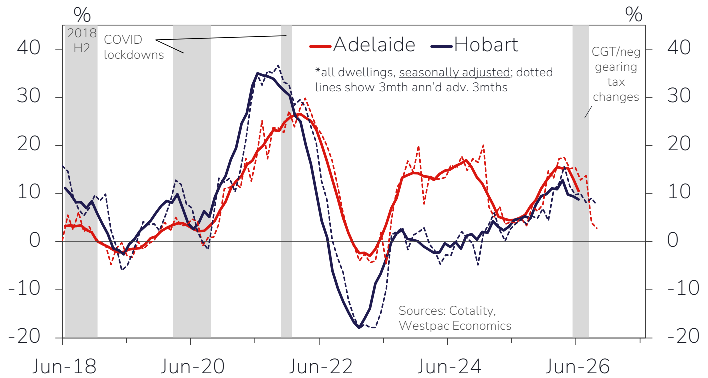
Sydney, Melbourne dwelling prices: 3mth ann'd



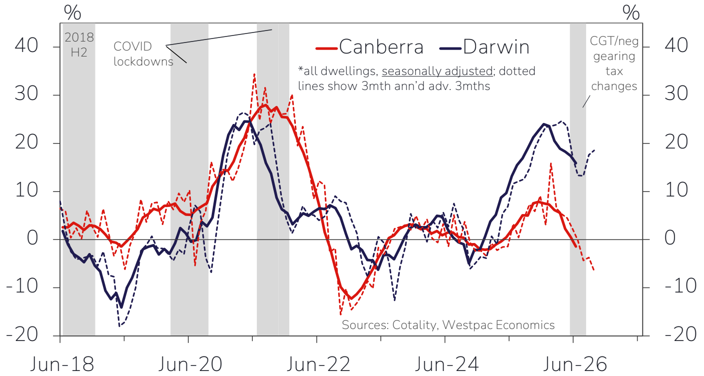
Brisbane, Perth dwelling prices: 3mth ann'd



Adelaide, Hobart dwelling prices: 6mth ann'd



Canberra, Darwin dwelling prices: 6mth ann'd



Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for

Disclaimer continues overleaf ▶

Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Q2 Job Vacancies: drifts lower

#labour #labour #employment

By Neha Sharma
Economist, Westpac

15:00 June 25 2026

Share

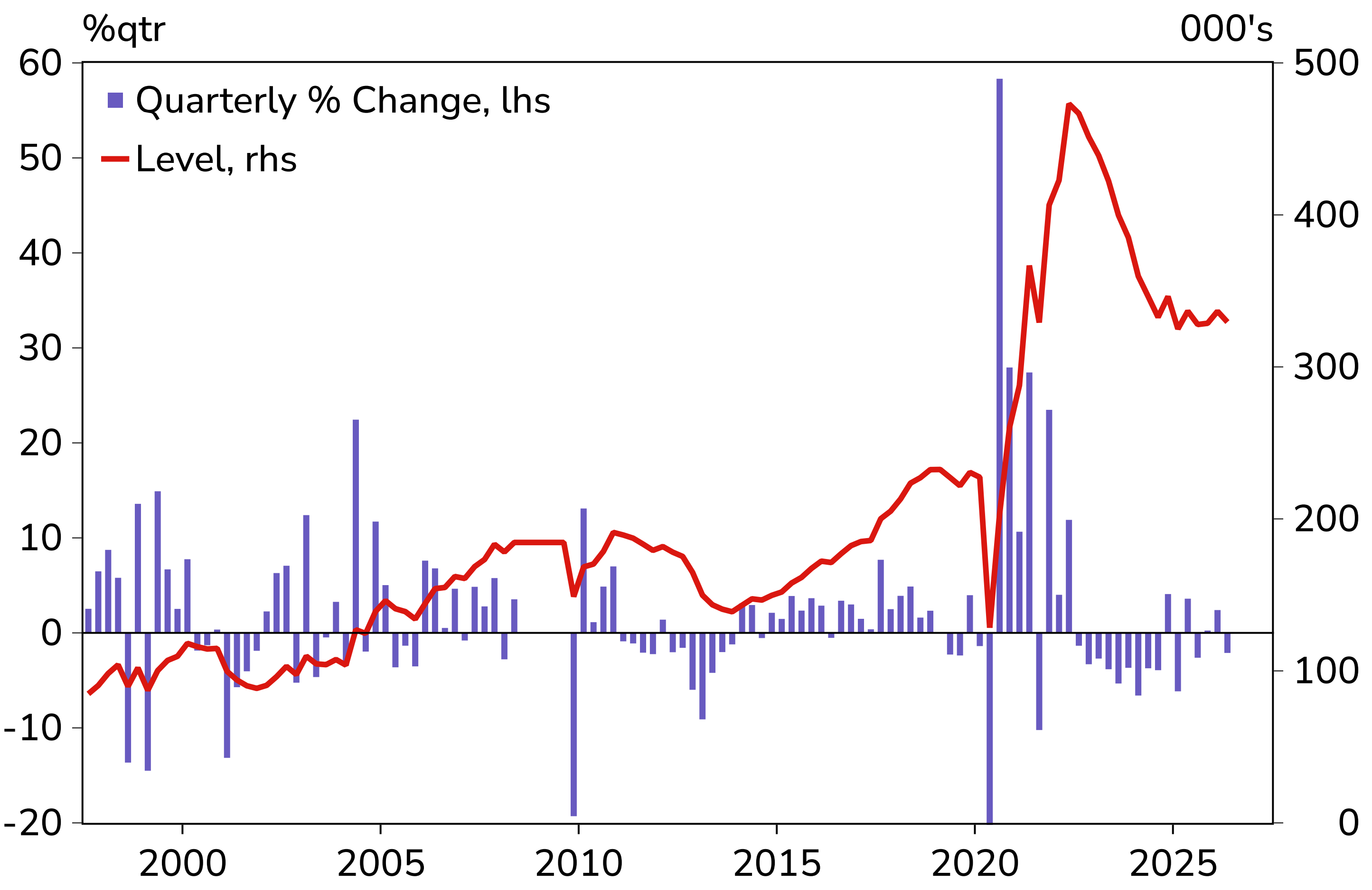
The number of job vacancies fell by 7.1k (–2.1%) between February and May. Much of the decline was concentrated in public sector vacancies which fell –7.9%, with a shallower –1.4% drop in private sector vacancies.

The number of job vacancies fell by 7.1k (–2.1%) between February and May, a slightly smaller decline than our expectation of a –3.5% quarterly fall. The February estimate was also revised lower, to 336.6k from 338.0k. Overall, today's result was broadly consistent with the softness signalled by the monthly partial indicators.

Much of the decline was concentrated in public sector vacancies which fell –7.9%, with a shallower –1.4% drop in private sector vacancies.

Despite the declines, vacancies have largely moved sideways since early 2025. Between 2022 and 2024, vacancies fell rapidly from their post-pandemic peak as labour supply recovered and labour market imbalances eased. The subsequent stabilisation is somewhat surprising given the gradual softening that has emerged in the labour market over the past year. Overall vacancies are still around 40% above pre-pandemic levels.

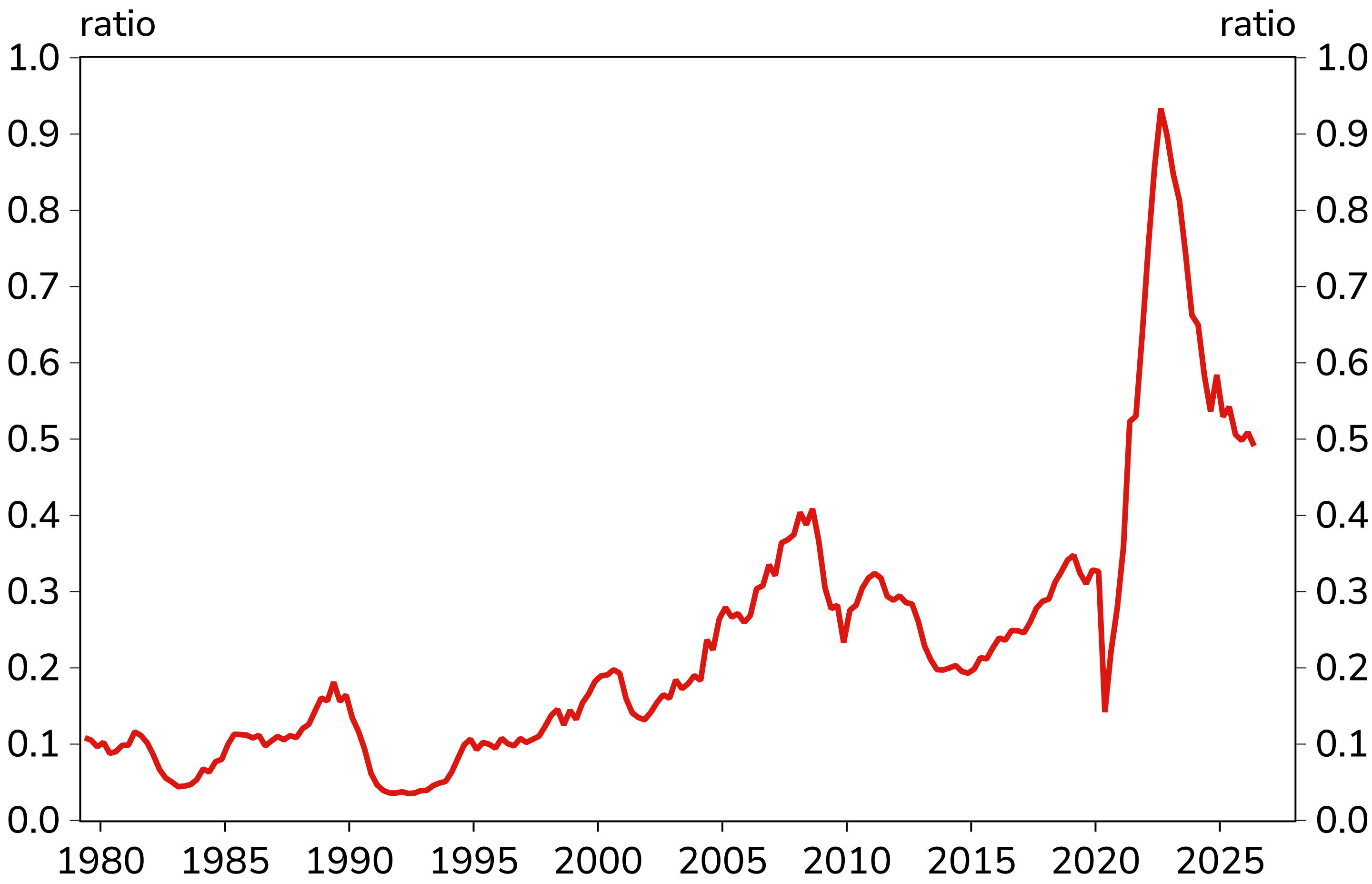
Job Vacancies



Source: ABS, Macrobond, Westpac Economics

The vacancy-to-unemployment ratio – a key measure of labour market tightness closely monitored by the RBA – continued its gradual and somewhat uneven decline, easing from 0.51 in February to 0.49 in May. This reflected both the fall in vacancies and a 1.4% increase in the number of unemployed people over the period. While the move points to a further easing in labour market tightness, the ratio remains well above its historical average of around 0.2.

Vacancy-to-Unemployment Ratio

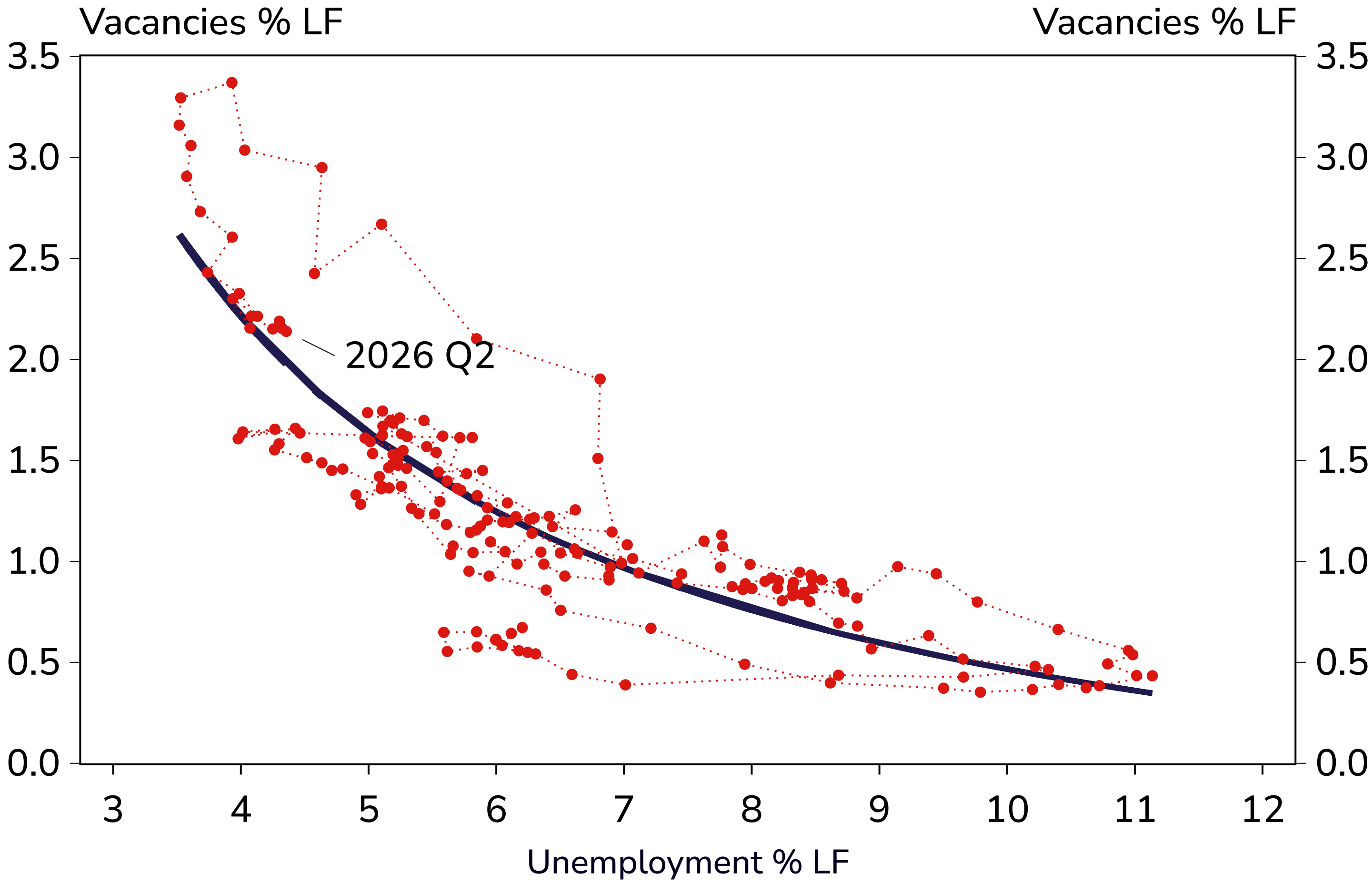


Source: ABS, Macrobond, Westpac Economics

The Beveridge curve can help us place recent developments in a historical context – comparing the relationship between vacancies and unemployment, each as a share of the labour force to better control for growth in the size of the overall labour market. Between 2022 and 2024, the labour market moved down the ‘steeper’ part of the Beveridge curve, where substantial declines in vacancies occurred alongside only modest increases in unemployment.

Vacancies have nudged lower over the past three months and at the same time the size of the labour force continued to grow. This drove the vacancy rate tick lower in the quarter but it was managed without a large increase in the unemployment rate suggesting that the labour market continues to operate around the steeper part of the Beveridge curve, in line with what is expected based on longer-run historical relationships.

Beveridge Curve



Source: ABS, Macrobond, Westpac Economics

All statistics mentioned below are not seasonally adjusted and hence may not add up to the seasonally adjusted statistics referenced above.

By industry, 14 of the 18 industries saw job vacancies decline over the three months. The largest fall was seen in financial & insurance services (–21.2%). This was followed by weakness in a string of consumer facing sectors including: food & accommodation (–16.3%); retail trade (–15.3%); and arts & recreation services (–13.3%). Areas with rises include manufacturing (16.7%), information, media & technology (9.1%), wholesale trade (5.3%) and mining (1.0%).

Overall market services vacancies fell –8.4%, the strongest since mid-2023. Other parts of the market sector saw vacancies rise 2.6%. Non-market sector vacancies fell –3.5%, with the largest declines concentrated in education & training (–6.8%)

Subscribe

Related articles

#labour

Q1 Labour Account: seasonal wrinkle?

June 05 2026 • 5 mins

By Ryan Wells

#labour

NZ labour market chartpack, March quarter 2026

May 08 2026 • 8 mins

By Michael Gordon

#labour

First Impressions: NZ labour market surveys, March quarter 2026

May 06 2026 • 3 mins

By Michael Gordon

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #credit #yieldcurve #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #abs Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

HOUSEHOLD FINANCES CHART PACK

Satish Ranchhod

Senior Economist

P +64 9 336 5668 | **M** +64 21 710 852

satish.ranchhod@westpac.co.nz
westpac.co.nz/economics

Key takeouts

- Overall household income levels are continuing to rise. However, much of that is due to increases in entrepreneurial earnings (which is in part due to increased earnings in the agricultural sector). In contrast, wage and salary growth remains limited.
- Household savings rose in the March quarter.
- We also saw a related increase in the value of New Zealanders' financial assets. That offset softness in the value of housing and land assets, which have essentially shown no growth since late 2023.
- Household spending on interest costs has fallen. Looking ahead, we don't expect further significant falls in interest costs with mortgage rates pushing higher in recent months.

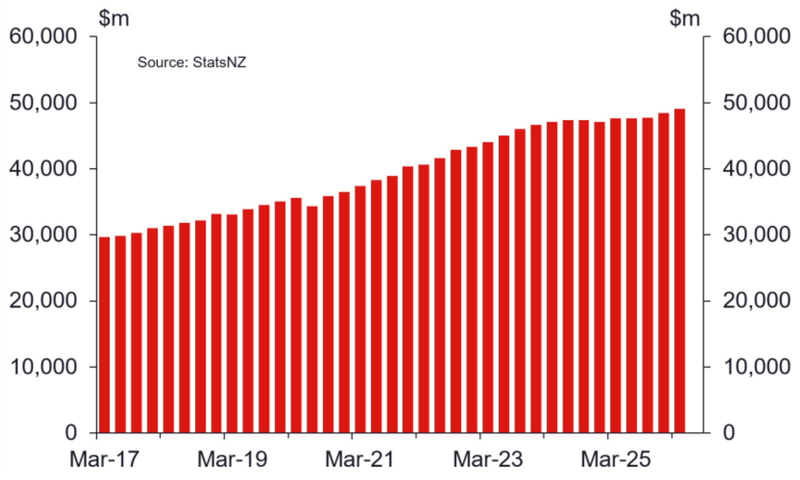
Note: Much of the data in this report is taken from Stats NZ's update on household incomes, assets and savings for the March quarter 2026.

HOUSEHOLD INCOMES

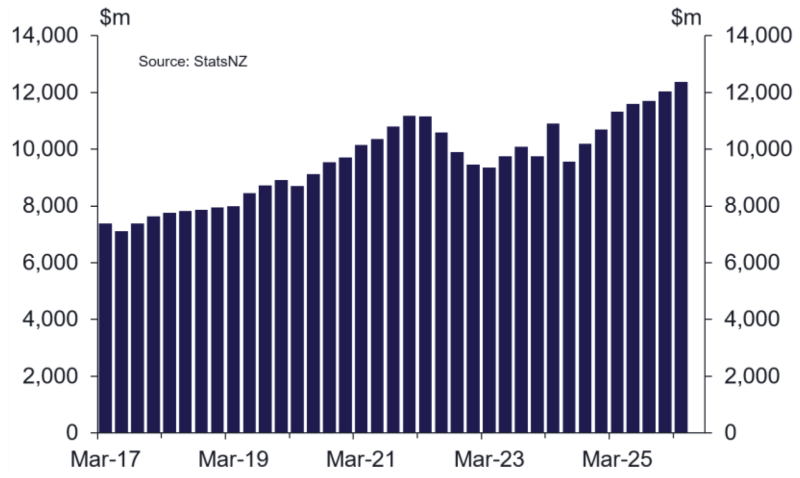
Disposable incomes have continued to lift.

- Over the past year, overall household disposable income levels have risen by around 5%.In part that rise was due to the 1.5% increase in the number of households.
- Adjusting for population changes, our own estimate of the average household's disposable income rose 3.8% in the year to March (up from 3.1% at the end of last year).
- However, while overall incomes have been rising, that's mainly due to increases in entrepreneurial earnings, which are up 14% over the past year. That will include stronger earnings in the agricultural sector, which has been boosted by the strength in commodity export prices. That lift in agricultural earnings has been reflected in stronger economic confidence and spending in many rural regions.

Compensation of employees.



Entrepreneurial income.



SAVINGS AND WEALTH

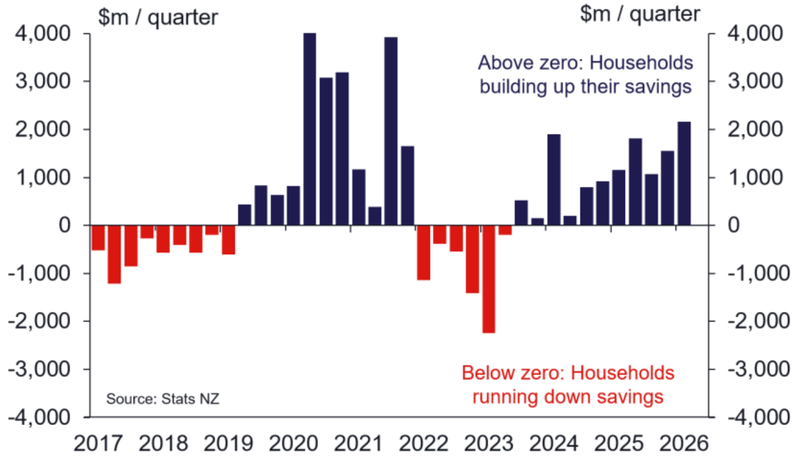
Household savings rose by $2b over the past quarter.

- March's large increase in savings builds on the solid increases seen over the past three years.
- That seen the household savings rate rising to 3.3% of disposable income, the highest it's been since the pandemic lockdowns.

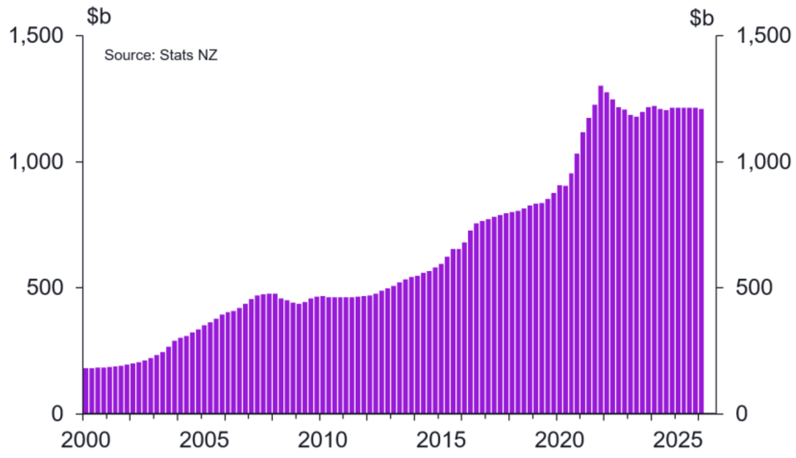
Overall household wealth levels were up 1.5% over the past year.

- The value of households' financial assets has continued to rise and is up 3.3% over the past year.
- However, the value of housing and land assets is down 0.5%, which has resulted in only limited growth in overall wealth levels.
- The value of housing and land assets remained essentially unchanged since late 2023.

Household savings.



Values of housing and land assets.

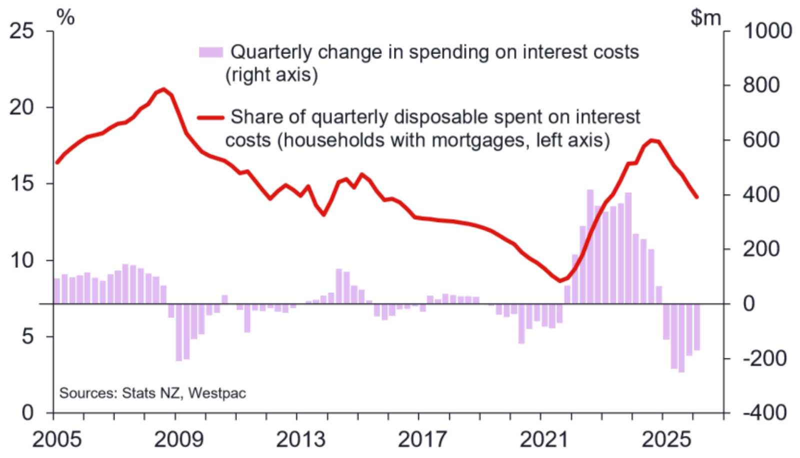


INTEREST COSTS

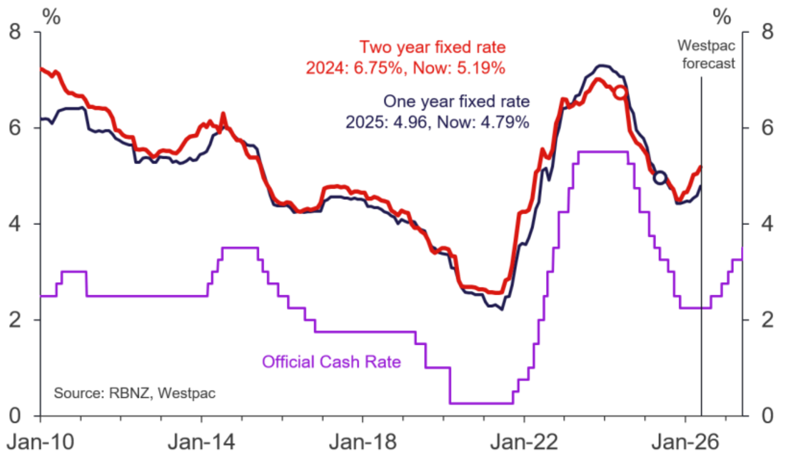
Households' spending on interest costs have fallen for a fifth consecutive quarter.

- Reductions in interest costs over the past year have helped to support household spending in the face of rising living costs.
- We don't expect to see further significant falls in households borrowing costs over the remainder of this year. Mortgage rates have been pushing upwards in recent months (though there's been some scaling back of those increases this week). That's occurred against a backdrop of renew concerns about inflation in the wake of the Middle East war. And while tensions in the Middle East have eased over the past few weeks, the RBNZ is still expected to raise the Official Cash Rate at a measured pace over the coming months.
- Even with mortgage rates rising, we don't expect a significant rise in households' interest costs over the next few months. That's because 90% of New Zealand mortgage borrowing is fixed for a period (usually for terms of one to two years).

Household spending on interest costs.



Interest rates.



Quick links

Subscribe to
Westpac IQ

LinkedIn:
Satish Ranchhod

LinkedIn:
Westpac NZ
Economics Team

Disclaimer

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author’s knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac’s Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer cont.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac’s London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the “Order”)); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as “relevant persons”). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for “eligible counterparties” and “professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

1 July 2026

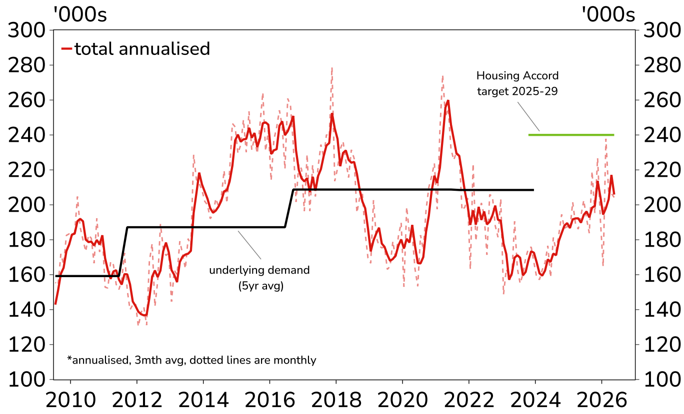
AUSTRALIAN DWELLING APPROVALS BULLETIN

Detached dwellings remain resilient

Key points

- Total dwelling approvals fell 1.1%mth in May, with the annual pace easing to 5.3%yr. Approvals continue to normalise from the elevated levels reached in February.
- Private detached dwelling approvals returned to growth, rising 2.8%mth. In contrast, private unit approvals fell 10.4%mth, led by high-rise projects.
- SA and NSW recorded growth, while WA and Victoria posted modest declines. Queensland recorded the weakest outcome.
- The value of residential building approvals fell 5.7%mth, although a sharp rise in non-residential approvals, led by data centre-related projects, saw the total value of building approvals increase 14%mth.
- Further softening appears likely amid a higher rate environment and elevated construction costs, while tax changes add uncertainty to the outlook.

Dwelling approvals



Source: ABS, Macrobond, Westpac Economics

Total dwelling approvals –1.1%mth, 5.3%yr

Total approvals continue to soften

Luka Belobrajdic
Economist

Total dwelling approvals fell 1.1%mth in May, with the annual pace easing to 5.3%yr. The result was in line with Westpac's expectation for a 1.0%mth decline, although weaker than market expectations for a flat outcome. Private detached dwelling approvals continued to show resilience, while unit approvals further unwound the sharp gains recorded in February.

Note that most figures in the charts and table are presented on a rolling-three month basis to smooth out monthly volatility.

Private detached dwelling approvals returned to growth in May, rising 2.8%mth and more than offsetting April's decline. The April result was revised higher, with approvals now estimated to have fallen 0.4%mth (+0.6ppts) in the month. As a result, the annual pace strengthened to 13.2%yr, the strongest outcome since September 2024, suggesting detached housing approvals have remained relatively resilient despite higher interest rates.

Private unit approvals continued to unwind from February's surge, declining 10.4%mth in May. This follows an upwardly revised 4.0%mth increase in April, compared with an initial estimate of a 3.6%mth decline. The annual pace has moved into contraction at –8.6%yr, with approvals in the month sitting below the average level recorded across 2025. High rise unit approvals again drove the headline move, with the Westpac seasonally adjusted estimate across both sectors falling 35%mth, while low mid rise approvals declined 6.9%mth.

Across the states, SA was the strongest performer, with private dwelling approvals rising 8.4%mth, driven by unit approvals, while detached dwellings declined. NSW also recorded growth, with private dwelling approvals increasing 1.4%mth. WA recorded a modest decline of 0.2%mth, while Victoria fell 2.2%mth. Queensland was the weakest performer, with approvals falling 14.2%mth as both segments retreated.

In value terms, residential building approvals fell 5.7%mth in May, with a 0.1%mth rise in renovation activity outweighed by a 6.6%mth decline in new residential approvals. Non-residential approvals rose 41%mth, led by the data centre-dominated 'other commercial' segment, up +254%mth. As a result, the total value of building approvals increased 14%mth.

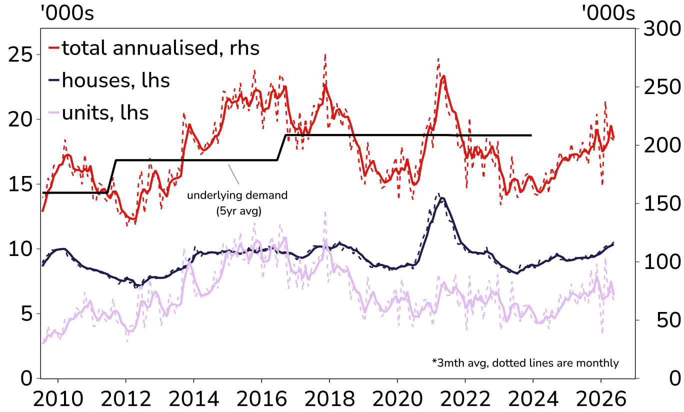
Approvals continue to ease from the elevated levels reached in February, although detached dwellings continue to support the headline result. Looking ahead, downside risks remain, with further possible RBA cash rate increases and elevated construction costs posing headwinds, while tax changes add uncertainty to the outlook. For a full assessment of housing market conditions, see our latest Housing Pulse (here).

Building approvals – May 2026

		3mth %chg*		%yr	
3mth avg	latest	Apr	May	Apr	May
Private houses	10,356	4.7	3.8	10.3	11.4
Private units	6,412	24.1	3.1	17.6	4.2
Public dwellings	389	-8.7	27.4	-3.4	8.3
Total dwellings	17,157	11.7	3.9	12.9	8.5
Total dwellings, mthly*	17,019	-0.2	-1.1	10.9	5.3
– units in 'high rise'^	3,516	45.6	-1.5	34.3	10.3
– units in 'low rise'^	3,132	5.0	1.1	7.5	2.2
Renovations, $bn	1.344	4.1	2.4	14.0	12.6
Non–res., $bn	8.193	-4.1	4.1	7.2	9.5

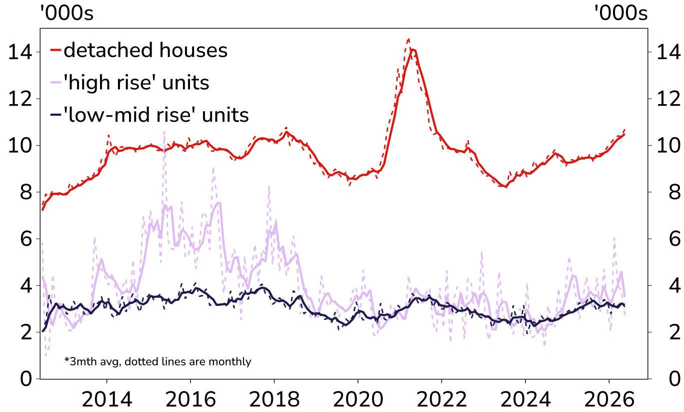
*figures for 'total dwellings mthly' are monthly and mthly%ch, all others are rolling 3mth avg and 3mth%ch; ^all sectors, Westpac estimates
Sources: ABS, Westpac Economics

Dwelling approvals: major segment



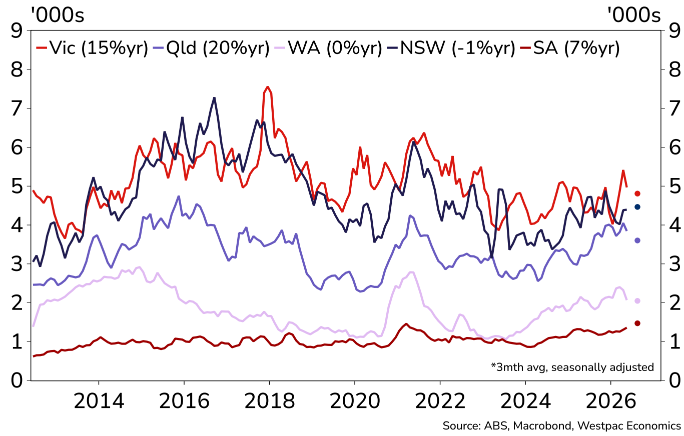
Source: ABS, Macrobond, Westpac Economics

Dwelling approvals: detailed segment

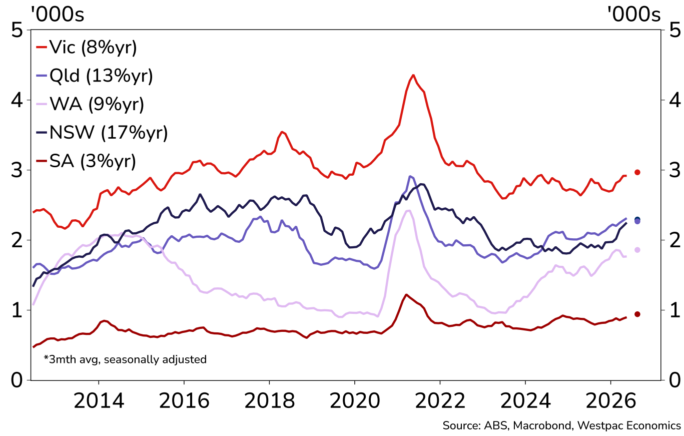


Source: ABS, Macrobond, Westpac Economics

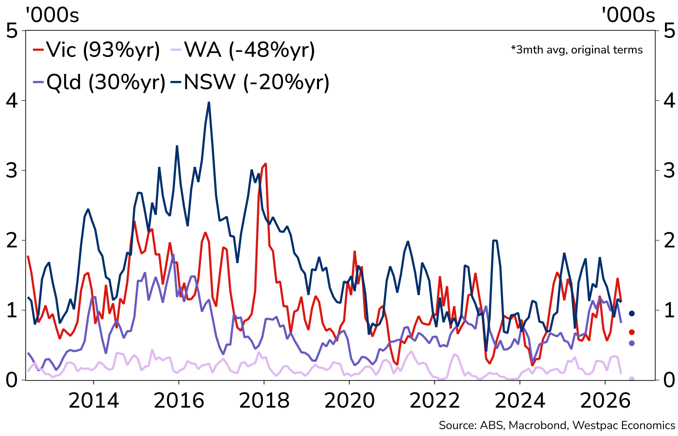
Total dwelling approvals: by state



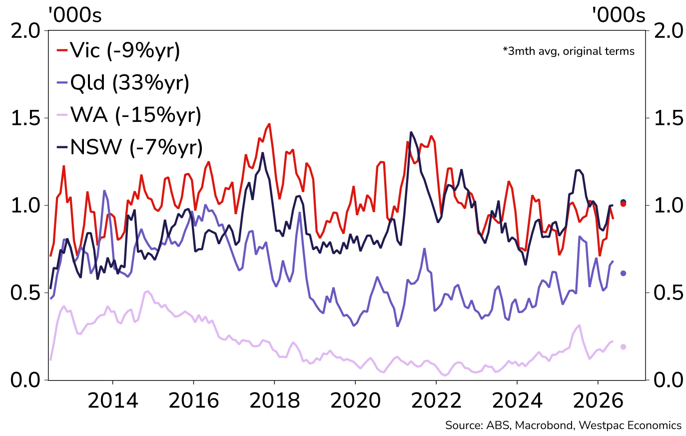
Detached house approvals: by state



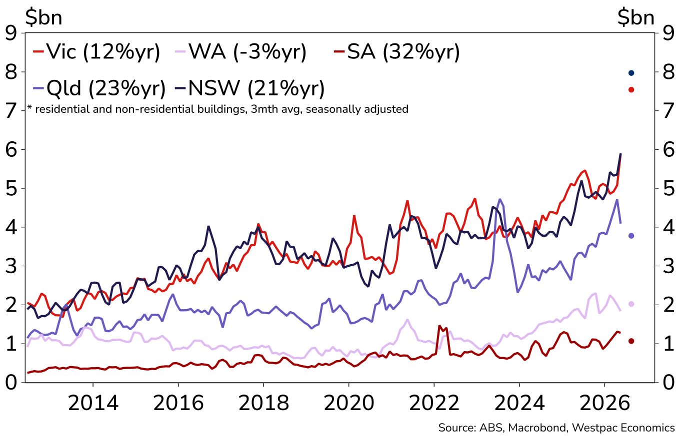
'High rise' approvals: by state



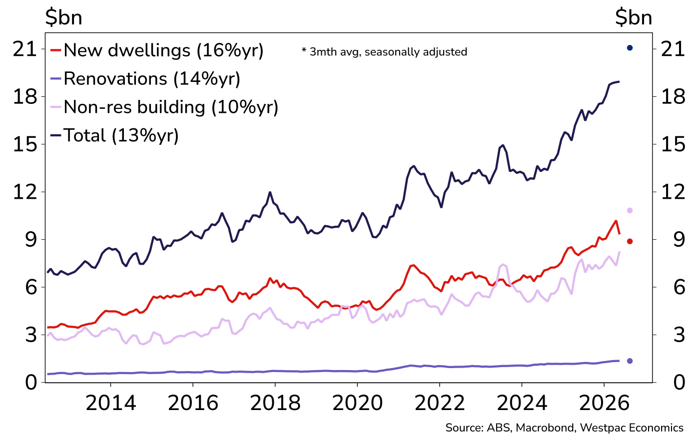
'Low-mid rise' approvals: by state



Total building approvals: by state



Total building approvals: by segment



Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

DISCLAIMER

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied of distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg ©

Disclaimer continues overleaf ▶

Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

2 JUL 2026

WESTPAC-DATAX CARD TRACKER

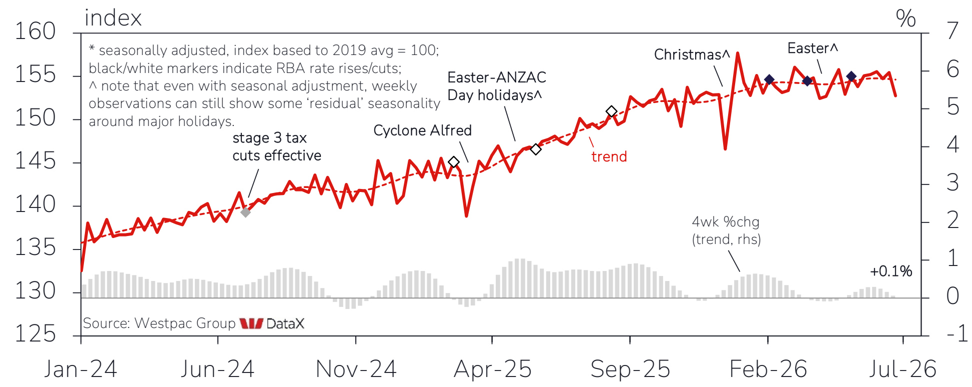
Powered by DataX

Card activity still looking very subdued

- The **Westpac-DataX Card Tracker Index*** moved sideways through late May and most of June, declining sharply in the latest week. At 152.8, the Index read for the week ending June 27 is 2.3pts lower than month ago and on a par with Easter lows.
- The softening reflects a mixture of lower fuel prices and continued weakness in non-fuel spending.
- Quarterly growth momentum has seen a further slowing to around 0.2% in the most recent week, down from the 0.5% pace a month ago. This compares to a 1.3% pace seen in Q1 and the 2% average over the second half of 2025.
- Despite the pull back in the latest week, the monthly and weekly data suggest there has been a slight improvement in momentum since the start of June. This likely reflects some easing in budget pressures as fuel prices have declined.
- At a broad category level, the slight improvement in recent weeks has centred on discretionary segments, services in particular. Growth across essentials has dipped into slight negative, partly due to lower fuel prices rather than weaker volumes. Some of the pick-up in discretionary may also be price-related.
- By state, both the slowing in momentum compared to a month ago and the slight lift in recent weeks have been fairly broad based. Activity has been weaker in NSW where consumer-related card transactions are contracting at a 0.4% quarterly pace with a much more muted lift over the last month. Notably, Victoria is now seeing gains more in line with the pace nationally, having underperformed materially over Q4 and Q1.
- While there are still a few days of transactions and potential revisions to come, the latest figures suggest Q2 is headed for a subdued 0.2%qtr gain in nominal consumer-related card activity. That in turn points to a likely decline in real, inflation-adjusted terms. The broader consumption measure in the national accounts will get some additional positives. In particular, vehicle sales, which are undercovered in the card data, look to have posted a robust 5%qtr gain in Q2. But at this stage the risks to our forecast of a flat result for real spending look tilted slightly to the downside.

"…. Q2 is headed for a subdued 0.2%qtr gain …"

1. Westpac-DataX Card Tracker Index*



The **Westpac-DataX Card Tracker** presents indicators based on the millions of credit and debit card transactions processed by Westpac every day. The measures are a timely guide to shifts in spending. See p9 for a detailed explanation.

This report is produced by Westpac Economics.
Matthew Hassan, Head of Australian Macro-Forecasting
Email: economics@westpac.com.au
This issue was finalised on 3 July 2026.

If you would like more insights on your sector or business from this and other Westpac data please visit Westpac DataX or contact datax@westpac.com.au.

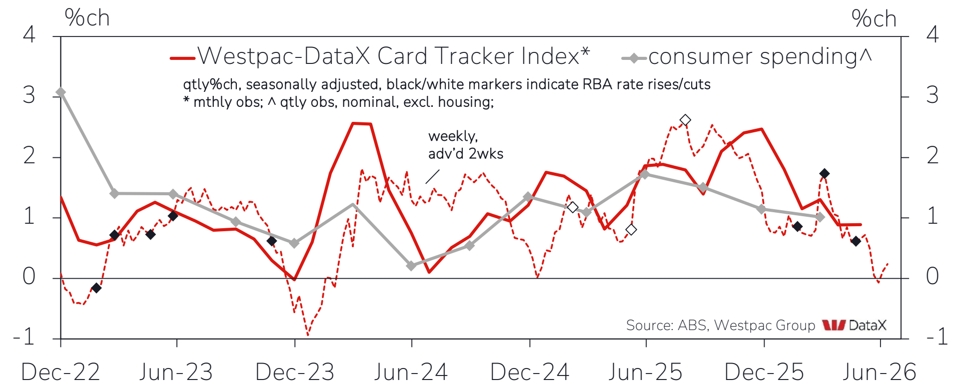
Quarterly momentum stalls but partly due to lower fuel prices

- Chart 2 shows how quarterly growth in the **Westpac-DataX Card Tracker Index** compares to growth in nominal consumption as reported in the quarterly national accounts. All estimates are adjusted for regular seasonal variations.
- Quarterly momentum has shown a further moderation since early June, dropping to just 0.2% in the latest week, down from 1.3% in Q1. This is the slowest pace since the start of 2025, and prior to that, since the start of 2024.
- The same growth rate excluding fuel is 0.3%qtr, a slightly firmer pace with the slowdown on this measure coming through more in May than June.
- The implication is that some of the more recent softening in quarterly growth is due to a price-driven slowing in fuel spend. The latest weekly updates point to monthly growth holding about flat. Fuel price effects are likely to turn positive again as the temporary fuel excise tax cut is reduced from July 1.
- The ABS household spending indicator recorded a 1.3%mth rise in May, fully reversing April's –1.1%mth fall but broadly in line with the signal from our card tracker (see here).
- The June update, including estimates of real spending for Q2 will be released on August 4.

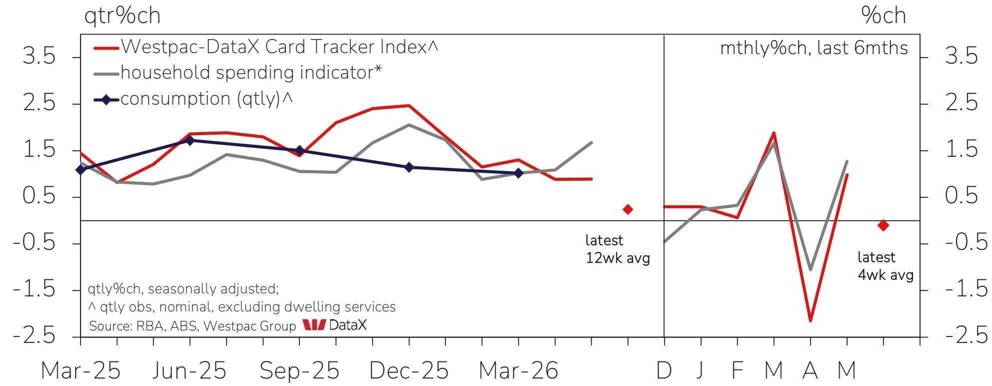
qtly%ch	Q3	Q4	Q1	latest^
Westpac–DataX Card Tracker	**1.4**	**2.5**	**1.3**	**0.2**
ABS monthly household spending indicator*				
Nominal	1.1	2.1	1.0	1.7
Real*	0.1	1.0	0.7	n.a.
ABS consumer spending (qtly)#				
Nominal	1.5	1.1	1.0	n.a.
Real	0.5	0.4	0.5	n.a.

All series seasonally adjusted. Latest is either the latest weekly obs (12wks %ch on previous 12wks) or latest monthly obs (3mths %ch on previous 3mths). See p9 for more details.
* ABS monthly household spending indicator based on domestic card transaction and new vehicle sales data. Real estimates are quarterly.
# Consumer spending excludes housing costs.
Sources: ABS, Westpac Group

2. Card activity and spending: growth momentum



3. Consumer spending: selected indicators



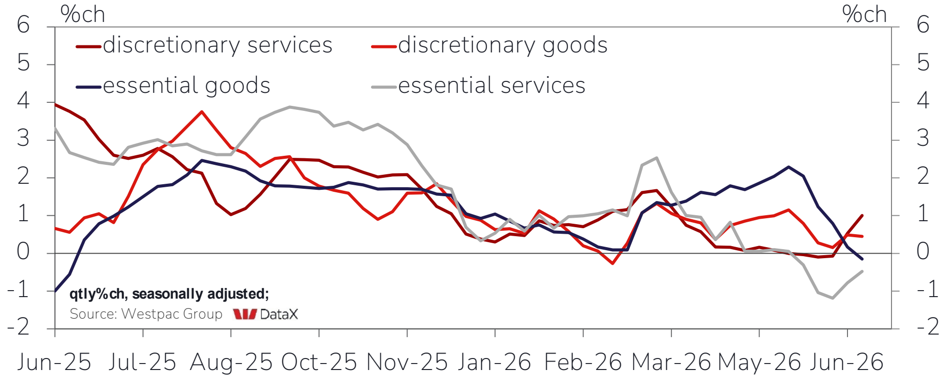
Essentials contract, discretionary perks up a little

- Chart 4 shows quarterly growth in card activity across broad categories. The slowdown since Q1 has been fairly broad-based but slightly more pronounced for essentials which have seen quarterly growth dip into negative (noting that for essential goods that this is partly due to the uwninding fuel price spike).
- Discretionary categories have also seen growth moderate. However, momentum has perked up a little in recent weeks, particularly for the discretionary services segments. The sub-category detail here points to slightly firmer tone to travel and hospitality spend. Note that this may also be partly a price story.
- Chart 5 shows card activity across the major states. Again the picture is of a broad-based slowing since Q1. NSW has posted a slightly more pronounced moderation with quarterly growth now weak at –0.4%qtr. This compares to flat growth in Queensland and South Australia and slight positives in Victoria (+0.3%qtr) and Western Australia (+0.4%qtr).
- Card activity is notably firmer in Victoria compared to the lows in late 2025/early 2026 when the state was a marked underperformer. South Australia has also improved in a relative sense although growth is a touch weaker in absolute terms.

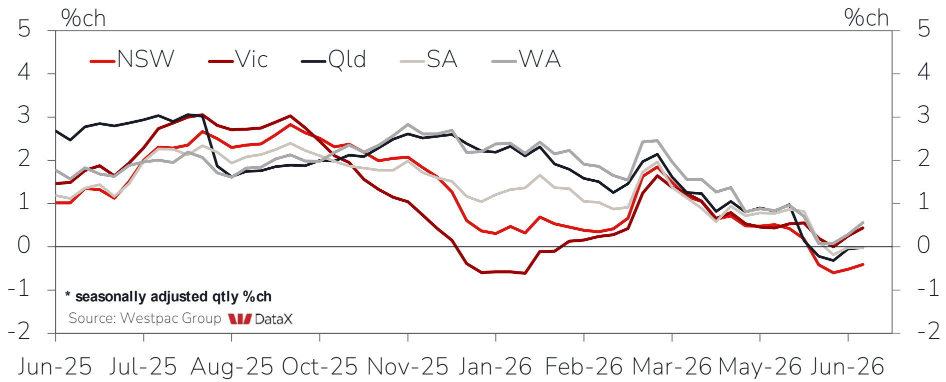
	Mar	Apr	May	27/6
Westpac–DataX Card Tracker	**157.4**	**154.0**	**155.5**	**152.8**
By category				
– discretionary*	156.4	153.8	157.1	155.6
– essential*	155.9	151.5	151.2	147.3
By state				
– NSW	149.1	148.8	149.0	147.4
– Vic	147.7	144.3	146.2	145.7
– Qld	169.4	168.9	169.1	168.4
– WA	172.1	169.9	172.1	171.1
– SA	165.5	162.1	163.6	159.8

All indexes based on the value of spending–related transactions, seasonally adjusted, 2019 avg=100, see p9 for more details including classifications.
* indexes revised due to re-classification.
Sources: ABS, Westpac Group

4. Card activity by broad category



5. Card activity by state

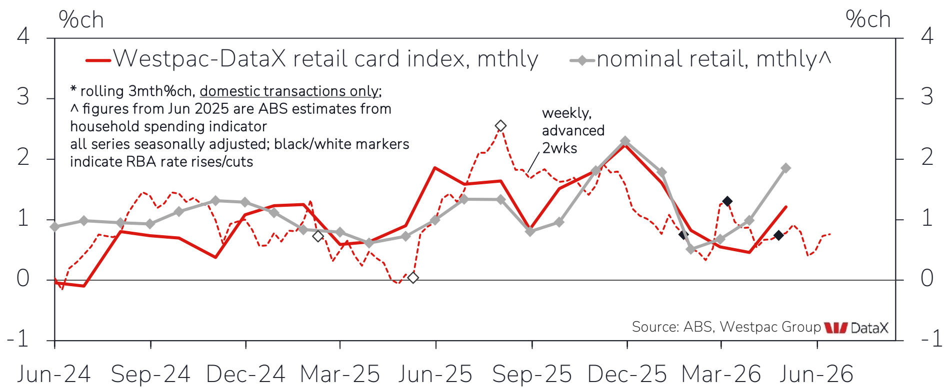


Retail segments faring slightly better than others in May

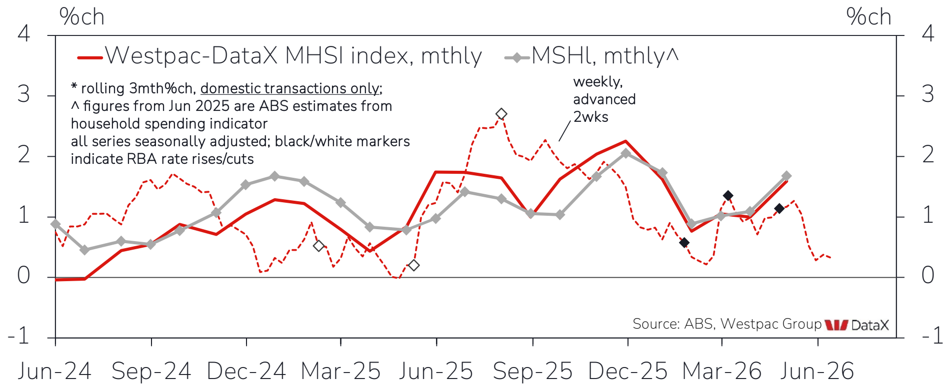
- Our MHSI and retail card indexes are composites based on transactions in categories that are in scope for the ABS monthly household spending indicator and ABS retail sales surveys (based on MHSI) respectively.
- Both measures show quarterly momentum slowing with retail outperforming wider measures of spending slightly. Note that fuel spend is in-scope for the MHSI measures but out of scope for the retail card index.
- As noted, the latest ABS MHSI showed a 1.3% rise in May, quarterly growth lifting to 1.7%qtr.
- Our MHSI index had the quarterly pace running at 1.7% in May, the latest weekly read point to an abrupt slowing to 0.3%qtr in June. That points to a significant pull-back in the June month. While much of that reflects lower fuel prices, our retail index suggests retail components have also moderated in the month.
- Note that compared to our wider WCTI index, these measures exclude electricity, education, insurance and other services as well as international transactions. The ABS MHSI also includes separate data on new vehicle sales.

	Mar	Apr	May	27/6
MHSI card index	**154.6**	**152.1**	**153.4**	**150.7**
– qtly%ch	1.0	1.0	1.6	0.3
– qtly, ann%ch	6.2	6.1	6.2	4.9
ABS MHSI				
– %ch	1.7	-1.1	1.3	n.a.
– qtly%ch	1.0	1.1	1.7	n.a.
– qtly ann%ch	5.4	5.6	5.4	n.a.
Retail card index	**152.3**	**151.8**	**154.4**	**151.8**
– qtly%ch	0.6	0.5	1.2	0.8
– qtly, ann%ch	5.6	5.3	5.6	5.1
ABS retail sales				
– %ch	1.2	-0.6	-0.4	n.a.
– qtly%ch	0.7	1.0	1.9	n.a.
– qtly ann%ch	4.8	5.0	4.8	n.a.

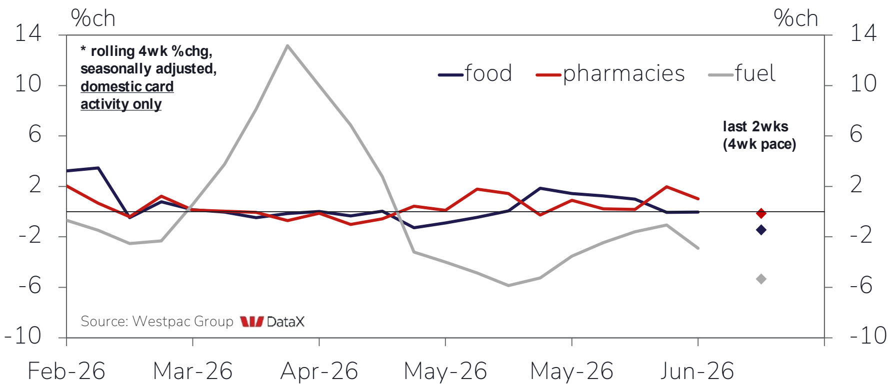
6. Card activity: retail



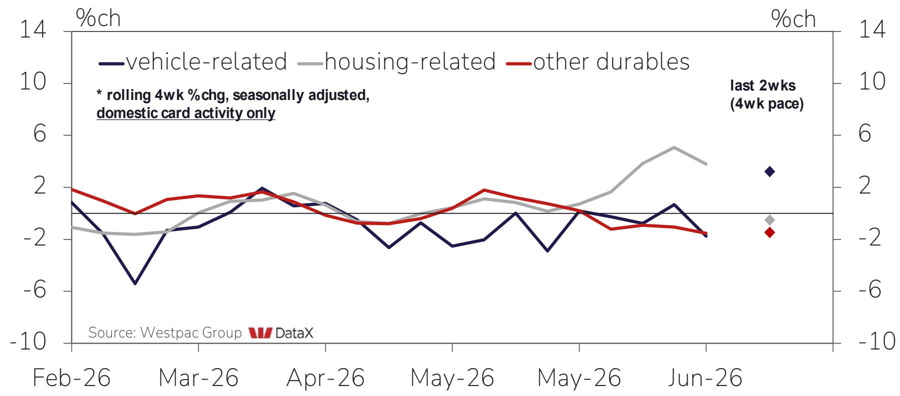
7. Card activity: MHSI measures



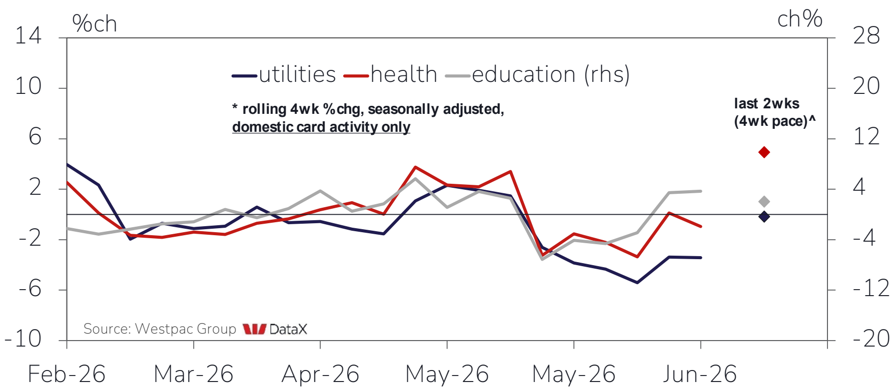
12. Card activity: essential goods



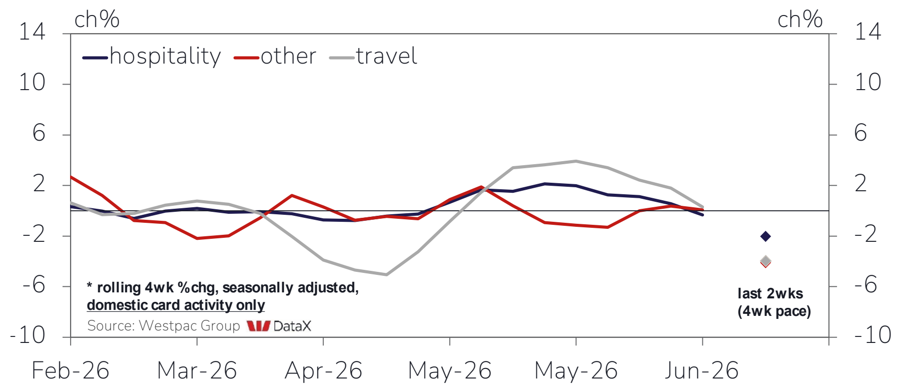
13. Card activity: discretionary goods



14. Card activity: essential services

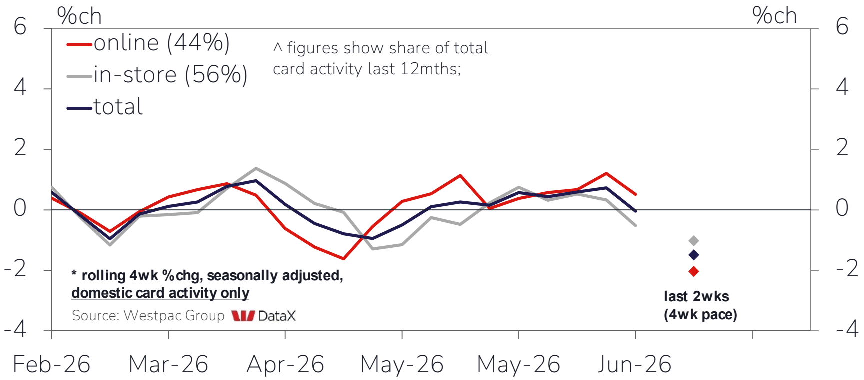


15. Card activity: discretionary services

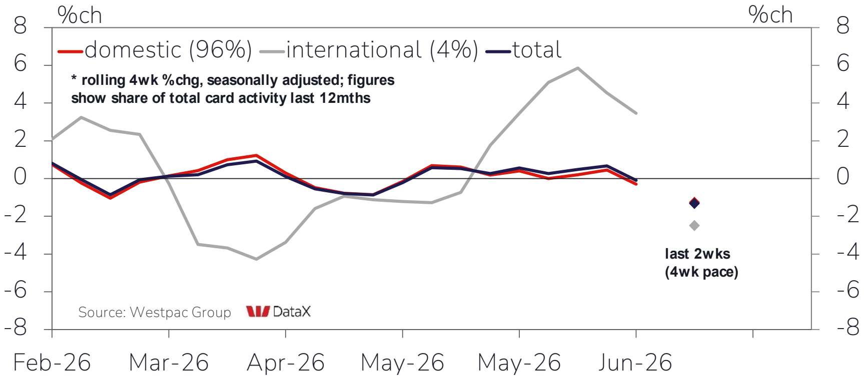


Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

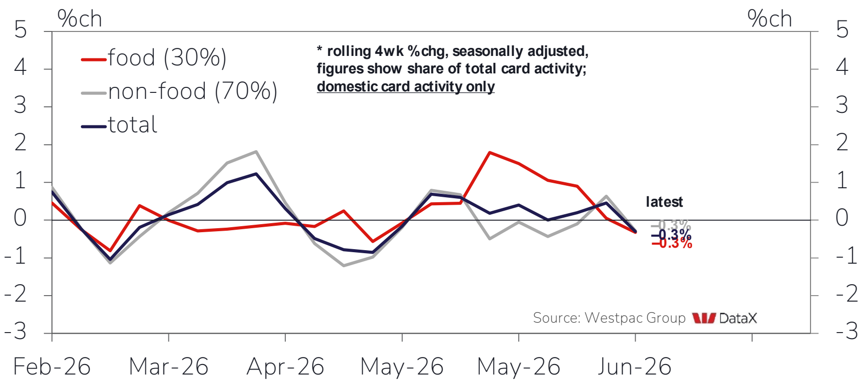
16. Card activity: online and in-store



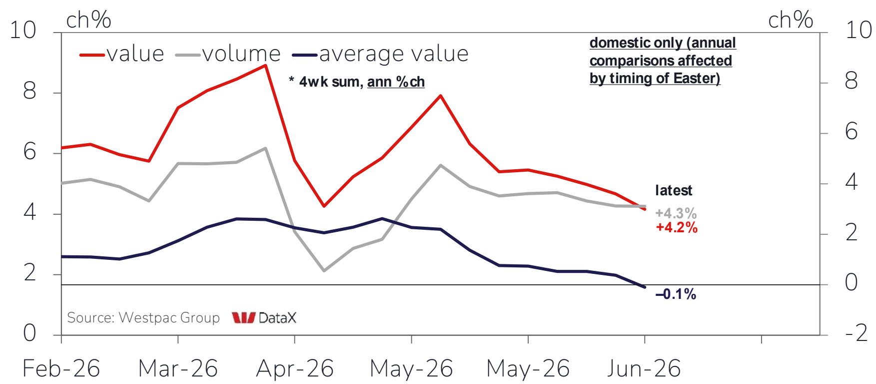
17. Card activity: domestic and international



18. Card activity: food and non-food



19. Card activity: value and volume



	2024			2025				2026				week ending:			
	Q2	**Q3**	**Q4**	**Q1**	**Q2**	**Q3**	**Q4**	**Q1**	**Mar**	**Apr**	**May**	**6/6**	**13/6**	**20/6**	**27/6**
Westpac–DataX Card Tracker Index	**140.2**	**141.2**	**142.9**	**145.0**	**147.7**	**149.7**	**153.4**	**155.4**	**157.4**	**154.0**	**155.5**	**155.6**	**154.7**	**155.5**	**152.8**
qtly%ch	0.7	0.7	1.2	1.4	1.9	1.4	2.5	1.3	1.3	0.9	0.9	0.0	-0.1	0.1	0.2
qtly, ann%ch	4.2	4.0	5.3	4.1	5.3	6.1	7.4	7.2	7.2	6.8	6.4	5.7	5.5	5.4	5.3
By category															
– discretionary	141.6	143.1	145.5	146.2	149.3	151.2	155.4	156.0	156.4	153.8	157.1	158.1	157.1	159.0	155.6
– essential	137.8	138.0	138.4	141.6	143.6	145.9	148.4	151.7	155.9	151.5	151.2	150.7	149.8	149.6	147.3
services	145.5	147.6	150.4	153.2	156.4	159.9	164.3	166.2	166.2	161.8	164.7	167.0	165.4	166.6	164.1
– discretionary services	148.0	151.0	154.5	155.1	158.7	161.2	166.3	166.9	166.5	162.3	166.5	170.2	167.9	170.1	167.1
– essential services	141.8	142.8	144.7	150.5	153.1	157.9	161.3	165.3	165.7	161.2	162.2	162.5	161.8	161.6	159.7
goods	135.1	134.9	135.2	136.4	138.4	139.3	141.9	143.8	147.8	145.2	145.6	144.1	143.7	144.4	141.4
– discretionary goods	134.8	134.7	136.0	136.7	139.3	140.5	143.7	144.5	145.5	144.7	147.2	145.2	145.6	147.2	143.4
– essential goods	135.4	135.1	134.6	136.1	137.7	138.4	140.3	143.2	149.8	145.6	144.2	143.2	142.2	142.0	139.7
MHSI card index*	140.0	140.8	142.3	143.4	145.9	147.3	150.7	152.2	154.6	152.1	153.4	152.9	152.3	154.0	150.7
qtly%ch	0.3	0.5	1.0	0.8	1.7	1.0	2.3	1.0	1.0	1.0	1.6	0.5	0.3	0.4	0.3
qtly, ann%ch	3.3	3.2	4.6	2.7	4.2	4.7	5.9	6.2	6.2	6.1	6.2	5.6	5.3	5.0	4.9
retail card index*	140.0	141.1	142.6	143.4	146.1	147.3	150.6	151.5	152.3	151.8	154.4	153.6	153.5	153.9	151.8
qtly%ch	-0.3	0.7	1.1	0.6	1.9	0.8	2.2	0.6	0.6	0.5	1.2	0.4	0.5	0.7	0.8
qtly, ann%ch	2.6	2.9	4.1	2.1	4.3	4.4	5.6	5.6	5.6	5.3	5.6	5.4	5.3	5.1	5.1
By state															
– NSW	135.7	136.4	138.5	139.6	142.4	144.2	148.2	148.6	149.1	148.8	149.0	149.9	148.4	149.7	147.4
– Vic	134.6	135.8	136.9	138.2	139.8	142.8	144.8	146.1	147.7	144.3	146.2	148.6	148.2	148.9	145.7
– Qld	148.9	151.0	153.2	154.8	159.4	162.3	167.8	168.7	169.4	168.9	169.1	171.2	170.2	170.8	168.4
– WA	148.7	151.1	153.4	156.5	159.7	162.8	167.8	170.4	172.1	169.9	172.1	175.5	176.1	174.3	171.1
– SA	146.9	147.8	149.9	152.2	154.4	157.3	160.3	162.0	165.5	162.1	163.6	163.9	161.8	164.2	159.8

All indexes based on the value of spending–related transactions, seasonally adjusted by Westpac, 2019 avg=100. See p9 for more details.
* composite based on transactions in categories in scope for ABS monthly spending indicator and ABS retail sales surveys respectively.

Sources: ABS, Westpac Group

About the Westpac card data indicators

The indicators presented in this report are based on the millions of credit and debit card transactions processed every day. Transactions covering over ten million merchants are classified into over 700 categories. These are in turn grouped into higher level aggregates that provide a timely guide to wider economic trends.

The main focus of these indicators is consumer spending. Where possible, we have sought to exclude 'non spending' transactions such as: money transfers; tax payments; loan repayments; charitable donations; and superannuation contributions.

It should also be noted that these indicators will also be affected by shifts between card and non card transactions. This was a significant factor during the COVID–19 pandemic – health concerns about the use of physical cash leading to significantly higher use of cards vs cash, particularly where contact–less transactions are available. Transaction flows also include reversals/refunds which were also a significant phenomenon during the onset of COVID, especially in areas such as travel.

All transaction data is compiled at a highly aggregated level so that individual customer or merchant data is never revealed.

Index construction

The key metrics used in this report are indexes of spending–related card activity where the base of 100 is average activity in 2019. As an example, if transaction flows are 5% above their average level in 2019, the index read for the period is 105. If flows in a subsequent period are 8% above the average level in 2019, the index read for this period is 108. Growth between the two periods can be calculated simply as the change between the two index reads, i.e. 2.9%.

All measures are adjusted for regular seasonality. Weekly estimates are generated using the US Bureau of Labor's MoveReg weekly seasonal adjustment program. Note that in some cases, high levels of volatility during the COVID mean it is not possible to produce seasonally adjusted estimates for some historical periods.

Also, note that previous versions of this report used different approaches to seasonal adjustment and measurement more generally. This means Index reads are sometimes not directly comparable. See the 'About the Westpac card data indicators' sections from earlier reports to more detail.

Classifications

Note that the measures used for card data and in this report do not align completely with the those used in official ABS statistics, including the ABS household spending indicator, ABS retail trade survey and ABS estimate of consumer spending published in the national accounts. There are a range of differences including around both coverage and classification. As such, the card data should be treated as broadly indicative.

The transaction data is grouped into 26 categories that are then combined into four main as follows:

Discretionary goods: alcoholic beverages, tobacco, clothing & footwear, furnishings & household equipment, household appliances, vehicle–related, recreational & cultural goods, newspaper, books & stationery, and other personal effects.

Discretionary services: transport services (part), recreational & cultural services, gambling, catering services, accommodation services, other personal care, insurance & financial services, other services.

Essential goods: food & non alcoholic beverages, medical products, appliances & equipment, and operation of personal transport equipment.

Essential services: electricity, gas & other fuels, health services, transport services (part), communications and education.

The report also uses two additional classifications:

MHSI/Retail: based on the extent to which categories cover activity that is in scope for the ABS monthly household spending indicator and ABS retail trade survey.

Corporate directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clark@westpac.co.nz

DISCLAIMER

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author’s knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac’s Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you

Disclaimer continues overleaf ▶

should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Economic Calendar

July 2026

MON	TUE	WED	THU	FRI
		1	**2**	**3**
		AUSTRALIA Cotality Home Value Index Jun exp –0.5% prev –0.1% (11:30am) Dwelling Approvals May exp –1.0% prev –3.4% (11:30am) **CHINA** RatingDog Manufacturing PMI Jun exp 52.0 prev 51.8 (11:45am) **EURO ZONE** CPI Jun y/y (P) exp 3.0% prev 3.2% (7:00pm) **JAPAN** Tankan Large Manufacturers Index Q2 exp 16 prev 17 (9:50am) **UNITED KINGDOM** Nationwide House Prices Jun prev –0.6% (4:00pm) **UNITED STATES** ADP Employment Change Jun exp 120k prev 122k (10:15pm) ISM Manufacturing Jun exp 53.8 prev 54.0 (12:00am) Construction Spending May exp 0.2% prev 0.4% (12:00am) **GLOBAL** S&P Global Manufacturing PMI Jun (F) ECB Forum Panel – Warsh, Lagarde, Bailey, Macklem (11:00pm)	**AUSTRALIA** Goods Trade Balance May exp $2.5bn prev $1.8bn (11:30am) **EURO ZONE** Unemployment Rate May exp 6.3% prev 6.3% (7:00pm) **NEW ZEALAND** Building Permits May prev 10.9% (8:45am) **UNITED STATES** Employment Report Jun (10:30pm) Nonfarm Payrolls Chg exp 110k prev 172k Unemployment Rate exp 4.3% prev 4.3% Avg Hourly Earnings exp 0.3% prev 0.3% Factory Orders May exp –2.0% prev 4.8% (12:00am) Durable Goods Orders May (F) exp –4.5% prev –4.5% (12:00am)	**CHINA** RatingDog Services PMI Jun exp 53.0 prev 54.4 (11:45am) **NEW ZEALAND** ANZ Consumer Confidence Jun prev 86.5 (8:00am) **UNITED STATES** Independence Day – Markets Closed **GLOBAL** S&P Global Services PMI Jun (F)
6	**7**	**8**	**9**	**10**
AUSTRALIA MI Inflation Gauge Jun y/y prev 4.4% (11:00am) ANZ–Indeed Job Ads Jun prev 1.8% (11:30am) **EURO ZONE** Ger. Factory Orders May prev –3.8% (4:00pm) Sentix Investor Confidence Jul prev –13.4 (6:30pm) PPI May y/y prev 4.9% (7:00pm) Retail Sales May prev –0.4% (7:00pm) **UNITED STATES** S&P Global Services PMI Jun (F) prev 51.3 (11:45pm) ISM Services Jun prev 54.5 (12:00am)	**CHINA** Foreign Reservces Jun prev US$3442bn **EURO ZONE** Ger. Industrial Production May prev 0.4% (4:00pm) **JAPAN** Household Spending May y/y prev –0.5% (9:30am) **UNITED STATES** Trade Balance May prev –US$55.9bn (10:30pm)	**AUSTRALIA** RBA's Hunter – Speech (11:00am) **JAPAN** Current Account May prev ¥3907.8bn (9:50am) **NEW ZEALAND** RBNZ Policy Decision prev 2.25% (12:00pm) **UNITED STATES** FOMC Minutes (4:00am) Consumer Credit May prev US$20.733bn (5:00am)	**CHINA** CPI Jun y/y prev 1.2% (11:30am) PPI Jun y/y prev 3.9% (11:30am) **NEW ZEALAND** BusinessNZ Mfg PMI Jun prev 49.9 (8:30am) **UNITED STATES** Existing Home Sales Jun prev 3.2% (12:00am)	**NEW ZEALAND** Matariki – Markets Closed

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian and New Zealand data are Westpac forecasts and for other countries are Bloomberg consensus forecasts as at the time of publication. Westpac forecasts are subject to change in subsequent publications. (P) refers to preliminary or first estimate; (S) refers to second estimate; (F) refers to final estimate.

Economic Calendar

July 2026

MON	TUE	WED	THU	FRI
13	**14**	**15**	**16**	**17**
NEW ZEALAND Performance Services Index Jun prev 47.5 (8:30am)	**AUSTRALIA** Westpac–MI Consumer Sentiment Jul prev 80.6 (10:30am) NAB Business Survey Jun (11:30am) Conditions prev 3 Confidence prev –14 **CHINA** Exports Jun y/y prev 19.4% Imports Jun y/y prev 27.4% Trade Balance Jun prev US$105.43bn **JAPAN** Industrial Production May (F) prev 0.5% (2:30pm) **NEW ZEALAND** Net Migration May prev 3090 (8:45am) **UNITED STATES** NFIB Small Business Optimism Jun prev 95.3 (8:00pm) CPI Jun prev 0.5% (10:30pm) Fedspeak – Goolsbee (3:00am)	**CHINA** GDP Q2 y/y prev 5.0% (12:00pm) Activity Indicators Jun ytd y/y (12:00pm) Retail Sales prev 1.4% Industrial Production prev 5.4% Fixed Asset Investment prev –4.1% **EURO ZONE** Industrial Production May prev 0.1% (7:00pm) **JAPAN** Core Machinery Orders May prev 8.7% (9:50am) **NEW ZEALAND** Retail Card Spending Jun prev 1.7% (8:45am) **UNITED STATES** NY Fed Empire Manufacturing Jul prev 5.7 (10:30pm) PPI Jun y/y prev 6.5% (10:30pm)	**AUSTRALIA** MI Inflation Expectations Jul y/y prev 5.5% (11:00am) **EURO ZONE** Trade Balance May prev €1.3bn (7:00pm) **UNITED KINGDOM** Monthly GDP May prev –0.1% (4:00pm) **UNITED STATES** Phily Fed Manufacturing Index Jul prev 10.3 (10:30pm) Retail Sales Jun prev 0.9% (10:30pm) NAHB Housing Market Index Jul prev 35 (12:00am) Business Inventories May prev 0.5% (12:00am) Pending Home Sales Jun prev 3.8% (12:00am)	**EURO ZONE** CPI Jun (F) (7:00pm) **NEW ZEALAND** Selected Price Indices Jun (8:45am) **UNITED STATES** Import Price Index Jun prev 1.9% (10:30pm) Housing Starts Jun prev –15.4% (10:30pm) Building Permits Jun (P) prev –0.9% (10:30pm) Industrial Production Jun prev 0.1% (11:15pm) UoM Consumer Sentiment Jul (P) prev 49.5 (12:00am)
20	**21**	**22**	**23**	**24**
NEW ZEALAND Trade Balance Jun prev NZ$800mn (8:45am) **UNITED KINGDOM** Rightmove House Prices Jul prev –0.6% (9:01am) **UNITED STATES** Leading Index Jun prev 0.1% (12:00am)	**EURO ZONE** EU ZEW Expectations Jul prev 9.5 (7:00pm) **NEW ZEALAND** CPI Q2 (8:45am) q/q prev 0.9% y/y prev 3.1% **UNITED KINGDOM** Public Sector Borrowing Jun prev £23.3bn (4:00pm) ILO Unemployment Rate May prev 4.9% (4:00pm)	**AUSTRALIA** Westpac–MI Leading Index Jun ann'd prev –0.17% (10:30am) **UNITED KINGDOM** CPI Jun y/y prev 2.8% (4:00pm)	**AUSTRALIA** Labour Force Survey Jun (11:30am) Employment Change exp 15k prev 40.3k Unemployment Rate exp 4.4% prev 4.4% Participation Rate exp 66.7% prev 66.7% **EURO ZONE** ECB Policy Decision (Deposit Rate) prev 2.25% (10:15pm) EC Consumer Confidence Jul (P) prev –17.7 (12:00am) **UNITED STATES** Chicago Fed Nat Act Index Jun prev –0.1% (10:30pm) Kansas City Fed Manufacturing Index Jul prev 11 (1:00am)	**JAPAN** CPI Jun y/y prev 1.5% (9:30am) **UNITED KINGDOM** GfK Consumer Sentiment Jul prev –23 (9:01am) Retail Sales Jun prev 1.2% (4:00pm) **UNITED STATES** New Home Sales Jun prev –7.3% (12:00am) **GLOBAL** S&P Global PMIs Jul (P) Manufacturing Services

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian and New Zealand data are Westpac forecasts and for other countries are Bloomberg consensus forecasts as at the time of publication. Westpac forecasts are subject to change in subsequent publications. (P) refers to preliminary or first estimate; (S) refers to second estimate; (F) refers to final estimate.

Economic Calendar

July 2026

MON	TUE	WED	THU	FRI
27	**28**	**29**	**30**	**31**
CHINA Industrial Profits Jun y/y prev 21.1% (11:30am) **EURO ZONE** IFO Business Climate Survey Jul prev 85.6 (6:00pm) M3 Money Supply Jun y/y prev 3.2% (6:00pm) **UNITED STATES** Durable Goods Orders Jun (P) (10:30pm) Dallas Fed Manufacturing Index Jul prev 0.0 (12:30am)	**AUSTRALIA** RBA's Bullock – Speech (1:05pm) **UNITED STATES** FHFA House Prices May (11:00pm) S&P CoreLogic CS House Prices May (11:00pm) Richmond Fed Manufacturing Index Jul prev 4 (12:00am) Consumer Confidence Index Jul (12:00am)	**AUSTRALIA** CPI Q2 (11:30am) Headline q/q exp 1.0% prev 1.4% Headline y/y exp 4.4% prev 4.1% Trimmed Mean q/q exp 1.0% prev 0.8% Trimmed Mean y/y exp 3.8% prev 3.5% **NEW ZEALAND** Filled Jobs Jun prev 0.3% (8:45am) **UNITED STATES** FOMC Policy Decision prev 3.625% (4:00am)	**AUSTRALIA** RBA's Hunter – Fireside Chat (8:40am) Dwelling Approvals Jun (11:30am) Trade Price Indices Q2 (11:30am) Export Prices prev 0.5% Import Prices prev 0.1% **EURO ZONE** EC Economic Confidence Jul (7:00pm) EC Consumer Confidence Jul (F) (7:00pm) GDP Q2 (P) prev –0.2% (7:00pm) Unemployment Rate Jun (7:00pm) **NEW ZEALAND** ANZ Business Confidence Jul prev 36.6 (11:00am) **UNITED KINGDOM** BoE Policy Decision prev 3.75% (9:00pm) **UNITED STATES** Personal Income Jun prev 0.7% (10:30pm) Personal Spending Jun prev 0.7% (10:30pm) PCE Deflator Jun prev 0.4% (10:30pm) GDP Q2 (P) ann'd prev 2.1% (10:30pm)	**AUSTRALIA** PPI Q2 prev 0.4% (11:30am) Private Sector Credit Jun (11:30am) **CHINA** NBS PMIs Jul (11:30am) Manufacturing prev 50.3 Non–Manufacturing prev 50.2 **EURO ZONE** CPI Jul y/y (P) (7:00pm) **JAPAN** Tokyo CPI Jul y/y prev 1.7% (9:30am) Jobless Rate Jun prev 2.5% (9:30am) Industrial Production Jun (P) (9:50am) BoJ Policy Decision prev 1.00% **NEW ZEALAND** ANZ Consumer Confidence Jul (8:00am) **UNITED STATES** Employment Cost Index Q2 prev 0.9% (10:30pm) Chicago PMI Jul (11:45pm) UoM Consumer Sentiment Jul (F) (12:00am)

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian and New Zealand data are Westpac forecasts and for other countries are Bloomberg consensus forecasts as at the time of publication. Westpac forecasts are subject to change in subsequent publications. (P) refers to preliminary or first estimate; (S) refers to second estimate; (F) refers to final estimate.

Corporate Directory

Westpac Economics / Australia

Luci Ellis
Chief Economist
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Kelly Eckhold
NZ Chief Economist
E: kelly.eckhold@westpac.com.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.com.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.com.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.com.nz

Paul Clark
Industry Economist
E: paul.clark@westpac.com.nz

Westpac Economics / Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

DISCLAIMER

Things you should know

We respect your privacy: You can view the **New Zealand Privacy Policy here**, or the Australian **Group Privacy Statement here**. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied of distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access **Westpac's Financial Services Guide here** or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at **www.westpac.co.nz**.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from **www.westpac.com.fj** © Westpac Banking Corporation ABN 33 007 457 141. This information

Disclaimer continues overleaf ▶

does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from **www.westpac.com.pg** © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found **here**. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

ECONOMIC BULLETIN

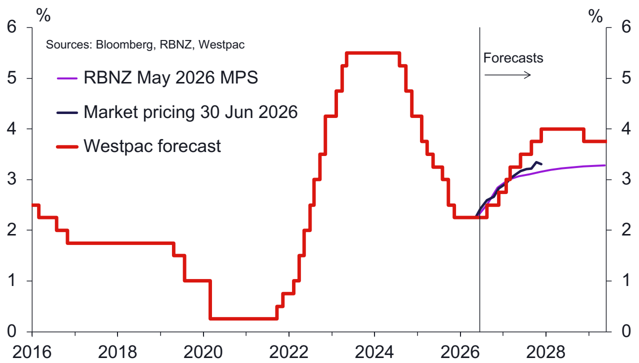
Preview of RBNZ July 2026 Monetary Policy Review (Wednesday 8 July, NZT 2pm).

30 Jun 2026 | **Westpac Economics Team** | westpac.co.nz/economics | economics@westpac.co.nz
Kelly Eckhold, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

Keep calm and focus on the data

- **We expect the RBNZ to leave the OCR at 2.25% at the 8 July Review.**
- **Much has changed over the past six weeks. Therefore, while three MPC members had voted for a rate hike in May, we think the "on hold" decision may well be reached by consensus.**
- **Forward guidance should remain consistent with a lift in the OCR this year. However, the message is expected to be more data dependent than came across at the May *Statement*.**
- **The press release will likely reaffirm that the timing of OCR increases will depend on what data and other developments suggest about the outlook for medium-term inflation pressures.**

Official Cash Rate forecasts



"What we're saying is it's likely we'll see OCR hikes at coming meetings, but we're not being, you know, exact… how much and at what meeting because we will consider, you know, the incoming data and how the inflation outlook evolves. So, if we see oil prices falling really much more than expected, if we see much much weaker growth, then we may not hike."

– Governor Anna Breman, Heather du Plessis-Allan Drive interview, 27 May 2026

RBNZ decision and communication.

We expect the OCR to remain at 2.25% at next week's 8 July policy meeting. A tightening bias will remain in place that will be explicitly data dependent. In determining when that bias might be acted upon, key factors cited will be the extent of second round pricing pressures, wages pressures and evidence of increasing medium to long term inflation expectations. Evidence that the economic recovery is resuming and the output gap narrowing would also prompt policy tightening at some stage, as was the RBNZ's forecast in the February *Statement*. The language pointing to OCR increases as likely in coming meetings could be kept but with a more explicit rider that these are conditional on evidence warranting those increases.

While three MPC members voted for a rate hike in May, the significant developments over the past six weeks make it quite possible that a vote is not required on this occasion. It would be perfectly reasonable for those previously hawkish members to change their view given the relatively quick resolution of the Iran tensions have caught most if not all commentators by surprise. Data dependence is a virtue not a failing in a well-functioning MPC.

Should a vote be needed, then we expect only a small minority of external members to support an OCR increase in July. We don't think any of the doves from the May meeting will want to join the hawkish group. There is also a strong prospect that the hawks from last time will be happy to review the key data that will be released in the week's that follow the July meeting and raise the case for an OCR rise at the September meeting, should that data support that stance.

The discussion will aim to redirect market attention on upcoming data to justify future OCR hikes. Markets became unduly fixated on a July hike after the May meeting and saw it as relatively independent of incoming data and developments in the Middle East, which was unfortunate. We expect the MPC to take the opportunity to correct that impression.

Prospects for a normalisation of the OCR will remain a feature of the RBNZ's communication. But we expect the Bank to shift the frame of reference towards the view the MPC held pre-war. This envisaged a single OCR hike no sooner than the end of this year. As inflation is still higher than anticipated back in February, we think they will signal bringing forward of the date of lift off in the OCR to September but suggest a gradual trajectory from there if second-round inflation pressures from the Middle East supply shock remain in check. The option of consecutive increases in the OCR from September might still be a possibility but would not be presented as base case and would be dependent on data warranting a less gradual cadence of OCR increases. We don't expect the MPC to present a September OCR increase as a given. A slow bounce back of economic activity and evidence of weak underlying inflation pressures in the June quarter CPI could justify delaying to December and thus moving the RBNZ's stance all the way back to that communicated in the February 2026 *Statement*. Reintroducing data dependence into the MPC's future decision-making framework will aim to preserve the option to push the tightening cycle back to December should data suggest that appropriate.

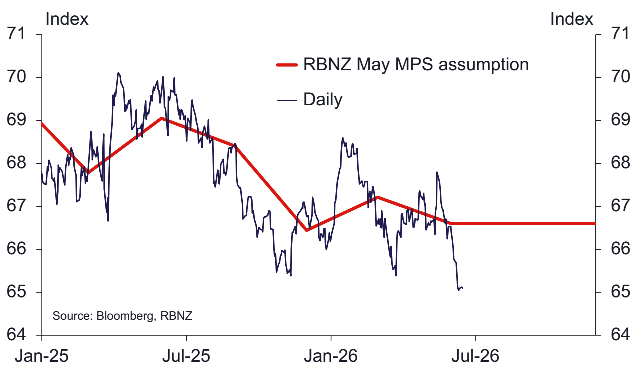
We expect market pricing to take a bit more out of the amount of tightening expected for 2026 and move to a situation where markets price between one and two 25 bp increases by year end. From there the data will determine how market pricing evolves.

Arguments in favour of a hike.

The most prominent argument we have heard among market participants expecting a July hike is that this was more-or-less promised in the May Statement. It's certainly the case that the RBNZs Q3 2026 assumption of an average OCR of 2.51% is most consistent with a July hike and for some members a July hike may have been the presumption in the absence of a marked change in the inflation outlook. But we certainly don't agree that a hike was in any way promised.

The Governor described OCR increases "in coming meetings", which was deliberately and appropriately vague given the uncertain nature of the environment. The quote we included on the front page of this note illustrates the conditionality of the policy outlook. The Governor explicitly noted in a radio interview after the May meeting that "… if we see oil prices falling really much more than expected, if we see much much weaker growth, then we may not hike". And in various speaking engagements the Governor has referred to a desire to see evidence of second-round pricing dynamics, rising wage pressures and increasing inflation expectations to confirm that any earlier hike in the OCR was necessary. No such evidence has accumulated since May. Similarly, in her public appearances, Assistant Governor Silk has noted that all options were on the table for the July meeting, including a "hold". We think that the near $30/bbl decline in oil prices since the May meeting was probably beyond even the most optimistic scenario that Silk might have envisaged when she made that comment.

NZD Trade Weighted Index



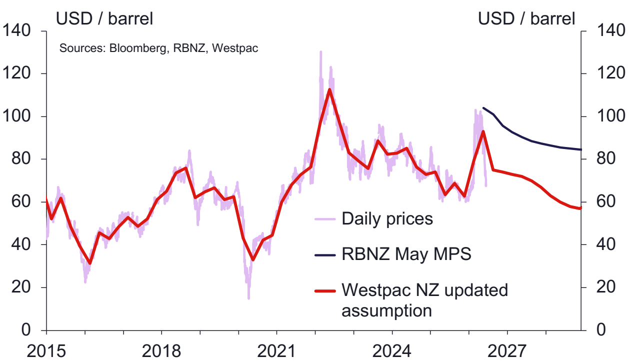
Another argument is the weakening in the exchange rate in the face of wide interest rate differentials. It is the case that the US dollar has been stronger since the FOMC shifted towards a tightening bias at their last meeting. Similarly, the Reserve Bank of Australia Board sent a message in their last meeting that cash rate increases were still possible. The associated weakening in the NZD has added to inflation pressures. But it's still unclear how persistent these will prove to be in much the same way we don't know how persistent energy related costs pressures will be. More generally the weaker NZD is a positive economic influence as it is assisting the competitive parts of the economy that are the key drivers of economic recovery. It's also useful additional pressure on less competitive parts of the economy to adjust (for example import demand, the construction and real estate sectors). The risks of FX depreciation are more likely better managed by retaining the view that the OCR will eventually need to return to developed country norm levels, adjusted for risk premia, as opposed to justify what might be premature OCR increases.

The resolution of at least some of the uncertainty associated with the Iran war will be a fillip to growth in the second half of 2026. The RBNZ has modest expectations for Q3 GDP (0.2% growth) that should be revised higher. Similarly, forecasts for later quarters could be revised higher in line with the stronger anticipated terms of trade now energy prices are lower. Business and consumer confidence, along with housing market prospects, should bounce as the Iran war uncertainty is reduced. Indeed, there is some evidence of this in today's monthly business confidence survey that shows general business confidence rising in June. We think there is some merit to these arguments. But importantly it seems very unlikely that future upgrades to the growth outlook will be sufficient to restore the RBNZ's February *Statement* growth outlook, when recall the RBNZ forecast no more than one 25bp hike in the OCR this year. Today's business survey also shows that its very much early days in the business sector recovery given that backward looking measures of activity suggest still weakening growth momentum. Also the level of business confidence, while higher than that seen in May, is some distance below the levels seen in early 2926, when the RBNZ saw OCR increases coming at the end of 2026.

Arguments in favour of no change.

No further evidence on second round inflation impacts, rising wages pressures or increasing inflation expectations has accumulated since the May meeting. Indeed, short term inflation expectations appear to have reduced in business and consumer surveys as energy prices have fallen and will likely continue to decline if current energy price levels are sustained. Westpac's employment confidence survey shows a still fragile labour market that seems unlikely to support upward pressure on wages.

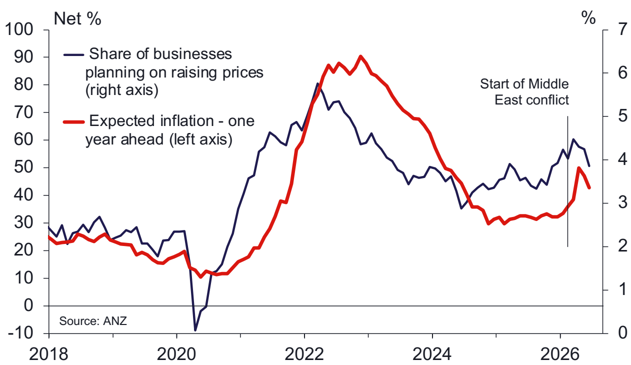
Dubai oil prices



The Iran war has resolved (at least for now) unexpectedly quickly. A $30/bbl decline in oil prices is big news, sufficient to change the medium-term outlook, just as a $30/bbl increase was on the way up. With oil and refined fuels prices now well below the levels assumed in prior forecasts (including the RBNZ's May forecasts), forecasts of peak and end year inflation are being revised lower. For example, Westpac now sees CPI inflation peaking a quarter earlier in the June quarter at 4% and ending 2026 at 3.5%. The risks of prolonged inflation dynamics – such as those that had clearly bothered MPC member Prasanna Gai – taking hold must have a much lower probability now compared to that contemplated back in May. Similarly risks to inflation expectations have reduced.

Importantly, further key information will be available soon. The June quarter CPI (released 21 July) will show how widespread inflation pressures are. The monthly indicators provide little insight but to the extent they do, they have shown less inflation than previously feared. The June quarter QSBO will be available in a week and will similarly provide indicators on businesses' pricing and margins as well as activity indicators. The June quarter labour market reports due early August will shed light on the strength of the labour market and wage pressures. The best measures of inflation expectations are also available in August. This avalanche of relevant data scheduled between the July and September meetings always made a July hike a courageous move. With the sharp decline in energy prices significantly reducing the merit of pre-emptive action we suspect even the hawkish MPC members will now be content to see what this data reveals.

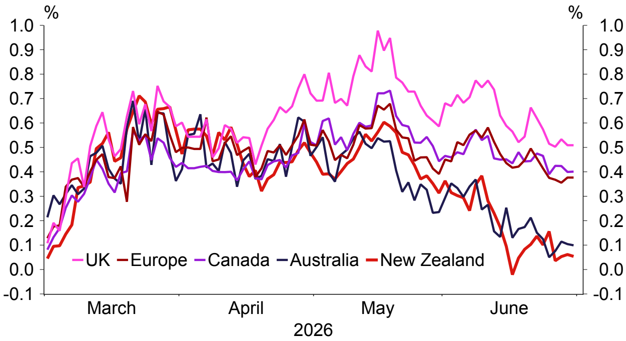
Businesses inflation expectation and pricing intentions



Activity data seemingly confirm a stagnant economy in the June quarter. Most indicators suggest little growth occurred in the June quarter, hence the output gap should have widened. Q1 GDP data was pretty much in line with RBNZ views once revisions are considered (the economy was just 0.1% larger than assumed in the May *MPS*).

It's also useful to remember that global views on the need for interest rate increases have generally pulled back noticeably (with the key exception of the United States). Market pricing of the expected change in 90-day rates in the coming 2 years has pulled back across most peer economies with the adjustment to Australasian interest rate expectations being greater than for most. We note that the Bank of Canada remains cool on the potential for interest rate increases this year. This is interesting as Canada seems to be the closest comparator to New Zealand in that both countries are operating with a negative output gap and have similar monetary policy frameworks.

Change in the 3 mth rate 2 years ahead relative to February



Sources: Macrobond, Bloomberg, Westpac

Scenarios.

More hawkish and dovish possibilities exist including:

- A hawkish scenario where the OCR is increased and language suggesting the RBNZs views haven't shifted much. Markets would rationally assume at least 3, possibly 4 hikes in aggregate for 2026. We see this as implausible and assign a 10% probability to it.
- A dovish scenario that seriously questions a hike before December. The forward guidance could be omitted noting that inflation risks seem much less prominent relative to the still large level of excess capacity. Evidence of strong core inflation and broadening second-round inflation pressures would need to be seen to justify a lift in the OCR, and the statement could note that such evidence is lacking at this stage. The February *MPS* forecasts could be explicitly referred to as being nearer to the MPC's current frame of reference. This is more plausible and we attach a 30% probability to this scenario.

Kelly's take.

This is an easy decision. While I advocated for an increase in May, there seems much to be gained from waiting to see the outcome of the June quarter CPI. Certainly, the risks of prolonged second-round price impacts are lower than thought earlier given the Iran conflict seems to have resolved much sooner than expected and energy prices have declined far sooner than expected.

Higher interest rates are in prospect in time. But the urgency to begin the process now when such critical evidence is available just around the corner is gone. I suspect a gradual approach of 25bp increases in September and December should prove sufficient for now. The economy will continue to recover through the second half of the year, calling for a return of the OCR to hopefully not much higher than neutral levels (in the high 3s in my view) next year.

I see the risk that the exchange rate will depreciate further over the balance of the year given steep negative interest rate differentials. But if this occurs, this will aid the needed rebalancing of the economy. The market needs to be reminded of the importance of data dependence in determining future OCR adjustments.

Contact

Westpac Economics Team | **westpac.co.nz/economics** | economics@westpac.co.nz

Connect with us

Kelly Eckhold, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

Satish Ranchhod, Senior Economist | +64 9 336 5668 | +64 21 710 852 | satish.ranchhod@westpac.co.nz

Darren Gibbs, Senior Economist | +64 9 367 3368 | +64 21 794 292 | darren.gibbs@westpac.co.nz

Michael Gordon, Senior Economist | +64 9 336 5670 | +64 21 749 506 | michael.gordon@westpac.co.nz

Paul Clark, Industry Economist | +64 9 336 5656 | +64 21 713 704 | paul.clark@westpac.co.nz

Past performance is not a reliable indicator of future performance. The forecasts given in this document are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from these forecasts.

Disclaimer

Things you should know.

We respect your privacy: You can view the **New Zealand Privacy Policy** here, or the Australian **Group Privacy Statement** here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer.

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access **Westpac's Financial Services Guide** here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at **www.westpac.co.nz**.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from **www.westpac.com.fj** © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from **www.westpac.com.pg** © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the **general disclosure** which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Westpac Banking Corporation.

Week beginning 29 June 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Between a rock and a hard place.

The Week That Was: Patience is a virtue.

Focus on New Zealand: RBNZ to scale back OCR hikes as energy prices recede.

For the week ahead:

Australia: RBA minutes, private sector credit, home value index, goods trade balance, dwelling approvals.

New Zealand: Monthly employment indicator, business confidence, consumer confidence, building permits.

Japan: Jobless rate, Q2 Tankan large manufacturers index, industrial production.

China: NBS PMIs.

Euro Area: CPI, unemployment rate, economic confidence, consumer confidence.

United Kingdom: Q1 GDP (final estimate).

United States: Unemployment rate, nonfarm payrolls, average hourly earnings, ADP employment change.

Global: S&P Global manufacturing PMIs.

Information contained in this report current as at 26 June 2026.

Between a rock and a hard place

Matthew Hassan
Head of Australian Macro-Forecasting,
Westpac Group

- **The detailed June quarter CPI release on July 29 will be the most important domestic update ahead of the RBA Monetary Policy Board's August meeting.**
- **This week's monthly releases on inflation and the labour force were clearly of interest as well but would probably not have shifted the RBA's views.**
- **Concerns about a more prolonged period of high inflation are expected to dominate the Board's thinking. It's assessment of risks will be key but are likely to lean in favour of a further 25bp hike in August.**

The RBA's 'hawkish hold' in June included a clear warning that inflation was too high and that it was prepared to raise interest rates further if required. If a further move is required, it is most likely to involve a hike at the Monetary Policy Board's next meeting on August 9–10, a little over seven weeks away. As always – and paraphrasing the Board's June decision statement – its judgement will rest on the evolving assessment of the outlook and risks, informed by developments in the global economy and financial markets and by trends in domestic demand and the outlook for inflation and the labour market.

Information-wise, the detailed June quarter CPI release on July 29 will be the most important update. However, this week's monthly releases on inflation and the labour force were clearly of interest as well. These did contain some surprises but not ones big enough to really shift the RBA's views.

Underlying inflation still uncomfortably high

As set out in our regular **Cliff Notes** recap on p3, headline inflation surprised to the downside in May, dropping back to 4%yr, but with the all-important Trimmed Mean measure of underlying inflation lifting from 3.4%yr to 3.6%yr.

On balance, we think the detail would have underscored the RBA's concerns about the pass-through of higher energy costs, particularly in the dwelling construction space, noting that the high weight of housing in the CPI means this often sets the pace for underlying inflation. The full June quarter update will be important here given the reversal lower in fuel prices since April and a clearer weakening now showing through in housing markets more generally (see our latest Housing Pulse, released at the start of this week, for more details).

There was some evidence of pass-through effects in other CPI items as well while some significant direct effects may not have shown through yet. Specifically, the 'holiday travel and accommodation' component, which was a notable downside surprise in May, includes air travel costs that get captured with a one-to-two-month lag (reflecting the typical timing difference between booking and travel). As such, the sharp re-pricing due to spiking jet fuel costs in April-May will likely only start to appear in the CPI from June (noting that this may only affect the headline measure with no impact on the Trimmed Mean).

Overall, inflation is likely to still be uncomfortably high for the RBA going into its August meeting and there will be ongoing concerns that high inflation is becoming embedded in domestic wage and price setting behaviour.

> **"... inflation is likely to still be uncomfortably high for the RBA going into its August meeting ..."**

Labour force softening slowly, growth sluggish

The May labour force update would not have been a game-changer for the RBA either. Employment bounced-back as expected but from a slightly bigger, downwardly revised, decline in April. While the underlying pace of growth is a touch softer, the tick-down in the unemployment rate from 4.5% to 4.4% was as expected. That is a touch higher than the RBA's May forecasts, which had 4.2% pencilled in for the June quarter average, but the difference mainly comes down to the RBA's more pessimistic assessment of labour participation rates rather than a significantly different picture on employment growth.

There is likely to be more softness to come as the full impact from higher interest rates and the Middle East conflict works through but for now the labour market is broadly unfolding in line with expectations.

The wider pool of high frequency data continues to point to weak growth through the middle of the year. Our first **Westpac-Now** estimate for Q2 GDP points to growth of around 0.2%qtr in line with the sluggish 0.3%qtr outcome in Q1 2026. The signals suggest there is about a one-in-four chance that the economy could jag a negative result in the quarter, but month to month, there are tentative signs that growth is stabilising at this pace rather than weakening further (see here for more detail). Again, this is likely a touch weaker than implied by the RBA's current forecasts.

Inflation rather than growth is the Board's dominant concern at the moment. As such, it would take a substantially weaker than read on this front to influence its decisions. The extent of any additional slowing is of interest but slow growth on its own will be seen as an unavoidable cost of ensuring inflation makes a sustained return to the 2-3% target over a reasonable time-frame.

Judging the risks

All up, we expect the RBA will view this week's domestic data flow as broadly in line with its forecasts. As always, it should be remembered that the Bank's base case forecasts, set down in May, were conditioned on an assumed path for the cash rate that had an additional increase (worth about one and a half 25bp hikes). As such, outcomes that are 'as expected' tend to endorse some further tightening. Or, to put it another way, the data needs to provide evidence that the economy is undershooting baseline forecasts for inflation and growth, for this alone to be the basis for the Board to leave rates unchanged.

The May updates do not seem to meet these criteria. The June round of data may do so but at this stage we still see the risks stacked towards an uncomfortably high CPI update and an August interest rate hike.

The Board's judgement of risks may prove to be just as critical as the data flow. Here the question will be whether the better-than-expected improvements in the Middle East and in global energy markets are likely to be sustained and enough to ensure a domestic disinflation without the need for additional interest rate tightening. On balance, we expect oil and gas supply normalisation to be a slow and bumpy process and that concerns about a more prolonged period of high domestic inflation will carry the August decision. With growth already sluggish, that decision will be a difficult one for the Board. This week's updates have not made its deliberations any easier.

Cliff Notes: patience is a virtue

Elliot Clarke, Head of International Economics
Ryan Wells, Economist
Illiana Jain, Economist

Australian consumer prices fell 0.7% in May, bringing the annual rate of headline inflation down from 4.2%yr to 4.0%yr. The main cause of the decline was an 11.9% fall in auto fuel prices; but, relative to our own forecast, it was holiday travel and accommodation that was the primary contributor.

Stripping out these factors, trimmed mean inflation lifted from 3.4%yr to 3.6%yr. Housing inflation was, once again, key with rents surprising to the upside and new dwelling costs recording their strongest monthly increase since late-2022. The latter contrasts with growing evidence of cooling demand in the housing market, pointing to margin pressure for homebuilders. Cost pass-through was also evident in the detail, though weak household spending may stop businesses from recouping costs through mid-year and beyond. The abrupt reversal in energy supply and prices through June (see below) may also see businesses write off margin compression as a transient concern.

Employment subsequently bounced back from holiday-related weakness in April as expected, jobs up +40.3k and the unemployment rate ticking down to 4.4%. That said, revisions to April offset May's gain, stalling growth in Q2-to-date after a robust Q1. Looking past the month-to-month volatility, the unemployment rate trend is starting to edge up, in line with our expectation for a sustained softening.

Offshore, the past week saw the Memorandum of Understanding between the US and Iran take effect and a consequent rapid opening up of the Strait of Hormuz, freeing circa 20 million barrels of oil from the Strait in recent days. For the most part, the price of oil has trended down, reaching USD72 mid-week, a level last seen before the conflict began in February. It has not been all smooth sailing, however, an attack on a commercial ship off the coast of Oman overnight sparking concern and an increase in the oil price back above USD75. Several points still require detailed negotiation, including Iran's nuclear program and the management of the Strait beyond the first 60 days. Discussion on a framework to resolve differences on these matters began at the weekend in Switzerland, and are likely to continue for weeks, if not months. Risks for energy supply and price will therefore linger for the foreseeable future.

On the data front, US personal income surprised to the upside in May, rising 0.7% after being unchanged in April. Compensation growth was more modest at 0.4%, consistent with the average since the beginning of the year. Personal spending growth also accelerated to 0.7%, although much of the gain was driven by inflation, with real spending up just 0.3% after a flat April print. PCE inflation was a touch softer than expected in May at 0.4%, while core inflation was in line at 0.3%. Q2 is therefore looking like another soft period for the US consumer. Notable too is that revisions have been against the consumer, the third estimate of Q1 GDP this week seeing quarterly consumption growth revised down to just 0.5% annualised. An upgrade to business investment and a material reduction in import growth in the quarter more than offset for GDP; but being more than 70% of the economy, the weakness in consumption will have a significant bearing on the aggregate pulse hence.

"...the unemployment rate trend is starting to edge up, in line with our expectation for a sustained softening."

In our view, this data and events in energy markets warrant the FOMC remaining on hold for the remainder of the year as inflation risks slowly abate. However, the market is likely to continue to price the risk of further tightening, particularly while the White House remains out of the monetary policy debate and AI optimism persists.

RBNZ to scale back OCR hikes as energy prices recede

New Zealand Economics team

A great deal has changed since early May, when we last reviewed our forecasts for both the global and domestic economies – more than financial markets appear to have fully appreciated, judging by the continued pricing of an RBNZ rate hike at next month's policy review. At the centre of these developments has been the unexpectedly rapid progress in reducing Middle East tensions. In particular, the prospect of a faster-than-expected restoration of shipping flows through the Strait of Hormuz has materially altered the outlook for global trade. This has implications not only for oil, petrochemical products and natural gas, but also for a broader set of inputs such as fertiliser – goods that play a crucial role in global economic activity and, by extension, New Zealand's macroeconomic environment.

While it is still too early to conclude that geopolitical tensions in the region have been durably resolved, there is now sufficient evidence to suggest that diplomatic efforts are gaining traction. A sustained ceasefire and a return to more normal shipping conditions appear increasingly plausible. Against that backdrop, it is appropriate to incorporate this new information into our macroeconomic assessment.

The most important revisions to our assumptions relate to the level and expected path of oil and refined fuel prices. These prices have pulled back much more rapidly than anticipated, reaching levels that we previously did not expect until the middle of 2027. Brent crude oil is currently trading at around US$73 per barrel, broadly in line with pre-conflict levels. We now expect prices to ease further, reaching around US$69 per barrel over the course of 2027. Refined fuel prices have followed a similar, though more gradual, downward trajectory. After peaking at around US$195 per barrel in March, they have fallen to approximately US$110, compared with roughly US$92 prior to the conflict. We anticipate further declines, with prices easing to around US$102 per barrel by the end of this year and to US$90 by the end of 2027.

Crucially, current oil and fuel price levels are now materially below those assumed by the RBNZ in its May forecasts. This divergence has important implications for the inflation outlook, the pace of economic recovery, and the stance of monetary policy.

Alongside these developments, our updated forecasts also take into account recent domestic economic data, including the latest data on GDP, selected price indices, and a range of high-frequency indicators of activity. We have not, at this stage, updated our global growth forecasts or exchange rate projections aside from incorporating the latest starting point for the New Zealand dollar, as these will be reviewed more comprehensively in the upcoming July Market Outlook. Similarly, we have not yet incorporated the implications of the fiscal position set out in Budget 2026. However, we expect those effects to be modest and will integrate them fully in our next quarterly Economic Overview.

Turning to growth, the faster-than-expected easing in energy prices has led us to upgrade our GDP forecasts, particularly for the June quarter and the second half of this year. Much of this reflects a bringing forward of the recovery that had previously been delayed by the oil shock. As a result, while growth in 2026 is now expected to be stronger, there is a corresponding moderation in the growth profile for 2027.

We now forecast GDP growth of 2.0% for 2026 and 2.9% for 2027. This compares with a previous forecast of around 1.5% growth for 2026. Nonetheless, it is worth noting that this remains well below the 3.3% growth we had anticipated prior to the outbreak of the Iran conflict, underscoring the lasting effect that the shock has had on economic momentum.

Recent data suggest that the economy has held up better than expected during the peak of the oil price shock in April and May. We now expect GDP to decline by just 0.1% in the June quarter, rather than the 0.3% contraction previously forecast. This estimate incorporates ongoing seasonal distortions in the data; on an underlying basis, we judge that the economy has continued to expand modestly, with growth of around 0.2%, partially offset by seasonal factors.

Looking ahead, as oil prices continue to recede, we expect the economy to return to a more typical recovery trajectory. Quarterly growth is forecast to rise to around 0.6% in the September quarter and 0.7% in the December quarter. This would result in a solid, albeit incomplete, recovery over the remainder of the year.

In the labour market, the improved growth outlook translates into a slightly more favourable trajectory for unemployment. While some near-term softness remains likely (reflecting the uncertainty that has weighed on hiring decisions), we are now less concerned about a sustained deterioration in labour market conditions. High-frequency indicators point to broadly flat employment in the June quarter. However, this is unlikely to absorb ongoing population growth, suggesting that the unemployment rate could edge higher in the near term, rising to around 5.4% after easing to 5.3% in the March quarter. We expect a gradual improvement beyond that time (previously we expected unemployment to rise further to a peak of 5.6%), dropping below 5% by late 2027.

The housing market, meanwhile, continues to show limited momentum. House prices have remained flat in recent months, with softness in related indicators such as days to sell. Nevertheless, there are signs that conditions may begin to improve modestly. The combination of lower energy costs and reduced expectations of near-term OCR hikes has contributed to an easing in mortgage rates, which in turn should support sentiment.

We've revised up our forecast for house prices in 2026, and now expect a small increase of around 0.6%yr (in contrast to our earlier forecast for a modest decline). In 2027, we continue to expect growth of around 2%yr. Regional markets are still likely to outperform the major North Island urban centres, with the strength in commodity exports underpinning firmer economic conditions and labour markets in regions with strong rural backbones, like Canterbury.

Inflation dynamics have also shifted materially. The faster-than-expected decline in oil prices has led us to lower our inflation forecasts. We now expect annual inflation to peak at around 4.0% in the June quarter (down from our previous estimate of 4.5%), before easing to around 3.5% by the end of the year. This is notably below the RBNZ's May projection of 4.1% for year-end inflation.

Lower fuel costs have already been reflected in retail prices. Petrol and diesel prices have fallen significantly from their peaks, directly subtracting around 0.5 percentage points from our inflation forecast. In addition, we now expect that the pass-through of high fuel costs to other prices will be more moderate, reflecting both the smaller magnitude and shorter duration of the cost shock.

Looking further ahead, inflation is expected to decline through 2027 as the effects of the oil shock fade. Indeed, base effects may temporarily push headline inflation below 2% at some point, before a gradual pickup as economic activity strengthens. Core inflation measures, however, remain relatively firm, reflecting underlying pressures that have persisted despite weak demand in recent years.

These developments have important implications for monetary policy. The improved inflation outlook reduces the urgency for the RBNZ to raise the Official Cash Rate and will likely reduce the need for at least one of the rate hikes that had been factored into the RBNZ's May projections. That would leave a baseline outlook of one to two rate increases over the course of the year. This would represent a meaningful recalibration, albeit not a complete reversal to pre-conflict assumptions, given that inflation remains elevated in the near term.

For the upcoming 8 July policy meeting, we continue to expect that the OCR will be left on hold. The sharp decline in energy prices and the associated improvement in the inflation outlook have significantly weakened the argument for pre-emptive tightening. While some members of the Monetary Policy Committee may still favour rate increases later in the year, there appears to be little pressure to act immediately.

Moreover, additional key data covering inflation, the labour market, and business conditions will be released between the July and September meetings. Waiting for this information seems prudent, particularly given ongoing uncertainty around geopolitical developments and the durability of the recent improvement in oil prices.

We continue to expect that the RBNZ will leave the OCR on hold at 2.25% in July. This decision is likely to be less contentious than the previous meeting and could potentially be reached by consensus.

We expect the RBNZ will begin lifting the OCR at the September MPS meeting and move again once more towards neutral settings before the end of the year – most probably at the December MPS meeting.

But even these forecasts are not a slam dunk and have two-sided risks. Should the June quarter CPI reveal benign core inflation, then the RBNZ could leave the OCR unchanged until December. In contrast, if the CPI runs hot, then we could still see the three 25bp rate hikes that we previously anticipated.

Our central view implies one less rate hike this year than we had forecast most recently. However, the elevated path for inflation means that increases in the OCR are still expected.

We have retained the same OCR changes that we had previously forecast to occur in 2027. But with one less hike now expected in 2026, the OCR is now forecast to peak at 4.0% – 25bps lower than we previously anticipated. A lower peak OCR is consistent with the smaller and shorter duration oil-related supply shock now assumed. Our view on the neutral OCR remains at 3.75%.

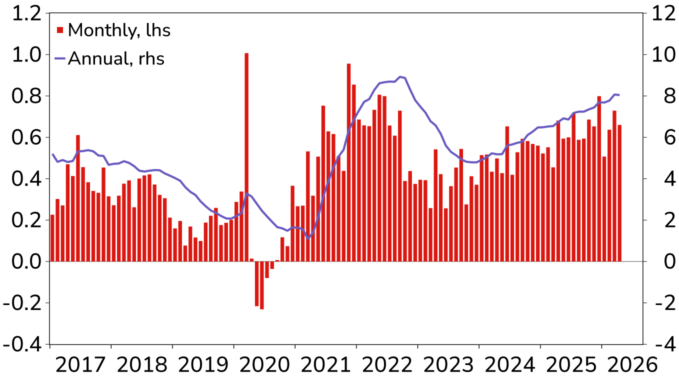
AUS: May Private Sector Credit (%mth)

Jun 30, Last: 0.7, Westpac f/c: 0.6
Mkt f/c: 0.6, Range: 0.5 to 0.7

Despite the weaker economic outlook and higher interest rates, the latest private sector credit figures showed no signs of softening in April, with growth holding steady at 0.7%mth. All major categories maintained solid momentum, with investor housing credit leading the way, up 0.9%mth, and business credit growth close behind at 0.7%mth.

We expect May to bring the first signs of slowing. Following the RBA's first cash rate hike in early February, enough time has likely passed for the impact of higher interest rates to begin flowing through. The drag from increased economic uncertainty amid the war in the Middle East should also begin to play a role. We expect growth to slow to 0.6%mth but would not rule out a 0.5%mth increase. Please note that the data may be delayed – last month, it was released three working days later.

Private Sector Credit Growth



Source: RBA, Macrobond, Westpac Economics

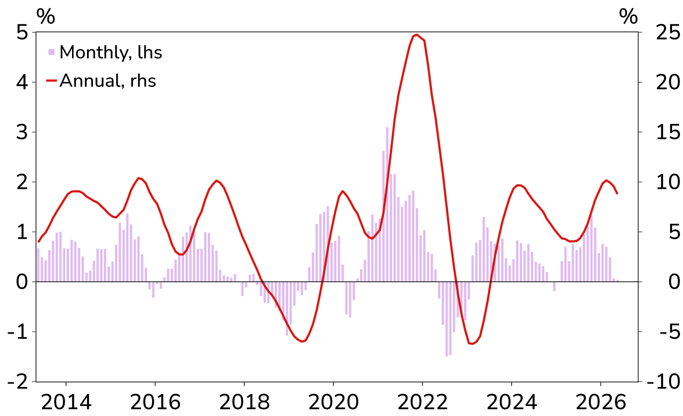
AUS: Jun Cotality Home Value Index (%mth)

Jul 1, Last: –0.1, Westpac f/c: –0.5

The Cotality home value index dipped –0.1% in May with revisions showing price growth stalled flat over the three months to May led by a deepening price correction in Sydney and Melbourne and more pronounced slowdowns in other capital cities.

June will reveal a more marked deterioration with the daily measure now pointing to a 0.5% fall nationally, dip for the month as a whole. The detail shows Sydney and Melbourne prices declining at a 1.2% and 0.9% monthly pace and a further slowing in momentum in Brisbane, Adelaide and Perth. Turnover will be a key area to watch as tax policy changes announced at the Federal budget start to impact investor activity.

Cotality home value index



Source: Cotality Australia, Macrobond, Westpac Economics

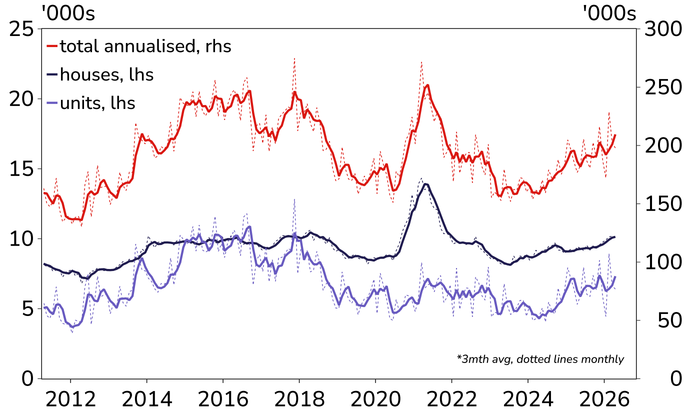
AUS: May Dwelling Approvals (%mth)

Jul 1, Last: –3.4, Westpac f/c: –1.0
Market f/c: 0.0, Range: -5.0 to 5.0

Dwelling approvals fell 3.4%mth in April but with the annual pace still lifting to 10.2%yr. Activity looks to be normalising back towards the 2025 average monthly run rate after a brief surge earlier in the year.

That normalisation is likely to continue in May with high rise approvals still above average 2025 levels in April. Non-high rise components are likely to show some flattening. The key question is the extent to which rate rises impact – these tend to have a delayed impact on approvals activity, usually taking several months to show through. Meanwhile there are some potential countervailing forces coming through state government policy measures aimed at lifting supply, which likely work through even longer lags.

Building approvals



Source: ABS, Macrobond, Westpac Economics

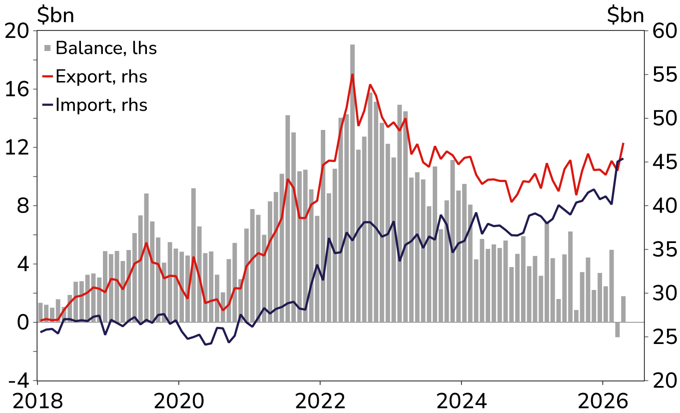
AUS: May Goods Trade Balance ($bn)

Jul 2 Last: 1.8, Westpac f/c: 2.5
Mkt f/c: 2.4, Range: 1.0 to 3.5

Having dipped below zero in March, the headline goods trade balance recovered to $1.8bn in April, supported by strong commodity outflows after a weak Q1. We are expecting a further improvement in May to $2.5bn.

The May picture again looks nuanced, with multiple categories pulling in different directions. Major commodity exports are set to decline, led by LNG. Rural goods exports should rise, with meat exports taking another step higher from already elevated levels. On the imports side, the key categories to watch are fuel and ADP equipment. The former more than doubled in March and April, and lower oil prices point to some reversal this time. The ADP is much harder to judge, given the recent volatility. We have pencilled in a recovery after the April retreat, although total imports may still fall.

Goods trade balance



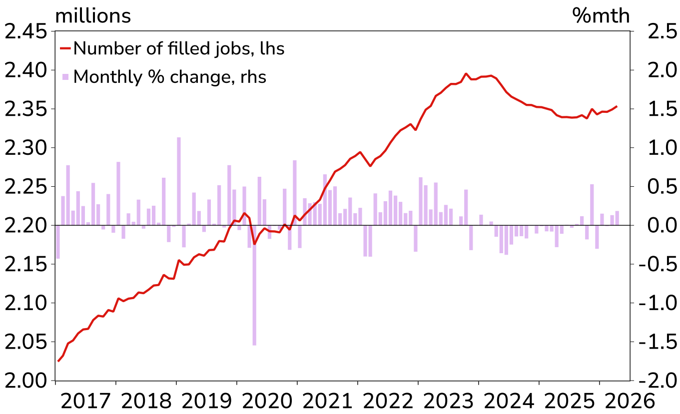
Source: ABS, Macrobond, Westpac Economics

NZ: May Monthly Employment Indicator (%mth)

Jun 29, Last: 0.2, Westpac f/c: 0.2

The MEI has been showing a modest uptick in employment since late 2025, adding to the evidence that the New Zealand economy was regaining momentum prior to the Iran conflict. The weekly snapshots provided by Stats NZ suggest that the labour market has held its ground during the conflict, with the number of filled jobs continuing to track slightly above year-ago levels. Given that the MEI tends to be overstated on the first release, we expect to see a 0.2% rise for May initially, which is then likely to be revised closer to flat. The April increase is also likely to be revised lower.

Monthly Employment Indicator



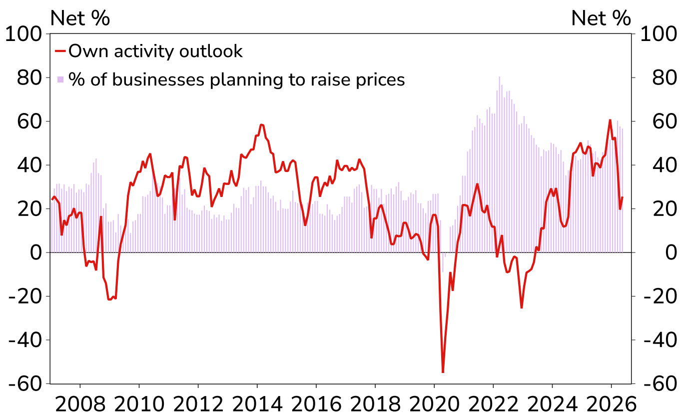
Source: Stats NZ, Macrobond, Westpac Economics

NZ: Jun ANZ Business Confidence (index)

Jun 30, Last: 10.0

Business sentiment improved a bit in May, after falling sharply in March and April in response to the Iran conflict. With domestic fuel prices easing further in recent weeks, we should see a further lift in confidence in the June survey – although given the timing of the US-Iran peace agreement, we could see another sharp distinction between early and late responses during the month (the latter group typically being smaller). With a critical RBNZ decision looming next month, the focus will also be on the inflation indicators in this survey such as pricing intentions and expected wage growth.

ANZ Business Outlook survey



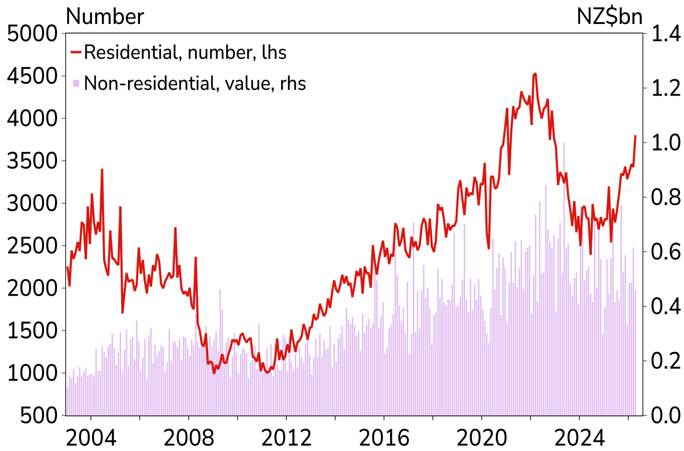
Source: ANZ, Macrobond, Westpac Economics

NZ: May Building Consents (%mth)

Jul 2, Last: 10.9, Westpac f/c: –5

April saw an 11% rise in dwelling consent numbers, underpinned by a large number of apartment consents. As such consents are typically issued in batches, we expect they will drop back this month. However, the underlying trend in consent issuance more generally has remained firm, with the annual total rising to its highest level since 2023. Even with the expected easing in the May month, the annual total is set to continue climbing. On the non-residential front, nervousness about economic conditions means that the amount of commercial building work planned is expected to continue tracking broadly sideways, though trends are mixed across segments.

Building consents



Source: Stats NZ, Macrobond, Westpac Economics

US: Jun employment report (000s)

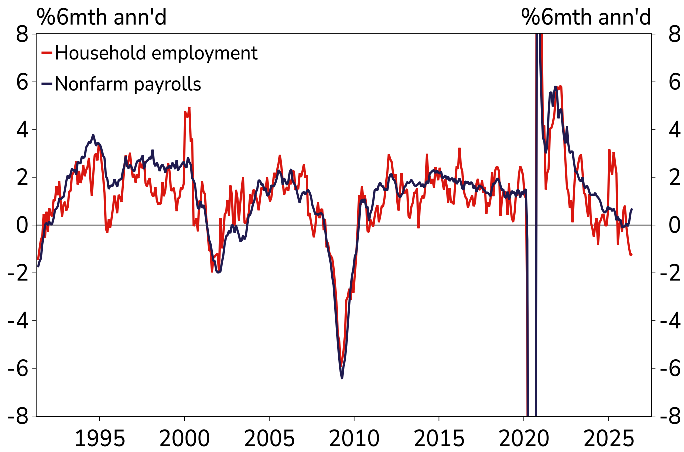
Jul 2, payrolls, Last: 172, Mkt f/c: 115, WBC f/c: 100

Nonfarm payrolls surprised materially to the upside in May, a gain of 172k reported in the month as well as 93k in back revisions to March and April. The 3-month average more than doubled to 188k as a result, a pace of employment growth well in excess of new labour supply.

Household employment growth remained weak, however, and the unemployment rate unchanged at 4.3%. Average hourly earnings growth was also benign at 3.5%yr.

June's report will provide guidance on whether the labour market is just marking time or tightening anew. It will also provide clarity on whether one-off's were behind May's surge, most notably owing to the staging of the World Cup.

Job pulse to be determined



Source: BLS, Macrobond, Westpac Economics

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 29							
Aus		RBA Speak	–	–	–	–	Speech by Assistant Governor Kent in Sydney, 9:30am AEST.
NZ	May	Monthly Employment Indicator	%mth	0.2	–	0.2	Jobs have held their ground through the Iran conflict.
Eur	May	M3 Money Supply	%ann	2.7	2.7	–	Tight credit conditions and weak demand keep supply weak.
	Jun	Economic Confidence	index	93.5	94.8	–	Confidence stabilising but remains at levels consistent...
	Jun	Consumer Confidence	index	–17.7	–	–	...weak activity offering limited support for spending.
US	Jun	Dallas Fed Manufacturing	index	0.4	–	–	Weak conditions highlight ongoing industrial softness
Tue 30							
Aus		RBA Minutes	–	–	–	–	Detail the deliberations of the hawkish hold.
	May	Private Sector Credit	%mth	0.7	0.6	0.6	Likely to see the first signs of slowing post RBA rate hikes.
NZ	Jun	ANZ Business Confidence	index	10.0	–	–	Should see a lift but especially among later responses.
Jpn	May	Jobless Rate	%	2.5	2.5	–	Structural forces keep labour markets tight.
	May	Industrial Production	%mth	0.5	0.1	–	Underlying momentum mixed with volatile output figures.
Chn	Jun	NBS Manufacturing PMI	index	50.0	50.1	–	Manufacturing activity remains soft reflecting weak...
	Jun	NBS Non–Manufacturing PMI	index	50.1	49.9	–	...demand and ongoing headwinds.
UK	Q1	GDP	%ann	1.1	–	–	Consistent with a subdued expansion.
US	Apr	FHFA House Prices	%mth	0.1	–	–	House price growth easing as affordability..
	Apr	S&P/CS Home Price Index	%mth	–0.2	–	–	...constraints weigh on demand.
	Jun	Chicago PMI	index	62.7	–	–	Reinforcing broader industrial softness.
	Jun	Conf. Board Consumer Confidence	index	93.1	94.3	–	Confidence remains fragile amid ongoing cost pressures
	May	JOLTS Job Openings	000s	7618	7275	–	Job openings trending lower, signalling easing labour demand
Wed 01							
Aus	Jun	Cotality Home Value Index	%mth	–0.1	–	–0.5	Turnover will be a key area to watch.
	May	Dwelling Approvals	%mth	–3.4	0.0	–1.0	Activity looks to be normalising after a brief surge.
Jpn	Q2	Tankan Large Manufacturers	index	17	16	–	External demand is supporting business sentiment.
Wrld	Jun	S&P Global Manufacturing PMI	index	–	–	–	Global factory activity remains subdued
Eur	Jun	CPI	%ann	3.2	3.1	–	Soft demand sees inflation ease.
US	Jun	ADP Employment Change	000s	122	118	–	Hiring is moderating consistent with a cooling labour market.
	Jun	ISM Manufacturing	index	54.0	53.8	–	Likely to show continued contraction in the industrial sector
Thu 02							
Aus	May	Goods Trade Balance	$mn	1.8	2.4	2.5	Nuanced result with categories pulling in opposite directions.
NZ	May	Building Permits	%mth	10.9	–	–5.0	Monthly pullback, but longer term trend still firm.
Kor	Jun	CPI	%ann	3.1	3.2	–	Pressures easing consistent with regional disinflation trend.
Eur	May	Unemployment Rate	%	6.3	6.3	–	Forward indicators suggest gradual softening
US	Jun	Nonfarm Payrolls	000s	172	115	100	Jobs and wage growth is moderating, pointing to a gradual...
	Jun	Average Hourly Earnings	%mth	0.3	0.3	–	easing but still above levels consistent with target inflation
		Initial Jobless Claims	000s	215	220	–	Claims remain low, suggesting layoffs are still contained
	Jun	Unemployment Rate	%	4.3	4.3	–	Edging higher, consistent with a softening labour market
	May	Factory Orders	%mth	4.8	–	–	Orders likely to pick up after a recovery in durable goods.
Fri 03							
NZ	Jun	ANZ Consumer Confidence	index	86.5	–	–	Further gains likely after a modest rebound in May.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (26 Jun)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85
90 Day BBSW	4.46	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30	4.05	3.95
3 Year Swap	4.35	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
3 Year Bond	4.36	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
10 Year Bond	4.72	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.90	4.95
10 Year Spread to US (bps)	35	40	40	35	30	25	20	15	10	10	10
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.38	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.25	2.50	2.75	3.25	3.50	3.75	4.00	4.00	4.00	4.00	3.75
90 Day Bill	2.69	2.75	3.15	3.50	3.75	4.00	4.20	4.20	4.20	4.15	3.95
2 Year Swap	3.32	3.55	3.85	4.05	4.20	4.25	4.20	4.20	4.15	4.15	4.10
10 Year Bond	4.36	4.40	4.55	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	–2	–10	5	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (26 Jun)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6893	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73	0.73	0.73
NZD/USD	0.5645	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	161.57	158	156	154	152	150	148	146	144	142	140
EUR/USD	1.1379	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.21	1.21
GBP/USD	1.3205	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40	1.40
USD/CNY	6.8010	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2212	1.22	1.22	1.19	1.16	1.14	1.12	1.11	1.11	1.11	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	–	–	–	–
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	1.0	1.5	0.7	0.7	0.7	0.8	0.5	–	–	–	–
%yr end	4.1	4.4	4.6	4.7	4.0	3.7	3.0	2.8	3.6	4.7	2.8	2.2
Trimmed Mean CPI %qtr	0.8	1.0	1.1	0.9	0.8	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.8	3.8	3.8	3.7	3.5	3.2	3.0	3.4	3.8	3.0	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.8	–0.1	0.6	0.7	1.0	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.1	5.0	4.9	5.4	5.3	4.9	4.4
CPI %qtr	0.9	1.4	0.7	0.4	0.6	0.2	0.7	0.4	–	–	–	–
Annual change	3.1	4.0	3.7	3.5	3.1	1.9	1.9	2.0	3.1	3.5	2.0	2.0

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Week beginning 22 June 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: RBA holds at 4.35%, ready to hike if needed; Melbourne Cup, World Cup, or Eurovision?

The Week That Was: Policy matters.

Focus on New Zealand: July RBNZ pause more likely following ceasefire.

For the week ahead:

Australia: CPI, labour force survey, job vacancies, household spending, Westpac-Now, RBA Deputy Governor Hauser speaking.

New Zealand: Q2 Westpac-McDermott Miller employment confidence.

China: current account balance, industrial profits.

Euro Area: consumer confidence, IFO business climate survey.

United States: personal income and spending, PCE deflator, durable goods orders, regional manufacturing surveys, new home sales.

Global: S&P Global PMIs.

Information contained in this report current as at 19 June 2026.

RBA holds at 4.35%, ready to hike if needed

Luci Ellis
Chief Economist, Westpac Group

As was all but universally expected, the RBA Monetary Policy Board (MPB) held the cash rate steady at 4.35% at its June meeting. But in a move that was less surprising to us than to some in the market, it explicitly signalled that further hikes remain on the table.

The final sentence of the media release added the clause "including increasing the cash rate target further if required" to the usual remark about doing what is needed to achieve its policy goals. In the opening statement to the post-meeting media conference, Governor Bullock repeated this point. This drafting decision is unusual for an RBA statement, and a stronger steer than in recent communication. It suggests that the MPB wanted to hose down recent speculation that they are done hiking rates.

We therefore retain our view that further cash rate increases are coming. If we are right that the June quarter result for trimmed mean inflation will again be strong, the next hike will come at the August meeting. A longer pause is possible if the next few inflation prints are less alarming, but the direction of travel is still most likely up. We expect it will take a further unexpected weakening in the domestic economy – and a better inflation outlook – to entirely prevent further cash rate hikes from here.

The post-meeting statement highlighted the RBA's key view that inflation was too high, and a period of slower growth would be needed to get inflation back to target. The RBA continues to view the Australian economy as facing capacity pressures, and only able to grow by about 2%yr before inflation rises. This is in line with previous RBA messaging, though lower than our own view.

The MPB has not been as spooked by the recent data flow on the household sector and labour market as market pricing implied it would be. The RBA's forecasts, which were based on an assumed path for the cash rate of one-and-a-bit hikes, already envisaged some slowdown. Indeed, the RBA regards the labour market as still a bit tight at the current unemployment rate, a point the Governor noted in the media conference.

The energy price shock is seen adding to the pre-existing inflation problem. Energy and "most related" commodity prices were mentioned as still being above pre-war levels, and – consistent with our own Market Outlook forecasts – the recovery following resolution of the conflict is expected to be gradual.

The discussion of the real side of the economy was sanguine. The slowdown in consumer spending was "as expected", comments on the housing market suggested little alarm, and most labour market indicators were seen as "resilient". In the media conference, the Governor stated that it was too early to say what the effect of recent macro policy changes, including the rate rises as well as the Budget, would be on the housing market.

"RBA holds cash rate steady at June meeting as expected, strikes a hawkish tone with rate hikes still on the table."

The tone of the discussion on pass-through of the energy shock to other prices was also more hawkish than previously. The May post-meeting statement described "early signs" that firms were looking to pass through higher costs to their own prices. This month, these were "signs", not "early signs", and some of the price increases were noted as already occurring, especially in new housing construction. This language is important given the importance the MPB is placing on ensuring the current energy price shock does not become embedded in ongoing inflation. Also noteworthy in the media conference, the Governor highlighted that firms can only pass on higher costs into their own prices if demand is strong enough that consumers will accept that. The comments in May that passing on costs was "reasonable" were not repeated; rather, pass-through was an "expected" reaction by businesses, especially small businesses given this is "their livelihood".

Overall, this meeting's outcome and communication were in line with our existing view of the RBA's analysis of the economy. The MPB has not been spooked by recent soft data, seeing these outcomes as a necessary part of the slower growth needed to get inflation down. It is more concerned about upside risks to inflation than downside risks. And it is now seeing more pass-through into prices, especially in housing construction, as we first flagged in early April.

Melbourne Cup, World Cup, or Eurovision?

- **Forecasting the future is hard. It would be nice if you could just apply mathematical models that map from the past to the future. That is what most models do – and in physics and other physical sciences that makes sense. The models might be complicated to the point of intractability, but at least conceptually, past performance is a guide to future performance.**
- **In economic systems, though, human factors matter. Where exactly the system sits on the spectrum of complexity depends on what time horizon you are forecasting and how much the outcome is shaped by human behaviour and judgement. You need to know what kind of game is being played.**
- **Some systems are like the Melbourne Cup and other horse races. Randomness can matter, but physical reality is the main determinant of outcomes. In these cases, studying the "form guide" and leveraging lag relationships can produce decent, if not perfect, forecasts.**
- **Others, including most business and military competitions, operate more like the Football World Cup. Physical reality matters, but human interactions matter even more. When forecasting these systems, always allow for second and higher-order thinking, and the fact that people and teams interact, learn and adapt.**
- **When it comes to forecasting financial markets though, it is more like forecasting Eurovision and other popularity contests. An ultimately correct view about the fundamentals might still be out of tune with the consensus or market view. Material reality wins out in the end, but the market can stay "Bangaranga" for longer than you might hope.**

Forecasting the future is hard. It would be nice if you could just apply mathematical models that map from the past to the future. That is what most models do – and in physics and other physical sciences that makes sense. The models might be complicated to the point of intractability, but at least conceptually, past performance is a guide to future performance.

In economic systems, though, human factors matter to at least some degree. Where exactly the system sits on the spectrum of complexity depends on what time horizon you are forecasting and how much the outcome is shaped by human behaviour and judgement.

Study the form guide

Many outcomes are driven by physical processes where current state depends on the previous state. Forecasting these processes is a bit like betting on horse races. Studying the form guide – knowing the current situation and recent past performance – is a reasonable guide to the next outcome, or so I'm told. Betting on horse races or other non-human endeavours is still far from a sure thing. Random conditions matter: one horse might have a bad warm-up, or weather conditions might differ from the range seen over the period that your form guide covers. But physical reality is what matters, not least because horses do not collude amongst themselves.

There are circumstances where forecasting based on leading indicators works well, at least in the short term. Physical and decision-making processes induce process lags that predict future outcomes. Physical reality also helps determine other outcomes. For example, a country's endowment of mineral resources and past investment in their extraction will determine whether that country is currently an energy importer or exporter, and so the impact of an energy price shock. Understanding these relationships can go a long way to supporting economic understanding more broadly, but it is not the whole picture.

Team of champions or champion team

Things get more complicated when groups of people are involved. Consider sporting competitions. You might have a team of talented players, but they need to train together and work well today. A poor playbook – the "operating model" of the team – will lead the team to underperform a better-organised team of lesser-known players. (Playing and training together in the same league – and mostly the same team, Barcelona – is, incidentally, one reason why the Spanish women's soccer team does so well on the international stage. Examples in the current men's World Cup competition, both positive and negative, are left as an exercise for the reader.)

Competition between businesses and conflicts between nations both fall into this category. The "form guide" of material reality, covering sizes of balance sheets or number of fighter jets, will not necessarily be a good predictor of the outcome. This is one reason some analysts misread the likelihood of a swift Russian victory over Ukraine. It was a category error to believe that the starting point of resources mattered more than the opposing side's ability to out-organise and out-innovate. Some analysts were effectively forecasting as if it were a horse race, not a human competition.

The problem with forecasting in these environments is that it is much simpler to focus on what you can measure than to work out how people will react. Game theory can help here but quickly becomes intractable. It also presumes a lot about people's priorities and preferences that might not be observable by a forecaster. Counting the fighter jets is so much easier.

This is an example of the broader point that we should always go beyond first-round thinking when forming our views. From higher participation by older workers swamping ageing of the population as a determinant of labour supply, to Saudi Arabia's decision to truck oil to route around the Strait of Hormuz, people respond to their circumstances – including the human environment.

Pure Bangaranga

At least with a soccer match, the result is clearly defined: the team that scores the most goals wins. It is even harder when what you are trying to forecast is the result of a popularity contest. Consider Eurovision. Good songs and performances generally do well, but not always. 'Jury panels' of industry experts and the public both get a vote, and international sympathies matter, especially for the public vote. (This is why Germany and the UK tend to underperform most years, and Ukraine won in 2022. It is also why strong public votes have put Israel into second place both this year and last year.)

Financial markets fall into this category. At least in the short to medium term, forecasting financial prices such as equity prices or bond yields boils down to an attempt to assess what everyone else thinks about that asset and its prospects. This is essentially a popularity contest where people's beliefs about the future matter, if anything more than their understanding of the present. In this environment, it does not matter what you think about AI, or US exceptionalism, or whatever other narrative has taken hold in the moment. It matters what everyone else thinks. The market can stay bonkers (or perhaps "Bangaranga") longer than you can stay solvent.

Economics tries to handle this complexity by putting some structure around how people are assumed to form and update beliefs. Internal consistency, using all the information reasonably available, is the usual assumption here – also known as "rational expectations". Other "bounded rationality" approaches consider the cost of obtaining or processing information, or the lags involved in learning about the world. The profession has not yet settled on which of these "bounded rationality" approaches should be the standard. This is a shame, because these models have strong implications for macro policy.

Reality matters in the end

The lesson for forecasters is to know what kind of game you are forecasting. This depends partly on the time horizon and partly on the nature of the thing being forecast. The longer the horizon, the more so-called fundamentals cut through. How people react will still matter, though, and can even shape the future path in a lasting way. Always allow for second-order responses.

When thinking about the outlook for interest rates, your forecasts for inflation, the labour market and so on serve as a kind of material reality benchmark. But what matters in the short run is how the policymaker will interpret and respond to those outcomes. That might not be how you would respond to the same information if you were in their shoes. There is a role for judgement in policy decisions, which means you are forecasting someone else's judgement. A bit like predicting Eurovision, but with a lot less glitter.

Cliff Notes: policy matters

Elliot Clarke, Head of International Economics
Mantas Vanagas, Senior Economist
Ryan Wells & Illiana Jain, Economists

The RBA Monetary Policy Board (MPB) unanimously decided to leave the cash rate unchanged at 4.35% this week, as widely expected. However, in the subsequent communications, the MPB clearly leaned against the idea that the hiking cycle is definitively over. After emphasising that both headline and underlying inflation is "too high" and warning that "[t]here are signs that some firms experiencing cost pressures are increasing the prices of their goods and services and others are looking to do so", the MPB explicitly signalled that it will not rule out "increasing the cash rate target further if required" in order to achieve its objectives.

As discussed by Chief Economist Luci Ellis in a video update midweek, markets have recently taken a larger cue from a softer run of data around consumer spending, housing and the labour market. Some of the weakness in the labour market reflected 'abnormal seasonality' which we expect will revert in May. But the important point is that Governor Bullock framed a weaker economy as an intended consequence of tighter monetary policy – slowing demand growth enough to squeeze inflation out of the system and prevent it from becoming embedded in expectations. With upcoming inflation data likely to show further persistence, we think the MPB will feel compelled to respond with further rate hikes in August and September.

Before moving offshore, a final note on local manufacturing. The latest Westpac-ACCI Survey of Industrial Trends revealed that momentum stalled heading into mid-year, the Actual Composite falling from a robust 57.6 in Q1 to a neutral reading of 50.5 in Q2. Underpinning the result was a flattening in new orders, a deceleration in output growth and a decline in employment. This comes as the Middle East conflict compounds the cost-of-living pressures households face, weighing on demand. It has also reignited cost pressures within manufacturing, a net 51% of firms reporting a rise in average unit costs. Firms expect further material increases in selling prices as a result, suggesting the pass-through of higher costs will persist into the second half. What was once budding optimism on the general business outlook has now collapsed to deep pessimism, leading many firms to delay or cancel plans to increase investment and hiring over the coming year.

Before moving further afield, New Zealand received an update on economic activity this week, the 0.8% rise in Q1 GDP a little less than we expected, though revisions meant the annual growth pace came out ahead of our forecasts. The pick-up in momentum evident over recent quarters likely came to a halt in Q2 due to the Middle East conflict, but this week's apparent resolution (see below) could see the economy pick up again sooner than we had assumed.

In the US, the first FOMC meeting with Kevin Warsh as Chair was largely as anticipated. Notably, Chair Warsh focused on the practices of the Committee and the Federal Reserve as much as the economic outlook, announcing the formation of five separate task forces. On the current state of the economy, the labour market was characterised as largely in balance. The message on inflation was blunt, Chair Warsh making clear the Committee "will deliver price stability".

Regarding the near-term policy outlook, the market showed concern over 9 of 18 respondents expecting at least one rate hike by year end. However, in the press conference, Chair Warsh made clear the degree of uncertainty participants wrestled with in coming to these views. Also, at least with respect to energy prices, in recent days risks have begun to recede.

"If the US/Iran deal holds over the coming months, we expect the FOMC to remain on hold"

The Bank of England also marked time in June, with seven of the nine Monetary Policy Committee members voting to keep Bank Rate unchanged at 3.75%. The minutes showed that Chief Economist Huw Pill and external member Megan Greene preferred a 25bp hike as a risk-management response given the possibility of material second-round effects from energy inflation. Other members took comfort from the recent fall in energy prices. The latest labour market and inflation prints were meanwhile interpreted as evidence that disinflation was well underway before the Middle East conflict. Nonetheless, the statement carried a hawkish tone, signalling the Committee still sees price risks as the dominant concern.

In Asia, the Bank of Japan raised its policy rate by 25bps to 1.0%. This follows strong wage outcomes earlier this year and growing evidence of pass-through to domestic inflation, particularly for services. In Governor Ueda's absence, Deputy Governor Uchida signalled further rate hikes ahead. We expect that productivity gains and sustained domestic inflation pressures will support the BoJ reaching a terminal rate of around 1.5% in mid-2027.

The Policy Board also confirmed that it will continue tapering JGB purchases, albeit at a slower pace. Importantly, the Bank retains the flexibility to scale up purchases in the event of disorderly moves in yields and will continue to pre-commit to purchase amounts on a quarterly basis.

On the data front, Chinese activity disappointed again in May. Retail sales contracted over the year, -0.6%yr, as soft income growth, declining wealth and an absence of confidence weighed. Fixed asset investment fell 4.1%ytd, driven by declines in sectors including property, health and education, but also owing to a lull in previously strong areas of the economy, namely manufacturing and utilities. Industrial production growth of 5.4%ytd shows the effective use of current capacity to meet strong growth in external demand, however. Aggregate growth in the economy is largely dependent on net exports' contribution at present. This is unsustainable given the record-high level of the trade surplus, hence the need for material and urgent stimulus for the domestic economy.

Finally, to the Middle East conflict. A resolution now looks to be in effect, at least for the next 60 days after a 14-point Memorandum of Understanding was signed by both the US and Iran. On day 1 of the Strait's re-opening, several VLCCs, which each carry 2 million barrels of oil, were seen transiting the Strait as others readied at port. Further, not only will shipments from other Middle East countries now come to the global market, but also from Iran – waivers allowing the nation to freely sell into the global market without delay and, as conditions are met, the removal of sanctions should confirm long-term access. Negotiations over Iran's nuclear program are still necessary, and until agreed there is risk of further conflict. Also, it will take time for damaged infrastructure and global inventories to be rebuilt. Still, the initial market reaction has be positive, the price of Brent oil falling from a recent peak near USD110 per barrel to USD79, compared to an average of USD63 in Q4 2025.

July RBNZ pause more likely following ceasefire

Satish Ranchhod
Senior Economist

With global fuel prices dropping back, the current uplift in inflation is likely to be slightly more moderate than expected, and the risks of a widespread and enduring lift in pricing pressures is less pronounced. This gives the RBNZ more breathing space to observe how the economy is tracking before hiking the Official Cash Rate. We continue to expect that the RBNZ will keep the cash rate on hold until September. And depending on how fuel prices evolve, the RBNZ might become circumspect about how quickly rates need to rise beyond that time.

After a firm start to the year, economic momentum has faded

The latest GDP figures showed that the New Zealand economy had been gaining traction in the early part of the year, ahead of the conflict in the Middle East. The economy grew by 0.8% in the March quarter, with activity up 1.5% over the past year – the latter slightly firmer than expected due to an upward revision to growth in the December quarter. Growth was also a bit firmer than the RBNZ had expected, underpinned by earlier interest rate reductions and the continued strength in the agricultural sector.

But despite that encouraging start to the year, more recent data have shown that the economy's momentum has been dented by the conflict in the Middle East. The significant rise in living costs has been weighing on households' spending, and recent business surveys (including this week's PMI and PSI) have shown a downturn in trading activity over the past few months. On top of that, the related nervousness about the outlook has seen plans for hiring and capital expenditure wound back.

It hasn't all been bad news though. Demand for our key commodity exports has remained firm, with notable strength in dairy and red meat prices. And trade data for May revealed strong growth in both consumer and capex imports, suggesting that businesses had been anticipating robust demand prior to the conflict.

Nevertheless, the economy is on course for another year of soggy growth. We expect that economic activity will expand by just 1.4% over 2026 (a rate that's well below average), with unemployment lingering above 5%.

Inflation pressures moderating

Against that challenging backdrop, the easing in tensions in the Middle East has been a welcome respite. The immediate impact for New Zealand households and businesses has been a decline in fuel costs. With global oil prices dropping back, the average price of 91 unleaded around the country has already fallen around 6 c/ltr over the past week, with diesel prices down nearly 20 c/ltr. And if global oil prices remain around current levels, 91-unleaded could drop by another 20 to 30 c/ltr over the coming weeks. That would take prices back to around $2.80 to $2.90 / ltr.

But while the global headwinds that have been buffeting the New Zealand economy have moderated, it will still take time for the disruptions to global supply chains and related increases in cost pressures to fully reverse. In the meantime, fuel costs remain well above the levels we saw prior to the conflict, and that is continuing to squeeze households' finances. Similarly in the business sector, many firms are likely to see continued increases in materials costs over the next few months. Given ongoing concerns about the durability of the ceasefire in the Middle East, it's also likely that businesses will remain reluctant to take on new staff or commit to significant capital expenditure (at least until we see definitive signs of a turn in economic activity).

We're currently reviewing our forecasts in light of the changing global backdrop. However, we've already made some changes to our inflation forecasts. We've revised down our forecast for inflation through the middle part of the year and now expect that it will peak at 4.2%yr in the September quarter (down from our previous forecast of 4.5%). That downwards revision is in part due to the easing in oil prices. We've also seen softness in airfares. More generally, subdued demand has constrained how far many businesses have been able to raise their prices despite increases in operating costs.

Our updated forecast for inflation is slightly lower than the RBNZ assumed in their latest projections in May (which showed inflation peaking at 4.3%).

The changing global backdrop gives the RBNZ more headroom

These shifts in the global and domestic outlooks have important implications for the RBNZ. At the time of their last policy statement in May, all members of the RBNZ's Monetary Policy Committee agreed that the Official Cash Rate would likely need to rise through the latter part of the year. However, the Committee was split in terms of how quickly hikes were needed - three members voted for an immediate hike in May, the other three (including the Governor) voted to keep the OCR on hold. Those members who voted for a hold wanted to see how inflation pressures were shaping up. In particular, there were questions about whether the recent uplift in fuel prices would give rise to a more widespread and long-lasting lift in price pressures.

We're still looking at a firm near-term inflation outlook. However, with global fuel costs dropping back, the longer-term risks to the inflation outlook are now less pronounced. And with softness in domestic activity and the labour market, the RBNZ has more headroom to watch how the economy is tracking before it hikes the OCR.

Given that moderation in longer-term inflation risks, we continue to expect that the RBNZ will remain on hold until September. We can't entirely rule out an earlier start at the July policy meeting, and financial markets still see a strong chance of a July hike (around 85%). However, we think that recent developments have certainly strengthened the case for a continued hold. Even some of those on the Committee who had previously advocated for a hike may reconsider how quickly policy needs to be adjusted given the changing global backdrop. They may now see merit in waiting to see the outcome of the June quarter CPI and labour market reports, as well as the next round of inflation expectation surveys, which will all be released between the July and September OCR reviews.

Depending on how fast oil prices fall, the RBNZ could also become more circumspect about just how far and fast the OCR ultimately has to rise. However, this isn't a one-way bet, with the longer-term outlook for activity and monetary policy opaque. Although global headwinds are easing back, inflation remains elevated, including the domestic non-tradable components which have been slow to decline. In addition, the easing in near-term cost pressures and economic uncertainty that we're now seeing could help the economy regain its momentum sooner than we previously thought.

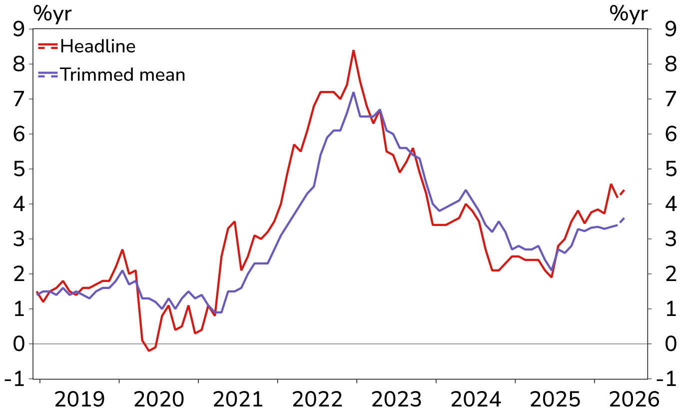
AUS: May CPI (%ann)

June 24, Last: 4.2, Westpac f/c: 4.4
Market f/c: 4.3, Range: 3.8 to 4.9

In April, headline inflation undershot expectations easing to 4.2%yr with trimmed-mean inflation rising to 3.4%yr. Despite this firming, there was only limited indications of a broadening in pass-through from the Middle East energy shock.

The focus in May will again be on evidence of second round effects from higher oil prices. We expect the CPI to fall –0.3%mth, rising to 4.4%yr annually. The weakness is centred on lower fuel prices and softer clothing. The trimmed mean is forecast to rise 0.4%mth/3.6%yr, though uncertainty on the strength and speed of price adjustments remains a key downside risk. For the full preview, see here.

Inflation with forecasts



Source: ABS, Macrobond, Westpac Economics

AUS: May Labour Force – Employment Change (000s)

Jun 25, Last: –18.6, Westpac f/c: +45
Market f/c: +30, Range: +15 to +45

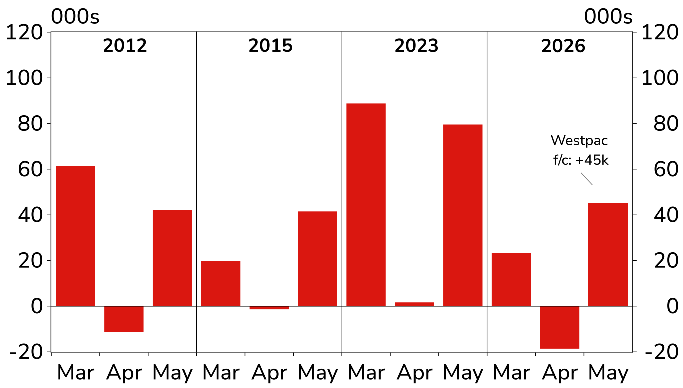
April surprised materially to the downside across most fronts. Employment fell by 18.6k in the month, against expectations for a modest increase.

As discussed in our preview, the weakness in employment might be related to an 'abnormal seasonality – this year's April LFS ran over the full Easter long weekend, and so it may have captured a bit more Easter holiday-related softness in the raw data that was not fully removed by seasonal adjustment.

We expect a bounce-back of +45k in May. This would amount to an average monthly gain of around +13k/mth over April and May, a clear step down from the +30k/mth pace over Q1.

Employment Change in 'Full Overlap' Years

Years April LFS Covers Good Friday & Easter Monday



Source: ABS, Macrobond, Westpac Economics

AUS: May Labour Force – Unemployment Rate (%)

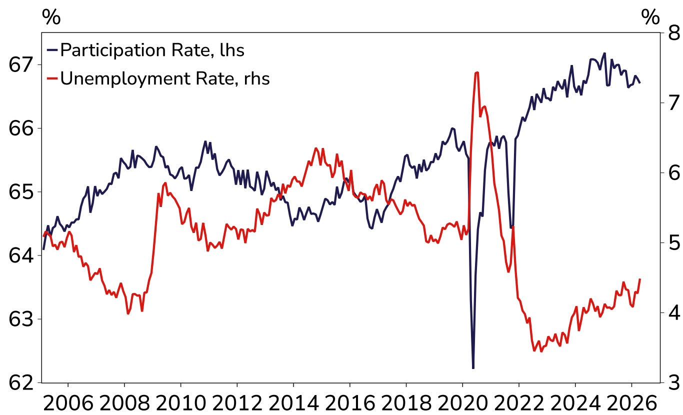
Jun 25, Last: 4.5, Westpac f/c: 4.4
Market f/c: 4.4, Range: 4.3 to 4.6

Despite a tick down in the participation rate to 66.7%, the fall in employment was large enough to see the unemployment rate jump from 4.3% to 4.5% in April, the highest since the 'delta' COVID-19 outbreak in late-2021.

As stated above, this weakness possibly due to extra holiday-related weakness tied to the survey's timing over Easter. This is set to fade in May's data. With the participation rate ticking back up to 66.8%, we expect the unemployment rate will fall from 4.5% to 4.4%.

If April's decline was indeed driven entirely by Easter or other noise, May's data could surprise to the stronger side, meaning a potentially lower unemployment rate.

Unemployment rate at 4½%, highest since Nov-21



Source: ABS, Macrobond, Westpac Economics

AUS: Q2 Job Vacancies (%qtr)

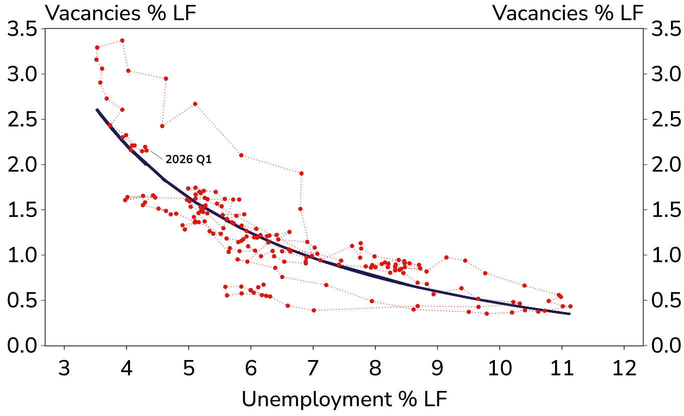
Jun 25, Last: 2.7, Westpac f/c: –3.5

The number of job vacancies increased by 8.9k (2.7%) between November and February. That result was consistent with the recovery that was taking place in the labour market earlier in the year, prior to the onset of the Middle East conflict.

While the level of job vacancies remains elevated, as a share of the labour force it has come back down to more normal levels. As seen on the chart rightwards, we are around the 'steeper' part of the Beveridge Curve – suggesting that the relationship between vacancies and unemployment continues to behave broadly as expected.

Based on the available partial monthly indicators, we think a fall in the official ABS measure of job vacancies is likely in Q2. We have pencilled in around –3.5%qtr.

Beveridge Curve



Source: ABS, Macrobond, Westpac Economics

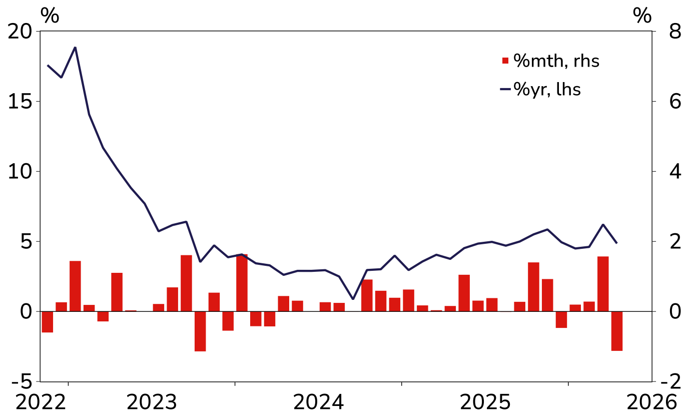
AUS: May Household Spending Indicator (%mth)

Jun 25, Last: –1.1, Westpac f/c: 0.7
Market f/c: 0.5, Range: –0.5 to 4.5

The Household Spending Indicator fell –1.1%mth in April, unwinding most of the 1.6% jump in March. The main driver was a mostly price-led unwind in auto fuel-related spending, reflecting the temporary halving of fuel excise tax and waiving of GST.

May was a more settled month for fuel prices although it saw a third 25bp interest rate rise from the RBA and a sharp fall in consumer sentiment. Our [Westpac-DataX Card Tracker] points to a clear moderation in momentum with activity ex-fuel stalling flat in recent weeks. However, that's likely to be more evident as June spending figures roll in with the wash-up for the May month still pointing to a +0.7% gain in the Household Spending Indicator.

Monthly household spending indicator



Source: ABS, Macrobond, Westpac Economics

AUS: Q2 Westpac-Now – First Estimate (%qtr)

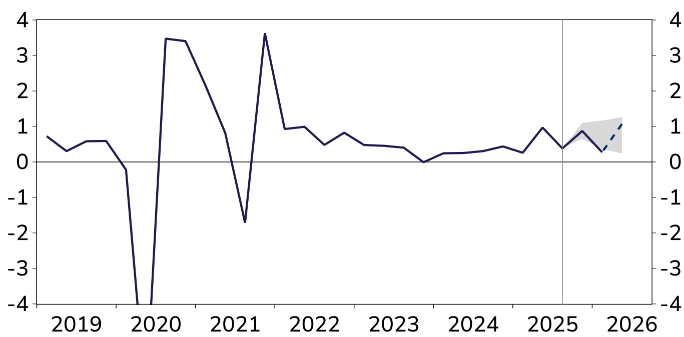
Jun 26, Last: 0.4 (Q1 2026)

Westpac-Now's final estimate for Q1 had GDP growth moderating to just 0.4%qtr in Q1 2026, down sharply from the 0.9%qtr recorded in Q4 2025. This was broadly in line with the 0.3%qtr recorded in the Q1 National Accounts, signalling that Australia's cyclical upturn had come to an end.

Westpac-Now also pointed to growth stalling at just 0.1%qtr in Q2 2026, with a 'negative quarter' well within standard confidence intervals. We expect our first estimate for Q2 2026 to reinforce the view that activity eased through the first half of 2026, with something close to a flat quarter the most likely outcome.

Quarterly GDP Growth*

Quarterly % growth. Axis truncated for covid.



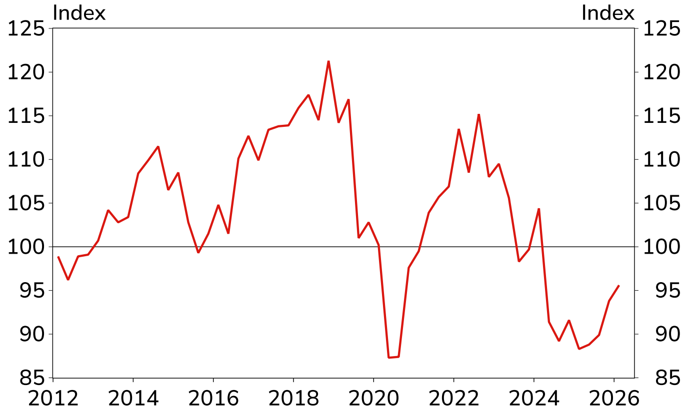
Source: ABS, Macrobond, Westpac Economics
*Dotted line show Westpac-Now central estimates. Quarter ahead (or Q4 2025) relies on actual Westpac-MAI to January 2026. Beyond the quarter ahead, estimates rely on projections of the Westpac-MAI generated using internal model dynamics. Confidence intervals reflect empirical out of sample forecasting errors.

NZ: Q2 Westpac-McDermott Miller Employment Confidence (index)

Jun 23, Last: 95.6

The Employment Confidence Index rose slightly in the March quarter survey, led by a lift in perceptions about job availability. That measure in particular is often a useful leading indicator of the unemployment rate, which looked to have reached its peak for the cycle until the Middle East conflict provided a fresh blow to the economy. As with our consumer confidence index, the March survey was held early in the month, largely before the conflict began to flow through into fuel prices, while the latest survey was held in early June before the US-Iran peace agreement was reached.

Employment Confidence Index



Source: Westpac-McDermott Miller, Macrobond

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 22							
Eur	Jun	Consumer Confidence	index	–19	–16	–	Remains deeply pessimistic owing to current conditions.
Tue 23							
NZ	Q2	Westpac MM Employment Conf.	index	95.6	–	–	Surveyed before the ceasefire announcement.
Jpn	Jun	S&P Global Manufacturing PMI	index	54.5	–	–	Activity supported by new orders and inventory expansion ...
	Jun	S&P Global Services PMI	index	50.0	–	–	... though services activity looks to have stagnated.
Eur	Jun	S&P Global Manufacturing PMI	index	51.6	51.5	–	Upturn in manufacturing activity has lost momentum ...
	Jun	S&P Global Services PMI	index	47.7	49.3	–	... with cost pressures for services on a persistent uptrend.
UK	Jun	S&P Global Manufacturing PMI	index	53.9	50.0	–	Upturn gathering pace, with production hitting a 3mth high ...
	Jun	S&P Global Services PMI	index	49.3	53.0	–	... services takes a setback with the first fall in a year.
US	Jun	S&P Global Manufacturing PMI	index	55.1	54.6	–	May recorded the fastest upturn in production since Apr-22 ...
	Jun	S&P Global Services PMI	index	50.7	51.0	–	... but sluggish growth in services is a drag on overall activity.
	Jun	Richmond Fed Manufacturing	index	13	8	–	Some reversal expected following May's bounce.
Wed 24							
Aus	May	Monthly Headline CPI	%ann	4.2	4.3	4.4	Lower fuel prices will continue to weigh on the headline print.
	May	Monthly Trimmed Mean CPI	%ann	3.4	3.5	3.6	Construction costs becoming a key pressure point.
		RBA Deputy Governor Hauser	–	–	–	–	Speaking in Melbourne, 6:00pm AEST.
Ger	Jun	IFO Business Climate Survey	index	84.9	85.5	–	Continues to suggest a weak growth outcome for H2 2026.
US	May	New Home Sales	%mth	–6.2	3.5	–	Builders are reporting bloated inventories of homes.
Thu 25							
Aus	May	Employment Change	000s	–18.6	30	45	Bounce-back from holiday-related weakness in April ...
	May	Unemployment Rate	%	4.5	4.4	4.4	... will give a clearer idea of underlying momentum.
	Q2	Job Vacancies	%qtr	2.7	–	–3.5	Partial indicators point to a small pull-back.
	May	Household Spending Indicator	%mth	–1.1	0.5	0.7	Moderation in consumer momentum further ahead.
US	May	Personal Income	%mth	0.0	0.4	–	A strong jobs report likely supported income growth and ...
	May	Personal Spending	%mth	0.5	0.6	–	... higher spending despite bleak sentiment among consumers.
	May	PCE Deflator	%mth	0.4	0.4	–	Non-durables and services driving most of the increase.
	May	Durable Goods Orders	%mth	8.0	–4.7	–	Upheld by tech-related investment; transport adds volatility.
	May	Chicago Fed Activity	index	0.14	–	–	Growth moving above trend signalling pressures on inflation.
		Initial Jobless Claims	000s	226	–	–	Seasonal volatility high this time of year.
	Q1	GDP	%ann'd	1.6	1.7	–	Final estimate.
	Jun	Kansas City Fed Manufacturing	index	8	–	–	Defying expectations for steep falls amid higher input costs.
		Fedspeak	–	–	–	–	Williams.
Fri 26							
Aus	Q2	Westpac-Now	%qtr	0.4	–	–	First estimate will likely point to a further softening in activity.
Jpn	Jun	Tokyo CPI	%ann	1.4	1.6	–	Pass-through of higher labour and import costs likely.
Chn	Q1	Current Account Balance	US$bn	184.1	–	–	Final estimate.
US	May	Wholesale Inventories	%mth	0.6	0.2	–	Normalising from its surge in March.
	Jun	Uni. Of Michigan Sentiment	index	48.9	50.0	–	Final estimate.
		Fedspeak	–	–	–	–	Goolsbee, Kashkari.
Sar 27							
Chn	May	Industrial Profits	%ann	24.7	–	–	Manufacturing industry a key source of strength.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (19 Jun)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.35	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85
90 Day BBSW	4.47	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30	4.05	3.95
3 Year Swap	4.44	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
3 Year Bond	4.45	4.65	4.65	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.90
10 Year Bond	4.80	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.90	4.95
10 Year Spread to US (bps)	35	40	40	35	30	25	20	15	10	10	10
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.45	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25	4.25	4.00
90 Day Bill	2.71	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45	4.40	4.15
2 Year Swap	3.38	3.85	4.15	4.30	4.40	4.40	4.35	4.30	4.25	4.20	4.15
10 Year Bond	4.44	4.65	4.80	4.95	5.05	5.10	5.10	5.10	5.10	5.05	5.05
10 Year Spread to US (bps)	–1	15	30	40	50	50	45	40	35	25	20

Exchange rate forecasts

	Latest (19 Jun)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6992	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73	0.73	0.73
NZD/USD	0.5735	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	161.37	158	156	154	152	150	148	146	144	142	140
EUR/USD	1.1428	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.21	1.21
GBP/USD	1.3169	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40	1.40
USD/CNY	6.7682	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2204	1.22	1.22	1.19	1.16	1.14	1.12	1.11	1.11	1.11	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	–	–	–	–
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	1.0	1.5	0.7	0.7	0.7	0.8	0.5	–	–	–	–
%yr end	4.1	4.4	4.6	4.7	4.0	3.7	3.0	2.8	3.6	4.7	2.8	2.2
Trimmed Mean CPI %qtr	0.8	1.0	1.1	0.9	0.8	0.7	0.7	0.7	–	–	–	–
%yr end	3.4	3.8	3.8	3.8	3.7	3.5	3.2	3.0	3.4	3.8	3.0	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.8	–0.3	0.4	0.6	1.1	0.6	0.8	0.8	–	–	–	–
Annual avg change	0.8	1.5	1.6	1.6	1.6	1.8	2.2	2.6	0.3	1.6	2.6	3.4
Unemployment rate %	5.3	5.4	5.5	5.6	5.5	5.3	5.1	4.9	5.4	5.6	4.9	4.4
CPI %qtr	0.9	1.5	1.1	0.5	0.5	0.1	0.6	0.4	–	–	–	–
Annual change	3.1	4.1	4.2	4.1	3.7	2.3	1.8	1.7	3.1	4.1	1.7	2.0

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.